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Call: Jul 2022

July 27 , 2022

To,
BSE Limited
(BSE: 542726)

National Stock Exchange of India Limited
(NSE: INDIAMART)

Subject: Transcript of Earnings Conference Call on financial results and developments for the quarter ended June 30, 2022

Dear Sir/Ma'am ,

In furtherance to our letter dated July 15, 2022, please find enclosed the Transcript of Earnings Conference Call held on Friday , July 22, 2022 at 16:00 hours IST to discuss financial results and developments for the quarter ended June 30, 2022.

The said transcript along with audio/video recordings are also available on the Company's website at <https://investor.indiamart.com/FinancialResultsStatements.aspx>

Kindly take note of the same.

Yours faithfully,
For IndiaMART InterMESH Limited

(Manoj Bhargava)
Group General Counsel,
Company Secretary & Compliance Officer
Membership No: F5164

Encl: As above.

Webinar Transcript

Event: IndiaMART Q 1 FY2023 Earnings Webinar

Event Date/Time: July 22, 2022 at 16:00 hrs

CORPORATE PARTICIPANTS :

Mr. Dinesh Chandra Agarwal – Managing Director and Chief Executive Officer
Mr. Brijesh Kumar Agrawal – Whole -Time Director
Mr. Prateek Chandra – Chief Financial Officer
Mr. Kushal Maheshwari – Head of Treasury and Investor Relations

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Ravi Gothwal : Good evening, Ladies and Gentleman, I am Ravi Gothwal from Churchgate Partners, and on behalf of IndiaMART Inter MESH Ltd, I would like to welcome you all to the company 's Q1 FY23 Earnings Webinar. As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask question once the presentation concludes.

Joining us today from the management side we have Mr. Dinesh Agarwal , Managing Director and Chief Executive Officer, Mr. Brijesh Agrawal , Wholetime Director, Mr. Prateek Chandra , Chief Financial Officer, and Mr. Kushal Maheshwari, Head of Treasury and Investor Relations. Before

we begin, I would like to remind you that some of the statements made in today's webinar may be forward looking in nature and may involve risk and uncertainties. Kindly refer to slide number three of the earnings presentation for the detailed disclaimer. Now, I would like to hand over the call to Mr. Dinesh Agarwal for his opening remarks. Thank you. And over to you, sir.

Dinesh Agarwal : Good evening, everybody and welcome to IndiaMART's Q1 FY23 Earnings Webinar. We have already circulated our presentation, which is available on our website as well as the website of the stock exchanges. I am sure you would have gone through the presentation and I would be happy to take any questions afterwards.

I am pleased to report that IndiaMART has delivered a consolidated collection from customers of Rs. 254 crores and Revenue from Operations of Rs. 225 crores this quarter. Consolidated Deferred revenue increased to Rs. 961 crores and paying subscription suppliers increased to 179 K representing a net addition of about 10,000 in this quarter. These numbers also include Rs. 10.5 crores revenue, and Rs. 25 crores of Deferred revenue from BUSY Infotech services, as the acquisition has been completed in this particular quarter.

In IndiaMART business, growth in the Revenue, Collections and Deferred Revenue was primarily driven by improving macro-economy, as well as the result of recent growth investments we have made in product, sales & servicing and building the organisation. We will continue to make the investments as needed to maintain the growth momentum. Total traffic on the platform and resulting unique business inquiries remained stable at 257 million and 22 million respectively. Our 90 day repeat buyers stands at approximately 54%, which represents the continued trust on the platform. Total business inquiries delivered is 115 million for the quarter. As we discussed in the previous earnings call, the reduction in the total business inquiry is an outcome of certain algorithmic changes to increase the efficiency for matchmaking and improve the relevancy of RFQ being delivered to the users.

During the quarter we have completed the 100% acquisition of BUSY Infotech and 51% of the Finlite Technologies, resulting into the addition of accounting software segment, in addition to the existing IndiaMART IndiaMART InterMESH Limited

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web services business. We have done segmental reporting also from now on, and I'm extremely positive about the scaling of this particular segment over the years leading to the augmentation of new revenue streams.

Overall, I believe we have started off the new fiscal year on a positive note on all performance indicators and we will remain committed to enhance our value proposition and deliver value to the customers which will help consolidate our leadership position in the industry.

Now, I will hand over the call to Mr. Brijesh to discuss a little bit more details about BUSY Infotech. Thank you and over to you.

Brijesh Agrawal : Good Afternoon everyone. The BUSY transaction was consummated on 6th of April and since then, BUSY is a Wholly-owned subsidiary of IndiaMART

and being a subsidiary, we shifted the accounting standards from IFRS to Ind-AS for reporting the financials from this quarter onwards.

In this quarter, we delivered a billing of Rs. 13 crores and a Revenue from operations of Rs. 10.5 crores. Please note that because of this change to Ind-AS, Revenue and P&L numbers may not be compatible with the previous periods.

Busy sold about 9,000 new licences in this quarter, taking the overall licences sold to about 3.11 lakhs. This being the first quarter post acquisition, our focus in Q1 essentially was to assimilate people, partners, and bringing the financial systems at par with the reporting standards that we follow here at IndiaMART. I think we've made very good progress on all of these three columns. Now over the next two quarters, we would start focusing on expanding the team, expanding the partner network, and

improve our penetration in those areas where it is still very under penetrated.

We hope that in the next two quarters when the focus gets on these elements, we should be able to continue to build on the growth momentum that we've achieved in Q1.

Now with this, I'll hand over the call to Prateek so that he can discuss the financial performance.

Prateek Chandra: Good evening, everyone. I will take you through the financial performance for the quarter ended June 2022.

Consolidated Revenue from operations was Rs. 225 crores in this quarter, a growth of 24% year on year, primarily due to 23% increase in paying subscription suppliers, as well as addition of Rs 10.5 crores from the accounting software segment. On the like-to-like basis, standalone collections from customers, Revenue from operations and Deferred Revenue were at Rs 241 crores, Rs. 213 crores and Rs. 935 crores, representing a year-on-year growth of 42%, 18% and 31% respectively. The company continued making growth investments in increasing manpower across functions, leading to an additional 163 new employees IndiaMART InterMESH Limited
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in this quarter, taking total employee headcount to 3,835. Consolidated EBITDA for the quarter stood at 29%.

We recorded significant decline in other income from Rs. 30 crores previous quarter to Rs. 1 crore this quarter, primarily due to mark-to-market losses on treasury portfolio, owing to significant increase in bond yields during the quarter. As most of our treasury investments are in high grade securities, and have been done with the perspective of holding for two to three years, we believe that this notional loss will reverse the next few quarters. As a result, Net Profit for the quarter stood at Rs. 47 crores with a margin of 21%.

Cash generated from operations during the quarter was Rs. 75 crores.

During the quarter, in addition to cash generated from operations, we have utilised cash in making payments for Busy and Finlite acquisitions as well as completing Rs. 100 crores share buyback and resultant tax and expense of Rs 25 crores. As a result, Consolidated cash balances stood at Rs. 1,882 crores as of 30th of June 2022.

Thank you very much. We are now ready to take any questions.

Ravi Gothwal: We will now begin the Q&A session. Please allow camera and microphone access. If you wish to ask a question once the presentation is available on your screen. You may type your question in the discussion panel and we will revert to you if any question remains unanswered. Please restrict to two questions so that we may be able to address questions from all the participants. We will wait for a couple of seconds while the question queue assembles.

First question is from the line of Vivekanand from Ambit capital. Please go ahead.

Vivekanand: Thanks for the opportunity. My first question is, could you help us understand your distribution model now? How much of the new customer addition is happening via channel partners versus your own employees?

And why is the outsourced sales costs still rising despite a QoQ decline in collections? Second question is on the competition. We are seeing competition from two areas: One is the new age B2B marketplaces like Moglix or even a large corporate group like MNP, Grasim. And secondly, the government is talking about its own ONDC marketplace. So, Dinesh Ji, just wanted to understand is it fair to assess that IndiaMART is focused mostly on SMEs at both ends, such as buyers and suppliers whereas most of the peers are focused on large enterprise buyers?

Dinesh Agarwal: On the new channel vs self, I think the channel has been developed over a period of 18 months or so, and we continue to invest behind channel development. Currently, I think new subscriber acquisition is slowly approaching towards half in half. So, half of them are coming from the

people who are completely managed by IndiaMART, they are still on a different third party payrolls and the second part is the channel, so half is coming from the channel. On your question, why the channel cost is still IndiaMART InterMESH Limited
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increasing versus the collection from the last quarter. So, collection from the last Q4 quarter, most of our collection comes from existing customers, however, the channel is deployed to for the new customer acquisition. So, if you see channel cost will probably start to stabilise in some quarters, but for now I think channel costs will remain elevated. On competition segment, to some extent you are right, that we are more of a marketplace, we are more of a network effect business where buyer and supplier both comes and many of the names that you took are typically focusing on trading of goods rather than matchmaking and network effect so, to that extent, we are very different however, after matchmaking also, the buyers and suppliers transact with each other. So, from that perspective, we are similar and none of them are actually solving full discovery issue. So, currently, if you look at whether it is price discovery, product discovery model, supply discovery, none of them are working on solving the full issue. With 7.2 million suppliers, 86 million products, we get a wide variety of the products and suppliers on IndiaMART platform. So, in that respect, I think we continue to perform better year-on-year over any other platform that you can see.

Vivekanand: This is very helpful sir, just a small follow up. So, one is on the you know your own employees acquiring new customers versus channel partners. So last, I remember I think you had said that around 500 of your own employees were also acquiring customers. Is that number similar or is that come down now? Secondly, on the explanation you gave on competition just wanted your thoughts on the government's ONDC marketplace because that comes up for discussion very often.

Dinesh Agarwal: On the bright side 500 people are in customer acquisition they are in sales & supervision and then there are managers who are overseeing the channel, there are managers who are overseeing the branches. So, those are the people on the IndiaMART payroll and rest everybody is on channel and other third party.

On the ONDC, it is something as a concept evolving and very early and as and when more clarity will emerge, we will try and see where we can collaborate and where to compete. But I think it will be more of a collaboration if at all it becomes positive. So, and it is mostly for B2C consumers and for B2B consumers I think because it's still maybe five years away after they become successful on B2C side.

Ravi Gothwal: So next question is from the line of Pranav from Edelweiss. Pranav, please go ahead.

Pranav: Hi, thanks for the opportunity. My first question is regarding the cost or, you know, the cost, we typically used

to see some decline in Q1 from Q4, but this quarter, there was an increase. So how should we see in the next couple of quarters cost going up? So that's my first question. And secondly, if I look at two factors, one is the unique business inquiries and traffic that has sort of plateaued and sort of started declining, can you give me some more colour on, you know, what is happening? If there are any cuts, which are actually leading to decline or how's the underlying traffic becoming?

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Dinesh Agarwal: So, let me address the second part and then Prateek will answer the first part. On the traffic and unique business enquiries they have stabilized, I don't think 1-2% decline will matter and on the vendor side what had happened is a lot of stress items were in demand during the covid times. Thankfully, whether it is mask with the sanitizer with medical equipment,

a lot of that demand has weaned away. Thus, the other part is that especially in the month of April, post Quarter 4, there has been a huge price rise in various commodities, and that probably led to some tapering off demands and this is very seasonal I guess, we should not have any much worry on both sides, we should be fine on the buyer side. From the pre-Covid levels, we are up for almost 33 to 40% on the buyer side. If we can maintain these for next couple of quarters and then start to grow slowly at 10 to 20% per annum that should be fine. Prateek, you want to add about the cost.

Prateek Chandra: Pranav as I have already spoken about, we continue to invest behind growth and therefore, we have also added manpower in this quarter. So, almost 163 new employees have been added because of which if you see the total manpower cost has moved up other than that the cost have been going up largely in line with the customer additions where we require more employees for hosting of the new customers volume. Let me just repeat my answer on your question on the cost, what I was explaining about the cost was the last quarter we had a total cost of Rs. 144 crores increased from Rs. 93 crores quarter before, of which almost Rs. 4 Crore is on account of addition of accounting and software vertical. And the other is because of the normal increase in the manpower of those 150 odd people. We continue to make these investments and continue to add employees which will be needed for the growth in the business. On the overall basis, we expect our margins to remain stable at 20% to 30% for the next two or three quarters, similar to every time we continue to be in growth phase.

Pranav: Okay and I also wanted to ask a bit about Busy. So, you know, Busy has shown good margins. So how should we see the growth of business going forward? And have you started seeing any benefit, you know, because of the integration, cross selling etc, you know, which will aid growth.

Brijesh Agrawal: So, Pranav as I mentioned the focus in Q1 for us has been that, given that acquisition causes anxiety amongst people, amongst the partner networks, and we also need to go ahead and strengthen the basic financial systems, our focus essentially has been on doing that well. And as I said, it came out with fairly well, we should be able to, you know, start focusing on building up the sales team in Q2, and then start to build up on the partner network in Q3, and I think these two quarters Q2 and Q3 put together, should give us a very good view on how the business will move going forward. We should be able to come back to you with a lot more clarity once we've sailed through this initial period where it is important to ensure that the acquisition and this whole transition actually happens.

Ravi Gothwal: Thank you Pranav. Next question is from the line of Abhishek Banerjee, you can go ahead now.

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Abhishek Banerjee: I couldn't hear your explanation on the cost side. Are you saying that manpower cost and outsourced sales cost are going to be in the same, I mean, are they going to be continuing the same trajectory going ahead?

Prateek Chandra: So what I said was that the manpower costs and the outsourcing both of them will grow in line with our overall customer base. What we are anticipating is that as we are continuing to invest in this growth for the next two, three quarters, and after that it will start showing some stabilisation.

Abhishek Banerjee: Okay. So, for the next two-three quarters they should remain alleviated and then it will be in line with the revenues.

Dinesh Agarwal: Yeah, if you are comparing them with the previous year, then obviously yes, they will remain alleviated. But if you are comparing them from Q1 level, I think as the revenue growth is now, on a standalone basis at IndiaMART is about 5%-6% QoQ. I would say that similar increase you should assume in the manpower cost and outsourced cost, so that we will maintain about similar 30% EBITDA margin.

Abhishek Banerjee: Got it. So, do you share any numbers on average order values for your paying customers? Because I saw a slide on ARPU, can you share any

metrics of the ROI that a paying subscriber is making on your platform?

Dinesh Agarwal : Yeah, I think many quarters ago I have shared some data around this .

Average order value because IndiaMART is a horizontal platform is very difficult to say average because there is clothing , there are machinery and there are grains and there is raw material. However, whatever little information that we get from our own survey, we get to see anywhere between 500 dollar to 1,000 dollar average order value . Our own payment platform Pay-with-IndiaMART where people use that for smaller orders because for larger orders they typically do not use the payment gateway system , there we see an average value of about 25,000 rupees . However, the larger orders are not processed through the Pay-with-IndiaMART platform. As against this , in certain reports I had read that average order value on Amazon is about 13 -14 dollars versus the average order on Udaan was about 60 to 75 dollars , our average order value is almost 10x of that . In terms of ROI , ROI is calculated based upon number of inquiries per customer and the conversion and the average order value for that industry , all together will define the overall ROI for the customer.

Generally, we have seen that in the last four or five years our number of inquiries have gone multi -fold up as compared to the number of customers , inquiries per customer is already at a quite healthy number and that is why we are also trying to work more on the relevancy side , so that the relevancy led improvement can happen , in different -different industry segment the order value will be different and typically, customers are able to convert anywhere between 5% to 10% of the inquiries that they receive .

Ravi Gothwal : Moving on then the next question of Anmol Garg, please go ahead with your question. Please unmute your line here.

Anmol Garg: Hi, just had couple of questions. Firstly, we added some 226 employees in product and tech this quarter, will it be entirely related to busy Infotech IndiaMART InterMESH Limited

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or we have also increased the intensity of our tech hiring. That 's one , and secondly wanted to have a view on margins that we are giving an estimate of adding 8 ,000 to 9 ,000 paid suppliers every quarter. So just wanted to understand that our sales and employee cost will increase in that manner , however, can we expect any advertisement revenue also coming through into the company to increase our traffic share? And can that impact our margins as well in the next year or going ahead as well? So these are the two questions

from my side.

Dinesh Agarwal : At first talking about the product and technology employees. In the last few years, we haven't hired any product and technology and we have given offers to the campus in different time last year, and people had started to join as a trainee from January and most of the people completed their examination and became permanent in this particular quarter. And that's why you're seeing a step function jump in the employee count , so we have actually beefed up our product and tech team, knowing that the market is going to be tough for product and tech, we need more people we have expanded multi fold into different products as you can see our CRM has become quite mainstream. And we are also trying to do experiments around various more engagement features on the relevance improvement , category -based improvement as well as going trying to experiment more on the payment and product side. On the busy also I think 180 total employees have been added , 181 as of 30th June but the entire piece we are trying to explain here is the count of people that have joined India Mart and that is the not on account of people at Busy.

The second question was around margins. So, as we guided that margin will remain in the range of 30 odd percent. As we are adding these new customers, these new customers are added at the lowest ARPU in the entry level , as these customers move up in the value chain over the years that will improve demand. So as the customer moves up becomes older and then the margins improved. And you can see the top 10% Customers ARPU is around 220k and top 1% customers ARPU is around 790k. However, the overall ARPU is about 47k While the silver monthly ARPU

has been around 2,500 per month which is about 30,000 on annual basis.

Anmol Garg: So, just a follow up on that, just wanted to understand that can we expect IndiaMART to spend more on advertisement as well in coming years?

Dinesh Agarwal: As we have always guided, if at all, we decide to do any advertisement, it will be to the tune of you know Rs. 30-40 crore per annum. However, we feel that last couple of years, there are more buyers than sellers on platform, we are trying to build more supply on the platform, more responsive supply. So I think, in current year or so, we don't plan to spend anything on the brand building advertising for buyer acquisition. Our 100% buyer acquisition remains organic and we believe that it will remain so, for the next year or so. If at all, there are any advertising plan will let you know in advance.

Ravi Gothwal: Next question is from the line of Ratik Gupta Guardian Asset Management. Ratik please go ahead.

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Ratik: Hi, Good evening. So, my first question is on the supplier front. So, although we are seeing a 10,000 increase in the supply front for this quarter, so do we have a number if we have lost any?

Dinesh Agarwal: If you're asking about the churn, we give the churn numbers quite frequently in every call, in the top gold and platinum customers, the churn remains less than 10% per annum, in the silver annual segment, the churn becomes about 20 to 25% per annum, and in the silver monthly segment, churn is about 5% per month.

Ratik: Okay, and my second question is, on the current scenario, what we see is that the focus has been towards the manufacturing sector and the product sector. So, are we looking forward to move towards the service sector as well as India MART service?

Dinesh Agarwal: On a large macro side, dividing that into manufacturing, I think we many, many service providers are our customers also. We go by small category by categories, from business services, construction services, that kind of it and I think we continue to expand into more and more categories to monetize better, and we will continue to do that. But are we going to go

into B2C services? I don't think so. We will continue to remain B2B services.

Ratik: Not specifically to B2B or B2C? Sir, I'm talking about the services the service segments sector as we are focused towards the manufacturing sector like industrial plants machinery or the construction or the machinery parts, are we focusing on the service segments as well? The supposedly IT services or the financial services segment?

Dinesh Agarwal: Yeah, not much on IT services and financial services, but you will see many, many software companies, you will see many call centre companies, you will also see many consultants, you will see many chartered accountants and logistics service providers, transportation that kind of services.

Ravi Gothwal: Next question is from the line of Amit Chandra, HDFC securities. Amit, please go ahead.

Amit Chandra: Yes sir. So, my first question is on the on the customer addition that is mostly on the monthly subscribers. So, what percentage of the monthly subscribers get converted to maybe a long-term engagement with us. So, if you can provide some colours on that, whether how many of them that we add, like remain with us, because you have mentioned that churn is coming down. So, what kind of impact is going to have on our ARPU over a longer period of time. And also, in terms of the addition that if I see the incremental ARPU that is obviously on the lower side, so obviously, are we providing some kind of discounts to get suppliers on our platform or the pricing remains the same.

Dinesh Agarwal: So for the first one, on the long term ARPU growth, typically we try to take anywhere between 5% to 6% CAGR ARPU growth and that has been the past and will remain similar. First of all about 2/3 of customers come in the monthly mode and 1/3 of the customer from the annual mode and

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from the silver customers, many customers upgrade to the gold and platinum over a period of time. Approximately 20% of the customers typically upgrade in a year's time. So, if you look at the cohort wise, some maybe upgrade in second or third month and so on approximately 20% in upsell into yearly and that is how ARPU increases over a period of time. Currently the additions are going to happen on the silver side, so in the near term, ARPU will remain flat or even could be even muted for some time. But over a long period of time, they will increase by way of certain upgrades. Are we giving discounts? I think on the silver side, there are not much discounts, it's a fixed price product. When it comes to the platinum side, we definitely offer customised packages for larger customers.

Amit Chandra: So my next question is on the channel partners. So how the channel partner economics actually work in terms of commission's that were given to channel partners, because what I'm seeing is that as you mentioned that the cost will actually go up in line with the supplier addition. So, why is it that most of the sales that is coming or sales like I mean, in terms of customer additions that is coming, is mostly through the channel partner ecosystem or our in-house sales is also adding to this?

Dinesh Agarwal: Yeah, as I said earlier, that about 50% or more than 50% of the sales currently come from in house sales channel and our endeavour is to keep it at 50%-50% and the cost on the employee front will rise because our cumulative customer base is increasing and we need Client Servicing and renewal and upsell employees and those are 100% in house employees. We have not yet involved channel partners there but we will probably start to think about those, especially in the tier 3 towns. And how the commission works is very, much like standard DSA mechanism, which you see in the banking sector or which you see in the accounting sector. So, the Commission on the sales is to the c

channel partners is on per sale basis, and is arrived at based upon the historical cost.

Ravi Gothwal: We will move on to the next participant. Manish Gupta from Solidarity Advisors. Please go ahead, Manish.

Manish Gupta: Yes, thanks for the opportunity. I'm sorry, I'm coming back to a question other participants have also raised, you know, you made a statement, I hope I've understood that right, that employee cost will stay roughly proportionate to how your revenue increases. That's kind of you know, very counterintuitive, because of two reasons. One is, one would expect that there would be some productivity of the sales force over time. And secondly, you know, you do mention that people come in in the lower tier and then they upgrade to higher revenue per supplier as they move into the silver and the gold and the platinum programmes. So, it's very counterintuitive. Why your employee to revenue ratio just for the standalone business should not decline over time?

Dinesh Agarwal: So if you look at the current slide on screen, on a long term basis, the margins will improve, and they have been improving. It is only in last two years they have not been exceptionally high because we have been

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investing behind growth hence employee expense for the next two quarters it will grow in line with that after that it will stabilize.

Ravi Gothwal: So, we'll move on to the next participant, Amit from HDFC Securities, please go ahead with your question?

Amit Chandra: So on the cost part of questions, if I saw the adjusted EBITDA margins that you're given, that is excluding the ESOP cost, if I'm not wrong, and if I exclude the ESOP cost and if I exclude the acquisition impact, then the margins come to around 33%, right? So what you're seeing here, is that the investments we're planning, and we're targeting 30% margin because the margins of like Busy are on the higher side right. So, typically

it would have a positive impact on the margins. So, how do you see the cost aspect and also the ESOP cost? And what will the ESOP cost for full year, if you can give that and also on a standalone basis, how they will move and when it will be stable at these levels?

Prateek Chandra: Sure, so, one clarification when we said about 30% margin that was for EBITDA and not adjusted EBITDA. So, that was actually including the stock comp expense, regarding the ESOP prediction or as to how do we see this cost. So, this cost is primarily on account of the ESOP we gave in month of January. So, for first year, this cost will stay high and over next three quarters it will stay high. After that, depending upon the amortisation schedule it will come down and will stay at 7 Crore for next three quarters and then will come down.

Dinesh Agarwal : On the Busy side, Busy is very new and very small business as compared to the overall business and we will make investments in product , technology and sales. So, for Busy while you are seeing the current profitability as particular , I think our immediate target in Busy is not about margins, but about expanding the sales and making the product available on mobile and cloud and all those things. So, I would say that, that Rs. 5 Crore would not have a larger impact on the operating margin on the consolidated basis.

Amit Chandra : Now, so again on the on the busy side, sir. So, obviously, the rounded that we are showing it's indicating on Rs. 40 crores for full year , but when we acquired also the revenue was actually higher. So, are we are we seeing a YoY kind of a decline for Busy or there is some accounting changes that impacting that and how we are recognising the revenue for Busy and also in terms of longer term targets , how do you see the revenue growth for Busy and in terms of cross sale, how the opportunity is panning out ?

Brijesh Agraw

al : So, Amit two things . One, the earlier financials issued were based upon IFRS from this quarter onwards we have shifted to Ind -AS and therefore the whole policy of revenue recognition is now as per Ind -AS and not IFRS . So, on a like -to-like comparison basis , if you look at last year, the revenues were based upon the billing, the billing in Q1 is at Rs. 13 crores which means it will be at a run rate of about Rs. 52 crores, higher than the revenues which were there last year. Now, having said this, when we look at the focus that we are having on the Busy business, as I mentioned, the first focus is to make sure that the people and the partners continue to

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stick with the business and do not get alarmed by this change in management that has happened. We would be able to go ahead and start focusing on growth from Q2, Q3 onwards as we start to invest behind growing the team and growing the partner network.

We had had shared in the last quarter, three priorities in this financial year would be , one. to double the rate of growth from the erstwhile 10% to about 20 -25% in this financial year, second , is to increase the overall number of new licences, which are being sold, you know, because that would be forming the foundation for accelerated growth in the years to come. And third would be to go ahead and invest behind building the team and improving the overall awareness of the product , so that we can ensure better penetration in markets all across India. So, these would be the three priorities for us.

Ravi Gothwal : Next question is from the line of Ajay Modi. Ajay , please go ahead.

Ajay: Prateek and Dinesh Ji , quick question. So are we saying that our quarterly employee plus outsourced manpower expense run rate is which is now roughly about Rs. 120 odd crores will go higher further? So that's my first question.

Prateek Chandra: Okay, so coming back to the question on the employee front, as we discussed right now that we will continue to add people. And as the people will get added, this cost will increase. However, as a percentage of revenues, it's likely to stay the same because the revenues will also grow further.

Ajay: Understood, but then Prateek and I think Dinesh Ji can come in here. So

our expenses, which were largely flat, we did not do any large hiring, didn't increase team size back in 2020 and 2021, which we've started doing now, my question here is, shouldn't we be sweating these employees more, shouldn't the growth rate be higher. I mean, for example, you just said that target is to 25% kind of higher IRR four or higher for busy, but for Rs. 40 Crore sales 25% is growth is about Rs. 10 crores which is way too small for a company of our size, right. So, what my understanding that I'm trying to seek here is what is stopping us from higher growth right now we are at 179,000 active users in the IndiaMART platform compared to 7.2 million storefronts, which is roughly about two or two and a half percent of paid to overall subscriber. So what is I mean we if we have money if we are spending if we are hiring, what is stopping us from saying that look, I will drop my ARPU slower and I will increase my subscriptions far, far, far higher. I mean, we are the market leader. So why are we not cleaning out this market completely?

Dinesh Agarwal : Let's look at the leading indicators of the growth. So there are two leading indicators of the growth, one, is the number of customers and the second is the collections. If you look at FY 21, we neither added customers nor added any collection. So, if you look at the collection of FY 21 versus FY20, it was a flat collection. And if you look at the number of paying subscriber it was a flat year, in the FY 22 also, the first half was marred by COVID, it was only whatever growth has happened in the second half IndiaMART Int

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of the year. Now, if you look at the current trend, so we are trying to double our customer growth from 20,00 per annum, now, we are saying that we will go to about 35,000 per annum at about 8,000 to 9,000 customers per quarter. So, I think we are investing behind growth. Now, why can't we go even higher, that limits my ability to manage and people's or businesses' adoption of internet, I think we remain committed to a profitable growth business, as we said earlier, so, even before the pandemic, our revenue used to grow at predefined 30% cost seems to grow at 15% to 20%. And that's what resulted into margin expansion. I think for now, given that we have not done any investment in the last two years, currently the margins will remain flat at around 30%. However, as we achieve a higher trajectory, we will again start to focus on margins expansion.

Ajay: Understood, quickly Dinesh Ji. So, you said that why can't we go higher that limits your ability to manage, my question is that look for example, we acquired busy, busy as a revenue of what Rs. 40 crores I mean for doing a 25% growth Rs. 10 crores doesn't even move the needle for IndiaMART as a platform, specifically for Busy, I mean, at what point would we expect a little more aggressive growth here?

Brijesh Agrawal : As I mentioned, we will be able to come back with a much better view on the overall Busy business from next year onwards because we would have seen through this entire time of integration and assimilation of people and partners, and we will build visibility on acquisition and revenue growth going forward. Okay, I've already said this multiple times during the acquisition process, that in first year, my entire focus would be to make sure that we do not go berserk with this division. So, I think the most important factor is that this year let us focus on retaining the revenue, retaining the employee, retaining the partners, retaining the customers, understanding the business inside out, and then next year onwards, let's put the focus on growth.

Ajay: So, then if I were to ask you, what is a three or a five-year view with this business, I mean, what size can should it become not can, but what size should it become?

Dinesh Agarwal : I have given the long term, my own expectation that over a period of time over the next 10 years this can become a Rs. 500 crore business from Rs. 50 crore business.

Ravi Gothwal : Next question is from the line of Vivekanand. Do you have a follow up question?

Vivekanand: Yes, Ravi, I have two follow up. So, one is on the investments, there are several startups where IndiaMART stake is less than 20% like M1 exchange or Bizom . So, do you see an opportunity to increase your stake in these companies anytime soon? Also, in the next 12 to 18 months, how do you envisage the utilisation of cash , will there be any major new investments or material follow on rounds that you expect? Second question is on the shift to weekly salary payout? Is that having any bearing

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on attrition? Is there anything else to call out in terms of attrition? Thank you.

Dinesh Agarwal : So on the weekly salary, it has been received very well. And I believe that the kind of things that we are listening in the market about attrition, we are not that badly affected. But, you know, I don't think this can be the only reason for our attrition , so if we had a monthly salary, the attrition would have been 1% higher. So I think everything adds up to be attrition . On the minority investment side, you're right that we wanted most of the investments to be around 20%. In many cases, we probably found either it too early to go beyond 20% or the availability to expand further . And in Bizom over the time, we have increased the ownership , in Vyapaar, we started with less

but now we are 25 -26%, in Legistify also we started with 10-11%, now we are at 15%. So as and when we continue to assess businesses and as and when there are any new things we will continue to look for opportunities to increase our size. In 9 out of the 14 investments that you see here , are about 25% or more , specifically about M1 exchange , it's an RBI controlled and regulated entity and no single entity can take more than 10% , being a RBI controlled banking exchange, so we are only allowed to take up to 10% We already have 7.7 % and when we will find the opportunity we will increase it to 9.9%

Vivekanand: Okay, thank you just one more follow up. Any updates on Vyapar and how the uptake has been or how you are thinking about it alongside Busy?

Dinesh Agarwal : Both operate in a very different segment. While Busy operates at more of a small and medium businesses , Vyapar operate mostly at a micro and small businesses , for Vyapar less than 50% of our customers are registered , for Busy I think more than 80% or 90% of customers are registered, if not mistaken and not only just registered, but I think with good turnover . So, Vyapar and busy are actually solving very different needs for very different customer segments. Busy probably has more to do with any kind of market whereas Vyapar is very self -sell accounting software or DIY accounting software.

Ravi Gothwal : Moving on to next participant Ajay Modi. Do you have a follow up question?

Ajay: Yeah. Dinesh Ji quick one, we have a very large exposure now to accounting we have Livekeeping , Realbooks Busy and Vyapar . Can you just throw some light on what is your long term thought process with all these and while I understand which pieces of the puzzle do they fit in? What are we looking at from a longer term? What is opportunity size that we're looking at ?

Dinesh Agarwal : Opportunity size, if you look at today's market , about Rs. 2,000 crore is what the customer pays about Rs. 1,000 crores are what the company's revenues are , because most of the companies have been working on box licence model and on the transfer pricing model. So, from the customer side, I'm not talking SAP and others, only the small business accounting for tax , that's about Rs. 2000 crore rupees market and this market has grown rapidly after the GST , this market has actually tripled from being

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Rs. 300 to Rs. 2,000 market and ever since then it has been growing and now with mobile and cloud we believe that this market can become a

billion dollar market over the next 10 years or so, out of that if you look at major market share has been with Tally and Tally has been primarily an accountant led desktop only accounting software, our take is that, that is going to change Vyapar came from a mobile only and DIY accounting and now slowly and slowly started to offer a hybrid cloud onto desktop as well as mobile, Realbooks is a multi-branch, multi-location simultaneous accounting system, Busy though it has a historically box based, pure desktop model. But I think our vision is to convert that over a period of time into a mobile and multilocation cloud-based model. So we believe that this is a good fit. Anyway, it has all the good business models like stickiness, customer stickiness. It has a recurring revenue stream. Earlier it was in the name of AMC or upgrades. Now I think over a period of time as we have seen most of the software is moving into a recurring revenue system. I think we are looking at currently 1 million businesses within India MART ecosystem using our software, Vyapar has been used by almost half a million people. Busy is being used by many, three lakh licences have been sold. Many, many people have two three firms being operated on the same licence. And similarly, Tally as per public resources, there are about 5 million users on Tally. I

think this

market is going to only grow. It's been there for almost two years now and this market is going to grow.

Ajay: But are we already seeing the kind of adoption here, as in from a export point of view? What you what you would have expected in terms of producti on? Are you seeing that already?

Dinesh Agarwal : So in Vyapar, when we first saw Vyapar, somewhere in the middle of 2019, it ha d less than 10,000 customers. Now just three years from then, in July 2022, there already have been 20,000 odd customers. So, they have added one lakh plus customers in three years.

Ravi Gothwal : I'll now read out a couple of questions from the discussion panel. So, first question is, do you charge commission as a percentage of sales from your platinum subscribers to understand the ARPU of these subscribers?

Dinesh Agarwal : No, we don't.

Ravi Gothwal : Okay, now, moving on to the next question, what is the registered supplier versus paid supplier ratio? And what is your current conversion rate from the free supplier to the paid supplier ?

Dinesh Agarwal : About 1,70,000 customer are paid and there are about 70 lakh free customer. So, that makes about 2.5% of the customer base which is paid .

If you look at worldwide classifieds, they typically have anywhere between 2% to 5% penetration, whether you look at any of the se. In our case, being B2B, we look at GST data and out of the GST data about 12 million people there, there should be about more than a million possible customer base over a long period of time.

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Ravi Gothwal : Okay. So, just a follow up sir on this, what would be the strategic focus area or how do you plan to improve this conversion, apart from advertising, but what are the key drivers to improve this conversion rate ?

Dinesh Agarwal : We continue to expand, make it easier for people to do DIY as well as continue to expand our touch points, whether it is online, telephone based or community based. Now, we have expanded through channels also we will continue to do that. I would say one of the most important factors in this free to paid conversion is people's own ability to take out value from an internet-based business, there are within the same category, within the same geography, there are some people in the same geography, same industry are able to take out better value from India MART and some people are not, because of the ways how they have adopted to Internet. And as more and more people are adopting more and more, businesses are adopting, that they will also want to improve over a period of time. We have seen it's been only five to seven years and mobile phone has become quite popular. I think it will continue to improve over a period of time.

Ravi Gothwal : Thank you very much sir. Now I would like to hand over the call to

Dinesh ji for the closing remarks.

Dinesh Agarwal : Thank you very much for joining our Q1 FY 23 conference call. I'm sorry about the internet disturbance that we had, in case you have more queries, please feel free to reach out to our Investor Relations Department and they will be happy to answer your queries one on one. Thank you very much.

Have a great day and have a great weekend.

Ravi Gothwal : Thank you all the participants on behalf of IndiaMART . We now conclude this webinar. You may disconnect your lines now. Thank you.

Notes:

1. This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings
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Call: Oct 2022

October 27, 2022

To,
BSE Limited
(BSE: 542726)

National Stock Exchange of India Limited
(NSE: INDIAMART)

Subject: Transcript of Earnings Conference Call on financial results and developments for the quarter ended September 30, 2022

Dear Sir /Ma'am ,

Pursuant to Regulation 30(6) read with Part A of Schedule III of the Listing Regulations, we wish to inform that the Transcript of Earnings Conference Call for Analysts and Investors held on October 21, 2022, with respect to the financial performance of the Company for Q 2 FY2023, is enclosed herewith. The copy of transcript is also available on the Company's website at <https://investor.indiamart.com/FinancialResultsStatements.aspx>.

Kindly take note of the same.

Yours faithfully,
For IndiaMART InterMESH Limited

(Manoj Bhargava)
Group General Counsel,
Company Secretary & Compliance Officer
Membership No: F5164

Encl: As above.

Webinar Transcript

Event: IndiaMART Q 2 FY2023 Earnings Webinar

Event Date/Time: October 21, 2022 at 16:00 hrs

CORPORATE PARTICIPANTS :

Mr. Dinesh Chandra Agarwal – Managing Director and Chief Executive Officer
Mr. Brijesh Kumar Agrawal – Whole -Time Director
Mr. Prateek Chandra – Chief Financial Officer
Mr. Kushal Maheshwari – Head of Treasury and Investor Relations

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Kushal : Good afternoon ladies and gentlemen. I'm Kushal Maheshwari, Head of Investor Relations and on behalf of India MART Inter MESH , I welcome you all to company's Q2 FY2023 earnings webinar. As a reminder, all participant lines will be in the listen only mode, and then there'll be an opportunity for you to ask questions after the presentation concludes. Joining us

today on the management side, we have Mr. Dinesh Agarwal, Chief Executive Officer, Mr. Brijesh Agarwal, full time director, Mr. Prateek Chandra, Chief Financial Officer. Before we begin, I would like to remind you that some of the statements made in today's conference call, maybe forward looking in nature and may involve risk and uncertainties. Refer to slide number three of earnings presentation for the detailed disclaimer. Now, I would like to hand over the call to Mr. Dinesh Agarwal for his opening remarks. Thank you and over to you, Dinesh.

Dinesh : Good evening, everyone, and welcome to IndiaMART's Q2 FY2023 earnings webinar. We have already circulated our earnings presentation which is available on our website as well as the Stock Exchange website. I'm sure you will have gone through the presentation, and I will be happy to take any questions afterward.

We are pleased to report that IndiaMART has delivered a consolidated collections from customer of Rs 264 crores and revenue from operations at Rs 241 crores this quarter. This growth was primarily driven by increase in the number of paying subscribers and additional Rs 11 Crore revenue coming from the accounting software services. Consolidated deferred revenue during the quarter increase to Rs. 984 crores in Q2 FY23. The growth momentum was primarily driven by strong recovery across industries backed by strong client demand for digital services. Total traffic on the platform and resulting unique business inquiries remained stable at 261 million and 23 million respectively. Our 90 day repeat buyers standing at approximately 53% represents the continued trust on the platform. The financial performance during the quarter was primarily driven by growth in the key operating metrics, which reflects customers confidence in our service offering during the quarter we have added 8,832 paying subscribers, closing the total count at 1,88,092 customers at the end of September 2022. Overall, we ended the first half of FY23 on a positive note and expect to continue to build upon the growth momentum. We will continue to invest behind the business in line with our strategy.

Now I will hand over the call to Brijesh to update you on BUSY accounting information.

Brijesh : Thank you everyone. Let me get started with the updates on BUSY. We've delivered a billing of 11.5 crores and a Revenue from Operations of 10.8 crores this quarter, the EBITDA in Q2 has been at about 3 crores which reflects a margin of about 28%. The net profit for the quarter has been at 2.9 crores. Now, the underlying strength of this business is highlighted from the fact that busy has generated positive cash flows from operations of about 10 crores in the first half of this year alone. During this quarter, we also sold 7,302 new licenses with the overall licenses sold till date being 3.18 lakh. Now, as you're aware, BUSY has been our first acquisition and it also is a very significant one for us. And therefore, we have been very cautious in managing this entire acquisition process. You will be glad to know that we have been successful in managing the transition, post-acquisition the team is very stable, the business has started to achieve growth. We are now focused on increasing our team so that we can onboard more number of standard partners and also improve our penetration across all the underpenetrated markets in India. When we started off the year, we had shared three goals for this year for busy one

was to go ahead and double the rate of growth of the business.

Second was to go ahead and invest behind building up a team and awareness of the product.

And the third was to increase the overall number of new licenses being sold. The overall

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performance is in line with our expectations. And we are confident of meeting our goals that we've set out for this year, especially doubling the rate of growth of the business. Now, with this, I'll hand over the call to Prateek so that he can discuss about the financial performance of IndiaMART. Thank you.

Prateek : Thank you Brijesh and good afternoon, everyone. I will take you through the financial performance for the quarter ended September 2022. Consolidated revenue from operations was Rs. 241 crores in the quarter registering a growth of 32% year on year. Deferred revenue during the quarter stands at 984 crores and increase of 30% year on year basis. On a like to like basis standalone collection from customers, revenue from operations and deferred revenue were at Rs. 252 crores, 229 crores and 958 crores representing a year on year growth of 13%, 26% and 27% respectively. As communicated in the previous quarters the company continued to invest behind growth, primarily in building manpower across sales servicing product and technology. During the quarter we have added 253 new employees taking total employee headcount to 4,088. Consolidated EBITDA for the quarter stood at 28%. Other income during the quarter increased to rupees 47 crores, this includes fair value gain of rupees 14 crores in two of our strategic investments, namely Legistify and Bizom that has led to the rise in the other income. Net profit for the quarter was rupees 68 crores with margin of 24% and cash generated from operations during the quarter was rupees 78 crore, while cash and

investments balance during the quarter stood at rupees 1,975 crores. Thank you very much. We look forward to answering the question.

Kushal : Thank you we will now begin the Q&A session if you wish to ask a question to the panellists , kindly raise your hand and allow camera and microphone access. Alternatively, you may type your questions in the chat menu and then we will work on it. Please restrict your questions to two questions max , so that we may be able to address questions from all the participants , we will wait for a couple of seconds while the question queue assembles. Thank you .

The first question is from the line of Pranav Kshatriya from Nuvama Wealth . Now please switch on your camera and unmute yourself to ask the question to the panel.

Pranav : Thanks for the opportunity, I want some clarity on the you know the cost escalation side. So, if I look at, you know, the technology and content costs as a percentage of revenue has seen almost 140 basis point expansion that is almost at 19.4% as a percentage of revenue, this number in FY 20 was also a lot lower than you know, where it is today. So, what is driving this growth? And you know, because I don't think that you know, we are adding too many new listings or anything like that. So, you know, what is the reason for such a sharp increase in you know, the technology and the content cost and how should we go this going forward and any sense on the overall you know, the cost structure. Secondly, I also wanted to understand, the cost for busy because last quarter the EBITDA was around five crores which you know came down to around 3 crore. So, what is driving this decline in the cost? Sorry, increase in the cost.

Prateek : Sure, thank you. So, the first part of the question on product and technology costs. So, essentially as you know that most of the cost is manpower, the increase in the product and technology cost that you're seeing as a part of the functional P&L is also driven by an increase in the headcount. So if you see,

the, the number of people in product and technology that we had in this year, is roughly around 780 people, as opposed to 685 in the last quarter, and the year before, if you see they were more like 475 people. So there is a sharp increase that has happened in the product and technology, largely, because if you see that the number of customers that have also gone up, and we need to add people in order to keep in line with the growth and the different, you know, product offerings that we have.

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Dinesh: Also, I think, from FY20 onwards, we haven't hired anybody. So there was a pent up demand of people and that we also buckled and that is how you will see, but if you look at the overall cost structure in the gross margin, the gross margin from you know, 68% - 72% and has still started to go up much better than the pre COVID it was 72%. We are currently running at 76 - 77%.

Pranav : Okay, but should we expect this cost to increase, or this will stabilize at the current level? How should we see this going forward?

Dinesh : As I've been guiding, you know, there's a lot of volatility in the market in terms of talent, availability, and pricing of the talent, and especially in the technology, you have seen in the multiple companies, even the larger companies attrition is high. So on the tech side, I am a little uncertain on commenting anything has been going wrong in the last couple of years. On the sales side, since we are adding about 8000 -9000 customers per quarter. So I would require at least 150 odd people to service them additionally, and we still have some backfill demand to be filled. So I think next two quarters, you can expect our manpower count to keep going up significantly as in the current quarter, and then maybe we can start to stabilize .

Pranav : Sure. Thank you. I'll come back in the queue for the remaining questions.

Prateek : Second question on Busy.

Brijesh : Pranav on busy EBITA. So the increase in cost that has happened is principally on the count of manpower, we've invested behind customer service very significantly, we've added people across the organization, including sales, non-sales functions, and that is one of the primary drivers of a lower EBITA than what you saw in the first quarter.

Pranav : Sure, thank you.

Kushal : Thanks. Next question is from the lines of Vivek Anand from Ambit capital. Hi, can you please switch on your camera and unmute yourself to ask the question to the panel.

Vivek: Hi, I'm keeping my audio on but camera off due to bandwidth constraints. I hope that's fine. So, my two questions. So, one is the base supplier edition outlook . So, it's pitch tracking your guidance, but any color on how this is likely to shape for the next 12 to 18 months? And what can you do to accelerate this 9000 to maybe 10 -12,000 in fiscal 24. So that's one. Second you know further to Pranav 's question on the tech end content expenses are well tech-end content expenses, you know, the percentage of sales going up, because you have backfilled some people and I noticed that the gross margins have gone up from 72% to 76%. So, any sense on

how we should think about gross margin number in the next couple of quarters, because some of the sales people that you have added in the last few quarters. I think by now they may have matured and started contributing in paid customer relation.

Dinesh : Thank you. First question was on the net customer addition, you know, historically, you know, this is the, I think after five, seven years, five, six years, we have been adding about 20,000 Customers plus minus 2000 -3000. And this year, if you look at till date, we've already added about 19,000. And as I guided, because we started ramping up last year, similar time, and as you know, the first year, churns are higher, next year churns are lower, and then third year, churns are ev

en lower. So, the churn is catching up. And that is why I've been guiding 8000 - 9000 Customer addition, because overall, when you are gathering new customers from newer industries or from going lower down the line, then this particular thing is to be taken care of properly. And that is why for the next four quarters, I would say if we can maintain it to 9000 and stabilize at that particular level and improve the churn back to pre -Covid levels, then only I would like to invest again, in increasing accelerating the growth of new customers. On the IndiaMART InterMESH Limited

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gross margin side, I think because we had this 82% or 80% was a complete aberration due to lock downs of COVID. And we haven't been hiring offices we're also closed so admin cost and everything was saved. Now that we are back to this 76 -77%, I would like to say that our target remains to somehow reach 80% by next year or so. So if we can get to 80% by sometime next year, that should be our target on the gross margin side. Thank you.

Vivek: Okay, Dinesh, just one follow up very clear on the new customer addition guidance, but if you could help us understand the churn of customers, you know, the silver monthly, currently and, you know, you said that you want this to go back to the pre-Covid levels soon. So where do you stand now, what's pre COVID across the key packages, and, and the other one, just a follow up on the gross margin number. So, 80%, you've said by end of next fiscal. Is that how one should look at it?

Dinesh : I know it is impossible for me to predict six quarters, but 80% sometime next year. On the churn side, I think we are at 80 to 90% pre COVID levels. So, we are still 10% to 20% behind pre COVID levels. Because of the so many uncertainties happening every quarter some or the other. I mean, last quarter, there was war and inflation, and this quarter is interest rate increase and all that. But in terms of churn gold and platinum remains at less than 1% per month. Silver annual and multi -year remains at about 2% to 2.2%, 2.5% per month. And silver monthly as I've guided earlier, it remains at 5% to 6% on a net customer basis. And since we have started to add the customer base quickly in the last nine months, I think we can see some volatility in the silver annual and silver monthly customer. But gold and platinum are very good at less than 1%.

Vivek: And lastly, Dinesh ji you don't think that this is because you are gathering customers across new categories or those who are lower in categories where you already have a lot of field supply. It's not because of that right. I'm just curious, because maybe you feel when you add customers in categories where you already don't have paying suppliers. You know, maybe the churn is higher in those categories. I just want to understand churn better.

Dinesh : Actually, it is contrary to that the categories were IndiaMART's works. Where the competition is higher than the ARPU is also higher, Retention is also higher, where the probably we have yet not found the product market fit or the industry fit there the churn is higher, because wherever we have found the product market fit better, the competition keeps going up. And still we have seen that churn keeps going down.

Vivek: Okay, very clear. Thank you.

Kushal : Thank you Vivek. Next in queue, we have Anmol Garg from DAM Capital. Please switch on your camera and unmute yourself to ask the question to the panel.

Anmol : Thanks for the opportunity. Actually I had couple of questions. Firstly, if I am right that we would be adding 8000 to 9000 customers, which is higher number as we used to earlier. So would it be right to say that the most of these customers will be monthly in nature? And secondly, to that, would that mean that we can expect some ARPU increase going in next year? Given that earlier, whenever we used to

add the more monthly customers, then there's a tendency that they upgrade in next few years. So can we expect that the ARPU will increase in next year going forward? That's question number one.

Dinesh : Historically when the customer growth slows down, yes, you're right. As the customer moves up the tier, things improve. But historically, there has been a lot of disruptions and in the market, and that is why we could not scale up on the customer. I don't think we will continue

to have many more disruptions every year like this. So, I expect that if we mean, my wish
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list is that if we can continue to grow the customer base by 20% or so. And ARPU, even if we stabilize or grow by 2%-3%, that's fine. Rather than 5% per annum.

Anmol : And secondly wanted to have your view on the ONDC plan and ONDC process. So I understand that it's still early days. However, if you can highlight that, what has been our thoughts internally? And if we do go on to the ONDC process, so would there be any change in our business model?

Dinesh : I think in case ONDC succeed, and it would be beneficial for everybody, in fact, because it will be an open platform where anybody can plug in. If tomorrow, you know first it has to work then it will have to work for b2c categories, and then maybe later at some point of time. It might be open, and it might be possible to do even b2b there. But that's a probably slightly longer duration for a b2b platform, I would say over the next two three years, let us see what is the success rate of ONDC in the b2c ecommerce market in the digital goods market, and then we will come to the wholesale and all. I'm sure it will present a lot more opportunity on the buyer app side and the seller app side even for Indiamart to aggregate more suppliers or to aggregate more buyers using ONDC platform whenever that happens.

Anmol : So that would mean that immediate plans are not there to go on to the ONDC right now?

Dinesh : No, I think currently it is very, very limited and open to mostly B2C hyperlocal delivery and then it will go on to digital goods like tickets and all. And then we will come to the normal discovery search engine.

Anmol : Sure. And just one last question. If I can ask?

Dinesh : Please go ahead.

Anmol : So, the question is for Brijesh. So just wanted to understand that what is our strategy regarding the investments that we have done? While you highlight it for the accounting software. But if you can highlight for the other companies that we have acquired as well, and if we are getting any synergies from these companies in terms of our own paid supplier additions as well as the customer additions for our associate companies as well.

Brijesh : Can we go to the strategy slide for the strategy? So, I will go back and refer to the overall strategy that we had shared in our earlier calls also. So how we are looking at evolving from being a discovery and our conversational commerce platform to an actual commerce platform, our overall strategy has been focused on enabling commerce enabling businesses, if you see most of our investments that we've made in this phase has been around business enablement. In that companies, obviously, in accounting space, we looked at procurement, we've looked at payroll, we've looked at legal compliances. So, the thesis is that how do we get these enabling tools made available to these small businesses? Our view is that when we make these investments, and when we work with these associate companies, you know, we try and understand how, you know, we could go ahead and collaborate on with these associate companies and help them either expand their market or attract a larger number of customers. But all of these things essentially go ahead and take some time. We are very, very early. In terms of these investments that we've made. If you

look at the overall timeline itself, most of these investments have happened in the last one year or so. So, we are investing time with each of these companies. We are trying to assist them with whatever we can at this point in time. However, when we look at deeper integrations with them, we will continue to you know, do this as we build better use cases better understanding. In fact, one of our earliest investments, which is VYAPAR, we have shared earlier. we now help them acquire newer customers using our base. We invested in them in 2019 itself. So, it took us a while. And therefore, even for IndiaMART InterMESH Limited
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these recent investments, I think time will be an important factor before we could you know, share with you what would be the specifics in these resources.

Kushal : Thanks so much. Next question is from the lines of Deep Shah from B & K securities. Please switch on your camera and unmute yourself to ask the question to the panel.

Deep : Thanks for the opportunity. Sir, I wanted to understand a bit about how, the incentives moved up on this quarter, because the feeling was that once recovery commences, it will be relatively easier for us to convince more SMEs to come on the platform. Why is that has happened? It is also coming at a steep cost in terms of incentives payout to the sales personnel shifted help about what is the underground feedback we're getting about the macro recovery. And how do

you see these incentives shaping up as we try to accelerate growth in terms of fixed software additions.

Dinesh: In terms of macros, it remains mixed the last many, many quarters it has remained mixed. When COVID happened there was so much tailwind to go online. On the other hand, there were people who were running out of businesses currently also if you see on one side there's interest rate rising. So, I guess we are probably seeing much, decline on COVID related items like sanitizer, medicine and other things. There's still some demand left from foreign countries little bit here and there. But mostly that has subsided. So I guess, on the macro side, nothing much changes big time, versus the one time upgrade of the COVID adoption has happened. Now coming to the incentive side, I don't think anything material has changed. Mostly the cost structure has remained more or less similar, our cost of customer acquisition also has remained more or less similar. As we have grown more number of customers, I think. So I don't think there is a material change required in the sales incentives. In general salaries have increased by 20-30% in the past year, and they continue to be under pressure. But other than that, I don't think there has been a big change in the sales incentives.

Deep: Secondly, I wanted to ask a bit about the product. So pre COVID, we did a lot of product innovations we introduced city-based distance. And then we had more slots for, Platinum customers. So how should we think about pricing improvement? Will it be product lead? Or do you think there is a case to be made for increasing the tariff itself for different plans, now that we've seen some fair recovery, and we are able to add a lot more suppliers than before?

Dinesh: So, there are two, two ways that we see it. One is the silver, monthly annual base level pricing. As I said, base level pricing more or less, we don't want to increase for now, and will remain more or less similar. We started from 2000 rupees a month, went to 3000 rupees a month came back to 2500. And I think that's the sweet spot anywhere between 2500 and 3,000. On the platinum side, if you see top 1% and top 10%. They've been increasing year on year, quarter on quarter. So, our pools have also been increasing and their contribution have also been increasing. I remember very clearly, we used to have top 10% contributing about 40% of our revenue, which has gone up

to 47 vary. And even the top 1% last time I presented for the first time was 790,000. ARPU, that also has gone up. So, I think, on that side, we are continuing to do more experiment in terms of platinum listing, and different ways of monetizing, and as I said earlier, also, we still have some juice left there. In terms of categories. It's a combination-based pricing. So, I guess we will continue to experiment there. And I don't think there would be a decline in the ARPU on the top slide. To top slide, ARPU will continue to increase on a healthy 5% rate.

Deep: This is very helpful. Thank you and all the best.

Kushal: Thanks Deep. Next in line we have Swapnil from JM financial. Please switch on your camera and unmute yourself to ask the question to the panel. So please unmute yourself.

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Swapnil: Can you hear me?

Dinesh: Yes, we can.

Swapnil: Okay, great. So first of all, congrats on a good set of numbers. So just wanted to understand on the collection side. So if I were to look at the stand alone business collections, so those grew 13% on a Y-o-Y basis. I understand there was some base effect also. But going ahead, as we know, the base will keep on getting steeper and steeper. And from that perspective, and secondly, the customer additions that we are doing are mostly at the lower realizations. So how should we think about the collections growth here on because use that will be important to track your revenue growth? Henceforth?

Dinesh: You're right. Certainly, when we are adding customers at a rapid pace, especially at the bottom of the pyramid, we'll have to be refilled patient on increasing per customer collection, because not within the first three to six months, we can't expect the repeat collection from them. So, I guess it will take six nine months. Currently we are at 13% growth, but this particular season was also monsoon and so much disruption. I believe that, you know, after October because October has the Diwali and Dussehra holidays, I think we should improve. And generally, we have seen in the last five months that things have been better. And if you really see collections from customer on a standalone basis, historically on a larger trend bases have been trending at 20% CAGR. And we believe that we should be able to maintain that. Definitely.

Swapnil: Okay, so broadly speaking, 20% is the number we should be working with, in the near term, at least.

Dinesh: On a yearly basis. Yes

Swapnil: Okay. And the second question was on the cost of acquiring new customers. So I would like to understand like for every new customer paid supplier that you add, what are the typical cost

that you incur. If you could give some sense on that, because despite the customer base growing. I know I understand that you also added some employees over here, but your margins have come down on a QoQ basis? If I were to adjust the one off of busy acquisition last year, in the core business I'm talking about? So how should one think about that.

Dinesh : So we give a number of the functional P&L, if you see in the functional P&L, there is a sales and distribution cost for every quarter, and you have the net customer addition for every quarter. So, if you divide sales and distribution divided by that net customer addition, that will give you a ballpark figure of the overall cost involved. The cost has gone up on two three fronts one because we haven't added any cost any people in the 18 months of the COVID 19 period. So, I think there was a backfill that we had to do. And secondly, at the later part of the 2021, there was a huge demand for tech and sales talent. And there has been a rerating of salaries. So, on one side, there was a headcount increase on the other side is that so that is why you're seeing some pressure on the cause. But as I said, if you look at the gross

margin, we were at

70-72%, pre COVID. We are already at 75 -77% and I think we will continue to strive for 80% number sometime next year.

Swapnil: Okay and just on the margin, so keeping on that mark. So, typically Q 4 is the weakest in terms of margins for us, we are already hovering around 28% and in H1. So would it be fair to say that your 2H margins would be even weaker than your H1 margins and at an annualized basis, it might be lower than it will be closer to below record levels of around 28% that time,

Dinesh: So, Q4 is a very big because Q4, you get highest collection highest cash flow from operation and that is why we have now included one slide on slightly larger time duration so that you can see some seasonality. On the collection from customer. The slide number 62. So, on the

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same time, since the collections go up, the incentives and everything goes up with the cost is immediately factored in, in the revenue. So, and that is why you see that typical, dip in the EBITDA margin in the Q4 ideally. So, the way to look at it is collection minus expenses equal to cash flow, that's a better way to look at our business. And our deferred revenue, which gives you more sustainable revenue over the next 20 months or so. So, you may be right, because if we are at 28%-29%, currently, it will definitely have a 3% kind of hit in the Q4.

Swapnil : Okay. Thanks for that clarification, that is very helpful. I will come back on the queue.

Kushal : Thank you. Next in line, we have Amit Chandra from HDFC securities. Amit, please switch on your camera, unmute yourself to ask the question to the panel.

Amit: Can you hear me?

Dinesh : Yes, we can. Yeah.

Amit: So, thanks for the opportunity. So, my question is, on your initial comments that you made, that when for an addition, some foreign quarterly addition of around 8000 to 10,000, you may require an employer additional around 180 to 200 people every quarter. So that comes to around 45 to 50 and are like net additions for sales employees. So, this ratio is going to remain at these levels? Or can we see some like non-hilarity? Because he mentioned that under the cross margins can like move up to 80%. So, is this the factor to watch out where in the sales growth will be higher than the employee cost or the employee growth? So, when can we see that like coming in, and also on the sales hiring that we have been doing over the last four or five quarters? So how do we track the sales? And also, if you can comment on what has been the attrition in the sales people that we have hired? And have you seen some spike there? Or are you seeing some concerns in terms of productivity.

Dinesh : Coming to margin lever first. Historically, also, whenever the customer suddenly goes up, the margins are under pressure. But as the customers would migrate to higher level packages, or next year, our cost of servicing keeps going down. So currently, since we are adding a whole lot of customers at the bottom of the pyramid, we need to add those, the way I divide them is 100 Customer per person. And then, you know, for every four or five people, six people, there's the assistant manager and then for every four five, Six people there is a manager. So that's how it comes to about you know 60 -70. And as these customers start to move up which you have seen in the past also, as these customers start to move up, the margins will definitely improve. But since we are already running at 80% margin, I don't know how much more juice is left there on that side, I think gross margin side No, but yeah, on the net margin side, there may be possibilities, but not in the near future in the next 12 to 18 months.

Amit : On the on the additions that we have been doing on a monthly basis. So as you said that kind of like migration to hire packages is the core of the business. So if

you can give us know if you

can provide some more color that how the migration happened over the last year over the last

four quarters. So how to track that maybe in terms of churn or in terms of ARPU, or because if top one and top 10 ARPU go up, then we can see that there has been a migration but is that the ARPU that has gone up with the last three quarters. Is it because of the migration thing or is it because of some price increases.

Dinesh: It's a mix of both. The good part is that, despite the fact that we moved from 150,000 customers to 190,000 customers in the last one year, we added but the top 10% customer base has also grown, the ARPU have not been an issue. So, it is, this again reinforces our previous thought that those customers who were acquired one year two years, three years before they continue to see more and more value and continue to renew better and upgrade better the same is going

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to happen, but these nine months the newly acquired customer, we will know the typical upgrade pattern in the next six to nine months. Historically our typical upgrade pattern has been approximately 20% of the customers upgrade to higher services every year.

Amit: So, in terms of the total revenue mix has the contribution of the silver monthly customers has gone up

Dinesh: For now, it has because we did not acquire silver monthly, we could not acquire silver monthly for about almost like 18 months, Salesforce was not going that Nach forms could not be signed, things could not happen. So, most of that churn also happened in the silver monthly bucket only. So, now that we are adding about 2/3 customer at Silver monthly and 1/3 customer at Silver annual. So, there is some increase in silver monthly customer, but in terms of revenue contribution, it will still be very miniscule, but they can give you the revenue contribution about 27-28% customers are in the silver monthly bucket, and they contribute about 18% of the revenue. So, from 15 to 20% they remain as a contribution to the revenue while top 10% If you see in the last three years, it has gone up from 40% to now 46-47%.

Amit: So, this top 10 customers would be how much of your overall platinum customers

Dinesh: As I said top 10% Customer. So today there are 180,000 this means top 10% customers is 18,800 customers so these 18,800 customers are very similar to what our Platinum customer count is.

Amit: Thank you and all the best for the future.

Kushal: Next in line we have Vivek Anand from Ambit capital. Vivek, please unmute yourself and switch on your camera to ask the question to the panel. I think Anirudh has left the call. Maybe we can take up with Vivek. Please switch on your camera

Vivek: Hey, thanks a lot for the follow up opportunity just on the point Dinesh Ji that you made on customers upgrading silver monthly customers upgrading? Could you talk to us about the upgrade journey your silver monthly customers? Is it similar across categories in terms of the number of months it takes for them to upgrade? Or is there anything to note here? I'm just trying to understand because you said that last 18 months, you're not rather during COVID in there was an 18-month period when you could not acquire monthly customers. Now you have been doing that for the last nine months. So how long will it take for you to upgrade these customers to go to gold and platinum?

Dinesh: It's a continuous process. Whenever you come to Noida. I'll show you how the cohort moves about 2% of the customers in the year there are 20%. So, we start to pitch upgrade only from the third month onwards. Okay, third or fourth month because we don't want somebody has been sold in and immediately, we start to pitch upgrade. So, we start once they have three months of good thing, and then approximately 2% of the customers upgrade every month

h. The

most of the majority comes between six to 18 months' time, So I guess that's also a function of we were completely work from home. And then now we are trying completely work from office, we are also trying regional centres. So, a little bit of execution issues. But by and large we've seen in many, many years last five, six years, it's by and large 2% per month, it doesn't change too much by industry, because our number of new customers required are also in the same similar manner as in the it might change by way of if there are private limited companies, if there are partnership firms, they tend to be more resilient and more adoptive than proprietorship firm with less than certain turnover. So as the company sizes are slightly bigger, they have a slightly longer term view on the thing. And as I said, those categories where we perform better there, and which are the categories on the top, If you see electrical electronics,

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if you see construction industrial, those are the categories where the upgrades are slightly

easier, because those are capital goods kind of item in the fashion and smaller value items, we are still not as good as this in terms of monthly customer mix three year ago, we used to be a 33% customer, now we are about more like 27% customer. So overall, if you see the platinum, gold and silver annual multiyear has been increasing, we are trying to balance 1/3, 1/3, 1/3. But that's not always possible.

Vivek : Yeah, just one last question on the channel partner model that you are pushing for over the last 12 months. Any update on that? What percentage of your new customer acquisition happens through channel partners and how many are in house?

Dinesh : Yeah, so as I said earlier, pre COVID 80% of sales used to come from our own field Sales Force, and about 20% from various online and telephone channels. Now, with the channel, we are about 50% comes from channel partners and 50% comes from in house teams.

Kushal : Thank you. And next in queue, we have Abhishek Banerjee from ICICI securities. Abhishek, please go ahead.

Abhishek : Yeah, hi. Yeah. So just a couple of questions. Right. So did you just guide for 25 to 26% kind of EBITDA margin for Q4?

Prateek : So, Abhishek, what we suggested was that our current margin is roughly around 28%. The way, you know, we advise everyone to look at the margin more on a yearly basis, because, you know, every quarter would have some kind of seasonality. So if you see about a quarter four, basically, in that quarter, we have our best ever collections. Therefore, best ever cash generated from operations, there are certain costs which are linked to the collections which hits our P&L in that quarter itself. And as you know, since the revenue comes from the deferred revenue, we are unsure as to how much of the revenue will come at that point of time. But there could be a scenario wherein the margin for that particular quarter could go down. But as we said that it would be again a seasonal sequential quarter four dip, and then in the quarter one, it would again, kind of would come back to the similar levels because these costs which are associated with the higher collections will not be there in quarter one?

Abhishek : No, that is fine that I understand. So, are you still sticking to the full year guidance of around 20 to 30% EBITDA margin or are you kind of revising that downwards?

Dinesh : I think given that, we were trying to add 8000 to 9000 customers in the last two quarters, we added 13,000 customers and 10,000 customers. So, we have added 4000 additional customer and you know, every time we acquire customers, we pay upfront cost, and then the customers long term value comes over the next three to five years' time most of our customers become profitable by 12 months or so. So, that is why the more customer you ac

quire the more upfront

cost you incur the the good part of our model is that most of the cost gets factored immediately while the collections and revenues flow over a period. So, you may be right, we might be 1% or 2% Here or there for the entire year, but I will be guide it will be totally 28% plus minus.

Abhishek : Okay. So, if so, basically then the question that comes in is that what is happening to your you know, efficiencies of scale from at least employee costs, right. And that is obviously a very important question in a business model, which is as manpower intensive as yours. So, when do we actually kind of see the as your existing employees' tenure, when do we see that impact come in.

Dinesh : So, let's go back to the margin levers slide again, I can only guide based upon whatever has been historically done. And these two-year FY21 end of FY22 Were an aberration, but we are back to 72% gross margin, which was there for entire FY22 and 72% of the cost is there, sorry.

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So, I think as we stabilize a little bit it will start to improve but it has been improving whenever you are around 20% growth rate it starts to improve by 3% to 4% every year, but you know, as you keep going up, it will get keep getting tougher.

Abhishek : Okay. So, now, if I move to the point of the acquisitions that you have made, right, so, there is a lot of growth, which is happening in the support back-end support part of the b2b commerce space right. Like we have now seen BUSY become meaningful part of your P&L what is next in line

Dinesh : I think in terms of overall investments that we have made, is about 1 000 Crore out of that 650 Crore has gone into accounting space and within that also 500 crores alone has gone into the 500 Crore alone has gone into the accounting space into acquiring Busy, busy since it was acquired in one go 100% acquisition, it immediately started to add revenue. We will see, as I guided earlier that for the first year, I don't want to disturb that acquisition, I just want to digest that acquisition is the first ever acquisition we have done. Now, most others are minority investments and those minority investment we only get to see the share of profit and loss depending upon whether they're less than 20% holding or more than 20% Holding when we try and see if those businesses will become 50 to 100 crore. And at that point of time, we'll

hopefully if we find some of them good for acquisition where we can increase to more than 51% but that only another two years of time will tell. Okay.

Abhishek : Fair enough. And so what are there on the ground trends that you're seeing in this space? I mean, you are also ready to do an ordering and fulfilment kind of a function. Right? So, are you seeing anything there that is worth reporting.

Brijesh : Overall, Abhishek when you look at accounting or order management, fundamentally with the introduction of GST and its implementation. There is a lot of positive movement that is expected in this space and business will continue to use software to manage their compliances and slowly start valuing improving customer experiences using this software. So, we remain positive, do we look at anything in the immediate term which is significantly different. No, there is a continuous improvement in the adoption of SAAS software, business software, accounting software by the small business and we see that trend continuing for long period of time.

Abhishek : Thank you.

Kushal : Thank you all of you for joining this call. I would like to invite Dinesh for his closing remarks.

Dinesh : Thank you ladies and gentlemen for joining our Q2 conference call. We have tried to address your queries in the time available. Please feel free to connect with our Investor Relations team in case of any queries. Thank you very much.

h, we wish everyone a very happy Diwali and festive season ahead.

Notes:

1. This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings
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Call: Jan 2023

January 23, 2023

To,
BSE Limited
(BSE: 542726)

National Stock Exchange of India Limited
(NSE: INDIAMART)

Subject: Transcript of Earnings Conference Call on financial results and developments for the quarter ended December 31, 2022

Dear Sir /Ma'am ,

Pursuant to Regulation 30(6) read with Part A of Schedule III of the Listing Regulations, we wish to inform that the Transcript of Earnings Conference Call for Analysts and Investors held on January 20, 2023, with respect to the financial performance of the Company for Q 3 FY2023, is enclosed herewith. The copy of transcript is also available on the Company's website at <https://investor.indiamart.com/FinancialResultsStatements.aspx>.

Kindly take note of the same.

Yours faithfully,
For IndiaMART InterMESH Limited

(Manoj Bhargava)
Group General Counsel,
Company Secretary & Compliance Officer
Membership No: F5164

Encl: As above.

Webinar Transcript

Event: IndiaMART Q 3 FY2023 Earnings Webinar

Event Date/Time: January 20, 2023 at 16:00 hrs

CORPORATE PARTICIPANTS :

Mr. Dinesh Chandra Agarwal – Chief Executive Officer
Mr. Brijesh Kumar Agrawal – Whole -Time Director
Mr. Prateek Chandra – Chief Financial Officer
Mr. Kushal Maheshwari – Head of Treasury and Investor Relations

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Kushal Maheshwari: Good afternoon, ladies and gentlemen. I'm Kushal Maheshwari, Head of Investor Relations and on behalf of IndiaMART InterMESH Limited, I welcome you all to the company's Q3 FY 2023 earnings webinar. As a

reminder, all participants' lines will be in the listen-only mode. And then there will be an opportunity for you to ask questions after the presentation concludes. Joining us today from the management side, we have Mr. Dinesh Agarwal, Chief Executive Officer; Mr. Brijesh Agrawal, Whole Time Director; Mr. Prateek Chandra, Chief Financial Officer. Before we begin, I would like to remind you that some of the statements made in today's conference call may be forward-looking in nature and may involve risks and uncertainties. Kindly refer slide number 3 of the earnings presentation for the detailed disclaimer. Now, I would like to hand over the call to Mr. Dinesh Agarwal for his opening remarks. Thank you, and over to you, Dinesh.

Dinesh Chandra Agarwal: Thank you, Kushal. Good evening everyone, and welcome to IndiaMART's Q3 FY 2023 earnings webinar. First of all, a very, very Happy New Year to all of you. We have already circulated our earnings presentation, which is available on our website as well as the stock exchange's website. I'm sure you would have gone through the same. And I would be happy to take any questions afterwards. I'm pleased to report that IndiaMART has delivered a consolidated collections from customers of Rs. 283 crores, a 28% year-on-year growth and deferred revenue of Rs. 1,015 crores, representing a year-on-year growth of 29%. The growth was primarily driven by 24% increase in the number of paying subscription suppliers and addition of the Accounting Software Services segment that we acquired in the first quarter of this financial year. Continued growth momentum in the paying subscriber is largely driven by recovery across the industries and demand for the digital transformation due to accelerated internet adoption that we have seen over the last two, three years. Total traffic on the platform and the resulting unique business enquiries remained stable at Rs. 250 million and Rs. 22 million, respectively. Our 90-day repeat buy were standing at approximately 53%, represents the continued trust on the platform. On the people front, as we continue to build organization, we have added approximately 300-plus employees across sales, service, product and technology in this particular quarter. As the team build up is more or less commensurate with our scale up operation, we expect further increase in the employee base to be more or less in line with the growth in the number of customers. Overall, we ended the quarter on an optimistic note and expect to continue to build upon the growth momentum. The growth reflects customers' confidence in our value proposition. We will continue to invest in further strengthening the value proposition in line with our strategy. Now, I will hand over the call to Brijesh to update about the accounting business, especially Busy Infotech. Thank you, and over to you, Brijesh.

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Brijesh Kumar Agrawal: Good afternoon, everyone. In this quarter, Busy has delivered a billing of Rs. 12.4 crores, revenue from operations of Rs. 10.4 crores this quarter and deferred revenue and advances of Rs. 24.1 crores. The EBITDA for this period stood at Rs. 1.6 crores with margins of 16%. And the PAT for the quarter was at about Rs. 2 crores. In this particular quarter, we have also generated positive cash flows of Rs. 4.3 crores. I would like to reiterate that all these numbers that we see here are numbers that has come post shifting towards IND AS in this financial year post our acquisition. Until last year, this reporting was done on basis of GAAP. However, from

next quarter onwards, we will be able to give you comparable numbers as we will complete one full year of operations. During this quarter, we also sold 5,000 new licenses, and that takes the overall licenses sold to 323 K till date. We are nearing completion of hiring of our sales team across India. As I've shared with you last quarter that was a priority for us post stabilizing the operations. And we have also now started working on growing the partner network, especially to improve our penetration in the underpenetrated geographies across India. The overall performance of the

business is in line with our expectations, and we are confident that our objective of doubling the growth rate of the business should be met in this financial year. With this, I'll hand over the call to Prateek so that he can discuss about the financial performance.

Prateek Chandra: Thank you, Brijesh, and good afternoon, everyone. I will take you through the financial performance for the quarter ending December 2022.

Consolidated revenue from operations was Rs. 251 crores in the quarter, registering a growth of 34% year-on-year. Deferred revenue during the quarter stands at Rs. 1,015 crores, an increase of about 29% YoY basis. As these figures include Accounting Services segment, which we acquired in quarter one of this year, on a like-to-like basis, standalone collection from customers, revenue from operations and deferred revenue were at Rs. 273 crores, Rs. 240 crores and Rs. 991 crores, representing a year-on-year growth of 24%, 28%, and 25%, respectively. As communicated in the previous quarters, the company continued to invest behind growth, primarily in manpower across sales, servicing, product and technology. During the quarter, we have added 325 new employees, taking the total employee headcount to 4,413. Consolidated EBITDA for the quarter stood at 28%. Consolidated other income for the quarter stood at Rs. 102 crores. The increase is primarily on account of one-time realized and unrealized gain of Rs. 67 crores on measurement and sale of investment in other entities, primarily ProcMart, wherein our investee company has raised primary capital from institutional investors at a good valuation. Net profit for the quarter was Rs. 113 crores with a margin of 32%. Cash generated from operations during the quarter was Rs. 115 crores. This includes Rs. 17 crores received as refund of tax paid for the financial year 2019-20. Excluding this refund, normalized cash generated from operations would have been Rs. 98 crores, representing 35% of collections from customers during the quarter. Cash and investment balance during the quarter stood at Rs. 2,108 crores. Thank you very much. We look forward to answering the questions.

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Question-and-Answer Session

Operator: We'll now begin the Q&A session. If you wish to ask a question to the panel, kindly raise your hand and allow camera and microphone access or you may type your question in the chat menu. Please restrict to two questions, so that we'll be able to address question from all the participants. We'll wait for a couple of seconds while the question queue assembles. First question is from the line of Vivekanand from AMBIT Capital. Vivekanand, please go ahead.

Vivekanand: Yes, hi. Thank you so much for the opportunity. I have two questions. So, the first one is on the operating metrics like traffic, enquiries and the likes. So, what we see is that for the last several quarters, this number -- I mean, I agree that it has increased versus pre-COVID levels, but it has stagnated at a certain level for the last several quarters. So, my first question is to understand this better. What's really happening here? Is it an indication that the demand environment is very muted? Or is it so that we are seeing more competition? I'd like to understand this

better. Second question is with respect to the -- related to the first one, which is the collections growth. We have managed to sustain collections growth at a rate higher than our long-term 20% guidance. Just wanted to understand the confidence that you have in growing your collections at the same pace, perhaps next quarter at fiscal '24? Thank you.

Dinesh Chandra Agarwal: Let me first answer the second part of the question. Because you can see the number of customers acquired or added in the last three - four quarters have been significantly higher than our historical net customer additions,

and obviously, that is starting to result in to approximately a 25% kind of a collection growth. As the base effect takes starts to take place, and as the percentage wise number of net customer addition, which is about 8,000 that we have guided, we have been guiding, I think this will trend towards that 20% long-term. So that's the second part of the question. On the traffic and inquiries. So, if we look at the traffic, you are right, there has been a significant increase from pre-COVID. And that significant increase, a lot of that was due to shortages that happened during that COVID time, whether it was medical or whether it was other related stuff. And now I guess, those have slowly and slowly tapered down, while the traffic is still maintained at elevated levels, that is coming from the other parts. You may be right that there may be some here and there economical and inflationary pressure that might have some muted demand. But that's not really visible if you see the traffic even until the last quarter -- September quarter was Rs. 260 million. And it's just this particular quarter in the holiday season, too many holidays in this particular quarter, so we're showing a little bit of a downward trend. But I'm sure that this will continue to be maintained at Rs. 260 million or so. Thank you very much.

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Vivekanand: This is really helpful. Just one small follow-up. Am I right in inferring that the exports market is very sluggish at present given the global prevalent factors. And Dinesh ji, if you could just comment on the impact of that on our business, if any? Thank you.

Dinesh Chandra Agarwal: So, we are typically a domestic B2B marketplace and 95% of our business happens -- 90%, 95% of our business happens for the domestic market. Even the buyer side traffic, if you go and see on some of the external websites, which give you less than 10% of the traffic comes from international places. So, we would not be the right party to comment on the export-related business. In general, last entire decade, we haven't been very bullish on the export. But FY '21, I think there was specifically some spurt on the export. So, it is still to be seen what long-term impacts or medium-term impact would come on the export.

Vivekanand: Thank you. I'll rejoin the queue.

Operator: Thank you, Vivekanand. Next in queue is Abhishek Bhandari from Nomura Capital. Abhishek, please go ahead with your question.

Abhishek Bhandari: Hello sir. Can you hear me?

Dinesh Chandra Agarwal: Yes.

Abhishek Bhandari: Yes sir. Thank you and Happy New Year to everyone. Sir, I just had two questions. One, first is on your other income. There is a very abnormal high number on the other income in the consolidated numbers, almost Rs. 100 crores plus. I could not understand the maths behind that, because the cash balance, what we have is only around Rs. 2,100 crores. So, if you could please help me with that.

Prateek Chandra: Yes, Prateek here. Hi, Abhishek. So, as I discussed, the other income was per Rs. 102 crores in this quarter. It has two components. One is our treasury income, which is a return on the cash and bank balance we maintain. And second is the gains on the strategic investments or any fair value gains that we get on that. So in this particular quarter, there has been an one-time realization and realized gain of Rs. 67 crores coming on account of the sale of investments and measurement in other entities in our investments, primarily ProcMart, wherein they have raised a primary capital from the institutional investors at a very good valuation. So

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roughly around Rs. 50 crores gain out of the Rs. 67 crores is coming on account of that investment. And the remaining Rs. 17 crores is on account the other investments that we have.

Abhishek Bhandari: Okay. Have we sold the entire stake in this company?

Prateek Chandra: No, we still own 19.5% in this company.

Abhishek Bhandari: Okay. Thank you, sir. The second question is on the competitive intensity. So, you know your peer, which focuses more on the B2C classified business has been talking about aggression on the B2B side with their field staff and hiring plans. If you could share, are you seeing any rise or any threat from any competition of yours, particularly on the classified business? I'm not asking about the transaction, B2B?

Dinesh Chandra Agarwal: No, I don't think we are seeing any, we are hearing anything from our customers or our sales team. And it's been almost -- more than a year or so ever since that B2B thing happened. But no murmurs anywhere from the customer or anywhere from the sales team.

Abhishek Bhandari: Thank you sir. And sir, my last question is, we added around 6,200 - 6,300 paying subscribers this quarter. Are you happy with this run rate?

Dinesh Chandra Agarwal: No. As I've been guiding that we will, on a longer-term basis look forward to 8,000 plus customer addition per quarter, which is about 33,000 - 32,000 in a year. And this particular quarter, it was a one-off because there was Dussehra, Diwali in the same month. So, there was so many less number of working days, otherwise, I'm still confident that we'll still do more than 8,000 in March quarter for sure.

Abhishek Bhandari: Thank you sir. And all the best for this year.

Dinesh Chandra Agarwal: Thank you very much.

Operator: Thank you. Next in queue we have Anmol Garg from DAM Capital. Anmol, please go ahead with your question.

Anmol Garg: Hi, am I audible?
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Dinesh Chandra Agarwal: Yes, you are audible. Please go ahead.

Anmol Garg: Yeah. So, a couple of questions. Firstly, on the margins levers. So, we have been building for some time on the margin levers, particularly the operating leverage to play out. So when do you think that the operating leverage will start to play out in the business? So that is one. And secondly, I wanted to ask is the assumptions right that the current supplier additions that we are doing is more on a monthly basis. And in the past, what we have seen is that these monthly suppliers do get upgraded over the quarters. So are you expecting a good amount of ARPU increase as well in the coming quarters as well?

Dinesh Chandra Agarwal: So first part of the question is that margin so as I said, out of these 36 months of COVID, the first 18 months we did not do any investment, whether it is manpower or whether it is -- so because there were too many uncertainties. This is only from around the same quarter last year that we started making aggressive investments back in market. And I think rightly so. So currently, the manpower expenses has gone up on two counts: one, we started to hire more people; and two, the average salaries have shot up

considerably in the last two years. So that is showing up in the unrealistic margins that was there 44 %, 45% during the Corona time. If you look, we are now back to that 28%, 29% margin bracket pre -COVID. And now the -- if you look at the cash flow from operation versus the

collections, the

cash flow from operations, removing some of the one -time t ax refund is about Rs. 90 - Rs. 95 crores on a like -to-like basis, which is started to trend in the cash margin slightly towards upwards of 30%, as I have been guiding on a long -term target of about 33% or so. So, I think we are fine on that side. But it will probably take one or two more quarters before it can start to expand. The second part was monthly to, yeah. So, as we have been telling about one -third customer come on the annual subscription and two -third customers come from the month ly subscription. The monthly subscription customers have much higher churn, annual subscription customers have a lower churn. And from monthly customers we typically upgrade over a period of time to Annual and Gold. So, when they move up to the Annual mode in the Silver annual or Silver multi - year, the ARPU does not increase much. However, when they move up further to the Gold and Platinum, then that's when the ARPU starts to increase. Currently, since the number of customers at the bottom of pyramid is goi ng too much up, so the ARPU increase, you will not see in the overall customer base. Whatever ARPU that you are seeing increased is that you are seeing in the top 1% and top 10% customer base. So in the near-term, as long as we increase the customer bas e by 20%, you will not see the overall ARPU increase. But as we start to change the mix of the customers in a slightly longer period of time, then you can expect a CAGR based ARPU increase of 4% , 5%, 6% that we have seen in the past also.

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Anmol Garg: Sure, thanks, Dinesh. So just one follow -up on that. That the number of customers that we are adding right now, so has the mix changed that more than two -third are being added on a monthly basis as compared to earlier where two -third were added -- being added on a monthly basis?

Dinesh Chandra Agarwal: So pre -COVID versus now, I think, we are same. Because during the COVID most of the churn happened in that monthly customer. And we also did not prefer too many monthly customer coming and going in that time, because we could not have signed the NACH form, et cetera. So during the COVID time, most of the customer either were acquired on the annual mode or churned out of the customer base. So the monthly customer base had fallen s ignificantly by the end of FY '21 and even in the middle of FY '22. So I think we have built up back again. And now I think the mix is back to the same level as the pre -COVID level.

Anmol Garg: Sure, thanks. Thanks for the answers. I will join back in there.

Operator: Thank you, Anmol. Next in queue, we have Nikhil from Nuvama. Please go ahead with your question, Nikhil.

Nikhil Choudhary: Okay, hello. Can you hear me?

Dinesh Chandra Agarwal: Yes, please. Yes, Nikhil, we can hear you.

Nikhil Choudhary: So, I want to understand the statement in terms of disconnect between revenue growth and employee growth. Revenue growth has been in the last couple of quarters really goo d. But if you see in terms of employee reach an d since first quarter of FY '22 when we started hiring aggressively, employee count growth has been much higher . Just comparison like fourth quarter of '22 to fourth quarter of '21, employee count was up 44%. And even the outsourcing costs has been up from 8%, 9% run rate to 14%. So basically, what I want to understand is the employee productivity or revenue per employee is definitely high from

recent historical trends, so are you looking to increase it back to the recent trends we have seen or this is steady state, given we are still hiring?

Prateek Chandra : Okay. So Nikhil, if I could understand your question right, your question is more on the employee growth numbers and outsourcing. In the last two, three quarters, the growth numbers in the employee i

s much more than our revenue growth. And second is growth on the outsource sales cost. IndiaMART InterMESH Limited
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Nikhil Choudhary: Yes. So basically, number in the last six quarters has increased much faster than revenue growth. And also the outsource cost as a percentage of revenue has increased from 8%, 9% to now approximately 13%, 14%.

Dinesh Chandra Agarwal: Yes, so do not compare them with the -- during the COVID era. As I said, if you compare them with during the COVID era it will not be the right thing. Compare that with the pre-COVID era, first quarter of FY '20 or last quarter of FY '20.

Prateek Chandra: Yes. So Nikhil, outsource sales cost is essentially the cost of the customer addition. So, you can look at the number of customers that we have added, that could justify maybe the reason the outsourced sales cost growing in line with that. In the terms of employees, as Dinesh also said in his opening remarks, that in the last four quarters, we were actually doing the catch up of the growth in the employees that we haven't done in the last two years. So going forward, now we are almost done with that. So going forward, we expect our employees to increase in line with the customer growth volume. This year has been an aberration because this year has been a more catch-up on the investments that we haven't done in the previous two years.

Dinesh Chandra Agarwal: If you see this slide, the dark blue graph remains at that 55%, 56% now. So for the last three quarters, it has actually stabilized and the revenue growth has caught up with the employee growth.

Nikhil Choudhary: Understood, one more question on Busy, we are seeing decline in the current quarter as well as margin decline in the last couple of quarters, just wanted to understand is there any seasonality or there is some organic element as well or how should Busy will trend in Quarter 4 from seasonality and organic growth perspective.

Brijesh Kumar Agrawal: So Nikhil as we have shared that we would be investing behind building the sales team all across India, so that we are present in markets where we are underpenetrated opportunities. So the decline in the margins you see is from building the team upfront which will result into growth in revenues over the next 2 - 3 quarters itself. So it is the only principle why you see the decline there overall, as I mentioned, the business that we've seen in the last nine months vis-a-vis the nine months of the previous year, we are in line with our target of doubling the growth rate. So we are fairly happy and comfortable with that.

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Nikhil Choudhary: Understood, thank you so much and good luck.

Operator: Thank you, Nikhil. Next question is from the line of Swapnil from JM Financial.

Swapnil Potdukhe: Hi, can you hear me?

Prateek Chandra: Yes, Swapnil. Go ahead.

Swapnil Potdukhe: Yes, thanks. So I had two or three questions. First, on the traffic and business enquiries trades like. Like as we discussed earlier, the trends have not really changed in the last few quarters. Now is it possible that you would be compelled to spend towards A&P if those trends do not change in the next few quarters? That's my first question. And the second question is like we were expecting some integration benefits with Busy. I assume that those benefits are not getting captured right now. So can you give some indication as to when we would see those benefits coming in? That's number two. And number three is with respect to the cash on the books. What are your plans to use that Rs. 2,100 crore of cash that is sitting on our books. How do you plan to utilize there? Thanks.

Dinesh Chandra Agarwal: From the traffic side, I've already answered that currently, there has been 30%, 40% gain from the pre-COVID levels.

And in terms of the buyer and supplier side, number of enquiry and everything, I think we are still comfortable. If things require over the next -- I mean, not in this financial year for sure, if things require, we have last done the advertising in FY '16. I think it's been seven years. And so we will -- if at all, we have been guiding that, if at all we will do, we will do the brand advertising. But I don't think it will be mostly to do with the traffic or something. It will be more on the brand recall side. On the cash, I think we have been doing two things, mostly either returning money back to the shareholders as per the dividend or buyback or doing investments into M&A. And we will continue to do both the things going forward as well. Our last few years of cash returned to the shareholders has been Rs. 33 crores and Rs. 46 crores except the FY '21 when there was a COVID time. And I think that is about one-third of the profit pool. And this year, Rs. 130 crores. So I think that will continue to happen. And on the rest of it, the last couple of years we have invested into Busy. We have acquired Livekeeping and also invested into Vyapar. About Rs. 660 crores, we have invested in the accounting segment. And in case we find any other opportunity suitable then we'll do that. Otherwise, we'll return the cash.

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Brijesh Kumar Agrawal: And on the question of integration with Busy, as we had guided last quarter also, this year is a year where we wanted to smoothen the whole transition of the management that has happened and get better control on the operations of the business. We are actively discussing internally on ways and means of doing it. But this is something that we would be able to start working upon from next financial year only.

Swapnil Potdukhe: Sure, thanks for taking those questions.

Operator: Thank you, Swapnil. Next in queue, we have Mukul Garg from Motilal Oswal. Please go ahead with your question, Mukul.

Mukul Garg: Yes, look Dinesh, I just wanted to follow-up on the previous question regarding the employee growth. It's still a bit confused on how we should look at it. Can you just help us with the right way we should kind of look at the employee growth? Should we look at the revenue per employee, collection per employee? Or is there another metric we should kind of think about when we kind of view, how the employee growth will happen over the next year or two? And how operating leverage can play out in the business based on the current employee base? Because if I look at the revenue per employee or even collection per employee you are back to early days of FY '21. And while you obviously had a massive operating leverage gain in the subsequent quarters, but now it has all reverted back. So, should it be the case that your employee growth now onwards be in

line with your revenue growth? Or should revenue growth actually lead employee growth generating operating leverage?

Dinesh Chandra Agarwal: Yes. So, there are two ways to look at it. One is look at the employees, sales and service employees as a function of the number of total customers -- total paying customers. Approximately for every 66 customers, including the lease level service and customer care person, and including their management overheads, management spend, that works out to be something like that, 65 - 66 customer, one employee. So from that perspective, we see we were quite low on the number of sales and service employees, because we did not backfill during the COVID even if there were attrition. And now the customer base has suddenly grown. So I think we have done the ramp-up and we started doing this ramp up about four, five quarters ago. And I think we are probably towards the far end of the catch-up being done, maybe another quarter, 100 - 200 people, we are still less. T

That's the one is there. And then on, you can probably expect the number of employees to grow in line with number of customers or collections for some time. And if we do not get a shock of like last year in terms of the rerating of employee salary by about 25%, 30%, then I think we should start to see the operating leverage again, as we have seen in the past from 71% in FY '16 to 52% in FY '20. FY '21 and '22 are IndiaMART InterMESH Limited
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aberration because we really did not invest behind employees or anything. So from 52%, we are a little bit 4% ahead, but I think we should be able to catch up that in the next two, three quarters.

Mukul Garg: Sure. So just to get it right, you are saying on an ongoing basis, between 100 to 140 salesperson would be required assuming 7,000 to 9,000 customer addition per quarter. And as this kind of plays out, assuming again that you don't get another supply side shock in FY '24 and given the trajectory of your deferred revenue, how should we view the operating margin next year?

Dinesh Chandra Agarwal: So I think the way I look at it is the collection from customers and cash flow from operation on a like-to-like basis. On that side, if you see the collection from the cash margin had gone down to about 28% and 30%, this 42% is not like-to-like basis because there is a onetime gain of tax refund of about Rs. 15 crores to Rs. 18 crores -- Rs. 17 crores to be precise. If I reduce that, I think we are now close to 35% cash margin, and that should reflect in the revenue to EBITDA over a period of time.

Mukul Garg: Great, thanks for taking my questions. I'll get back into the queue.

Operator: Thank you, Mukul. Next in queue, we have Manish Gupta from Solidarity Advisors. Hi, Manish. Please go ahead with your question.

Manish Gupta: Okay, I had three questions. The first question is, could you talk a little bit about attrition in the number of paid suppliers? So if the target is to add about 8,000, I guess that is a net supplier addition target. Can you talk a little bit about in the first nine months of this year, what is the gross addition? And how many have attrited? That's the first question.

Dinesh Chandra Agarwal: No, Manish, we do not give out the gross addition and churn numbers specifically, we give out the net addition as well as the general guideline on churn. As we have said that Gold and Platinum, they continue to be churn less than 1% per month. However, on the Silver, annual and multi-year because we have started to acquire customers majorly in the last four, five quarters, their renewals are started to come from last quarter or so. First year churn is higher. Second year churn is lower. Third year churn is even further lower. So, they are on an average if the customer mix remains same, it remains about 2% per month or it goes as high as about

3% per month. On the Silver monthly, again, in the early six months, the churns are higher and later on the churns reduced. So here also as the number of customer has grown up significantly, the churns are little bit higher on the early years, and that is exactly when we were doing 9,000 - IndiaMART InterMESH Limited
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10,000 customer addition I was guiding about 8,000, and I continue to guide about 8,000. So I think that answers all the part of your questions.

Manish Gupta: Yeah. My second question is, could you talk a little bit about how big you think Busy could be in 10 years? How do you see the size of the opportunity? Where is your market share? It's been over a year now since we acquired the company. So for long-term investors, how do they think about how big Busy could be and the rest of your accounting portfolio in about 10 years?

Brijesh Kumar Agrawal: So when we look at the overall accounting space itself, and we look at existing players that are there

and the total volume of sales that they do right now, the overall revenues of all of these companies put together is between Rs. 1,000 crores to Rs. 2,000 crores range, right and that's the current scenario. Our expectation on the accounting piece is that it's the improved focus of government on tax compliance, making GST more friendly for businesses. We see that over a period of time, the overall usage of accounting software by businesses will continue to have a good CAGR growth in double-digits over the next 5 to 10 years' period. And therefore, if we look at that kind of a momentum, one, we feel confident that the accounting space in itself will go ahead and may actually become something which is of billion dollar in revenues or more. Second, when we look at the average revenue per customer in the whole industry today, versus the value that is derived by the customer, the ARPU's are very, very low as compared to the value. We will see an improvement in the ARPU also over the next decade, because as a lot of customers will start to adopt cloud solutions, which will be at a much higher cost vis-à-vis the desktop software products that are available. Secondly, there is an increased adoption of mobile apps by these users allowing for improving the ARPU's. So that is another, let's say key driver of this billion dollar plus opportunity that we will see here in India. So we are confident that both on the side of new customers adopting accounting software's as well as ARPU that is generated from each of these accounting software customers, both will actually grow and making this a billion dollar plus opportunity. It depends on how well we really go ahead and execute our plans and what share of this revenue are we able to get for ourselves.

Manish Gupta: Okay. Thank you.

Operator: Thank you, Manish. Next in queue, we have Sarang Sanil from RW Investment. Hi Sarang, please go ahead with your question.

Sarang Sanil: Hello, am I audible?
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Brijesh Kumar Agrawal: Yes sir. Please go ahead.

Sarang Sanil: Hi, sir. Thank you for the opportunity. I have a couple of questions relating to the engagement metrics and then operation related question. So first of all, what is this algo change you've been talking for couple of quarters, which is affecting the unique business enquiries of IndiaMART? And also, we can see the number of registered buyers are up 15% YoY.

But the active buyers count, which is essentially the material number which we should be looking at, this has been stagnant over a couple of quarters now? Why is this so?

Dinesh Chandra Agarwal: Let me ask the answer the second part of the question, which is the active buyers. So active buyer, if you look at year -on-year basis, pre -COVID it used to be 29 million - 30 million active buyers, which has now gone up to 37 million - 38 million buyers . So it has actually increased by about 30%, in line with traffic. Why are they not coming back again and again? Why our repeat rates remain at 53% - 55%? Is that the healthy rate? Is the 80% repeat rate is the healthy rate , that's the product market rate that we continue to work upon. On the B2B side, we believe that once a quarterly repeat on an average of a large base like this is a good number if it is upwards of 50%. We are not making any changes in the algorithm to decrease unique business enquiries. We are only making changes in the number of business enquiries that are formed from the unique business enquiry to be delivered to multiple suppliers. So that number used to be about 5.1% in FY '17 we found that either our matchmaking was not good enough or the supplier responsiveness was not enough and we needed to introduce almost six, seven supplier per buyer in order for a buyer to receive three odd and relevant replies. We found that now with the behavioral -bas

ed data that we have collected and started collecting post FY '19 because of the mobile adoption of the sellers, has given us enough pointers that we are now able to do much more accurate matchmaking between a supplier and a buyer. And number two, the suppliers' responsiveness have also gone up significantly, especially post -COVID that people have adopted to internet, and they have seen the power of internet during the lockdown. So that gave us the opportunity to reduce certain competition and reduce certain wastage. So that is where I think we believe that we should now be able to do with five odd supplier per buyer, which is what we continue to do. Some changes we do on a monthly basis, that is why you are seeing some fluctuation from 5.2 to 5.3 to 5.5, but our target is to go to 5.0.

Sarang Sanil: Okay, sir. That makes sense. And one operations related question is that, you had mentioned on the media that margins have bottomed out. But in Q4, would we still see a pressure on margins coming from the increased IndiaMART InterMESH Limited
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headcount and also higher collection that happened during the quarter?
Thank you.

Dinesh Chandra Agarwal: Yeah. So when you say margins are bottomed out, you should see quarter as compared to the previous year same quarter, because there is a seasonality in our collection and cost. The first quarter collection is lower. The last quarter collections are higher so or you should look at the cash margin side. So I think the cash margin has probably -- if you look at the cash flow from operation without the tax refund, it would come down to about Rs. 95 crores or so. And that is probably where I can see that the margins have bottomed out.

Sarang Sanil: Okay sir. So we can expect Q4 to have EBITDA margins less than 28%, right, because of higher collection...?

Dinesh Chandra Agarwal: Yes. You should expect 2%, 3% lower. Historically, that has been the trend.

Sarang Sanil: Okay sir. Thank you and all the best.

Operator: Thank you Sarang. Next in queue, we have Kushagra from Old Bridge Capital. Hi Kushagra , please go ahead with your question.

Kushagra : Hi, thanks for the opportunity. A few questions. First, to start with just a follow-up on what the earlier participant asked. So I just want to understand this two line items registered buyer and active buyer. So there was a 5 million jump in the registered buyers, right? And there has been recent absolute increase in the registered buyers for the first nine months as well, but your active buyers have not budged at all. So does this imply that there is an equal amount of leakage in the active buyers or how should we understand the change in these two particular line items?

Dinesh Chandra Agarwal: Yes, that's exactly what it says that there has been leakage in terms of people who came. Because, in general, what happens when every now and then a lot of non-B2B buyers or occasional buyers also end up coming to IndiaMART and put posting certain query, which is who do not become a regular, permanent kind of a buyer. On a B2B buyer side, I think there is a lesser churn, but on an occasional one-time, somebody building a house or somebody looking for a service or a product one-time, there is a churn. So this actually points to the buyer side churn.

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Kushagra : Okay. So if that's the case, I mean, on a 9-month basis, you have almost added 15 million registered buyers, right? And I mean, if I consider that as a churn that almost means 40%, 45% of the active buys have churned, right? And you sort of say that 53% of your buyers are repeat buyers.

Dinesh Chandra Agarwal: Yeah. So about 55% is repeat, then 45% is churn, right?

Kushagra : The churn, okay. Got it. Second question is on that line item of outsourced cost. So just trying to understand

and if correct me if I'm wrong, is this sort of correct to assume that this Rs. 32 crores of quarterly run rate, which you have as outsourced cost, largely represents the sales handling part through which you sort of expect to add 8,000 to 9,000 paid suppliers. Is that right? And if that's the case, how much capacity is sitting in that Rs. 32 crore line item. Or Rs. 8,000 crores to Rs. 9,000 crores just like working on the full potential?

Dinesh Chandra Agarwal: Outsource sales cost, yes, you are right that outsource sales cost, primarily is new sales acquisition cost, whether it is tele-sales or whether it is this. Now the second question is, is the productivity at a full force level? You can say that we have made 100 plus channel partners in the last 18 months or so. And many of those people are yet to deliver better productivity. However, most of the channel sales side, we only take the first six months handholding, and then they become on the per sale basis. So it is quite variable after six months of the channel handholding. On the pure in-house sales, there, yes, the productivity matter, but there we are not adding too many people. I think we had 1,000 odd people there.

Kushagra : Okay. So basically, if that's the case, does this also imply that that Rs. 32 crores represent quarterly run rate represents Rs. 8,000 - Rs. 9,000 of paid supplier addition. And hence, the customer acquisition cost for you guys comes to around almost Rs. 35,000, Rs. 37,000 right, which is almost like 80%, 85% of your ARPUs. So considering the churn, effectively not much money is made for probably the first two years. And thereafter, as and when these customers -- you mine those customers, the large part of the OCF is made from those existing paid suppliers and within that effectively the top 10% of the paid suppliers?

Dinesh Chandra Agarwal: Yes, of course. So the top 10% contribute about 46% of the revenue and almost 80% of the profits.

Prateek Chandra: Yes. And also Kushagra just to add, when you look at the quarterly addition of 8,000 to 9,000 customer, this is actually net of churn customer.

So when you look at from an LTV standpoint, essentially after incurring
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that particular cost which you said, we are getting a customer who is paying me perpetually, because you've already factored in churn in the cost there. So that's the only correction to your hypothesis, rest is fine.

Kushagra a: Okay. Got it. Sir, last two questions. One, data question with respect to top 10% customers and top 1% customers. So how much of that revenues from those customers come from buying leads, which is basically they generally buy leads over and above their assigned package, which forms part of their ARPU, which forms part of their revenues. A broad range will be helpful.

Dinesh Chandra Agarwal: Yes, Kushagra that's a good indicator. Whenever somebody starts to buy lead additional to the package that they have taken, that's a good indicator that it's time to upgrade them. So 90%, 95%, 98% of the people typically will have the right package where they will get lead cost at a much more reasonable, because that comes bundled versus buying additional leads.

Kushagra : Sorry, so for the next year, if they sort of go for the renewal, based on the leads they have bought, it's already packaged in their offering, is it?

Dinesh Chandra Agarwal: No. I mean, even in the middle of the year, suppose somebody has taken within Platinum, a Star Supplier package. Suppose we have three packages, Star Supplier, Leading Supplier and Industrial Leadership package. Now a Star Supplier package comes with between 3 - 5 weekly and 50 to 100. So between Star Supplier, it's a three per week per day and four per day in the leading supplier. So if we see that in the Star Supplier is running at the full capacity of its lead conversions

umption behavior, then we try and approach him to say that there might be more leads and you are better off upgrading to a leading supplier package. So most of the people end up upgrading, because there they get a certainty of lead as well as the visibility as well as the direct inbound traffic. Very few people actually purchase leads in the retail manner.

Kushagra : Okay, okay. Got it. Understood. And last one from my side. So basically, you generally have commented in the past that you evaluate your investments up to one year and then you sort of see what to do with it, either go ahead and invest more or probably take some more time. So on that, just trying to understand any update on the acquisitions, especially those two - three, Fleetx, Industry Buying and Bizom, apart from the accounting ones where you are sort of invested more. So any plans to offer them with your existing plans or any more rounds of funding to happen? And with respect to Industry Buying, any progress or learnings from that investment, because this is almost your second highest
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investment after accounting. So yes, those were the questions from my side.

Dinesh Chandra Agarwal: Yes. So I think Bizom, we continue to remain very positive, because Bizom is a scaled up business. In the FY '22, the revenues were closer to Rs. 50 crores or so. And they are almost operate at a minus 10% EBITDA kind of level. So Bizom we have done, I think, third investment now? Third investment now. On the other scaled up opportunities is the Fleetx where they have last time they had raised, they are still sitting on a good amount of cash. Yes, they are investing also heavily and their revenue is also growing well. Other than that, Vyapar is one, which also has raised

enough capital in the last round and continued to grow well. So these are the three, four slightly scaled up opportunities which are there. On the Industry Buying, MonotaRO until last year, because they acquired -- when they acquired Industry Buying, they -- immediately COVID happened and they could not really come and do much help in the - - now they have started to come, and we have started to visit MonotaRO facility and do some cross learning. So on the MonotaRO side, I think it's an e-commerce business and it remains a cash guzzler. And that is exactly why we wanted a limited exposure to that. And someone who has the global knowledge on this and has scaled up this opportunity in some other locations and profitability. So we believe that it will take some time, and it will probably require some more investments every year or so, but not as heavy as the other e-commerce platforms are the kind we did in the Tolexo times. So I think they are better than that. But in terms of growth, they are also finding it difficult. All other ones are very, very small and are still less than a year kind of investment.

Kushagra : Got it. Thanks a lot and all the best guys.

Operator: Thank you, Kushagra . Next in queue, we have Rahul Jain from Dolat Capital. Rahul, please go ahead with your question.

Rahul Jain: Can you share some of the initiatives that the company has taken to ensure that there is a reduction in churn rates over time and also improvement in upscaling of subscriber from Silver plan to much more lucrative Gold, Platinum plans. And can you share any metrics with existing this trend if you're already doing it?

Dinesh Chandra Agarwal: Yes. So let me answer first the second part of the question. If you see the ARPU over a five -year period . You will see that the ARPU had grown from 33,000 to 45,000 - 46,000 and now trending at a similar level. So ARPU has grown at 5% CAGR. This ARPU is not only at the bottom of the pyramid, this typically comes from the top 10% customer, which is IndiaMART InterMESH Limited
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upgrade from Silver monthly to Silver annual, multi -year to Gold to Platinum. And also we have been disclosing top 10% customers revenue for the last so many quarters, if you see that has grown from 40% of the revenue to almost 46% of the revenue and their ARPU has also grown from 180 K to now 226 K it's a top 10% customer. While the customer base has also grown from 15,000 last year -- last to last year to 20,000 now. So if you compare it with FY '18 or FY '19, we have grown from 10,000 top 10% customer to now 20,000 top 10% customer with 175,000 ARPU to now 225,000 ARPU. So on the churn side, that is the main product market fit that we continue to work upon. And that is the main job that we continue to do. And their one thing is the number of buyers that you can bring and the quality of buy lead or the RFQs that you can generate and the most efficient matchmaking that you can do. So if you see the matchmaking slide, we apply the supplier behavior to do the better searches . So what we do is , I know, I've given this example in the past also. Suppose there are two furniture manufacturers and if you look at their brochure, they will typically have everything from sofa to chair to tables to . But if I look at their RFQ consumption behavior or lead manager behavior, then we will know that they are specifically interested in a particular product, not though they belong to a particular industry called furniture, but the one supplier A is probably more into office chair, where supplier B is probably more into sofa sets. So we know exactly out of the 20 items which are listed, who is the specialist of what. And similarly, we know that if this supplier is based in Delhi, which all places he has affinity to supply. Similarly, the price points that he is looking at and the quantities that he is interested in. So these are the things that we do so that the effort is reduced for the buyer and seller in terms of finding the right

supplier or a right buyer. And that is the main thing that we continue to do on reducing the churn.

Rahul Jain: Right. Sir, just one or two incremental thoughts to this question. Sir, while you attributed that the ARPU is one metric to measure entire item, completely agree that. ARPU is one way to look at it. But I'm sure lot of your Platinum customers are born Platinum because they are a very big brand. And I don't think they would have gone to a Silver to Gold to Platinum journey, but many of them would have been born Platinum on day 1. So it's not completely addressed that aspect, but I understand that there's not many ways to look at it. And so other ways to probably get some local list is either if you could share some cohort analysis over time that how many of your total user in year one to year five has seen a journey in terms of churn versus upgrade over a period of time. And if you keep sharing that on a five-year basis in your Annual Report.

Dinesh Chandra Agarwal: You are 100% right that some of the enterprise customers may be directly born as a Platinum customer, but they are very handful in numbers just 200, 300 in numbers. Whereas, when we are saying top 10% customer, we are talking 20,000 customer, and I'm sure 19,000 of them were born as a Silver and then went to Gold and then went to the Platinum. So 95%
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of the customer go through that same journey of Silver to Gold to Platinum. And we take a lot of pride in our upselling systems that we have created over a period of time. Many of the people have appreciated that this is a very sophisticated system. Maybe some times you are here, we will like to explain it more.

Rahul Jain: I'm sure. I've been a user and I can see that how relevant it is, not today but for so many years. But somehow the behavior of supplier on our platform is not reflecting, because, A, I see the price point is very cheap, which could not be a reason for lot of people to sustain on the platform. And then we also see that how matchmaking, how perfect it is, even as a consumer when we try to search something as a buyer. But I mean, this very high churn rate somehow is not reflecting the true potential, that's what my reading is.

Dinesh Chandra Agarwal: Yes, you are right. The Silver monthly and Silver annual customer continue to be a problem to be solved better. Despite such a low ARPU, there is a very, very high churn. However, once they upgrade to Gold and Platinum, I think their stickiness improves to almost 90%, and their ARPU also goes upwards of Rs. 2 lakh. So you are right, at Rs. 3,000 a month, why there is so much of churn, and we are yet to find a better solution there.

Operator: Thank you, Rahul. With this, we come to the end of Q&A session. Now I hand over the call to management for their closing remarks.

Dinesh Chandra Agarwal: Thank you, ladies and gentlemen, for joining our conference call for quarter three FY '23. We have tried to address your queries in the time available. But if you still have any queries, please feel free to contact our Investor Relations team. Last quarter is the great quarter for most of Indians. So, wish us luck and wish you luck. Thank you very much. Bye.

Operator: Thank you, everyone. On behalf of IndiaMART, we now conclude this webinar. Thank you.

Notes:

1. This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings
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Call: May 2023

May 03, 2023

To,
BSE Limited
(BSE: 542726)

National Stock Exchange of India Limited
(NSE: INDIAMART)

Subject: Transcript of Earnings Conference Call on financial results and developments for the quarter and year ended March 31, 2023

Dear Sir /Ma'am ,

Pursuant to Regulation 30(6) read with Part A of Schedule III of the Listing Regulations, we wish to inform that the Transcript of Earnings Conference Call for Analysts and Investors held on April 28, 2023, with respect to the financial performance of the Company for quarter and year ended March 31, 2023, is enclosed herewith. The copy of transcript is also available on the Company's website at <https://investor.indiamart.com/FinancialResultsStatements.aspx>.

Kindly take note of the same.

Yours faithfully,
For IndiaMART InterMESH Limited

(Manoj Bhargava)
Group General Counsel,
Company Secretary & Compliance Officer
Membership No: F5164

Encl: As above.

Webinar Transcript

Event: IndiaMART Q 4 FY2023 Earnings Webinar

Event Date/Time: April 28, 2023 at 16:00 hrs

CORPORATE PARTICIPANTS :

Mr. Dinesh Chandra Agarwal – Chief Executive Officer
Mr. Brijesh Kumar Agrawal – Whole -Time Director
Mr. Prateek Chandra – Chief Financial Officer
Mr. Kushal Maheshwari – Head of Investor Relations

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Kushal Maheshwari: Good Afternoon, Ladies and gentlemen, I'm Kushal Maheshwari, Head of Investor Relations. And on behalf of IndiaMART InterMESH Limited, I welcome you all to the Company's Q4 and FY 2023 Earnings Webinar.

As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Joining us today from the management side, we have Mr. Dinesh Agarwal, Chief Executive Officer; Mr. Brijesh Agrawal, Whole - Time Director; Mr. Prateek Chandra, Chief Financial Officer. Before we begin, I would like to remind you that some of the statements made in today's conference call may be forward -looking in nature and may involve risks and uncertainties. Kindly refer Slide #3 of the earnings presentation for the detailed disclaimer. Now, I would like to hand over the call to Mr. Dinesh Agarwal for his opening remarks. Thank you, and over to you, Dinesh.

Dinesh Chandra Agarwal: Thank you, Kushal. Good evening, everyone and welcome to IndiaMART's quarter four and FY 2023 earnings webinar. We have already circulated our earning presentation which is available on our website as well as stock exchanges website. I'm sure you would have gone through the same and I would be happy to take any questions afterwards. I'm pleased to report that IndiaMART has delivered a consolidated revenue from operations of Rs. 269 crores in the fourth quarter and Rs. 985 crores in the full -year representing an year -on-year growth of 33% and 31% respectively. Collections from customers for the entire year grew from Rs. 934 crores to Rs. 1,219 crore on the consolidated basis. Deferred revenue as on 31st March 23 stood at Rs. 1,162 crore. This growth was primarily driven by increase in the average revenue per customers and the increase in the number of paying subscriber. In addition to this, the acquisition of the Accounting Software Services segment in the first quarter of the last financial year has further contributed to this growth. Continued growth momentum in the paying subscription suppliers is largely driven by recovery across industries and demand for digital transformation due to accelerated Internet adoption as well as our product market fit. Total traffic on the platform and resulting unique business inquiries remained stable at 252 million and 22 million respectively, 90 day repeat buyers also standing at approximately 53% represents the continued trust on the platform. On the people front, we continue to build the organization. During the last year, we have added almost 900 new employees, taking the total employee headcount to 4,583. Going forward, further increase in employee base over the next year will be in line with the growth in the number of customers at IndiaMART as well as other businesses. Before I would conclude, I would like to say that we are happy to close the financial year with good growth on almost all - important metrics and we are optimistic about the next year and improving macroeconomic environment, increasing Internet adoption by businesses and our strengthening value proposition will support the growth momentum of IndiaMART. Now I will hand over the call to IndiaMART InterMESH Limited
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Brijesh to update about the accounting business, especially Busy Infotech. Thank you and over to you, Brijesh.

Brijesh Kumar Agrawal: Hi, good evening, everyone. Busy has delivered a billing of Rs. 17.7 crores in Q4 and Rs. 54.6 crores in the entire FY '23. This represents a year-on-year growth of 16% and 19% respectively. The revenue from operations was Rs. 11.6 crores in Q4 and Rs. 43.3 crores in the entire FY '23, representing YoY growth of 9% and 22% respectively. The EBITDA for Q4 was at Rs. 0.7 crores at about 6% margin and for the entire year this was Rs. 10.3 crores

with 24% margin. The net profit for the quarter was Rs. 1.4 crores and for the entire year it was Rs. 10.3 crores. Busy also generated positive cash flows from operations of about Rs. 6.2 crores in Q4 and about Rs. 20.6 crores during the entire year. As all of you are already aware, we had adopted Ind -AS post our acquisition of Busy and hence to facilitate comparison of FY '22 and FY '23 data, we have restated FY '22 data also as per Ind - AS in the year, the earlier numbers that you

saw were reported based upon I -GAAP. So, during the quarter we also sold about 8,000 new licenses and therefore our total count of licenses sold is at about 3.31 lakhs at the end of March '23. The overall performance has been in line with our expectations and what we've communicated. We've met our goal of doubling the growth rate of the business in our first year of acquisition and we hope to continue to do better in this year. With this, I will hand over the call to Prateek, so that he can talk about the financial performance here. Thank you everyone and Prateek please.

Prateek Chandra: Thank you, Brijesh and good evening, everyone. I will take you through the financial performance for the quarter and fiscal year ending March 2023. Consolidated revenue from operations was Rs. 269 crores in the fourth quarter and on a full -year basis Rs. 985 crores representing year -on-year growth of 33% and 31% respectively. Deferred revenue for the year stands at Rs. 1,162 crores a n increase of 28% year -on-year basis. As these numbers include Accounting Software segment which we acquired in this particular year on a like -to-like basis, standalone revenue from operations for the quarter were at Rs. 256 crores and for the year at Rs. 939 crores, representing the year -on-year growth of 28% and 25% respectively and deferred revenue were at Rs. 1,134 crores representing a year-on-year growth of 25%. On a full -year basis, consolidated EBITDA was Rs. 268 crores, representing a margin of 27% , while net profit was Rs. 284 crores with a margin of 24% and cash flow from operations was Rs. 476 crores. As of March 31, 2023 cash and treasury balance stood at Rs. 2,335 crores. Board of Directors have recommended a final dividend of Rs. 20 per share for this fiscal year 2023 and further recommended a bonus issue of 1:1 that is one new share for every one existing share subject to the approvals from the shareholders. Thank you very much. We are now ready to take on questions.

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Question -and-Answer Session

Kushal Maheshwari: Thank you, Prateek. We will now begin the Q&A session. If you wish to ask a question to the panellists , kindly raise your hand and allow camera and microphone access. Alternatively, you may type your question in the chat menu and we will revert on it. Please restrict to two questions so that we may be able to address questions from all the participants. We will wait for a couple of seconds while the question queue assembles.
Operator: First question is from the line of Vivekanand f rom Ambit Capital. Please go ahead.

Vivekanand: Hi, thank you so much for the opportunity. My two questions. So, the first one is on the collection. What we have seen is for the standalone business, the collection growth has been accelerating in the last three quarters and it's now 26% year -on-year. So just wanted to understand how to think about collections here. And I understand that fourth quarter has a lot of renewals. So could you please help us understand the way the renewals have moved from your top 1%, top 10% versus the overall customer base? So that's question number one. Second question is on the margins side, we saw that the margins are still getting hit because of investments. So I just wanted to understand how to think about margins as we head into FY '24? Thank you.

Dinesh Chandra Agarwal: Hi, th

ank you, Vivekanand. On the renewal side, as I've been guiding, we are probably about 90% of pre -COVID levels. And the good part is that Platinum renewals and Gold renewals continue to be very good. S o Gold and Platinum renewals are, or the churn is less than 1% per month. However, between the Silver side, the renewals would be split between monthly and the annual. And while on the annual side we are running at

about 30 odd percent, which is about 3% per month, and on the monthly side about 5% per month. So that's the typical journey of SME and we have seen that ever since the COVID has hit at the bottom of the pyramid, while there is higher adoption for Internet, the churn continues to be high. While as the people move up the value chain and learn about Internet and move to the Gold and Platinum subscriptions, the churn continues to actually be reduced. If you see our top 1% customers contribute about 17% of the revenue, which is about 2,000 customers giving us about Rs. 9 Lakh per year and top 10%, which is about 20,000 customers. This has moved to now Rs. 2,36,000. I remember very distinctly this number used to be Rs. 1,80,000 at around COVID time. So we have moved from Rs. 1,80,000 to Rs. 2,36,000 in less than two years or two and a half years or so. Even if you remember the top 10% of the customer used to contribute around 40% of the revenue, which has gone up to the 45% and then 46% and then 47% despite the fact that last year we have had the highest number of customer additions at the bottom, we used to do about 22,000 customers per annum if you see historically and last year, we have added

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about 33,000 customers in the net customer addition. So I think if you look at overall basis, I think we are doing well. In terms of margin, Quarter 4 is always subdued because from the 1st of January, we do the annual reviews. So there's a sudden jump of 15% on the salary bill as well as since there is a higher collection, there's a higher incentive and higher expenses which go upfront. And that is why the margin is subdued. Otherwise, I think we will get back to that 28% margin soon. And then, as I have been guiding, we will try and target to reach 30% by the end of this year.

Vivekanand: Thank you. Just one follow-up on the first answer. So Dinesh, on the renewal side you said they are 90% of pre-COVID levels, is it 90% in Platinum and Gold or overall? I'm just trying to understand, how to look at the renewals.

Dinesh Chandra Agarwal: Platinum and Gold I think it's all recovered well more or less same as pre-COVID level. It is only the Silver customers where if you remember correctly, pre-COVID Silver annual and multi-year renewals, we had gone to the best ever level of about 24%. Now we are still at least 10% higher, 30%, 34%. Similarly, on the monthly side we had gone to best ever of about 5% or 4% monthly. Now that is again trending at 5%. So these are the two differences that you can see at the Silver level. On the Gold and Platinum, we are I think by and large best ever or near best ever.

Vivekanand: Okay, last one on the renewals, top 1% disclosure that you've been doing for the last four quarters. So here we have seen that your top 1% ARPU has gone up from Rs. 790,000 to almost Rs. 880,000. So is this a result of price hikes or higher usage? How to think about this?

Dinesh Chandra Agarwal: We haven't done any major price hikes in the Platinum. What happens people buy more city category combinations and that is what is bringing this change. So people are probably using more city category combinations in the Platinum. And also, as I said, as people get to Gold and Platinum, they get more comfortable on how to spend money and how to. I think that is why you are seeing the top 1% ARPU on a quarter-on-quarter basis is not an indication of any significant movement here or there.

here. You should look at them more on a yearly basis. I would say on a three-year basis how things are trending.

Vivekanand: Great. Thank you. I'll re-join the queue.

Dinesh Chandra Agarwal: Thank you, Vivek Anand. We'll take the next question.

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Operator: Thank you. Next in queue is Anmol Garg from DAM Capital. Please go ahead with your question, Anmol.

Anmol Garg: Yeah, hi. Thanks for the opportunity. So, I had a couple of questions. Firstly, wanted to understand if you can highlight some -- so among our investing companies. It's been almost a year since we acquired them. So if you can help me understand that, how have IndiaMART helped them scale up by providing -- by cross selling them through our sales team or by providing them access to our supplier base? If you can help me understand that how that has happened?

Dinesh Chandra Agarwal: You will see in our related party disclosure; we are working closely now with Vyapar for almost 18 months or maybe two years now. Whereas with every new customer onboarded at IndiaMART, we give them an option of free trial of Vyapar for 6 months (which used to be one year earlier). And that helps Vyapar acquire a good number of customers every month. So that is one we definitely do. On the Busy side, I think we are still in the first year, I didn't want to touch too much in. And wanted Busy to be digested well. And now I think we will do some more possibilities of cross data selling and things like that. And on other businesses, Mobisy is the only bigger business where there is an enough size. Apart from that M1xchange, we have tried doing few things, not yet something good enough to be talked about. And all other businesses are very small. We haven't yet done any cross selling together. But we do a lot of mentoring to them through our Board meetings and through our monthly and quarterly interactions, as well as what kind of MIS do we maintain, what kind of Board meeting practices do we follow. Because these are early-stage startups and they need to be nurtured and mentored properly. One more thing is on the MonotaRo industry buying side, I think we have started to do some experiment, but those are very early, and I think because they have started to advertise on IndiaMART, get some buy leads and RFQs, and then call their customer base and try to sell. We have also tried to do some deeper integration where their products could be visible on IndiaMART, but those are very early today.

Anmol Garg: Right. Thanks Dinesh. Just a follow-up on the same. So do we provide excess of our supplier database to these companies?

Dinesh Chandra Agarwal: Our supplier database anyway is openly there on the website. All of our supplier database, it's an openly there on the website. And if we provide any service to anybody, it has to be completely on the arm's length basis, whether it is any kind of an advertising, whether it is any kind of email marketing or whether any kind of cross selling. So everything has to be on purely and purely arm's length basis.
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Anmol Garg: And secondly from my side is that just wanted to understand if there has been any change in the duration of collections to revenue conversions? As earlier that we have highlighted that we have been moving more towards monthly customers. So from that perspective, has there been any change from collections how the collections are getting converted to revenue?

Dinesh Chandra Agarwal: Yeah, Kushal, can you open that slide where there is the 81% deferred revenue. No change actually if you really see. I mean 64%, 63% but no change.

Anmol Garg: Okay, sure. I'll join back in the queue.

Operator: Thank you. Next in queue is Swapnil from JM Financial. Hi, Swapnil, please go ahead with your question.

Swapnil:

Hi, thanks for the opportunity. So I had two or three questions. First on the traffic side. So for the last three, four quarters we have seen that the numbers have been kind of flattish. I understand that initially there was the impact of COVID, but now even in 4Q the things have not improved significantly. So do you think like, if the traffic trends do not improve, say in the next two, three quarters, there could be a challenge on the supplier side additions also?

Dinesh Chandra Agarwal: Our supplier base was already Rs. 1.5 lakh before COVID. And then traffic jumped to almost a billion from Rs. 750 million. And we are currently on the same run rate Rs. 252 million per quarter. So the traffic has gone up by 33%. And it is only very recently that we have added some 50,000 suppliers. So I don't think -- and it's one follows the other, because traffic is coming, because there are enough suppliers and suppliers are coming because there are enough buyers. So now that we have added these 50 -60,000 suppliers, I'm sure in times to come the traffic should further improve. Also, the relevancy of matchmaking has improved, is consistently improving, and that is reflected in our upsell towards Gold and Platinum, as well as improving renewals in the matchmaking also. So if you see unique buyer to the total inquiries. During the COVID we had almost opened it up, because we didn't have suppliers and we wanted every buyer to be served. But now we have done a lot of intelligence on the classification of buyer and classification of suppliers and products, how to do intelligent matchmaking. If you type words like Hindi, English mix or Hindi written in Roman or those things are also recognized. So I think our effectiveness is improving. So it is not the number of enquiries
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that will drive. So I was expecting the traffic to be actually stabilizing, because if the entire traffic which went up because of the medicine demand and because of the safety products demand could have died down by now, and still the traffic is pretty much maintained so that is because of the supplier base addition. So I'm not worried in the short run. Yes, if the traffic does not increase even after a year or two, then yes, obviously we will need to worry about it.

Swapnil: Right. Thanks for answering that in detail. The second question is on the supplier additions side. Now you have been guiding that we will add around 8,000 to 9,000 suppliers every quarter. My question is like 4Q is typically the best quarter for you guys and this quarter also you have added only 8,300 suppliers. Would you continue to stick to the guidance for the next year as well, or I mean, given that you did allude to the fact that the suppliers at the lower packages, the churn at that range is significantly higher even now. So just wanted to get your sense like, is that 8,000 to 9,000 additions per quarter maintainable in a scenario like this?

Dinesh Chandra Agarwal: Yeah, I think 8,000 definitely should be maintainable and because we are also expanding our footprint in terms of new acquisition, we had significantly reduced our footprint during the entire COVID time, whether it was our own people or whether it was the channel people. So all of that has been done in the past year or so. We continue to open new branches at new locations. So I think I would still try and see that anything upwards of 8,000 should be maintainable at least for this year. For next year, when the supplier base, the base of the supplier becomes 2,40,000 or 2,50,000 then we'll see how to address the overall churn, because the churn happens on the total supplier base. But I think this year we will try

and maintain 8,000 plus for sure.

Swapnil: Perfect. And just one last question on Busy integration. Now you did allude to the fact that the growth in the business has doubled. My qu

estion

is more on the margin side, because last year your margins were skewed, because 1Q being at around 42%, if I'm not wrong. But rest of the year the margins were pretty lower than your company average. So how are we trying to bring in incremental growth and maybe cross sales and all? And secondly, what are our targets for margin improvement in Busy? It's been more than 12 months so I think we should be fairly be able to have some visibility on that side?

Dinesh Chandra Agarwal: Yes, on the margin side I can guide you, because we have no targets on the margin side on the Busy. We have acquired this business by investing Rs. 500 crore and I think our guidance to the Busy management and Brijesh and everybody is that don't lose money, but don't worry about IndiaMART InterMESH Limited
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Rs. 5 crores versus Rs. 3 crores versus Rs. 7 crores. So I don't think we should measure and over the next two, three years, as long as they are cash positive and continue to improve on product and improve on sales, margin side we should not be worried. On the sales side, Brijesh, can you help me?

Brijesh Kumar Agrawal: So if you look at Swapnil one overall we have adopted in the last year, therefore, when you look at margins, et cetera, on a Q-on-Q basis, we're still in that phase where we are trying to grow the business. And the growth in the over all collections will result into growth in the revenues in the times to come. We have made investments behind people specifically. So our team cost, our customer support costs have all gone up. But we've also been able to see, we've been able to double the overall growth in the billings in this year alone. Going forward, we are confident of improving upon this growth rate even this year also. So our principal focus is on looking at those underpenetrated geographies where we are still not present significantly. We will continue to spend behind building our strength in sales and distribution across all of this. I'm sure that with more sales coming in, with higher growth rates being achieved on the billing side of it. We should really go ahead and be able to achieve our overall objectives of building up a valuable business behind which we invested this Rs. 500 crore.

Dinesh Chandra Agarwal: Just to add, Brijesh, please highlight on this how we are going to be the first desktop company to have native mobile version. No other desktop accounting software has a native mobile version.

Brijesh Kumar Agrawal: In fact, as we talk about this, let me just also share with everyone a couple of things, which are beyond these numbers that we are able to see. In the last year itself, we have now become the only desktop-based accounting software company in India which has official mobile app that connects with your desktop accounting software. Now using this mobile app, you would be able to view data which is residing in your desktop online. You would also be able to look at different kinds of reports that are available and the users will also be able to now create quotations, sales orders, invoices and receipts in the mobile app, it will again sync back to the desktop. So this was launched in February '23 itself and we think this is going to become a significant driver of customers actually looking at Busy over the other competing products. Number two in this entire year, if you also see, we have now become the only company worldwide in fact in the accounting space which offers 24/7 customer support. So you can call on our helpline anytime of the day except for those 10 gazetted holidays, there will be somebody to assist you with all your requirements there. So, in fact, we're building upon these individual fundamental pillars

in the business which will help us drive better growth in the business.

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Swapnil: Right. Brijesh

thanks a lot for that. Just one clarification. In the beginning of the call, we mentioned that you expect margins to move towards 28% very quickly and then by the end of the year 30%. For a full -year basis. Would it be fair to assume that you would be somewhere between 28% to 29% EBITDA margins in FY '24?

Prateek Chandra: Yes, it would be difficult to comment on the specific percentages that we would achieve a year later. But our endeavour is, if you see in this particular year, the margin primarily declined because we were in a growth investment phase. In fact, we were catching up on the investments that we haven't made in the previous few years. Going forward, we expect that we would be adding manpower in line with our customer growth. So certainly, given the growth in the revenues, the expenses will also go up in proportion to that. So certainly, from here on, you would start seeing the margin improvements for sure. Whether it happens 1%, 2% it depends upon as to what the revenues are and what the expenses are in that quarter.

Swapnil: Sure. So, thanks a lot guys for taking my questions. Thank you.

Operator: Thank you. Next in queue is Ruchi Mukhija from Elara Securities. Hi, Ruchi, please go ahead with your question.

Ruchi Mukhija: So my question is kind of building on earlier participants question regarding the traffic and the unique enquiries. So here, if you look at the ratio of total enquiries delivered to unique enquiries have changed the direction, it's been increasing for last three quarters. If you look coupled with about 20% plus growth in your paying supplier base, it implies diminishing value of the platform for each paying supplier. Is that the right way to look at and I have, I would say more related question here, pre-pandemic, this ratio of your total enquiries delivered to Unique has reached a top of about 6.4. Is that optimal or is that I would say peak ratio where one need to get worried about the traffic metrics?

Dinesh Chandra Agarwal: Hi Ruchi, I have already answered that the same thing. As the effectiveness is increasing, our target is to bring this unique enquiry to the enquiry delivered to about five or less than five, maybe 4.9. We continue to make small, small changes. And that is why you see currently between 5.5 plus minus 10% or so quarter -on-quarter. But our target is to bring it to less than five because relevancy and competition go hand in hand. As the relevancy increases and supplier responsiveness increases, if you do excessive matchmaking, the competition can play counterproductive to the relevancy. That is why over a long period of time in fact, it should rather trend down to maybe four because the important part is to measure what is the buyer conversion on the platform, if the buyer came and gave IndiaMART InterMESH Limited
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one enquiry and what is his probability of actually buying it from the supplier who was introduced to him through the platform either by he himself called or by way of RFQ and that number has been slowly and slowly going up. Actually, it fell down a little bit during the COVID both the waves, but it has been slowly and slowly going up. We believe that at the buyer level, if we can get to almost 50% conversions where every buyer who comes and inquires on the platform, every other buyer ends up purchasing from the platform, that should rather solve this whole problem. And that would also improve the traffic also because they will

tend to come more often for their other requirements as their fulfilment ratio goes up. As of now, based upon the sample that we do or the feedbacks that we receive, we believe conversion is anywhere between 30% to 40%. And we continue to measure that, it fluctuates because the measurement is only based upon the feedback of the buyers through email. As we get closer to the transaction by way of our Lead Manager

or

by way of our message centre, I think we will have better ability to measure the buyer conversion. So in the near-term, I'm not worried. Yes, but in the long run, buyer and supplier traffic cannot move differently. They have to move in sync with each other. Yeah, they may lag or lead each other, but they have to finally become in sync. In the past also, if you see the buyer traffic has taken a jump, step function jump. One jump you can see between FY '16 and '18. And then there was some kind of stabilization. And then the second jump again, that you can see, every time there is a jump happens, there is a stabilization that happened. I believe that next year onwards we should be able to focus more on buyer traffic.

Ruchi Mukhija: Thank you for that detailed answer. I get what you are trying to say that in a very short period of time it's very difficult to match the growth frequency of buyer and supplier. But over long period they should run hand in hand. Here, what I'm trying to just assess is that at what level now it turns worrisome for IndiaMART how to look -- how you look for that signal or the trigger in your business where it's turning, I would say concerning for you?

Dinesh Chandra Agarwal: If I can, if I don't have even 50 unique buyers for a supplier in a month, then probably I would start to worry. As long as I have anywhere upwards of one buyer and up to two buyers, I'm fine. Currently, we might be having closer to four buyers per unique supplier, per unique buyer. So I think I would still have at least 50% headroom from where we are up to three lakh suppliers, I should not be worrying. But yes, beyond three lakh suppliers, I should be worrying if the traffic does not move up.

Ruchi Mukhija: Understood. Thank you.

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Operator: Thank you. Next in queue is Nikhil Choudhary from Nuvama. Please go ahead with your question, Nikhil.

Nikhil Choudhary: Hello. Hi, I have a couple of questions. First is on higher churn in silver category. So, it's been like quite some time and churn continues to remain high. Earlier there used to be cases where we have a smaller number of employees per supplier in support category. So maybe the experience got impacted during those times but we have filled those gaps and despite that, we are seeing higher churn. Can you give some colour on that or is it due to higher pricing maybe?

Dinesh Chandra Agarwal: I think not necessarily because we are currently running at Silver monthly pricing which we were at in 2018, '19. In fact, possibly we'll see if we can whatever Rs. 500 discount that we gave during the COVID, we should now recover that back. So I don't think the pricing is a problem. The problem is how many suppliers can make use of the platform and how many suppliers don't find it useful. And it's anybody's guess how much of that is a platform problem versus people problem versus process problem and versus SME's own problem. You are right. Why can't it be similar churn or even better churn numbers as pre-COVID, I would also be working towards that. That's the only thing that I can say and the one little change that you can say is because the overall churn of the supplier is dependent on the first-year mix versus second year mix versus third year mix. Currently, in the Silver monthly because during the COVID we lost,

most of the customers that we lost was Silver monthly customers. We were probably down to 30,000, 35,000 or so. Now, in the last year or so, I think a lot more number has been added to the Silver monthly only. So, and the early churn is always high. And the same is true for the annual customers also. So last year we acquired so many customers which are coming up for renewal. So once the mix improves, then also we can probably look at improvement. Another thing could be many of the customers who signed up during '2

1, '22 they were changing their businesses because their current business was changed and they moved to a different business. Some of them are coming up for renewal and they might have changed their business line. So and that is the precise reason, initially we thought that we need to have all the support system back and all the field support system back and that is why we went aggressive on hiring. Because if we are not able to take care of customers, there's no point acquiring more customers. I think the good part is that the upsell to the Gold and ARPU in the Platinum continues to increase, and which gives me confidence in the platform, that the platform continues to work for people who are willing to spend time and energy on the platform. It might also be possible that a lot of people that we have hired in the servicing department are quite new and they are still on the field doing hands on training and some of that might also improve in times to come. Hope that answers.

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Nikhil Choudhary: Sure sir. Very detailed answer. I think I have one follow-up related to what you mentioned about geographic expansion. We also read on the news that you expanded into Tamil Nadu, some cities in Tamil Nadu, Pondicherry and also some other Tier 2 and 3 cities. So how is the initial response? And can we say that a good part of most of your paying subscriber addition is coming from this geography expansion, while more or less your existing geography paying addition is broadly flat? Any colour on that?

Dinesh Chandra Agarwal: Are you talking about IndiaMART or Busy?

Nikhil Choudhary: IndiaMART as well.

Dinesh Chandra Agarwal: So IndiaMART was always there in Tamil Nadu. I mean, so we -- yes, we have expanded to many Tier 2 and Tier 3 cities. Now we are present in places where we could not have ever had a proper full-fledged branch, but we have a presence through a channel partner, but we have increased our presence back into the metro cities also. There is a slide which tells you, I think, the paid customer breakup in the Tier 1, Tier 2 and Tier 3. And that doesn't change much paying subscription suppliers. I think it was 56% in metro cities. Now it is 54%. So not much has changed. Yes, because we have gone to Tier 3 through channel partners. So the market, which was totally untouched for us or totally being served on the telephone is now probably has gone gained 1% or 2% there, but I don't think much has changed there.

Nikhil Choudhary: Sure, sir. Thank you so much.

Operator: Thank you. Next in queue is Amit Chandra from HDFC Securities. Please go ahead with your question, Amit.

Amit Chandra: Hello?

Dinesh Chandra Agarwal: Yes, Amit, we can hear you.

Amit Chandra: Yeah. Yes sir. Thanks for the opportunity. So my simple question is obviously we have seen very strong collections. It has increased quite

well. So what factors attribute to that? So maybe you can expand more upon the channel partners, because is it coming from higher sales from channel partners or you attribute it a lot to the sales efficiency or the IndiaMART InterMESH Limited
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aggressive sales investment that we have done? Or is it the existing suppliers are doing more -- are actually going up the pyramid or subscribing to more longer-term contracts or more monthly suppliers are getting converted to the Platinum category. So if you can throw some light, which part is actually leading to that?

Dinesh Chandra Agarwal: Effectively, all of above. The answer goes is all of above. But let me see which one is the highest contributor probably. So the highest contributor would be expanded customer base, because earlier we used to expand at max 15%, 16% of the customer. This time we have expanded almost 20%, 21% on the customer base. So that obviously increases the collecti

on. And

as the people who came up for renewal, who were acquired, it will see our customer base started to increase about October, November, December of 2021. So from October, November, December 2022, once they come up for renewal, a lot of them are met due to renewal, and at that point of time, they decide to upgrade. So many of them have upgraded. So probably most of the collections comes from 80% of the collections come from these upsells and renewals on the expanded customer base. So most of it would be, so the first year growth, first six months growth or nine months growth happens because we expanded the network, which we did not expand since March 2020. We expanded the network after 18 months. And then I think the later part of the growth on the collection started to come mainly from the renewals and upsells.

Amit Chandra: And on the price hike, what is our strategy here? So is it an annual price hike or what?

Dinesh Chandra Agarwal: We have six, seven different tiers of the packages. Silver monthly is priced at currently Rs. 2,500 plus tax. Silver annual is currently at Rs. 25,000 plus tax. And then TrustSEAL is priced for Rs. 40,000 -45,000 for one year, and then Rs. 60,000 for two year and Rs. 80,000 for three years. Similarly for Gold maximiser price and then multiple tiers in the star and leader. So it's not that we do one price hike across all the products at one go. We generally try and see whenever we feel like there is enough traction in one particular product. So then we make a small changes in price, sometimes in Platinum one segment or sometimes in TrustSEAL, sometimes in maximiser. On the bottom of the pyramid, we do maybe one price hike once in three years. And as I said, this price hike that was done in 2018 was actually reverted back in 2020. So we will see about that. So there is no significant trend on price hike.

Amit Chandra: Okay. And sir my last question is on the Busy. So if you can throw some more light on what is the cross sell opportunity? I know there is a huge cross sell opportunity that you talked about. So what is the success that IndiaMART InterMESH Limited
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we have got in terms of cross sell and how many of our existing suppliers are using Busy?

Dinesh Chandra Agarwal: Essentially, as we said, the first year for Busy was primarily focused on stabilizing the acquisition itself. As you understand that people, the channel, they all have their own questions and queries. We still think that Busy as a business, initially we would want to focus on growing that business on a standalone basis. Second step, we will take some assistance

in terms of getting leads for acquiring additional customers for Busy from IndiaMART. And I think it's only in the first step after that we would start looking at possibilities of cross selling and upselling. As of now, for a year or two, we would still continue to focus on growing Busy first before looking at these cross-sell opportunities for IndiaMART coming in from Busy.

Amit Chandra: Okay. Thank you, sir.

Operator: Thank you. Next in queue is Sarang Sanil from RW Investment Advisors. Please go ahead with your question, Sarang.

Sarang Sanil: Good evening. Am I audible?

Dinesh Chandra Agarwal: Yes, you're audible.

Brijesh Kumar Agrawal: Yes.

Sarang Sanil: Yes. Thank you. I have two questions. So the first one is during our last con call, you had mentioned that we'll be targeting an ARPU growth of 4% to 6% for next year. While early last month on the media you have pushed this number a little higher. So would this be coming from price hike or the adoption of more cities category by the paid suppliers like you all noticed with the Platinum customers?

Dinesh Chandra Agarwal: Both, I think there is no, I mean I can't break it up between the two. Price hike is easier to break up. But some people taking a greater num

ber of city combination or more number of categories versus the mix change also because last year most of the customers were at the bottom of the pyramid. Now they will move up to the TrustSEAL and others or even in the second year. As the customer aging improves, their revenue also improves because of the typically 20% of their customers upsell when it IndiaMART InterMESH Limited
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comes to renewal. So I think it's a blend of two, three things. That brings us about 5%, 6% ARPU growth.

Sarang Sanil: Okay, so you're confident 5% to 7%, right. So my other question is on the registered buyer slide, right. Here my understanding is just a customer sign up puts me on the registered buyer figure, but only once I submit an RFQ I get into the active buyer figure, right? I completely understand how you're optimizing the business enquiry side through algorithmic changes and all. Here there's a different situation where paid suppliers are coming in from one side, but the ones interested in submitting an RFQ on the buyer side is just stagnant for past three years, right? So are we plan to improve this engagement metric in some way or are we just fine?

Dinesh Chandra Agarwal: Yes, those who have submitted any RFQ in the last 12 months pre COVID it used to be at 30mn and now it is at 37, 38mn. So there also is the same growth as the unique business enquiries growth. I think the same question comes back to the increase in number of buyers. As I said, another 50,000 customers if the buyers don't increase, I think I'm not worried. But as we add 1 lakh customer, then buyers must increase. And it should be increasing, because otherwise the customers will not increase.

Sarang Sanil: Right. But my understanding is last three years, the paid suppliers have gone up significantly, but the active buyers...

Dinesh Chandra Agarwal: Probably that one-year paid suppliers have gone up significantly. The paid suppliers were 1,47,000 on March 2020, and they were 1,47,000 on October 2021. And if you really see the paying suppliers have been growing at 15%, 16% CAGR versus the buyers have been growing at 20 %

odd CAGR. So buyers have been growing much higher rate. If you go to the unique enquiries slide. Yeah. So that's been growing at 21% CAGR. So I think we are fine there.

Sarang Sanil: So you're not worried about the active buyers number not increasing?

Dinesh Chandra Agarwal: Not as of now.

Sarang Sanil: Sure. Okay sir. Thank you.

Kushal Maheshwari: Thank you very much. It has been a very engaging session. I would now like Dinesh to give his concluding remarks.

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Dinesh Chandra Agarwal: Thank you ladies and gentlemen for joining our quarter four and FY 2023 conference call. We have tried to address your queries in the time available. If you still have questions, please feel free to contact with our Investor Relations team. Their contact details are available on our website and wish you all a very good next financial year and we'll see you soon in July. Thank you.

Operator: Thank you everyone. On behalf of IndiaMART, we now conclude this webinar. Thank you.

Notes:

1. This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings
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Call: Jul 2023

July 26 , 2023

To,
BSE Limited
(BSE: 542726)

National Stock Exchange of India Limited
(NSE: INDIAMART)

Subject: Transcript of Earnings Conference Call on financial results and developments for the quarter ended June 30 , 2023

Dear Sir /Ma'am ,

Pursuant to Regulation 30(6) read with Part A of Schedule III of the Listing Regulations, we wish to inform that the Transcript of Earnings Conference Call for Analysts and Investors held on July 21 , 2023, with respect to the financial performance of the Company for quarter ended June 30 , 2023 , is enclosed herewith. The copy of transcript is also available on the Company's website at <https://investor.indiamart.com/FinancialResultsStatements.aspx> .

Kindly take note of the same.

Yours faithfully,
For IndiaMART InterMESH Limited

(Manoj Bhargava)
Group General Counsel,
Company Secretary & Compliance Officer
Membership No: F5164

Encl: As above.

Webinar Transcript

Event: IndiaMART Q 1 FY2024 Earnings Webinar

Event Date/Time: July 21, 2023 at 16:00 hrs

CORPORATE PARTICIPANTS :

Mr. Dinesh Chandra Agarwal – Chief Executive Officer
Mr. Brijesh Kumar Agrawal – Whole -Time Director
Mr. Prateek Chandra – Chief Financial Officer
Mr. Kshitij Agrawal – Investor Relations Team

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Kshitij Agrawal : Good evening , ladies and gentlemen . On behalf of IndiaMART InterMESH Limited, I welcome you all to the Company 's Q1 FY 2024 Earnings Webinar. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Joining us today from the management side, we have Mr. Dinesh Agarwal, Chief Executive Officer; Mr. Brijesh Agrawal, Whole - Time Director; Mr. Prateek Chandra, Chief Financial Officer.

Before we begin, I would like to remind you that some of the statements made in today's conference call may be forward -looking in nature and may involve risks and uncertainties. Kindly refer Slide Number 3 of the earnings presentation for the detailed disclaimer.

Now, I would like to hand over the call to Mr. Dinesh Agarwal for his opening remarks. Thank you, and over to you, Dinesh.

Dinesh Chandra Agarwal : Thank you, Kshitij. Good evening, everybody and welcome to India MART's FY 2024 earnings webinar. Sorry for the slight delay in starting. I hope you guys can hear us clearly. We have already circulated our earnings presentation which is available on our website as well as on the stock exchanges website. I'm sure you would have gone through the presentation, and I would be happy to take any questions afterward. I'm pleased to report that IndiaMART have started this financial year on a positive note, with about 26% year-on-year growth in collections to 321 Cr and 25% growth in deferred revenue to 1,202 Cr. Revenue from operations also grew by 26% to 282 Cr. Total traffic and resulting unique business inquiries on the platform remained stable.

On the People front, we added about 238 new people, new employees, across sales servicing, product and technology in this quarter. We will continue to make these investments in strengthening our organization to leverage the growth opportunities. In this quarter, we decided to withdraw discount in our entry -level packages and restored the prices to the pre -covid level. Due to this change in the prices, our net customer addition of 5k was lower than our guidance. It would take us at least one more quarter to normalize the impact of this pricing. We should get back to our guidance of 7k to 8k net customer additions per quarter from Q3 onwards.

As you may have noticed, we have expanded our Board with the addition of Mr. Aakash Chaudhry. Akash is an entrepreneur, co - founder of the Akash Educational Services Limited. He successfully scaled up Akash Institute before selling the business to Byju's. We look forward to working with him closely and benefit from his experience.

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Before I conclude I would like to say that we have reviewed our capital needs in this quarter and approved distribution of surplus funds of Rs. 500 Cr to the shareholders by way of buyback. This buyback remains subject to the approval of shareholders. Overall, we stay confident of growth on all important metrics, as we see improving macro -environment, increased adoption of internet by businesses.

Now I will hand over the call to Brijesh for update on Busy Infotech. Thank you and over to Brijesh.

Brijesh Kumar Agrawal : Hi Good evening, everyone. Busy has delivered a billing of 23 Cr in the Q1. This represents a YoY growth of about 94%. The revenue from operations have grown by about 26% to 13.5 Cr and the deferred revenue has grown by 57% to 36 Cr. The EBITDA for the quarter stood at 3.1 Cr, which is a margin of 23% and the net profit for the quarter was 3.6 Cr. We generated positive cash flows

of 11.1 Cr during this quarter and we've also sold 9,000 new licenses in Q1 itself. Now the total count is up to 340,000 licenses at the end of June 2023. The overall performance

has been in line with our expectations, and we are focused on increasing our growth rate as we had suggested last time and hopefully, we are on track to achieve that.

With this, I will hand over the call to Prateek, so that he can talk about the financial performance.

Prateek Chandra: Good evening, everyone. I will take you through the financial performance for the quarter ending June 2023. Consolidated collection from customers and revenue from operations grew by 26% each to 321 Cr and 282 Cr respectively. Deferred revenue for the quarter stood at 1,202 Cr, an increase of 25% on a year-over-year basis. IndiaMART standalone collection from customers for the quarter were at Rs. 298 Cr and revenue from operations stood at Rs. 268 Cr registering year-on-year growth of 23% and 25% respectively. Our growth in revenue was primarily driven by 16% increase in paying subscription suppliers and 8% improvement in ARPU due to higher monetization. Deferred revenue were at 1,165 Cr representing a YoY growth of 25%.

IndiaMART standalone EBITDA stood at Rs. 76 Cr, representing a growth of 27% YoY, and margin of 28%. Consolidated EBITDA was at Rs. 77 Cr representing a margin of 27%. Our consolidated net profit grew substantially to Rs. 83 Cr as compared to June last year, primarily due to changes in fair value gains on treasury investments. Consolidated cash flow from operations was Rs. 91 Cr
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and cash and treasury balance stood at Rs. 2,394 Cr as at the end of this quarter.

The buyback proposal as approved by the Board is for buyback up to 12.5 lakh shares at price of Rs. 4,000 per share for an amount not exceeding Rs. 500 Cr. This is proposed to be done via tender offer route with pro rata participations from the promoters and the promoter group. As this accounts to roughly around 24% of the share capital and reserves and approximately 2% of total paid up equity shares, the proposal remains subject to the approval from the shareholders.

Thank you very much. We are now ready to take on the questions.

Question-and-Answer Session

Kshitij Agrawal: We will now begin the Q & A session. If you wish to ask a question to the panelists, kindly raise your hand and allow camera and microphone access. Alternatively, you may type your question in the chat menu, and we will revert on it. Please restrict to two questions so that we may be able to address questions from all the participants. We will wait for a couple of seconds while the question queue assembles.

Operator: First question is from the line of Manish Gupta from Solidarity Capital. Hi Manish, please go ahead with your question. Manish, you are on mute.

Manish Gupta: Thank you for the opportunity. I have two questions. The first question is for Prateek that if you look at your revenue to collections ratio, FY22 and in FY23, it is about 80%. Is my understanding

correct that all your selling cost is written off in the same year because there's nothing in prepaid expenses in selling cost. And therefore, if one will follow the matching principle of selling cost apportioned to revenue proportionately, under IFRS your reported margins will expand by 4% or 5%.

Prateek Chandra : Manish to answer your question, the financials what we have reported is as per the IndAs, which is pretty much in line with the IFRS. So, what it talks about is that essentially any cost that you incur needs to be recognized upfront. Since, you know, we pay upfront for the customer acquisition, which is primarily a selling and distribution costs, we recognize the entire cost upfront and depending up on the period of the contract the revenue gets recognized. So, your point is correct that from looking at a pure matching perspective, of course, the costs are taken up front while revenues are taken over a period of contract.

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Dinesh Chandra Agarwal: Not all the costs because there are servicing cost also, and the servicing costs would be commensurate to the revenue recognition.

Manish Gupta : Yeah, my point was only on selling cost, which is about 20% of revenue. So, to the extent that all the selling costs are being recognized upfront, the true profitability is actually higher than reported profitability, right?

Dinesh Chandra Agarwal: That we calculate by way of the collection from customers, so there is a slide on collection from customers and collection margin.

Manish Gupta : My second question was that our top 10% of customers are approximately 50% of revenue, and you have such extensive disclosures, is it possible to add a disclosure on gross additions and net additions of your top 10% customers?

Dinesh Chandra Agarwal: Top 10% customer is not directed inward or outward from there, it is just the total number of customers, which is 208,000 and top 10% becomes 20,800 customers. So, the revenue recognized from those top 10% customer that is 46% in this particular quarter.

Manish Gupta : Yeah, my question is, is it possible to report attrition in that bucket separately?

Dinesh Chandra Agarwal: That I anyway talked about because when you say top 10% customer, and I said this multiple times that in our platinum bucket itself is greater than top 10%. Earlier it used to be almost equal to the top 10%. So, all of those customers are in the platinum subscription. And in the platinum subscription, our churn rates are less than 1% per month.

Manish Gupta : Okay. And my last question is that, will we see busy in a cloud format at some point in time?

Brijesh Kumar Agarwal: To that, there are two things that we are doing with Busy; one is to take the Busy desktop version and make that available on cloud, so essentially, it is a desktop version but it's the machine, which is hosted on cloud, which you can access using a remote desktop facility from anywhere. That is something which we are going to launch in the near future. The pure, let's say, Busy as a SaaS version, I think that is multiple years away because what has been created in the last 25 years at Busy, it will take many more years before we could fit it in a SaaS content.

Manish Gupta : Okay, thank you.

Brijesh Kumar Agarwal: One more addition to this. We've already introduced a mobile app that connects with the Busy desktop, which means the data that is available to users on the Busy desktop is synced on the cloud, IndiaMART InterMESH Limited
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which can be viewed using a mobile app. One can also now create orders, invoices, receipts, through the mobile app, which is synced back into the Busy desktop. So that's another product that we launched just a couple of quarters back.

Manish Gupta : Thank you.

Operator : Thanks, Manish. Next question is from the line of Ms. Ruchi Mukhija from Elara Securities. Hi, Ruchi. Please go ahead with your question.

Prateek Chandra : Sorry, Ruchi, we can't hear you.

Ruchi Mukhija: Hi. Thank you for the opportunity. I have two questions. Firstly, we've seen for IndiaMART platform, the traffic has been static for some quarters, even the unique inquiries have been, I would say, range bound in the recent quarter. You're seeing that to reach the guidance of about 6,000 to 7,000 quarterly paying vendor addition, we will take some more time. So, in that context, the pricing increase in your junior most category that seems that it carries some risk. So here just want to understand what is the reasoning behind taking this pricing increase at this point of time?

Dinesh Chandra Agarwal: So, we were at Rs. 3,000 per month, or Rs. 30,000 per year pricing we introduced in September or November 2018 and we continued doing

that until 2020 and then in 2020, we hit the Covid and a lot of micro and small enterprises were facing challenges on the cash flows. So that's when we gave the discount from Rs. 3,000 to Rs. 2,500. So, if you really see what we have restored back is 2018 September, October, November prices, which is not really increasing any prices at the bottom of pyramid. It is just going back to the old price, which we carried for almost one and a half years.

Ruchi Mukhija: And could you talk about was it effective throughout the quarter or it was taken in between the quarter?

Dinesh Chandra Agarwal: Started in the middle of the quarter.

Ruchi Mukhija: And was there any change in the conversion rate after the pricing increase, or we saw almost a similar run rate, even after the pricing increase?

Dinesh Chandra Agarwal: No, as I said, we had the productivity issues and that we have seen every time there is a change in the price, it takes three months to four months for productivity to get back to the previous levels. And you know we have only completed two months so far. I think in a couple of more weeks, the productivity should get back to the previous.

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Ruchi Mukhija: I understood . No w second aspect I wanted clarity was on the buyback. We've made so welcome announcement , here just wanted to get more clarity. We've been announcing dividends at several, I would say , frequency . We've done buyback even last year. So, you've been rewarding or distributing cash flow to the shareholder. But is there some thought process where we put commitment and quantify how much on regular basis would we return capital to the shareholder?

Prateek Chandra : Ruchi , thanks for your question. So, as a Company , if you see our track record, we've been using both dividend distribution and buyback for distributing the surplus funds. This buyback was primarily decided, because when we review ed the funds, we had almost 2 ,400 Cr of cash bala nce as of now. And if you see in the last few years, we've been generating anywhere between 500 to 600 Cr of cash every year, including the income from treasury and the cash flow from operations. So looking at the cash flow generation as well as our own gr owth capital needs and the safety cash requirements of the business , we thought that this 500 Cr was the surplus funds which needed to be distributed to the shareholders and accordingly we proposed a buyback of 500 Cr.

Ruchi Mukhija: I understood and tha t's helpful. Thank you and all the best.

Operator : Thanks , Ruchi. Next in queue is Anmol Garg from DAM Capital . Hi, Anmol . Please go ahead with your question.

Anmol Garg: Yeah, hi . I hope I'm audible.

Dinesh Chandra Agarwal: Yes.

Prateek Chandra : Yes, Anmol .

Anmol Garg: Yeah. Hi. Firstly, congratulations on a good buyback announcement. I had a couple of questions . Firstly, if I look at our paid supplier as a conversion factor, then we are at around 2.7% of the total supplier. Now historic ally, this has been in the range of 2.3 to 2.5 odd percent. Now, given that the paid suppl ier growth that we are seeing for a longer term , which is 7,000 to 8,000 kind of paid supplier addition, and given that our total supplier additions has been a little bit softer than that, in terms of the growth rate, so we will surpass 3% kind of number on the conversion factor at some time. So , do you think that this is kind of which is sustainable in terms of the overall conversion factor ? And what are the factors t hat or what are the things that we are doing to add on to the new paid suppliers ?

Dinesh Chandra Agarwal: Worldwide in the classified space, premium classified space , you know anywhere between 2%-3% to 4%-5% paying subscriber base
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is very common and very normal.

If you see from our own angle,
you know total GST supplier base is about 13 -14 million today in the country, and out of that we probably have only got 20 -25% on our portal , rest is non -GST of about total 75 lakh that we have. We do all kinds of things to make suppliers register with our portal. Many buyers, many people who come as a buyer first, they are given a "Sell on Indiamart " button from where they register, which is available on mobile app as well as our desktop, both.

Apart from that , we have a field s ales force of about 1 ,500 people of our own and 150 channel partners in different cities . They also have

field sales force . And these people have a IndiaMART mobile ERP system on their app where they go and collect this information from the various wholesale markets , so that is another source. And third, we regularly visit all the trade fairs and collect any directories that are there and then do email marketing and telemarketing to them. We also run a freelancer program , which basically helps on the supplier registering. Many suppliers also call us on our reply number at 9696969696 , so from there also we get supplier registration. We have been getting about 0.1 million supplier every quarter free of cost, and about 6,000-7,000 supplier per quarter or 8,000 per quarter. So that is fine , I think .

Anmol Garg: Sure. Thanks for the detailed answer. Another thing that I wanted to understand is that this year we have added some 280 odd employees. Now last time, we indicated that for addition of 7000 to 8000 kind of paid supplier, we need to add some 120 to 130 employees to service them. Now the paid supplier addition has been a bit lower this quarter, despite that, the total addition in the employees has been higher. So , if you can indicate do you see that the paid supplier additions, maybe in the second half of the year will be much higher than 7,000 to 8,000?

Dinesh Chandra Agarwal: It is more of a you know, planning and deployment and execution and since the price has been increased in the recent quarter and we believe that is the right thing to do and this productivity loss is a temporary two-three months loss and that might be the reason . So, we will definitely like to get back to our 7,000 to 8,000 number sometimes later this year for sure. Where the hiring of the numbers are concerned , people are to be hired and trained and deployed on the field, especially June -July is the time when a lot of campus hiring concludes after the examination, so you know plus minus 100 here and there will continue to happen , I think .

Anmol Garg: Sure. And lastly, from my end , just wanted to have understanding on the margin trajectory; how should we look at the margins particularly for FY24 and beyond as well ?

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Dinesh Chandra Agarwal: For FY 2024 , I've been saying that the target is to see if we can reach 30%. Historically, pre-covid , our margin was 28%, which has increased from 12% to 16% to 28%. So , now, on a full year basis, if we can reach 28% and maybe towards the end of the year, if we can reach on a quarterly basis towards 30%, that should be our target. Going beyond, I think, you know as I've guided earlier also, these businesses typically operate in 25 % to 35% margin , so I think we are at the middle of that, and we would like to stay that way to maintain our growth. If you see the operating leverage, that operating leverage was slowly playing out but then we have saved the costs during the covid and then there is a sudden runoff of the cost because of the salaries in the market and we backfilled the people. I think we are fine at 30% . Let's see, once we stabilize at 30%, how do we go from there.

Anmol Garg: Sure Dinesh . Thanks. Thanks for the answers. That's it from my end .

Operator: Thanks, Anmol . Next in queue is Mr. Rahul Jain

in from Dolat Capital .

Hi, Rahul, please go ahead with your question.

Rahul Jain: Yeah, hi . I hope I'm audible.

Brijesh Kumar Agrawal : Yes, please.

Rahul Jain: Yeah, thanks for the opportunity. Firstly, you know just want to understand your experience, you shared a little bit about that, but it would be great if you could spend some more time on that. What is the general experience for you for this kind of a price hike impact? Is it on the new additions run rate basis and also increase on the existing monthly plans on the silver basis? So, if you could tell in both the aspect that what kind of impact you have observed and what is your past experience and your understanding how and when it should normalize back?

Dinesh Chandra Agarwal: We don't increase prices of the existing product; I mean existing means existing customers. Existing customers will pay higher price when it comes to next upgrade or next year renewal. So, for example, on the monthly scheme if you have taken a 2,500, as long as you don't churn, you will continue to pay 2,500, there is no increase on that. It is only the new customers who are coming in, is coming in at Rs. 3,000, so it is very incremental impact on the overall ARPU to begin with. Yes, over the year and a half or so, it starts to take overall impact, because if the entry level price is higher, then the upsell price is also higher, renewal price is also higher. So that is how we see it.

So, the good part in our business is that any price hike that is taken in either package doesn't reflect immediately in the ARPU. So, if you see there is a consistent growth in the average revenue per IndiaMART InterMESH Limited
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customer, year-on-year, despite the fact that we have actually reduced the price from 3,000 to 2,500 because some other packages, some other maybe Gold or Platinum, that's where we compensated. So, it's a mix of so many different packages and different customer vintage that is visible in the average revenue per customer. So, in the past also, we have seen that it takes typically two to three months or maximum to finally get back to the previous sales productivity. And once it stabilizes, then I think it builds up the base for both, it helps us reduce the churn from 2,500 subscribers and it also helps us increase the further upsell price from say 40,000 to 45,000.

Rahul Jain: Right. Right. Yeah, thanks for that color. Just one more question regarding the sales cost which has also gone up 6% QoQ despite weak net addition, is it that we have also increased our channel partner commission along the lines of price hike?

Dinesh Chandra Agarwal: Not really, because cost will go up probably because the productivity has gone lower, that is why you might be seeing it.

Rahul Jain: But if the channel partners are monetized or you know commercialized based on the conversion, is it higher because our gross addition would be much higher and the net is lower, so we might have paid for a higher addition, but the net impact was lower, is that understanding right? You want me to repeat the question, sir?

Dinesh Chandra Agarwal: No, I don't have that answer upfront, maybe you can send us an email and then we can give you that answer because it is not 100% variable, because we do provide assistance, a minimum guarantee for channel partners and then there is a variable component.

Prateek Chandra: So, Anmol, I mean, half of our cost is essentially not completely variable, because there we pay on a per person basis and half of the cost you can say when we pay, it is completely channel partner on a per hosting basis, therefore also we do provide an early support to the channel partners depending upon their own vintage with us. So,

therefore, it could be a mix of the things we will look into it and then we can come back to you with the details.

ailed answer there .

Rahul Jain: Sure. And just one clarification to your earlier comment where you said the upsell plan prices are also revised up . Is that what you were trying to say?

Dinesh Chandra Agarwal: No, once we stabilize this, the upsell prices are also upwardly revised, because we have a stair-cased upsell approach.

Rahul Jain: Right . So, you're saying you would do it after some time or it is already implied, but would be relevant as these people progress into that plan ?

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Dinesh Chandra Agarwal: As these people progress in.

Rahul Jain: So, the effective date would be what?

Dinesh Chandra Agarwal: No, it is not as effective date, because if you come in at Rs. 2,500 your annualized cost becomes 30,000. So, your multi -year if you take a three -year package, it becomes Rs. 60,000 .

Rahul Jain: Right, right. Yeah, so essentially what you're saying is that if you take a multi -year plan, that longer tenure discount also would have that revision would have happened even if I take a two -three -year plan versus what I would have taken a two -three -year plan earlier.

Dinesh Chandra Agarwal: Yes.

Rahul Jain: Yeah. Yeah . Understood, understood. And is there a way to understand what could be the addition to the EBITDA or revenue on a like -for-like basis because of this pricing impact on annual basis ?

Dinesh Chandra Agarwal: It will be very little because, to begin with , out of the 208,000 customers, we would be adding maybe 2 ,000 customers per month on this new pricing. Imagine that is going to come at so 1% new customer is going to come at 20% higher so it's a 0.2% addition to the revenue to the additional collection per month.

Rahul Jain: Right. Okay, I'll take this offline. Thank you. And I'll join back the queue.

Operator: Thank you, Rahul. Next question is from the line of Mr. Abhisek Banerjee from ICICI Securities. Hi, Abhisek , please go ahead with your question.

Abhisek Banerjee: Hi, sir. Thanks for your time. Just quickly , on the price increases that you have taken, what is now the differential between the Silver and the Gold plan vis -a-vis what it used to be earlier ?

Dinesh Chandra Agarwal: The gold plan there are Trust SEAL Gold and there is Website Gold. So, Maximizer is about Rs. 60,000 per year and TrustSEAL is about Rs. 40,000 per year. And for you know multi -year, there are various discounts available. The price list is available on our website . If you go to the corporate.indiamart.com , the prices for various services are written there .

Abhisek Banerjee: No, sir. Got it . So, my question was with regards to do you think this will lead to your customers kind of upgrading to a gold plan

because you're bringing the pricing differential lower? Is that something that you are hoping for?

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Dinesh Chandra Agarwal: No, I think as I explained earlier to Rahul Jain's answer it has a cascading effect on your customers over a period of time and older customers coming up for renewal, so for them the pricing is passed on even more slowly because for somebody who came last year, at say, 27,000, we can not suddenly charge 30,000, so we will probably take the price increase up in next renewals. So, typically, this price increase takes effect on the entire current customer base will come probably in three years' time.

Prateek Chandra: Also, Abhisek, actually this price increase is more of a restoration of the old price, rather than increasing the price from the levels where it was, so earlier also we were operating with the similar differential.

Abhisek Banerjee: Got it. Got it. So also, with regards to the guidance in terms of adding new subscribers, the 7,000 to 8,000 number is it with regards to basically the full year as i

n you want to say that you would add between 28,000 to 30,000 new subscribers for FY24? Is that what you're trying to say? Because my understanding was that quarterly number was in the range of 8,000 to 9,000.

Dinesh Chandra Agarwal: Quarterly number was in the range of ?

Abhisek Banerjee: 8,000 to 9,000.

Dinesh Chandra Agarwal: It was at 8,000 -9,000, that way. Last time, we had revised the guidelines to around 8,000 and now I'm saying that we will try and do 7,000 to 8,000, so it is from now 9,000 earlier. Earlier we used to guide 8,000 to 9,000 which was correct for FY23 because in FY23 it was the first full year of our expansion. Now, we have added about 60,000 new customers in the last 18 months and those 60,000 new customers many of them are coming for the first-time renewal and first-time renewal rates are much lower than second-time renewal and then the third time. So, what happens is the churn rate base effect comes in. So, we have to go on a growth path and then consolidate go on a growth path and then consolidate because if we press the pedal heavily on the growth, the first-year churn will not let you grow beyond a certain point. So, you have to let the first-year customer migrate to second and third year and once that balancing happens and then you press the growth pedal.

Abhisek Banerjee: Understood, sir. That is clear. But now if I look at the margin guidance that you're giving, 28% for the full year, so I'm actually struggling to understand given the kind of revenue growth that we're seeing, also you've earlier said that you will not need to hire too many new people. So, my model tells me that the margin uplift should be higher, right. So, I'm trying to understand is it that are you building in for more tech investment? Are you building in for more investment into CAC, are you going to do SEO? If you could give

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us some clarity on that then we'll also understand why the margin uplift will not be as much as it should be, I mean, when the other expenses are kind of topped out.

Dinesh Chandra Agarwal: So effectively if you look at the margin lever, our past history is trending at 72% -73% quarter -on-quarter . We continue to invest behind newer technologies, also . The newer technology is far more expensive . We continue to move towards the cloud . Cloud is again far more expensive. So, honestly, on an overall basis, the first -year customer needs a lot more service effort , the upfront CAC also need s a lot more consideration of our site that is why I am a little afraid of giving you guidance abo ve 30% because the cost pressure is continuing in the last 18 months, whether it is the salary cost pressure or whether it is technology cost pressure . It was completely different the first 18 months of the covid and then last 18 months.

Abhisek Banerjee: Unders tood, sir. That is helpful. And one last question from my side if Brijesh sir can answer this . Sir, Busy , we are seeing a very, very strong ramp up right. So last year, your objective was to kind of consolidate what you had acquired . Is this year going to be an all out growth year? How are you looking at it ?

Brijesh Kumar Agrawal: The guidance th at we had actually given earlier is that every single year that we spend at Busy, our aim would be to increase the growth rate and that has been achievable . So even in this particular year, we want to increase the growth rate in such. W hat you see in , let's say , Q1 is also a result of certain exceptional growth that we've seen in a couple of areas but what we can go ahead and confidently say that as we start to push for our own geographical expansion, we should be able to achieve better growth rates th an what we've seen in FY23 .

Abhisek Banerjee: Got it . Thank you so much. Congrats on a great set of results. Will

catch up with you later.

Operator: Thanks , Abhisek . Next question is from the line of Mr. Amit Chandra from HDFC Securities . Hi, Am it. Please go ahead with your question.

Amit Chandra: Yeah, hi. Am I audible ?

Dinesh Chandra Agarwal: Yeah, please.

Amit Chandra: Thanks for the opportunity , sir. So, my simple question is, in terms of the growth that we're seeing in terms of the paid subscribers at an overall level, it's around 16 % to 18%. But if I see the growth in terms of the various buckets, so in terms of Platinum Gold, so how has been the growth there in terms of the absolute number of customers? So, is it higher than the overall Company level or how is it trending?
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Because if I see the ARPUs , they are going up , so there is a migration from monthly to Gold to Platinum. So , what is the parameter s that will show us that there is a migration going on and also, in terms of what percentage of the customers upgrade every year?

Dinesh Chandra Agarwal: So, that is why we gave this top 1% -top 10% number , right, because we don't provide the exact Silver Monthly , Silver Annual, Gold and Platinum numbers but we do provide top 1% -top 10%.

Amit Chandra: But that is in line with the overall Company because every time if you do top 10, then the growth rates for all three buckets is this for us, it's the same or , internally , how has been that tracking, so that's what I want to understand , in terms of absolute numbers .

Dinesh Chandra Agarwal: We will discuss internally and maybe we will try to find one KPI that can help you decipher that. In general, if I want to give you the overall sense as of now, what is the mix, currently out of the two lakh customers, about one-fourth are on the Silver Monthly, about three-fourth on the rest of it. And similarly, if I looked at the Platinum and Gold customers, they currently account for about 50% of customer base, so I've given you all the three numbers.

Amit Chandra: Okay. And in terms of the upgrades how many of the monthly paid suppliers who are there on the platform for, say, like six months they upgrade to a higher package. So, what is that number if you can give any number that you can share there?

Dinesh Chandra Agarwal: So, typically, about 2% of the customer of the total base, typically, and that can range from manager to manager, from industry to industry, from city to city, anywhere between 1% as low as 1% to as low as 3%. But on the overall basis, approximately 2% customer base that we are able to get to upgrade from a monthly to annual or Trust SEAL, I think I would generally be happy.

Amit Chandra: Okay. And, sir, in terms of the monthly additions or in terms of the paid subscriber addition that we're doing, is it all in the monthly bucket or we add some customers directly to Gold, Platinum as well?

Dinesh Chandra Agarwal: We don't add much customers to the Gold bucket, but between the Silver we add about 60% on the monthly and about 40% on the annual.

Amit Chandra: Okay. And, sir, lastly on the price hikes that we have announced for the monthly subscribers, what is the price hike that we have taken ever in terms of Gold, Platinum in the past and is there any plans to increase price there in Gold, Platinum?

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Dinesh Chandra Agarwal: That was clearly visible. If you see the top 10% customer revenue, I remember when we started giving that number it was in the range of Rs. 7 Lacs or so annually about so it has grown up almost by 30%-40%. Yeah, and the Gold top 10% customers used to contribute 40% of the revenue, now today there are contributing 46% of revenue on a grown revenue base. So, the overall customer base as well as the ARPU in fact most of the ARPU gain would have come typically from the Gold

and platinum, because if you see from FY 2018 has not increased any prices in the Silver. I've only given the discount during the covid and now we are withdrawing that discount. So, since September-October 2018, the silver monthly and silver annual prices are same.

Amit Chandra: Okay. And sir, now, the last question is on the margins. So obviously, now we have seen some margin expansion, but if you can throw some light in terms of what proportion of the cost will increase in line with the growth in terms of the paid subscribers and what proportion of the costs will be inflation linked, in terms of overall cost I'm asking?

Dinesh Chandra Agarwal: Let's go to the slide where we have those assumptions, functional P&L. See this particular slide can give you some idea how costs are associated, but things until FY20 were very different and post FY22 things are very different, so let's not take FY21 and FY22 as a benchmark and if you compare the FY20 versus FY24 now, or FY23

now, it can give you the different cost structure that has been going into different segments , this particular slide .

Amit Chandra: No, sir. But in terms of total cost what is actually growing in line with the paying subscribers and from here on how do you see that cost structure in terms of fixed and variable ?

Dinesh Chandra Agarwal: We are looking at maintaining the margin and probably increasing the margin up to 30% . So, I don't expect the margin to expand very rapidly or contract very rapidly . I just expect the margins to stabilize at this level, particularly 28%-30% or 30%-32% and then we'll see what are the levers further .

Amit Chandra: Okay . Okay , sir. Thank you and all the best .

Operator: Thank you , Amit . Next question is from the line of Mr. Sarang Sanil from RW Investment Advisors . Hi, Sarang . Please go ahead with your question.

Sarang Sanil: Hello . Good evening, sir . Thank you for the opportunity. My first question is to Brijesh sir, then I'll come back to IndiaMART business . So, you said that Busy is planning to launch desktop cloud version, but I believe you already have a mobile app version which IndiaMART InterMESH Limited
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updates real time and I believe it's through clouds , so why is it so hard to have a desktop cloud then?

Brijesh Kumar Agrawal: See, when we have a mobile app which connects directly with the desktop application and the data is synced, the kind of activities that you're able to do in the mobile app today largely are related to viewing that data . In terms of entering transactions on vouchers, you have a limited number of vouchers that can be entered through the mobile app . However, there are organizations who have multiple offices, there are multiple people who are working remotely on the accounting system, and they need to have access to the same desktop software over a cloud machine and therefore, Busy Online actually makes sense for those kinds of customers. And therefore, the Busy Online which is desktop available on cloud is a product that services that particular segment where there is a need to access remotely at any point in time from anywhere .

Sarang Sanil: Sure, sir. That was helpful . On the IndiaMART business side , is it possible to give a split between metros and rurals ? Is it possible to give a volume split and values , can be on an overall 20 8000 a Iso? And is it fair to assume that the Metro side has better margins ?

Dinesh Chandra Agarwal: I think Metro side would have better margins because metros, as of 31st March this number is given , so paid suppliers from metro cities was 54% , while tier two cities had about 28% and the rest of India 18%. And rest of India used to be 10% , 12% if I remember pre-covid . We now have a better Tele presence and better channel presence. Now in terms of value, we don't have a split here

e, but you can assume that 60% of the collections or revenue would come from metro cities because metro cities would have a better and a deeper penetration of Gold and Platinum and a better ability to serve the customer. However, the rest of India, which is 18 % , in terms of the customer base would only account for maybe 12% of the revenue.

Sarang Sanil: Understood, sir. So just want to understand a little better here. So, what is that factor that the paid suppliers are seeing to stick with IndiaMART or the new suppliers coming at a higher ARPU now

right because I can see in the past couple of quarters the traffic has been flat. So, this is regarding on the buyers engagement, traffic has been flat, registered buyers, which is not material, so active buyers, which is material that has been flat, unique business inquiries that has been flat. So, what is that one factor you think you would pitch to a new paying supplier?

Dinesh Chandra Agarwal: If we look at the active buyer base, there has been a jump from 30 million active buyers yearly to 37 million active buyers in the last two years. Last two years means FY20 to FY22. However, we did not increase any customer base in those two years. We ended FY20 at 147,000 and we ended December 2022 at 155,000 or so. So, this
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whole 7-8 million additional active buyers have not been monetized and also this 7-8 million active buyers, which has been increased, their nature has changed. Their nature in FY20 and FY21 was mask, gas and sanitizer. Now those are gone, so there is not much of a mask selling, not much of a gas selling or not oxygen selling. Now, these are back to the usual business, previous usual business. So, why you see this is flat, actually there is a lot of transition has happened from the shortage led demand to the broader industry demand. So, that also needs to be fulfilled and 37 million is huge, actually if you see in a B2B kind of scenario. If we can match them properly, i.e., a right buyer to a right seller, I think you can even double the number of sellers with the same buyer set. So, the problem is not that the people need more enquiries, the people need more relevant enquiries where the maturity can happen better. So, if you see we continuously work on enriching the buyer profile and making sure that the right buyer goes to the right supplier and by doing that, you actually do not need for any buyers to come back again and again on your platform, you actually get better maturity done. So, there are two ways to do it, either you start vertically with one small sector or one small industry, that's what we used to do in Tolexo or you start horizontal and then keep tweaking the buyer seller match making better and better and today, even more possibilities are emerging because earlier we could do that only on certain parameters. Parameters means defined parameters such as location, such as quantity or such as product category. Now we'll see advent of large language models in the artificial intelligence, we can actually do best analysis and do the matchmaking even better. So, in times to come you will see even further better deployment of machine learning algorithms using these large language models that have emerged to be able to do it in a specification level match making or even the buyer profile level matchmaking. So, I'm not worried right now, but yes, if it just continues to remain the situation for two years or so then obviously the problem is a worry to us.

Sarang Sanil: Understood, sir. So, you're not worried on the buyer side. So, my last lesson is, do you think generative AI or any of that application on that side would help in improving the margins on a medium to long-term perspective?

Dinesh Chandra Agarwal: I don't think generative would help but a lot of predictive AI will help and while the whole of the attention of the market is on generative AI such that it has a lot more impact on prediction, which was earlier very different and now it is very different because now unstructured data can do a much better prediction.

Sarang Sanil: Got it, sir. Got it, sir. That was helpful. Thank you and all the best.

Operator: Thank you very much. It has been a very engaging session. I would

now like Dinesh to give his concluding remarks.
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Dinesh Chandra Agarwal: Thank you Aditi . Thank you , ladies and gentlemen for joining our Q1 FY 2024 conference call. We have tried to address your queries in the time available but if you still have any questions, please feel free to contact our Investor Relations team on the email ID given at the press release and the investor presentation . Thank you. Have a great Saavan , extended Saavan and extended holidays . Look forward to seeing you around Diwali .

Operator: Thank you, everyone. On behalf of IndiaMART , we now conclude this webinar. Thank you very much .

Notes:

1. This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings
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Call: Nov 2023

November 02 , 202 3

To,
BSE Limited
(BSE: 542726)

National Stock Exchange of India Limited
(NSE: INDIAMART)

Subject: Transcript of Earnings Conference Call on financial results and developments for the quarter ended September 30, 202 3

Dear Sir/Ma'am ,

Pursuant to Regulation 30(6) read with Part A of Schedule III of the Listing Regulations, we wish to inform that the Transcript of Earnings Conference Call for Analysts and Investors held on October 27, 202 3, with respect to the financial performance of the Company for quarter ended September 30, 2023 , is enclosed herewith. The copy of transcript is also available on the Company's website at <https://investor.indiamart.com/FinancialResultsStatements.aspx> .

Kindly take note of the same.

Yours faithfully,
For IndiaMART InterMESH Limited

(Manoj Bhargava)
Group General Counsel,
Company Secretary & Compliance Officer
Membership No: F5164

Encl: As above.

Webinar Transcript

Event: IndiaMART Q 2 FY202 4 Earnings Webinar

Event Date/Time: October 27, 202 3 at 17:00 hrs

CORPORATE PARTICIPANTS :

Mr. Dinesh Chandra Agarwal – Chief Executive Officer
Mr. Brijesh Kumar Agrawal – Whole -Time Director
Mr. Prateek Chandra – Chief Financial Officer
Mr. Kshitij Agrawal – Investor Relations Team

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Kshitij Agrawal : Good evening, ladies and gentlemen. On behalf of IndiaMART InterMESH Limited, I welcome you all to the company's Q2 FY '24 Earnings Webinar. As a reminder, all participants lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes.

Joining us today from the management side, we have Mr. Dinesh

Agarwal, Chief Executive Officer; Mr. Brijesh Agarwal, Whole Time Director; and Mr. Prateek Chandra, Chief Financial Officer.

Before we begin, I would like to remind you that some of the statements made in today's conference call may be forward-looking in nature and may involve risks and uncertainties. Kindly refer to Slide 3 of the earnings presentation for the detailed disclaimer.

Now I would like to hand over the call to Mr. Dinesh Agarwal for his opening remarks. Thank you, and over to you, Dinesh.

Dinesh Chandra Agarwal: Thank you, Kshitij. Welcome everybody. Welcome to IndiaMART's Q2FY24 earnings webinar. We have circulated our earnings presentation about an hour ago, which is available on our own website as well as the stock exchange website. I'm sure you would have gone through the presentation, and I would be very happy to take any questions afterwards.

I'm pleased to report that IndiaMART has delivered 28% year-on-year growth in collections to Rs. 337 Cr and 26% growth in deferred revenue to Rs.1,244 Cr on consolidated basis. Revenue from operations has also grown by 22% to 295 Cr. Total traffic grew to 288 million and unique business inquiry grew to 24 million, representing a growth of about 10% and 6%, respectively.

Our total paying subscription suppliers grew to 210 K. As communicated in the previous quarter, we did a price change in our silver subscription on May 15th, which generally has a temporary impact for two quarters on our new customer acquisition. In addition to the price increase impact on the gross customer addition, we also have seen more than anticipated churn on the increased customer base in the silver bucket. As a result, our net customer addition was limited to only 2 K in this particular quarter.

As the impact of this price change stabilises and the improvement in churn happens, we will come back with the guidance on the net customer addition. While the customer addition has been slower than anticipated, we are confident of similar collection and revenue growth for the next 2-3 quarters.

On the people front, we have added 234 employees primarily in the client servicing team to take care of the renewals and upgrades of IndiaMART InterMESH Limited
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the existing customer. We will continue to make these investments and strengthening of our organisation to leverage the growth opportunity.

Now I will hand over the call to Brijesh to update about Busy Infotech. Thank you. And over to you, Brijesh.

Brijesh Kumar Agrawal: Hi, good evening, everyone. Busy has done a net billing of 14.6 Cr in this quarter. This represents a year-on-year growth of 38%. The revenue from operations have grown by 24% year-on-year to Rs. 12.9 Cr, and the deferred revenue has grown by 49% to Rs. 38.1 Cr. The EBITDA for the quarter is at Rs. 1.7 Cr that represents a margin of 13%. The net profit for the quarter was Rs. 2.5 Cr.

We also generated positive cash flows of Rs. 2.5 crores during the quarter. There were a total of about 8 K new licenses that were sold to customers, taking the total licenses sold count to 348 K at the end of September. The overall performance has been in line with our expectation and also our goals of increasing the growth rate in this

financial year and I think we are on the path of realising the goals of increasing the growth rate that we've set at the beginning of the year.

With this, I'll hand over the call

I to Prateek to discuss about the financial performance.

Prateek Chandra: Thank you, Brijesh. Good evening, everyone. I will take you through the financial performance for the quarter ending September 2023. Consolidated collection from customers and revenue from operations grew by 28% and 22% respectively to Rs. 337 crores and Rs. 295 crores. The deferred revenue for the quarter stood at Rs. 1,244 crores, an increase of 26% on a year-on-year basis. IndiaMART's standalone collection from customers for the quarter were at Rs. 321 crores, and revenue from operations stood at Rs. 281 crores, registering a year-on-year growth of 27% and 23%, respectively.

Our growth in revenue was primarily driven by a 12% increase in paying subscription suppliers and 10% improvement in ARPU due to higher monetisation. Deferred revenue were at Rs. 1,205 crores, representing a year-on-year growth of 26%. EBITDA of IndiaMART's standalone business stood at Rs. 81 crores, representing a margin of 29%, marginal increase from 28% margin in Q1 this year.

Consolidated EBITDA was at Rs. 80 crores, and consolidated net profit was at Rs. 69 crores. Consolidated cash generated from operations was Rs. 102 crores. As we had completed the buyback in this quarter, leading to a total pay-out of Rs. 620 crores, which includes buyback amount and the related taxes and expenses, IndiaMART InterMESH Limited
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consolidated cash and treasury balance stood at Rs. 1,910 crores at the end of this quarter.

Thank you very much. We are now ready to take any questions.

Question-and-Answer Session

Kshitij Agrawal : We will now begin the Q&A session. If you wish to ask a question to the panellists, kindly raise your hand allow camera and microphone access. Alternatively, you may type your question in the chat menu and we will revert on it. Please restrict to two questions, so that we may be able to address the questions from all the participants. We will wait for a couple of seconds, while the question queue assembles.

Moderator: First question is from the line of Vivekanand from Ambit Capital. Hi, Vivekanand, please go ahead with your question.

Vivekanand: Hi, am I audible Aditi?

Moderator: Yes, Vivek. You're audible.

Vivekanand: Yeah, so my two questions. The first one is on the collections in the standalone entity. The growth was 27% faster than what IndiaMART has witnessed in the last several quarters. So, I wanted management commentary on the thought process and outlook as far as collections are concerned. Also, if you could call out any one-offs or any other element related to long duration customers renewing during the quarter at higher price levels. That would help.

Second question is if you could give us an update on the churn levels across silver annual , silver monthly , platinum and gold, that will be helpful . Thank you.

Dinesh Chandra Agarwal: Thank you, Vivekanand. See on the collection front, I think we have been guiding that we always target about 25% or so and in the past, because we have now accumulated customer base over the last 7-8 quarters and those customers, some of them have graduated to a higher package and some of them have graduated to now second year also that may be leading to this. There is no one -off here , because as I said, we are very well diversified across industries and across the customer, no single customer, no single industry, no single city contribute any large amount. So, this 26%, 27% could be a one or two quarter thing, but I think the collection, as I said, we are confident that over the next 2-3 quarters, we should be able to maintain our collection growth in excess of 22 -23%. That is what I've been guiding.

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Now coming to the churn side. On the platinum and gold customer, which is about 50%

of the customer base now and contributes about 3/4th of the total revenue , that continues to remain healthy at 1% per month. So , the churn in the top tier of the customers, platinum and gold continue to be very healthy and which contributes about 50% of the customer base and 75% of the revenue. While the silver monthly and silver annual churn s have deteriorated , probably because of the customer base or other things , so, silver annual customer has moved from earlier about 2% - 3% to now close to 4% per month and silver monthly which used to trend at around 5 -6% now has gone to 7% or so on the monthly basis. So there, we are seeing churns to be higher than usual pre -COVID churns. Thank you very much.

Vivekanand: Yes, Thank you. That was helpful. So , if I look at the collections on a pre -COVID versus current quarter CAGR , it appears to be a 17% CAGR. I'm comparing it with Q2 FY20. So , is this the number that you feel in the long run should trend upward further? Or am I reading the numbers wrongly or the commentary wrongly?

Dinesh Chandra Agarwal: In FY '21 and FY '22, we had so many ups and downs in terms of customer not being there, lockdowns and everything. So , I don't know what kind of CAGR from that period would be helpful. I think longer term CAGR has been 21% and a shorter term CAGR quarter on quarter, sometimes around 25%, sometimes around 22% , and sometimes around 27%. So if the customer base has grown significantly in the last 6-7 quarters, which is now resulting into the better collections and that's been the trajectory ever. So, I think upwards of 20%, it should be possible whether it will be 17% or whether it will be 27%, that's difficult to comment on a longer -term basis.

Prateek Chandra: Also , Vivekanand, if you can see consistently in the last four quarters, our standalone collections growth has been northwards of 23-24%. So , it's not like, let's say, one -off scenario in this particular quarter, it has been consistently higher on more than 23 -24% for last four quarters.

Vivekanand: All right. The last follow -up, is there any specific reason, apart from the price hike that is causing this high churn, or have you tried to identify what is causing this? And what are the steps that you are taking to mitigate or perhaps bring churn back under control given

that it is now weighing on your net adds and adding to so much uncertainty that you are unable to give a guidance even on the net adds?

Dinesh Chandra Agarwal: Yeah. So, net adds has two components. One is the gross adds and the price impact is mainly on the gross adds. The price impact will not typically have a huge impact on the churn side, because IndiaMART InterMESH Limited
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currently, it's only been 3-4 months of the new customers being added at the new price point, rest old customers are still at the old price point.

So, while typically, it takes anywhere between 3-6 months to stabilize on the sales team and digest the price hike. I think there has been some holidays also, and it has been taking longer for us. So, let's say, over the next quarter or so, if we are able to fix our gross adds correctly back to the similar level as we had before 15th of May.

Now coming to the churn side. The churn side is not easy to answer in one line, because there have been many differences, if you see over the last two years or so, our Tier 3 and Tier 4 customers have also increased as against metro customers. We have also expanded getting customers into many more categories than the customer concentration. However, it will still look 1% only but that 1% is also into some of these industries which may not be very conducive for current IndiaMART platform.

So we will go back on the churn side and as I said, those customers who have used platform nicely, those who have migrated to Gold and Platinum, they continue

to engage with the platform better. You can also see that customer engagement on the platform, which is available on say, CRM page (Lead Manager page), probably is one of the highest with 123 million replies and callbacks. So, the customer engagement is also high, and everything is also high. We need to probably go back to our drawing board to see which all places we are acquiring customers.

Another thing is the vintage of the customer. Another thing is we have built client servicing team in the last 18 months. As you can see, the number of employees addition in the last 18-24 months has been too much. They also are newer into the system. So, there could be competition also within our own customer base that might be causing. So, I think it's a difficult problem to solve and we have faced this problem earlier also. I'm sure we will go back to the drawing board and see, try many different things and come back to you sooner than later.

Vivekanand : Thank you for the elaborate explanation and all the best.

Moderator : Thanks, Vivekanand. Next question is from the line of Nikhil Choudhary from Nuvama. Hi, Nikhil, please go ahead with your question.

Nikhil Choudhary: Yeah, thanks for the opportunity. So, my question is I would like to probe further what Vivek has asked regarding the churn and lower subscriber addition. Sir, this is not just the one quarter we have seen IndiaMART InterMESH Limited
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lower subscriber or lower paying subscriber addition. It's been like in the last four, five quarters, except for one quarter, our subscriber addition has been lower than 8 K, which was our initial guidance of 7-8K paying subscriber every quarter. Even in terms of engagement, what you mentioned, business call and query, that number remained more or less stable, even down from the COVID peak right? So just want to understand, to contain the churn and especially growing the paying subscriber, what are the change in strategy we are doing to make sure the growth comes back there?

And just one follow-up on this, are we looking to maybe roll out the increase in price for our existing subscriber, a bit slower than earlier planned, given the higher churn we have seen for new subscribers?

Dinesh Chandra Agarwal: So first of all, on the 8 K target, I think, yes, you are right, we have missed this in three quarters now out of the last seven quarters. Now second part is whether we are going to roll back the new client acquisition prices. No, we are not because, the churn is a different issue and the new customer acquisition is a different issue. As I said, these prices were reduced, especially during the second wave of COVID when we saw that the people were really worried so we dropped the prices by 25% or 20%. Now we have gone back to our pre-COVID prices. We haven't changed anything on the entry-level prices in the last 3-4 years. So, we are not going to roll back. On what strategies are we going to work upon to reduce churn, whether we will be able to increase the buyer base, repeat buyer base, reduce some of the non-performing industries, non-performing cities, I think all of them instead of just saying that have we been able to prioritize one over the other. I think all the four or five things that we need to work upon and maybe start recalibrating our client acquisition strategy, with how much to acquire from Metro and how much to acquire from Tier 4, how much to acquire from one industry versus how much to acquire from another industry, how much to acquire from one industry in annual mode versus how much to acquire in the monthly mode.

So I think all of that, I mean, churn containment is the biggest issue for any subscription-based marketplace and there is no one single answer and there's no one, two, three prioritized answer. We will have to go and do things in all five directions and each one

of them

will probably work 0.25%, 0.25% in our favor in the times to come.

Nikhil Choudhary: Sure sir, very helpful. Just last one from my side. In terms of employee addition, we have again started adding employee aggressively after slowing down for a quarter or two. Clearly, it might be to address the churn, but that is putting pressure on margin. So just want to understand, vis-a-vis your earlier guidance of seeing incremental revenue or deferred revenue on a much higher margin.
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How are you seeing maybe even directionally margin going forward? Thank you.

Dinesh Chandra Agarwal: But where are you seeing the margin? So, margins are already 29% this quarter for the standalone business and we will continue to maintain this 28%, 29%, 30%, whatever plus/minus 1% but I think in that range, I cannot give you exact percentage and Q4 is always a low-margin quarter because there is upfront cost of collection that we get, but other than that, I think margin has been consistently maintained and also rising. Maybe you are looking at the consolidated piece where we are also investing behind livekeeping,

we are also getting Busy. We're also getting P&L losses from our associated companies. So those might be the case s but on the standalone basis, the margins are intact.

Nikhil Choudhary: Sure sir, very helpful. Thank you.

Moderator : Thanks, Nikhil. Next in queue is Swapnil from JM Financial. Hi Swapnil, please go ahead with your question. Also request if you can put your camera on. Thanks.

Swapnil: Hi, thanks for the opportunity. So, a couple of questions. First, on the traffic side. I think we have seen some decent improvement in traffic on a Y -o-Y basis, and that has come after a few quarters where we had a flattish kind of trends, right? Any specific reason you want to call out as to why this traffic improvement has been achieved? And how should we see these trends moving forward as well? That's one. And the other question is on the margin side. So , if I remember your commentary from the last quarter, you had mentioned that the margins for FY '24 , would move towards 30% at a consolidated level.

Dinesh Chandra Agarwal: I don't think I have ever said it at a consol level. And I can never say it because at a consol level, if we are investing Rs. 750 odd crores in accounting business and another Rs. 250 crores in the other businesses. At a consol level, those are not possible to be predicted.

Swapnil: Okay. Let me refresh that. So how should one look at the margins then at a consol level and a standalone level separately. Obviously, your standalone margins are improving, no doubt about that, and they are inching towards 29% now. But since you will continue to invest in your accounting businesses. ,s there any guidance that you would want to give? Or is there any way that one can estimate that would help us. Thank you. Those are the two questions.

Dinesh Chandra Agarwal: Unfortunately, no. Because many of these are minority investments and their boards run independently on how to manage the growth at Vyapar and how to manage growth at Industry Buying or how to manage growth at M1xchange and we get a profit or loss
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coming from them and many of them get revalued also time to time. So, it is very , very difficult to predict a diversified business consolidated margin at early level like this. On the traffic side, Prateek wants to add something on that.

Prateek Chandra: I was just saying that if you see slide 70 of our investor presentation, which talks about EBITDA of each of the business lines, which gives a very clear visibility about the EBITDA of IndiaMART and EBITDA of newer initiatives, specifically, if you say, Busy and Livekeeping are the other ones. So , these numbers are f

airly small in the overall context. Though in terms of percentage margins, it may have some impact because the revenue from these businesses gets added. And the bott om line doesn't get added up there in the terms of the profit. So therefore, in the percentage while it looks, but if you see in the absolute terms, these numbers are fairly small as compared to the EBITDA that we generated at the IndiaMART level.

Swapnil: If I can just add to that, is there any target spends that you have in these new businesses , yearly spend s that you would do a cap beyond which you will not invest ?

Dinesh Chandra Agarwal: No, sir. As and when we get the right opportunity, we will invest

and as we have said that we will probably stay away from a very high cash burn businesses being acquired at a consol level. We will try and see businesses which are either low cash burn businesses or which are closer to breakeven and busy is the one which is closer to breakeven business and currently profitable, but my view is that it is neither highly profitable nor losing money.

On the other hand, Livekeeping, we are investing. We know for sure that we will probably end up investing Rs. 1 crore a month there and that's the current target. On future, what will happen , I will come back and tell you. But as of now, these are the two things which are happening , whenever new things start, we will come back and tell you.

Swapnil: Got it. And if you can answer that on the traffic side question.

Dinesh Chandra Agarwal: The traffic side depends a lot upon many things. So many times, changes in the google search algorithms, focusing on desktop versus mobile and things also help because currently, we do not do any advertising. So , I cannot directly attribute it to either any advertising or any e-mail marketing that would have worked significantly higher than the last quarter. While we have seen the traffic in general improving and so we continue to work on UI/UX and various parameters. However, whether this is going to be a sustained trend that I think we will know only after another quarter passes by or so.

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Another part is the content aggregation that we do consistently. So , as we have added about 60,000 customers in the last six quarters or so. Those 60,000 customers ' content is also useful enough, which might be adding to this additional traffic but whether it will sustainably hold or whether it will start to increase further, that we can only comment after two quarters or so. I think a better number would be to also look at the unique business inquiries because sometimes what happens, the traffic also ends up increasing if somebody starts to scrape your site. So , I think the better metric would be the unique business inquiries, which has also grown, but it has grown by about 6 -7% or so.

Swapnil: Got it. Thanks for taking my questions. All the best.

Moderator: Thanks Swapnil. Next question is from Mr. Mihir Damania. Hi, Mihir, please go ahead with your question. We'll take question from Mr. Manoj Doshi. Hi, Manoj.

Kshitij Agrawal : Manoj you need to unmute yourself, please .

Manoj Doshi: Can you hear me now?

Moderator: Yes, we can hear you.

Manoj Doshi: Hi, is it fair to assume that the employee addition will be sort of not as high as we are having on the last two quarters, given the subscriber addition is not so high ?

Dinesh Chandra Agarwal: Yes, I think it is fair to assume that.

Moderator: We request participants to raise hand to ask question from the panellist. Next question is from Mr. Manish Gupta. Hi, Manish. Please unmute yourself to ask the question.

Manish Gupta: Yeah, thanks for the opportunity. You mentioned that gold and

platinum are about 50% of your customers and about 75% of your revenue. So , I was just wondering whether the growth of customers in

the gold and platinum is a better metric of how the overall business is progressing vis-à-vis churn in silver customers? Because I would imagine that if gold and platinum are 75% of revenue, the y actually might be a significantly larger in terms of percentage of profit , because the gross margin on this business might be higher than on the silver customers. So just wanted to understand that would the high churn rate in silver, etcetera, really bother you because bulk of your revenue and profit is essentially coming from the gold and platinum customers.

Dinesh Chandra Agarwal: Yeah. Manish, that is true , that is also depicted historically in the top 1% and top 2% and overall ARPU. So , if you see the overall IndiaMART InterMESH Limited
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ARPU being Rs. 54,000, while the top 10% ARPU being 250 K accounting for 46% of revenue alone, the top 10% of the customer itself accounts for 46% of the revenue, that already gives you that feel that 50% of the revenue is coming from top 10 -12% customers and that top 10 -12% customer is also not a small in number. They are 21K customers. So , you can't say that, okay, your dependency is only on 10 customers accounting for you. It is not 10 customers. It is 20 K customers at 250 K average revenue.

However, for a freemium marketplace like this, it is important that you continue to have a longer term growth on the silver bucket , because that silver bucket ensures your leadership on the market in the space and build s the network effect. While on the financial metrics, I think the gold and platinum will typically drive anywhere between 50 to 75% of the revenue and maybe more than 100% of the cash flow although for every marketplace it is different or for different SaaS business is different, because the whole bottom of the pyramid is to maintain leadership and create that network effect, even the freemium model is also for that. They don't contribute anything on the revenue, but we do spend sizable amount of time, money, energy on maintaining and adding freemium customers.

Manish Gupta: Yeah, very clear. Second question was that how do you track your share of competition , because it's not easy to define competition in this space ?

Dinesh Chandra Agarwal: I mean if you directly define competition, direct competition which offers a very similar business model has a very large overlap with our kind of customers. We have always said Trade India and Exporters India are the two which are the nearest one. And I think both of them are private limited companies, so they file their annual returns with the MCA and that data is available, and we track that closely how we are doing and their traffic data is also available so these are the ones purely doing the similar b usiness model.

Now then there are indirect business models where we might be having 5% to 10% overlap with different businesses. This 5% to 10% overlap could be with Google, 5% to 10% overlap could be with Justdial, 5% to 10% overlap would be from Amazon also , and I'm talking this 5% to 10% overlap on the buyer side as well as on the supplier side.

So on that side, it is difficult to define a real market share. But on the like -to-like basis, I think it's very clear, we used to probably have 60% market share at the time of the IPO. Today, we might be having much higher a market share than the IPO time .

Manish Gupta: Okay. Very clear. And my last question is that a decade very long - term down the road, do you see any chance of being able to monetise IndiaMART InterMESH Limited
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a little bit on the buyer side. I mean we have 182 million registered buyers. There is over 50% repeat buying purchase. Do you see any opportunity where you could maybe a decade down the line, ask a buyer to pay a little bit just to participate on your platform.

Dinesh Chandra Agarwal: So

let's say two things. So total 182 million people have sent an enquiry or made a call from this platform over the last decade or so. However, every year, in last year or so we have 37-38 million people who have done that. Even that number is large enough to be monetised. That monetisation is possible in 2-3 ways, people have done that. So, if you get into an e-commerce mode, where you are able to charge a convenience fee for buyer for every transaction or charge a commission from sellers.

Generally, we don't intend to necessarily promote a high commission marketplace. We take pride in saying that we are a zero-commission marketplace. Maybe 1-2% commission for facilitation is possible. Nobody in the world has proven that big time. Our payment subsidiary, whatever revenue that we generate, that's all of it, 100% of it from this buyer monetisation, because we only charge buyers, for the sellers, yes, I mean, the buyers pay for the credit that they avail through credit card or other methods.

Tomorrow, whether we'll be able to find a product like Amazon Prime or Zomato Gold, we don't know. We haven't seen that happening much in the 1688 in China. But yeah, you never know. Thank you.

Manish Gupta: Thank you.

Moderator: Thanks Manish. Next question is from the line of Mr. Rahul Jain from Dolat Capital. Hi Rahul. Please go ahead with your question.

Rahul Jain: Can you guys hear me?

Dinesh Chandra Agarwal: Yes, we can hear you.

Rahul Jain: Yeah, thanks for the opportunity. Basically, wanted to understand slightly more in terms of what we are doing to increase the ARPU and at the top end of your subscriber base, where possibly the increased activity on the digital side, maybe helping them to value our platform and proposition slightly better. So we've been seeing that ARPU number going up, but if you could share some of the inputs in terms of what we are doing to ensure that we are able to get more and more from that top 25 K customers and beyond?

Dinesh Chandra Agarwal: Thank you, Rahul. So historically, I think I've talked about this maybe two years ago in the concall, but not recently. So historically, we have had a very similar all category, all cities or all locations IndiaMART InterMESH Limited
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based pricing for silver, gold, platinum, all customers. So our leading supplier, our star supplier packages used to be agnostic of the number of categories or number of locations as many as you deal

into. Over the time, we have moved to limiting the number of categories as well as increasing this monetization. Then I think we move to location and category combination. We are now in the process of moving to purely and purely category-based pricing, category-based pricing framework.

So instead of you buying x number of category, you buy one, one category separately. And that itself actually reduces the overall input entry price point, but at the same time gives us higher ARPU for customers who actually use that properly. So effectively, if you see the ARPU of top 10% customer, that has grown significantly over the last many years. And if you actually subscribe most of the ARPU gain has come in typically from top 10% customers only. I think that's already built in, and these are the two, three initiatives that we have taken.

Rahul Jain: So when you say categorization, is there some focus on keyword monetization's also?

Dinesh Chandra Agarwal: When I say category or when you say keyword, they are interchangeable. So, our categories are so micro that they are, so cotton shirt would be one category, full sleeved shirt would be another category, designer shirt would be another category. So these are very similar to keywords and categories. So, we don't sell category separately and keyword separately. So when you buy a particular category, you get that keyword also as a search keyword.

Rahul Jain: Right, so players with more number of SKUs and scale players are eventually the player where the ARPU monetization could be far superior.

Dinesh Chandra Agarwal: Yes and no, because if you have less number of SKUs or categories or keyword, in fact, it might be more useful for a customer like that to use our online platform because here, the targeting is very accurately possible, while for a brand or for a customer who owns multiple keyword and multiple category or multiple SKU, there might be other avenues of promotion. So like the traditional dealer distribution or going to slightly mass media of advertising. But if you have a very unique product and unique pricing, a unique location targeting, then I think. So it helps in both the cases. I can't say one over the other.

Rahul Jain: Right. And last bit on these categories that we defined some 97,000 odd category that we have. Is there a way to understand that, of course, many of these categories are subcategories within a particular domain. So how many of these 97,000 category, you see
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India has a significant TAM. Any threshold if you want to draw and say that a category is defined category of a significant size, let's assume if it has a Rs. 100 crore market in India or whatever way you want to define.

Dinesh Chandra Agarwal: So one way to look at this is instead of looking at 100 K, just look at this 56 industry segment that is given here. And I think we've already given some 48 industries here. So out of these 48 industries, it is clearly visible that 8% is construction building, raw material, industrial plant machinery equipment and like that and if our total GMV is anywhere between 0.5% to 1% of GDP, that makes it about \$15 billion to \$30 billion. Now based upon that, even 1% of share on that market, makes it \$150 million market.

So given that the overall B2B market size itself is more than \$1 trillion market size defining our TAM per category is slightly difficult and slightly too big for us. We are still scratching the surface or I don't think IndiaMART's existence or non-existence is creating any major difference at present but can it make a lot more difference to the economy in 5-10 years? Yes.

Rahul Jain : Understood. And last bit if I can. Basically this churn issue that we are facing because of potentially the price hike factor. So is it any change in the existing churn behavior of the existing customer that we have observed or it is simply that the gross addition number is not picking up with the increased pricing, which is resulting into net small addition per quarter or it's a combination of both ?

Dinesh Chandra Agarwal: Let me again clarify. The price increase has nothing to do in the short-term on the churn because they are still less than 10% of the total customer base added in the last 4-5 months. Price increase typically have the early effect on the gross addition. The churn is obviously because we used to add about 20 K odd customers per year and last year, we added about 34 K customers. Now that sudden influx of this new customer is one reason that we have seen even in the past after FY16 and FY 17 and now also.

So that's one reason. But I think it cannot be just one reason. It has to be a combination of our sales and service, tier mix, industry mix, product performance. So I think all of that, we will be able to probably fix the gross addition, which will probably take our net customer addition a little higher than what we have delivered in the last two quarters. But for us to be able to do consistently 5 K to 8K, I think we need to fix the churn for sure. And that is not the easy one to fix. It generally takes time to fix back.

Rahul Jain: Understood, thank you. That's it from my side.

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Moderator: Thanks, Rahul. Next question is from the line of Ms. Ruchi Mukhija from Elara Security. Hi, Ruchi, please go ahead with your question.

Ruchi Mukhija : Hi, am I audible?

Moderator: Yes, Ruchi.

Ruchi Mukhija : Many of my questions are already answered , so two bit. One, you have top 10 paying suppliers, which today makes 46% of the revenue. They have been growing at a faster rate than the company for consistently nine quarters (more than two years). Now this quarter there is a divergence to this trend. So could you update us regarding your client mining effort for this bucket? And is there any strategic change. That's question number one.

And secondly, for the silver category where we are highlighting that the churn rate was higher. Have you already put in place some mechanism to curtail that churn ? I understood you have got that the results may come with a lag, but have you already started and which are those steps that we have already taken.

Dinesh Chandra Agarwal: On the churn side, I think I've already answered two-three times repeatedly the similar answer. So I don't have anything else to add. On the top 10% customers revenue share, I didn't understand what you are pointing at this quarter being different than the previous 7-8 quarters.

Ruchi Mukhija : So this 46% of the top 10% of your paying supplier for, I would say, previous nine consistent quarters, more than two years have grown at faster rate than the overall IndiaMART standalone business grew. This quarter, their growth was lower than the overall company growth, not material difference, but still lower. So trying to understand the client mining effort or I would say, upscaling in this bucket. Is there some strategic change? And do you expect that this pace of growth to cool down further? Or how to look at this?

Dinesh Chandra Agarwal: So it is top 10%. So if my total customer base has grown only by 2,000. It is the top 10% of the customer base that also has grown by 200 only. So that's about it. There's nothing else to read here.

Ruchi Mukhija : Nothing else, okay.

Dinesh Chandra Agarwal: It's just a statistical number.

Ruchi Mukhija : Got it. Thank you.

Moderator: Thanks, Ruchi. Thank you very much. It has been a very engaging session. I would now like Dinesh to give his concluding remarks.

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Dinesh Chandra Agarwal: Thank you, ladies and gentlemen for joining our second quarter conference call. We have tried to address all the queries in the available time and whosoever have raised hands. But still, if I could not take anybody's question, please feel free to contact our Investor Relations team, and we'll be more than happy to answer that. Wishing you all the very best on this upcoming festival times, a very, very Happy Deepavali to all of you and wishing you a very prosperous New Year for all of you. Thank you very much.

Moderator: Thank you, everyone. On behalf of IndiaMART, we now conclude this webinar. Thank you.

Notes:

1. This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings
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Call: Jan 2024

January 23, 2024

To,
BSE Limited
(BSE: 542726)

National Stock Exchange of India Limited
(NSE: INDIAMART)

Subject: Transcript of Earnings Conference Call on financial results and developments for the quarter ended December 31, 2023.

Dear Sir /Ma'am ,

Pursuant to Regulation 30(6) read with Part A of Schedule III of the Listing Regulations, we wish to inform that the Transcript of Earnings Conference Call for Analysts and Investors held on January 18, 2024 , with respect to the financial performance of the Company for quarter ended December 31 , 2023 , is enclosed herewith. The copy of transcript is also available on the Company's website at <https://investor.indiamart.com/FinancialResultsStatements.aspx> .

Kindly take note of the same.

Yours faithfully,
For IndiaMART InterMESH Limited

(Manoj Bhargava)
Group General Counsel,
Company Secretary & Compliance Officer
Membership No: F5164

Encl: As above.

Webinar Transcript

Event: IndiaMART Q 3 FY202 4 Earnings Webinar

Event Date/Time: January 18, 2024 at 17:00 hrs

CORPORATE PARTICIPANTS :

Mr. Dinesh Chandra Agarwal – Chief Executive Officer
Mr. Brijesh Kumar Agrawal – Whole -Time Director
Mr. Prateek Chandra – Chief Financial Officer
Mr. Kshitij Agrawal – Investor Relations Team

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Kshitij Agrawal : Good evening, Ladies and Gentlemen. On behalf of IndiaMART InterMESH Limited, I welcome you all to the company's Q3 FY '24 Earnings Webinar. As a reminder, all participant lines will be in a listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes.

Joining us today from the management side, we have Mr. Dinesh Agarwal, Chief Executive Officer; Mr. Brijesh Agrawal, Whole - Time Director; and Mr. Prateek Chandra, Chief Financial Officer. Before we begin, I would like to remind you that some of the statements made in today's conference call will be forward-looking in nature and may involve risks and uncertainties. Kindly refer to Slide 3 of the earnings presentation for the detailed disclaimer.

Now I would like to hand over the call to Mr. Dinesh Agarwal for his opening remarks. Thank you, and over to you .

Dinesh Chandra Agarwal : Thank you. Good Evening Everybody, and welcome to IndiaMART Q3 FY'24 Earnings Webinar. First of all, a very, very Happy New Year to all of you. As we have declared our results just a couple of hours ago, but we have circulated our earnings presentation, which is available on our website as well as on the stock exchange website. I'm sure you would have gone through the presentation, and I would be happy to take any questions afterwards.

We are pleased to report that IndiaMART consolidated collection from customers has grown by 17% to Rs. 332 Cr in this quarter as compared to Rs. 283 Cr last year. And deferred revenue has grown by 25% to Rs. 1,270 Cr on a consolidated basis. Consolidated revenue from operations has grown by 21% to Rs. 305 Cr. Our total traffic has grown to 272 million for the quarter. Unique business inquiries grew to 23 million, representing a year-on-year growth of 9% and 4%, respectively.

Total paying subscription suppliers have grown to 212 K. As communicated in the previous quarter, we continue to see more than anticipated churn on the increased customer base in the Silver Monthly and Silver Annual bucket, leading to a net addition of close to only 2 K paying subscriptions in this quarter again. Once the improvement in the churn happens, we will come back with the guidance of the net customer addition going forward.

We will continue to make investment in strengthening our organization and undertake the measures to enhance customer experience, reduce churn as well as drive deeper penetration by paying customers in focused cities.

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Now I will hand over the call to Brijesh to update you about Busy Infotech. Thank you and over to you, Brijesh.

Brijesh Kumar Agrawal: Thank you. Hi, Good Evening Everyone. Busy has done a Net Billing of Rs. 14.4 Cr in Q3, which represents a Y-o-Y growth of 21%. The revenue from operations has grown by 26% to Rs. 12.6 Cr, and the deferred revenues have grown by 47% to about Rs. 39.9 Cr. The EBITDA for this quarter is at Rs. 1.1 Cr, that's a margin of about 9% , whereas the net profit for the quarter stands at Rs. 2.3 Cr. Busy has generated positive cash flows from operations of Rs. 4.3 Cr during this quarter.

We have sold above 6 K new licenses, which make the closing count of licenses sold to 354K at the end of December 2023. The overall performance is pretty much in line with our expectations and we are focused on increasing the growth rate in this year also.

So, with this, I will hand over the call to Prateek, who will talk about the financial performance.

Prateek Chandra: Thank you, Brijesh. Good Evening Everyone. I will take you through the financial performance for the quarter ending December 2023. Consolidated Collection from Customers and Revenue from Operations grew by 17% and 21%, respectively to Rs. 332 Cr and Rs. 305 Cr. Deferred revenue

for the quarter stood at Rs. 1,270 Cr, an increase of 25% on year-on-year basis. IndiaMART Standalone Collection from Customers for the quarter were at Rs. 316 Cr and Revenue from Operations stood at Rs. 291 Cr, registering year-on-year growth of 16% and 21%, respectively.

Our growth in revenue was primarily driven by 9% increase in the paying subscription suppliers and ~11% improvement in ARPU due to higher monetization. Deferred Revenue was at Rs. 1,229 Cr, representing a year-on-year growth of 24%. EBITDA of IndiaMART standalone business stood at Rs. 87 Cr, representing a margin of 30%. Consolidated EBITDA was at Rs. 86 Cr, representing a margin of 28%. Consolidated Net Profit for the quarter was at Rs. 82 Cr.

Consolidated Cash Generated from Operations was Rs. 106 Cr. Consolidated Cash and Treasury balance stood at Rs. 2,039 Cr at the end of this quarter. Thank you very much. We are now ready to take any questions.

Question-and-Answer Session

Kshitij Agrawal : We will now begin the Q&A session. If you wish to ask a question to the panelists, kindly raise your hand and allow camera and microphone access. Alternatively, you may type your question in IndiaMART InterMESH Limited
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the chat menu and we will revert on it. Please restrict to two questions so that we may be able to address the questions from all participants. We will wait for a couple of seconds while the question queue assembles.

Moderator : First question is from the line of Anmol from DAM Capital. Hi, Anmol. Please go ahead with your question.

Anmol: Yeah, Hi. Thanks for the opportunity. So just had a couple of questions. Firstly, just want to understand the Gross Paid supplier additions for this quarter. So, Has it come to FY '23 quarterly levels? Or is there a pain there as well? and if not, then when do you think that it can come back to the previous levels?

Dinesh Chandra Agarwal: Anmol, I think on the gross side, I think we are about 1,000-odd customers away from the last year same quarter. So, I think because this particular year there was Dussehra and Ashtami and Navami on a different month and Diwali was in a different month, more on working days. So that's about it. So, I think we are just about 1,000 short of the gross addition in the last year same quarter.

Anmol: Sure. Thanks. And also just on the total paid supplier additions. So has there been any change in the strategy for the additions that is happening through channel partners? Are we focusing more towards our own salespeople for paid supplier additions given that we have seen a very strong increase in the sales employees in the last few quarters. I just wanted to understand that strategy.

Dinesh Chandra Agarwal: So, there has been one change that we are now doing. We had all our sales supervision and servicing employees on our own roles, while we had two kinds of outsourced sales. One is the channel

partner outsource sales ; the other is the DST managed outsource d sales . DST managed outsource d sales , where we have our own Area Manager, our own Branch Manager. However, the people were on different roles. So , we have been guiding all of that cost was going into the outsourced sales cost.

What we have seen is that, in general, the attrition and the joining levels and the retention in our own employees versus the people who work out of our own branches but just work on a different third - party payroll is very significantly different, and we are not gaining any advantage out of that. So we have taken a decision that we would want all of them to be now coming on to IndiaMART roles. That means and that we took the decision sometime around November, post Deepavali and since then, all the new joini ngs have been done on the IndiaMART payroll and we are also in the process of moving all the existing 1,000 odd employees, which are there on t

he third -party payroll , also to IndiaMART payroll in the next two quarters or so. So, you will see significant jump happening on that IndiaMART InterMESH Limited
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side. A little bit of a ramp -up might be happening, but not that we are going away from any channel partners or that.

Channel partners continue to be a very important and significant contributor to our new customer acquisition strategy. As I said last time, in order to control the churn, we will go and do slicing and dicing based upon the tier wise customer acquisition , based upon the monthly versus annual customer acquisition, based upon the turnover wise customer acquisition, based upon the industry -wise customer acquisition.

We have gone ahead and done a few of those implementations, where we have decided that, for Tier 3 and Tier 4, I think from a proprietorship -based businesses, there's no point acquiring customers in the monthly mo de. So , we have stopped doing that. So that a little bit tweaking that we are doing, but I don't think any big change has happened on that side.

Anmol: Thanks for the detailed answer. And just last thing that, when do we think that we can get back to 6 K, 7K sort of paid supplier additions on a net basis? Do you think that maybe one or two quarters down the line, we can achieve this number?

Dinesh Chandra Agarwal: I'm sure, but I'm afraid to commit any number as of now until unless I achieve that consistently for two quarters, I will not be able to say. So generally, quarter four is always bullish in India for everybody and for us also, you see it has always been bullish. So , we might see some improvement, but then quarter one is very bearish so, I think anything on a consistent basis, let's wait for Q2 of next year or Q3 of next year.

Anmol: Sure. Thanks. That's it from my end.

Moderator : Thanks, Anmol. Next question is from the line of Nikhil Choudhary from Nuvama. Hi, Nikhil. Please go ahead with your question.

Nikhil Choudhary: Hello . Thanks for the opportunity. My first question is regarding the Collection growth, which is like 16%, 17% this quarter for consol and standalone business. This is lower than what we have seen in last four, five quarters, and generally the trend has been more than 25% plus. So , anything to read here? Is it just one quarter downturn, and we expect it to be back to 25% plus trajectory from quarter four?

Dinesh Chandra Agarwal: Yeah, Nikhil, as you can see, the customer growth is slowing down and it's been three quarters consistent. Last two quarters, we have added only 2 K customers and even in quarter one, we added only 5 K customers. So, I think that would have some effect. But should it have gone down below 20% or gone to 16%, 17% is surprising and we are working on that to find out the exact scenario
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of why it has gone down to 16%, 17%. Is it one-off due to the holidays or one-off of certain divisions or something? But I think, yeah from 25%, you're definitely going to see us coming more like 20% collection growth going forward until and unless we improve on the customer growth. And as we can get back to our 6 K customer growth or 5 K customer growth per quarter, I think you will see more like 20% collection growth rather than 25% collection growth. Because 25% collection growth has been coming on the top of 7 K, 8K, 9K customer growth. So, I mean, obviously, with 2 K customer growth, that's not possible.

Nikhil Choudhary: Understood. Second question is regarding the Registered Buyer growth or Unique Business Enquiry, which is clearly growing at a much slower pace, single-digit on Y-o-Y basis, right? A couple of quarters back, you mentioned that if the registered buyer do not increase materially by end of FY'24, then you will be concerned, right?

So, in terms of Business

Enquiry, we haven't seen much material jump. Where I'm coming from is that if you see the metrics in Unique Business Enquiry per supplier, that metric is going down and back to pre-COVID. So, I just want to understand what's happening there. Any action you have taken to increase the number of Enquiry growth per se?

Dinesh Chandra Agarwal: Yes. So, the traffic has grown by about 9% year-on-year and the Unique Business Enquiries have also grown by about 5-odd percent. In terms of increasing the unique business inquiries, I think we have found a few experiments that have worked in the past couple of weeks that should be visible in times to come. We are experimenting with another call to action like WhatsApp kind of a call to action on some pages on the mobile website and that seems to be working. So, I don't think anything much to read here from '23. I mean if you already see from pre-COVID, we are still much better, and we are fine here. I think we should be able to reach 25 million in times to come.

Nikhil Choudhary: Sure, very helpful. Good luck for coming period. Thank you so much.

Moderator: Thanks, Nikhil. Next question is from the line of Abhishek Bhandari from Nomura. Hi, Abhishek. Please go ahead with your question.

Abhishek Bhandari: So, I was saying in the last quarter, you had said you had effected the price increase on 10% of your silver monthly user base. What is that new percentage now at the end of third quarter?

Dinesh Chandra Agarwal: I think by now almost 23% of our silver monthly customers are on newer price and as I said 50% of the customer base is platinum
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and gold, and rest is divided half and half between the silver monthly and silver annual. So out of the 25% total customer base, i.e., about 50K total customer base, I think about 20 K is already on a newer price model.

Abhishek Bhandari: Got it. Thank you. The second question is you mentioned you are trying to get some of these third -party outsourced people to your own payrolls for better efficiency purpose. Does it also have any cost advantage to you from a medium -term perspective?

Dinesh Chandra Agarwal: Not really. I think we have negotiated that outsourcing model at a couple of hundred rupees per person per month. I think we'll actually pass it on to the employee themselves.

Prateek Chandra: So, from a cost standpoint, it will be pretty much neutral. I mean we have currently that cost as a part of an outsourced sales and I think once all these approximate ly 1K people move to our payroll, it would shift by approximately Rs. 10 Cr every quarter from outsourced sales to our manpower cost.

Abhishek Bhandari: Got it . Thank you and my last question is on your fourth quarter margin outlook, should we expect a similar seasonality in margins as we expect every year, in the sense that you g ive on salary increments to your employees?

Dinesh Chandra Agarwal: Yes. So salary increments have already happened. The letters are on their way out. They happen generally with effect from January, this time we have done it with effect from 1st December. Also, the March quarter, in general, the collections come up front heavily. So that's why there is upfront cost, which result s into the lower margins based upon the recogni sed revenue. So , you can expect the similar seasonality coming in the march quarter.

Abhishek Bhandari: Thank you. My last question, if I can squeeze one more. Your experiment of raising price increases on the lower end pack has led to some increased churn and India being India, where there's so much of sensitivity to prices, do you think longer term in your business model, you should be working more towards higher ARPU increase and worry less about subscriber addition? Or you think, at some point, I mean, wh at the math you are comfortable with, let's say, yo

u're targeting 20% growth long term? If you could break down what comfort you have on ARPU growth, what comfort you have on subscriber addition growth, more from a medium -term perspective not nearly next one or two quarters?

Dinesh Chandra Agarwal: Yeah, on the medium term, I think I've already said, the best would be in excess of 10% growth in both. Ideally speaking, if you want to get to 25%, if you see in the past, whenever we got to 25%, it has been 15% to 18% on the customer growth and 6% to 8% on

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the ARPU growth. I think given that the size has increased by now. But still, at 2 K customers, we have just 2% of overall businesses in India, which are GST registered and properly filing.

Given that in certain cities where we have good penetration, our penetration levels are as high as 4% to 5% already. So why should the customer growth be constrained at this point of time. I'm sure we would have done, because as we have grown from pre -COVI D base of Rs. 700-odd crore collections to now Rs. 1,400 -odd Cr collection run rate, I think and we have decentrali sed a lot of operations and

everything, I'm sure we will find more opportunities to fix slackness in the system, and at this scale of network effect, even find more opportunities in the product to make it work better. So, I don't think we should be looking at anything lower than 10% either side. So, I think our long-term math, long-term means medium-term math should still be 15% to 18% customer growth and 7% to 10% ARPU growth. So, I think we will continue to strive for that. I don't see any reason not to happen.

Abhishek Bhandari: Got it. Thank you and all the best.

Moderator: Thanks, Abhishek. Next question is from the line of Abhishek Banerjee from ICICI Securities. Hi, Abhishek, please go ahead with your question.

Abhishek Banerjee: Just first question on the productivity bit, what is your outlook on that? And recently, one of your competitors actually spoke about using AI tools to do processes which were being done manually till now, so is there any room for you to do something similar?

Dinesh Chandra Agarwal: Multiple, I think there's always room to do more optimization, more automation and if you go to a margin lever slide, you will see how margins have expanded over a period of time and gross margin have come back to the better than pre-COVID time. In pre-COVID, for the full-year of FY '20, we got 70% gross margin, we are already at 71%, 72% gross margin and I think there is always a possibility wherever there are larger-scale people operation to do automation and this is an ongoing process. This is not something that we need to announce. So, I think we'll continue to have that improvement done. But at the same time, as the scale increases, you invest in people at decentralized management level and other level. So, I think those become typically neutral at 72% gross margin or 75% gross margin.

Abhishek Banerjee: Okay. So does that mean that going ahead next year, at least, we should see the employee benefits as a proportion of revenues start coming off?

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Dinesh Chandra Agarwal: Possibly, yes. Will that happen at the top of the pyramid, possibly no. Because as we will decentralise further, we would want more state heads to manage their own P&L. So probably, we are going to save at the bottom the pyramid by doing some automation. But at the same time, we are going to invest in making the company more resilient so that as we have grown in the last five, seven years from Rs. 200 Cr, Rs. 300 Cr to Rs. 1,000 Cr plus, how do we grow from here Rs. 1,000 Cr plus to Rs. 3,000 Cr plus. And for that, what kind of management and what kind of systems and processes are needed. So we will reinvest that, because I don't think we will

I be
chasing EBITDA margin by saving that 1% or 2%.

Abhishek Banerjee: Understood. So, if I look at the employee expenses this quarter, right, I see a huge jump in employee expense per person. Is that because of the hikes that was taken from first of December? As in if I take that increment?

Prateek Chandra: You are right. So if you see year-on-year, the employee expenses would have gone up by roughly around 28%. And one of the reasons is that we have taken the hike in December that what we used to do in January. So it is not there in the corresponding base of December last year.

Abhisek Banerjee : Got it. But that would also mean that the sequential decline that is characteristic of your Q4 numbers, that will be less sharp this year around, right?

Prateek Chandra : I'm sorry, sequential decline in employee expenses, you're saying, Abhisek?

Abhisek Banerjee : So overall, there is a sequential decline in EBITDA margin in Q4 over Q3, right? That is a trend. Now given you have moved one month earlier in your hike cycle, that would mean that the sequential decline in EBITDA margin in Q4.

Prateek Chandra : Yes, you're right.

Abhisek Banerjee : Understood. So that decline will be lesser. Fair enough. What was the strategy behind moving forward the increments ? Are you trying to do a change in your reporting year , sorry, I mean employee expenses? Is it going to move forward further going ahead? Or you're going to stay here?

Dinesh Chandra Agarwal: No. 1st January used to become very difficult. We used to make Annual Operating Plan. We used to prepare for a bumper quarter four. And also doing 4,000 - 5,000 reviews used to become difficult, so we preponed it by one month because the amount of work used to be too much. I don't think it is going to be a regular affair or change. Let's see how it goes.
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Abhisek Banerjee : Understood. So now if I talk about the gross additions number, right, that I'm guessing would be similar to what , I mean at least broadly similar to what it used to be, right? Now where are we seeing this gross addition coming from? You had spoken about how in Tier 2, Tier 3 cities, you had seen a sharper churn . So, I'm guessing you would have kind of slowed your gross additions from Tier 2, Tier 3 also or at least from those areas. So , I'm just trying to understand what is compensating for those gross additions?

Dinesh Chandra Agarwal: Yeah, so as I said, last we met was end of October, and I said I will go back to the drawing board . We have just implemented that Tier 3 and Tier 4, we will steadily go one by one, one cent re by one cent re. So, it has not yet come into effect fully. Sometime by the middle of the quarter, it will come. It is not just from tomorrow on nothing on that side. So by and large, things are smoother rather than one fine day, you're cutting the entire Tier 4 or entire Tier 3. That's not how we do it.

So I think currently, as always, most of the customer acquisition ,60% of the customer acquisition has always been in the top tier cities and another 25% coming from the Tier 2 and Tier 3 and Rest of India has always been 10%. So , we have not stopped completely.

Abhisek Banerjee: Understood. Now just one thing here. In Tier 3, Tier 4, from the experience of some of your competitors, generally, the churn is high. But it is not like people churn out for lifetime, it is often that they come back after one, maybe six months' time. So , are you seeing something like that also happening in Tier 3, Tier 4? Or you have not seen anything like that?

Dinesh Chandra Agarwal: I mean, the numbers are so small that getting into those is so small. And that is the exact reason , we're not saying that we are not going to acquire if somebody is coming. We are simply saying that

we are not going to acquire it on a monthly basis where

our cost of customer acquisition upfront is higher than the money that we realise. Okay. So that is why we are saying that we will move to a more annual subscription for a proprietorship firm in the Tier 3 and Tier 4.

Abhisek Banerjee: Got it. So, the outsourced sales partners will continue to exist for Tier 3, Tier 4. However, they will not be giving you monthly sales customers, where the cost is not making sense as per you as of now?

Dinesh Chandra Agarwal: First of all, let me clarify. All the sales partners are in Tier 1 and Tier 2 cities. Maybe a couple of them are in Tier 3. Whatever we are talking is of Tier 3 and Tier 4. So, Tier 1 and Tier 2, all the partners, everything remains as it is. No change as of now has been implemented or we are planning to. So, we will go very, very slow
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there, if at all, we have to make any change. We are very sensitive to any partner coming in or going out like that.

On the Tier 4, most of the acquisitions happened either inbound or telesales. It was not field sales at all. I don't know, maybe there is a city on the border line of Tier 2 and Tier 3, falling in Tier 3, so it is called Tier 3. But otherwise, by design, we do not have any physical presence in the Tier 3 city.

Abhisek Banerjee: Got it. In terms of these Tier 3, Tier 4 cities, you have obviously spoken about some cities/towns, which were a surprise on the negative side. But where some cities or towns which were a surprise on the positive side as well, if you could talk a little bit on that?

Dinesh Chandra Agarwal: No, I don't have much data to talk on that. Thank you.

Abhisek Banerjee: Fair enough. And just one last question from Brijesh, could you please explain how things are progressing with Busy? And if you are making any additions to your team there?

Brijesh Kumar Agrawal: As I mentioned, in terms of our growth rates of billing, customers, I think they are doing fairly fine there. We have also hired senior folks to look at sales, service, and marketing. So, the team also have been strengthened with some senior level hires in those key areas.

Abhisek Banerjee: Understood. That's very helpful. Thank you so much.

Brijesh Kumar Agrawal: Thanks.

Moderator: Thanks Abhisek. Next question is from the line of Vivekanand from Ambit Capital. Hi, Vivekanand. Please go ahead with your question.

Vivekanand: Thank you very much for the opportunity. So, my first question is on the elevated churn at silver monthly levels. Dinesh ji, what exactly is the problem here? Is it because of the acquisition aggression that you did in smaller towns? Are there any specific geography issues? Or is there any servicing issue of the silver monthly users? Could you elaborate on that? Because I couldn't quite understand what the problem is that, because last time we met in October, you said that you are going back to the drawing board and I'm sure by now you would have picked up some cues that would help you answer this question better.

Dinesh Chandra Agarwal: Yeah, Vivekanand, I think all of this if it was a one single piece

that something has gone wrong, it was much easier to identify. I think what we did post July 2021 when we saw two COVID waves and everything happened and all that, then we expanded quickly over the next 18 months or so and that whole expansion led to almost

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double the employee count from 3,000 to 6,000, going higher (double) the channel sales partner also. Also, the servicing staff also is a lot of newer staff. Many of the customers and the brand has run quite ahead, everybody thought that online is the way to do business. So, everybody wanted to try online after the COVID.

So, I think a couple of many things, and each one of them in our case, a 30% plus churn is bad and

a 20% is very good. So, I think margin of error is only plus/minus 5%, where you become great company or a bad company and I think it's just 1% or 2% each, and that's what we are trying to correct and I'm pretty sure, because if there was any problem in product and technology, if there was any problem in demand, we would have seen issues at the gold and platinum and all the KPIs of the gold and platinum, all the KPIs of the supplier engagement continue to remain very, very strong.

So, as I said last time also, close to 50% of our customer base, around 48%, 49% and close to 75% of the revenue which is 72%, 73% exactly I checked yesterday, is coming from gold and platinum and their ARPU is also increasing quarter-on-quarter and their churn is also almost running near the best ever since even from pre-COVID level. So, effectively, the top 10% customer, while the overall ARPU has grown 11%, top 10% customer ARPU has grown by almost 13%. So, I don't think there's one big problem. I think it is the small, small things, training the people, getting the processes right, the size right, and as I said, it will take 2-3 quarters, and we'll be back at a higher growth trajectory soon.

Vivekanand: Fair. I think those observations are very pertinent. Thank you for elaborating. From a servicing standpoint, since you had previously also mentioned that your aspiration was to have that number, the number of paying suppliers to the servicing employees come down so that you could provide better service. But we are not yet seeing or rather your company isn't yet seeing the benefits of this investment made in the sales supervision and servicing employees, by when do you think that these employees that you've added for servicing, they start contributing meaningfully, either in terms of getting more upgrades, which will reflect in your collection's growth or reduced churn, which will obviously reflect in the net adds?

Dinesh Chandra Agarwal: Yeah, so Vivekanand it is not that it has not resulted into better across all the segments. So, if you really see our key customers - gold and platinum segment, if we didn't hire the employees to this level, we would have left certain revenue on the table and the entire ARPU growth that you see in the gold and platinum segment is definitely the investment that we made on the people side, which we had not made during the COVID time.

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Yes, the major headcount investment has happened on the silver monthly and silver annual, and that is where we are since there is very little to show you in terms of either ARPU or in terms of churn.

But I am sure that will be visible, and that will be visible soon. But whatever investment that we have done on the gold and platinum side, that has definitely given us a comfort, because without that, we would not have been able to drive even the ARPU's like this.

Vivekanand: Okay. Thank you for the elaborate discussion and all the best.

Moderator: Thanks, Vivekanand. Next question is from the line of Rahul Jain from Dolat Capital. Hi, Rahul. Please go ahead with your question.

Rahul Jain: Just one bit on this subscriber addition side of the story. We like your confidence on what kind of growth, this kind of a platform in this kind of a market can deliver. But if you see what essentially some of the underlying trend that should support this kind of thing are actually playing out in the market in terms of India as an end market, how we are doing as a country, how we are getting more and more organized, and how more and more digitized we are going into our system and behaviour. But why, at least for now, we are not seeing those trends percolating into the kind of an outcome that we desire?

Dinesh Chandra Agarwal: I think I already answered that. We have grown rapidly in the last two years, and we need to manage that growth efficiently.

Rahul Jain: Right. And just one more thing. Since we have a much lower penetration in terms of registered supplier to paid supplier ratio, and we may be following the activities of potential registered supplier who could turn into a paid supplier given the activity increase that they are seeing at their end in terms of consuming lead and other things. Is it that the action which needs to be done on that part of leveraging that cohort and converting them into paid suppliers, that part needs to be improved to a much better outcome? Is that something that we can work on?

Dinesh Chandra Agarwal: I don't think our gross additions has been much of a challenge. I think it is the churn, and it is the first six, nine months first year churn, the 12-month retention and it is always true with every marketing platform that you see for SME business. So, whether it is Google or whether it is Facebook or whether it is Amazon, whether it is Alibaba, the number of people that try on any marketing platform are in the first year, generally very, very high, and the retention rate at the end of the year is low.

While once they learn how to utilize the digital marketing platform for their business for the segment, they end up becoming an ambassador for that segment, and they're becoming the leader in the IndiaMART InterMESH Limited
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times to come so similar thing is visible in our case also. The first year, the churns actually come down by half every year. So, if the first-year churn is 50%, and that will come down to 20%, 25% next year, and come down to 12.5% the third year. So, I think we need to constantly find the right kind of suppliers and find the right kind of tools to educate them properly. There is no question that the penetration levels will go to 10% in the next decade or so.

Rahul Jain: Right. My small slight part of the question is not getting addressed here. What I was trying to also understand is that when we are going for the gross addition, this is a much larger universe that we are chasing. But there could be a subset of that universe, a cohort, which may be using our platform far more effectively in an unpaired scenario, and the probabilities of those people benefiting out of a

paid subscription would be relatively higher. So, is that cohort is something which is fructifying better?

Dinesh Chandra Agarwal: I mean that you are pointing it again and again, we'll go back and see. But I think all our hot lead generation, all our prioritization, all our AI and ML, all our segmentation does day in, day out this only which are these free sellers, which are getting more enquiries, which are the free sellers which are getting better engaged with our platform, and that is how we learn, which cities are doing well, which industries are doing well, which kind of turnovers are doing well. So, we have all kind of segmentation data, which we track in detail. But if you're saying that there could still be some segments which are, which could be left out, we will definitely go back and take your suggestion to see if there is something left out.

Rahul Jain: Great. Thanks a lot and congratulations on strong margin improvement. I hope that this trend continues on an annualised basis.

Moderator: Thanks, Rahul. Next question is from the line of Swapnil from JM Financials. Hi, Swapnil. Please go ahead with your question.

Swapnil: Hi, Thanks for the Opportunity. So, my first question is with respect to the categories, if you can call out where the churn is significantly higher right now and a follow-up to that is, where do you think the churn to customers are going right now? I mean what are the other alternatives that these guys have, apart from IndiaMART or what else are they doing? That will be the first question. Thanks.

Dinesh Chandra Agarwal: So, on the industry side, you

will see that services industry, we are still not very good. Certain very consumer-rich industries like apparel, we are still not very good. Despite the fact that it is one of the very large industries, we are still not very good. Agro Food vegetables, such a large category, we are still not very good, and the churn is always very, very high on these kinds of segments, which despite the fact being such a large category, continue to remain at IndiaMART InterMESH Limited
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number 10 and number 15 in our category list. That doesn't change much.

I won't say that the medical as a category has increased churn, because whatever was to happen, that has already happened in the past three, four quarters. Because whatever came during the COVID time, that is now nullified. Now coming to the city side, certain city clusters, again are more susceptible. Earlier, we had seen Tirupur like that, now we are seeing Surat like that. So, I think not fair to call out names here, but I think we do take segment-by-segment to check out which particular segment is causing higher churn and why and we try to fix that by doing category work so that we can improve the matchmaking better. We try and talk to 10 different suppliers, 10 different buyers, what can we do better so that they can keep coming back to the platform. So, we do all that. What was the second part of the question?

A lot of these customers are the first-time clients. I think a few of the customers, because at the end of the day, there are only four, five large platforms that I can think of, and I name them all the time, between IndiaMART and Google and Amazon and Justdial, these are the four big ones.

Prateek Chandra : Facebook.

Dinesh Chandra Agarwal: Yes, and Facebook and WhatsApp and Instagram. So, between these five people, by and large, they move. There could be certain very specific verticals here and there, where those people might be trying, but I haven't seen any vertical gaining significant momentum so far.

Swapnil: Got it. And the second question related to the churn again, is like do you think limited real estate that we have on the platform could be one of the reasons for this churn? Because typically only a limited number of suppliers can come on the first page of any search page. And especially for silver category customers, the lead visibility will always be low. And therefore, the ROIs for them may not be meaningful and that may be one of the reasons that the churn rate for them is quite high and if that is the case, is it?

Dinesh Chandra Agarwal: Yeah, I understood your question. So, if we were a one way matchmaking platform, if we didn't have a RFQ system, then you are right. Whether it is Google or whether it is an Amazon, only top 10 people end up getting the 90% of the business and everything. But since we introduced the RFQ model back in 2012, I think the entire situation changed dramatically, where every buyer is up for grab by all kind of sellers, whether he is a silver or whether he is a gold or whether he's platinum. The only limitation is the number of
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buyers that can be grab onto. So, it is not purely and purely buyer led.

So, one side of the matchmaking, you are right. People pay us money in the platinum and gold to come up, it's because more buyers can see them, that's like a traditional advertising model. But with the RFQ system, we ensure that each and every seller, if he's active on the platform, if he's vigilant, there is no preference given to the platinum supplier against the silver supplier that he cannot consume a buylead or an RFQ. And that is when our model start to scale. So if we have been able to scale to this level, it is because of that. Otherwise, you are right. If you have 100 K categories, you have only limited real estate

of top three, five, ten people to be monetised.

Swapnil: Just a follow-up question to that. And this is basis a limited research of mine. The interaction that I have had with the different category of customers, that suggests that your platinum and gold category customers ROI is significantly better and they're quite happy. But silver category customers typically tend to be, they do get certain leads, but obviously, the conversion rates and the ROIs for them are significantly poor. And then that's broad feedback.

Dinesh Chandra Agarwal: It is the other way around. Those who are engaged better with the platform, they find the ROI so good that they become gold and platinum. The ones who are not engaged better with the platform, they don't find enough value and they don't become the gold and platinum.

Swapnil: Okay. Got it. Thanks for the opportunity.

Dinesh Chandra Agarwal: Because if we just become a gold and platinum subscriber at IndiaMART and not do the lead follow-up and not consume the RFQs, you are more likely to get worse ROI than an engaged silver customer.

Swapnil: If I were just to ask that point again, what happens given that the current year churn is very high, the number of people in silver

category, obviously are not those who can move to the higher categories immediately. Like we said in the past that it takes a year or year and a half for these guys to move to the higher category. So should that reflect on your premiumisation for next one or two years, the impact of the current year's inability to grow the silver customers?

Dinesh Chandra Agarwal: Not really. In fact, if the gross addition was the reason for not growing the base, then you are right. But if the churn is the reason for not growing the base, then this doesn't hold true. Because by the time of six, nine months, either the customer will churn or will stay, and if he'll stay, he will upgrade better.
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So, I think our opportunity to upgrade typically has a top quartile customers, while the churn comes from the bottom quartile customers. And then there are in the middle, there are trendsetters who neither upgrade nor churn, but continue to remain in the same category. So, I don't think the upgrade potential is very much directly linked with the churn lead growth. Yes, if it was the gross addition lead growth, you are right.

Swapnil: Got it. Thanks a lot for the opportunity. All the best.

Moderator: Thanks, Swapnil. Next question is from the line of Anirudh Shetty from Solidarity Investment Managers. Hi, Anirudh. Please go ahead with your question.

Anirudh Shetty: Thanks for the opportunity. I have two questions. So, my first question was essentially on just buyer behaviour, given that fundamentally drives traction on the platform, given that we have a fairly sizable number of registered buyers already around 16 - 17 Cr buyers and the number of active buyers has kind of remained flat. So, what is your broad sense around the usage of IndiaMART by potential buyers in India? Would you say that we're at a fairly mature stage or there's room to go even further? And what is the strategy essentially? Is it to get more buyers on the platform, get them to be more active, get more inquiries for buyer? If you could just share granularity around that, given that it's very important to our business?

Dinesh Chandra Agarwal: Both, I think one is to attract newer buyer on the platform. So, if you see when the total registered buyers every quarter, they grow by 5-6 million. So that is the new registered buyers that came in. And then how much they can come repeatedly. Currently, we say 90-day repeat ratio is 53%, which is maybe just once in 90 days, one or more time. But if I see how many two or more time or how many three or more time, that number is very little. We have to work on that

. For people who have used IndiaMART for three or more times, they become the perfect audience of IndiaMART, every time they need something B2B, they don't forget to check out IndiaMART. But for most buyers to have a first experience and very good experience, and then becoming a top of the mind recall, that journey is still under progress. Over the next many years or so, I think the number of new buyers, which we can attract will probably become slower and slower.

While the 12 months active base may not increase dramatically from 40 million to maybe 80 million, but the number of times they're coming in. So, the most important number is unique business enquiry i.e., how many people came and enquired in a unique day,

because this unique business enquiries is , if I come out of these 90
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days three different days, these are the three different unique business enquiry. So how many days do I come to IndiaMART and send the enquiry for a different product, that's the final number to be looked at. And that number, if you see, has been growing at 20 -odd percent. But can this grow at much, much faster rate than the CAGR level , why we are not able to do that across so many categories and across so many cities, is what we work day in, day out.

Anirudh Shetty: From the customer's viewpoint, is the buyer looking for products that are very bespoke, very discrete, such that their consumption for such products will be actually very infrequent? Or are they actually more like the repeat type of buyers who kind of needed at more frequent rate? Just to understand the enquiry .

Dinesh Chandra Agarwal: On IndiaMART , most of the time, the first time they buyer lands is probably because he's looking for something which he could not find typically in his neighbourhood or he's looking for a price or he's looking for a customi sation. So , these are the three things for which the customer comes for the first time. But then he reali ses that all the three things are very good here at IndiaMART. If he reali ses that and if he reali ses that 3 times in a row, then he becomes our regular buyer. But making him reali se for the first time that , for many of these people, many of these buyers, it could be very overwhelming. Suddenly , there are so many suppliers, so many products, whom to talk to, price are 30%, 40%, 50% cheaper than a retail platform , how to get it done , is a challenging and overwhelming opportunity for a buyer and seller, both. So , getting the first experience right in varied categories as apparel versus machinery, versus nut bolts, versus vegetables, versus pharmaceutical is a challenge for a horizontal marketplace. But at the same time, the horizontal marketplace gives you the strength that today, he might have come for a nut bolt, tomorrow he might come for the entire machine , day after tomorrow, he might be able to come for furniture and next time maybe for apparel.

So, I think there is an advantage and disadvantage both of being a horizontal and being a vertical marketplace . We have been both. At Tolexo we have been a vertical with full transaction platform , and at IndiaMART, we have been a horizontal. It takes a really, really long time for a horizontal to feel like a successful repeat platform. It takes very quickly for a vertical to do that. But at the same time, the number of total buyers that you can attra ct, the number of total sellers that you can attract is ve ry, very limited, so the revenue opportunity is lower. So , I mean that is what we keep learning and trying to do every day.

Anirudh Shetty: Absolutely. And just one final question. We are exploring Tier 3, 4 cities, towns, and you mentioned it's a long process. But I wanted to understand that finally for the suppliers there, we think that the value
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proposition for IndiaMART is strong and their ability to kind of cater to buyers' requirements exists or other constraints around just the infra being underdeveloped or them being so deep in the hinterlands that the logistic cost, doesn't make sense. So , what are the challenges that you think you could face in these markets that

weren't there in the mid -Tier 1 and Tier 2?

Dinesh Chandra Agarwal: So, if I heard you right, you're saying that are we going for Tier 3, Tier 4 suppliers. We are actually retreating from Tier 3, Tier 4 suppliers. We are actually focusing more on Tier 1 and Tier 2 suppliers. On the buyer side, you are right, because a lot of value because of the large availability, the prices on IndiaMART attract a lot of Tier 3, Tier 4 buyers. And the logistics as well as the payments, as well as the trust, all three are the challenges. And we try and build trust, we try and build discovery, but I think payment is straight forward today, if you want to pay in advance or if you pay later. But how do you pay escrow and how do you do that, that remains a challenge. So, I think currently, a lot of Tier 4 buyers use us as a price discovery platform and maybe try to still buy it from their local vendor or somebody. But there are all kind of mix possibilities here.

Anirudh Shetty: Got it. Thank you for answering the question.

Moderator: Thanks, Anirudh. Thank you very much, everyone. It has been a very engaging session. I would now like Dinesh to give his concluding remarks.

Dinesh Chandra Agarwal: Ladies and gentlemen, thank you very much for asking very deep questions this time. This has been truly enjoyable today. We have tried to address your queries in the time available. But if you still have any questions, please free to contact our Investor Relationship team on our website. And have a great new year ahead. Thank you very much. Bye.

Moderator: Thank you, everyone. On behalf of IndiaMART, we now conclude this webinar. Thank you.

Notes:

1. This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings
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Call: May 2024

May 07, 2024

To,
BSE Limited
(BSE: 542726)

National Stock Exchange of India Limited
(NSE: INDIAMART)

Subject: Transcript of Earnings Conference Call on financial results and developments for the quarter and year ended March 31, 2024

Dear Sir/Ma'am ,

Pursuant to Regulation 30(6) read with Part A of Schedule III of the Listing Regulations, we wish to inform that the Transcript of Earnings Conference Call for Analysts and Investors held on April 30, 2024, with respect to the financial performance of the Company for quarter and year ended March 31, 2024, is enclosed herewith. The copy of transcript is also available on the Company's website at <https://investor.indiamart.com/FinancialResultsStatements.aspx> .

Kindly take note of the same.

Yours faithfully,
For IndiaMART InterMESH Limited

(Manoj Bhargava)
Company Secretary & Compliance Officer
Membership No: F5164

Encl: As above.

Webinar Transcript

Event: IndiaMART Q 4 FY2024 Earnings Webinar

Event Date/Time: April 30, 2024 at 17:00 hrs

CORPORATE PARTICIPANTS :

Mr. Dinesh Chandra Agarwal – Chief Executive Officer
Mr. Brijesh Kumar Agrawal – Whole -Time Director
Mr. Prateek Chandra – Chief Financial Officer
Mr. Avijit Vikram – Head Investor Relations

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Avijit Vikram : Good evening, Ladies and Gentlemen. I'm Avijit Vikram , Head of Investor Relations . On behalf of IndiaMART InterMESH Limited, I welcome you all to the company's Q4 and FY 2024 Earnings Webinar. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Joining us today from the management team , we have Mr. Dinesh Agarwal, Chief Executive Officer; Mr. Brijesh Agrawal, Whole - Time Director; and Mr. Prateek Chandra, Chief Financial Officer. Before we begin, I would like to remind you that some of the statements made in today's call may be forward -looking in nature and may involve risks and uncertainties. Kindly refer to Slide No. 3 of the earnings presentation for the detailed disclaimer.

Now I would like to hand over the call to Mr. Dinesh Agarwal for his opening remarks. Thank you, and over to you sir.

Dinesh Chandra Agarwal : Good evening, everyone and welcome to IndiaMART's FY '24 earnings webinar. We have circulated our earnings presentation, which is available on our website as well as on the stock exchange website s. I'm sure you would have gone through the presentation, and I would be more than happy to take any questions afterwards.

I'm pleased to report that IndiaMART has delivered a Consolidated Collections from Customers of Rs. 484 Crores in Q4 and Rs. 1,474 Crores in the full -year representing a year -on-year growth of 16% and 21%, respectively. Deferred Revenue grew by 24% to Rs. 1,440 Crores on Consolidated basis. Consolidated Revenue from Operations has grown by 17% to Rs. 315 Crores for the Q4 and 21% to Rs. 1,197 crores for the full year.

Unique Business Enquiries have also shown some good growth this year to 24 million representing a YoY growth of about 14%. Total Paying Suppliers have grown to 214 K. The Net paying supplier addition was slightly improved from about 1 .8K suppliers last quarter to 2 .7K suppliers in this quarter. As we have been communicating since the last two quarters, we continue to see more than anticipated churn on first year silver customers. Our Platinum and Gold customers, which constitute approximately 50% of our customer base and 75% of revenue, continue to have very low churn and continue to grow healthily in terms of ARPU as well as numbers both. As soon as we see improvement in the churn on the silver customers, we would come back with a better guidance on net addition per quarter.

As we continue to strengthen our organization and leadership, we are set to welcome Mr. Jitin Diwan , who would be joining us as CFO IndiaMART InterMESH Limited
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designate from May 15th and would take over the role of CFO from June 15th. Mr. Prateek Chandra , who has been with us as Chief Financial Officer for almost nine years now, would move on to become the Chief Strategy Officer and focus more on inorganic growth, including exploration of mutual synergies between IndiaMART and its investee companies.

Now I will hand over the call to Brijesh to update about Busy Infotech. Thank you, and over to you, Brijesh.

Brijesh Kumar Agrawal: Hi, good evening, everyone. Busy has done a Net Billing of Rs. 18.1 crores in Q 4 and Rs. 69.7 crores in the full year. This represents a year -on-year growth of 29% and 45% respectively. The Revenue from Operations, grew by 24% year -on-year to Rs. 14.4 crores in Q4 and it grew by 23%, to Rs. 53.3 crores for the entire year. The Deferred Revenue has grown by 59% to Rs. 43.5 Crores. Busy has also generated positive cash flows from operations of Rs. 6.1 Crores during the quarter and Rs. 24 Crores for the full -year. During the quarter, we also sold 9 .5K new licenses, taking the total count of

licenses sold to 3 64K. The new licenses sold during the entire year are approximately 33 K.

The overall performance has been in line with our expectations and we are focused on maintaining our growth rate in the coming year as well. With this, I will hand over the call to Prateek so that he can discuss about the financial performance.

Prateek Chandra : Good evening, everyone. I will take you through the financial performance for the quarter and the fiscal year ending March 2024. Consolidated Collections from customers was Rs. 484 Crores in the fourth quarter and Rs. 1,474 Crores on a full year basis, representing a year-on-year growth of 16% and 21%, respectively. India MART Standalone Collection from Customers for the quarter were at Rs. 465 crores and for the full year were at Rs. 1,399 crores, registering year-on-year growth of 16% and 20%, respectively.

The Standalone Revenue from Operations stood at Rs. 299 crores for the quarter and Rs. 1,139 Crores for the full year, registering year-on-year growth of 17% and 21% respectively. Our growth in revenue was primarily driven by a 6% increase in paying suppliers and 10% improvement in ARPU due to higher monetization. Deferred revenue stood at Rs. 1,440 crores, an increase of 24% on YoY basis.

EBITDA of IndiaMART standalone business stood at Rs. 90 crores for quarter four and Rs. 334 crores for the full year, representing a margin of 30% and 29% respectively. Consolidated EBITDA was at Rs. 88 crores for quarter four and Rs. 331 crores for the full year representing a margin of 28% for both the periods. Consolidated net profit for the quarter was Rs. 100 crores, which included one-time IndiaMART InterMESH Limited April 30, 2024

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net fair value gain of Rs. 29 Crores on account of revaluations of few of our investments, primarily Pro smart due to their recently concluded fund raise activity.

Consolidated cash generated from operations was Rs. 260 Crores for quarter four and Rs. 559 Crores for the full year. Consolidated cash and treasury balance stood at Rs. 2,340 Crores as of March 31, 2024. Board of Directors have also recommended a final dividend of Rs. 20 per equity share for fiscal year 2024 subject to approval of the shareholders at AGM. Thank you very much. We are now ready to take any questions.

Question -and-Answer Session

Avijit Vikram : We will now begin the Q&A session. If you wish to ask a question to the panelists, kindly raise your hand and allow camera and microphone access. Alternatively, you may type your question in the chat menu and we will revert on it. Please restrict to two questions so that we may be able to address questions from all the participants. We will wait for a couple of moments while the question queue assembles.

Moderator: First question is from the line of Vivekanand from Ambit Capital. Hi, Vivekanand , please go ahead with your question.

Vivekanand Subbaraman : Yeah. Hi , thank you for the opportunity. This is Vivekanand from Ambit. So , my two questions. The first one is on collections. The last two quarters, we have been seeing that the standalone collections have been growing at 16 % year-on-year, materially below the trajectory, the 20% plus trajectory, that

Dinesh, you keep highlighting. I understand some of this could be due to churn, which may be temporary. But your aspiration was to grow collections at 20 % to 30% CAGR and now collections is growing at a materially slower pace. So just wanted to get your thoughts on the extent to which the market is penetrated, and are there any other challenges that you see that are perhaps symptomatic of this issue, which is obviously a very big one for investors.

The second question is on the margin trajectory. We are seeing that the margins are improving. Costs seem to be under control, not growing at the same pace as before. Could you help us think through the margins for the standalone business over the next two, thr

ee years and the key levers? Thank you.

Dinesh Chandra Agarwal : Thank you, Vivekanand. Yes , you rightly highlighted th at last quarter our collections grew by 17% and this particular quarter, our collections from customers grew at 16%. So, as you rightly highlighted, that the number of customers, net customer addition has IndiaMART InterMESH Limited
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not been growing for the last four quarters or so and that is putting a pressure on the collection which is only coming from the ARPU.

So if you really see out of the 16% or 17% collection growth that we're getting, only 6% is coming from the new customers, while most of the other 10% is coming from ARPU growth per customer. We were hoping that, we will get another 2 -3% increase in the customer base per quarter, which is happening. Last quarter, we added the lowest of our customers at 1 .8K customers and this quarter, we have added 2 .7K customers.

I'm hopeful that slowly and slowly, we will improve on net customer addition and my aspiration, as you rightly said continues to be 20 - 25% in the collection growth. 30% at this juncture on a standalone basis sounds little difficult, but yes on a consolidated basis, I continue to have an long term aspiration for 33% of the collection growth or revenue growth. Is there anything else? Nothing materially that I can, say .

One thing that I can probably point out is that we have continuously found ways on the Platinum customer to improve the ARPUs and as we are slowly and slowly implementing the category based pricing, some of those customers are taking little more time than anticipated to convert to higher value packages. So that could be just one, but I am not yet able to definitely say that other than the customer churn, anything else is doing that.

On the margin side, as you can see two, three things have happened. One, we got our last quarter annual increment effected from the 1st December instead of 1st January. So some of it is hel ped by that. Secondly, if you see, on the sales and marketing side, we have continued to improve quarter -and-quarter in terms of sales and marketing cost so while it used to be 20% in the FY '23. It has come down to 18%, and in this quarter, it is 17%. How it has been happening?

Because as I promised you, we are going to probably cut down a little bit from Tier 4 and nonprofitable places, so that optimization and focusing on more core markets has been able to do this. Some of it could be productivity gain. Also, the overall cost base which had grown very rapidly from mid of FY '22 to mid of FY '23 because we were hiring heavily on the product and technology front also. So, if you see, there is a consistent drop from 19% to 17% as the revenue

from operation. So that is also helping and maybe a very little coming from the general and administration. General administration is not coming much because most of the juice has already been taken out.

But as the revenue will continue to grow, maybe a few bps every year, we will get from there. So, from that perspective, I can assure
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you that, we are now feeling lot more confident of 30% plus margin. And maybe we will improve by 1% every year, going forward from here. Thank you.

Vivekanand Subbaraman : Thank you, Dinesh, for the very elaborate answers. Just pressing a bit further on the collections point. How confident are you to resolve this issue, with respect to churn? Because this is the third quarter that churn seems to be cited as a key issue, and you don't yet seem to have the answers to resolve the elevated levels of churn and, if I may also add, could you help us understand the churn levels in percentage terms across the key customer buckets? Thank you.

Dinesh Chandra Agarwal: So as I said, in the platinum customer, our churn are like a 0.5% per

month or 6% to 7%, 8% per annum. On a gold, we continue to have 1% per month or 12% to 14% per annum. On the silver side, on a silver monthly, we are like 7% to 8% per month and on the silver annual, we are running at about 40% per annum. So these are the churn metrics that I repeated last time also. Very little improvement even if we get 1% per month improvement, in the tele monthly or the silver monthly, what we call internally, and silver annual. I think we would be suddenly looking at double the net customer addition from here on. So I hope that over the next quarter or so, I should be able to give you some positive results, but that's the only thing I can say for now.

Vivekanand Subbaraman : Sure. Thank you, and all the best.

Moderator: Thanks, Vivekanand. Next question is from the line of Nikhil Choudhary from Nuvama. Hi, Nikhil. Please go ahead with your question.

Nikhil Choudhary: Hi, thanks for the opportunity. Dinesh, my first question is on the collection side again. Just want to understand last time when we discussed the commentary by you was that collection be, will go back to 20% plus in coming quarters and given the collection slowdown further. So, while supplier addition part was part of the expectation, I believe. So was there some disappointment, even on ARPU side, and that's what led to collection where they are? Also, while ambition is to may get back collection to 25% or 30% growth. Any guidance for FY '25 for coming quarters, given supplier addition, continue to remain lower?

Dinesh Chandra Agarwal: I'd continue to hope for a 20% plus collection but Prateek is telling me to say Hol i was in the last week in March. I don't want to take that face behind the shield. But all said and done, I think 20% collection is doable. We should have done that, purely and purely it could be one day here and there, miss. But 20% collection is doable, and I'm confident and I continue to be confident that we will deliver
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a 20% collection growth in coming quarter and coming many quarters.

Nikhil Choudhary: Sure. There is further improvement in other few KPIs, that especially registered buyers increase d further. Last time you mentioned that, it could have increased due to some scrap ing or something, or web crawling or something. But, is this improvement now a sustainable trend or organic trend? And do you think this will lead to improvement even in purchasing our unique business enquiry increasing? Because, while the unique business enquiry increased 14% YoY from a lower base, it's at a similar level what we were seeing in Q2. So from that level, we haven't seen a material improvement in business enquiry. So, is the registered buyer can be seen as early indicator there?

Dinesh Chandra Agarwal: I think you should always focus on unique business enquiries and unique business enquiry number has grown handsomely by 14% this quarter also, and 14% last quarter also. So, effectively, if you see FY'22 and FY'21 were both COVID years and during the COVID, we have gone through a lot of shortage for a lot of medical devices and medical related items, food and food related items. Now that wor ld has gone back to physical wor ld, we show a very little drop in unique business enquiry in FY '23 and FY '24.

We are almost back at FY'21 and FY'22 numbers. Effectively, now we are consistently doing 23 million , 24 million per quarter. So I'm confident that next year we will comfortably be looking at 100 million plus unique business enquiries. So I don't get, where are you saying that 14% was last quarter also and this quarter also.

In terms of the registered buyers, as I said, a lot of scraping nowadays is very common for very popular website and, people also come and try and see if this particular number or this particular email has an account on IndiaMART or account

on Facebook or account on Amazon or account on Zomato. So, there are a lot of these advertising companies that are also trying to collect this kind of data from different mechanism. So that is why I don't rely too much on the registered buyer numbers or the traffic numbers, more so on the Unique business enquiries numbers .

Nikhil Choudhary: Sure. Understood. Last one on margin. Margins were very strong, similar to last quarter . Even though you highlighted that wage hikes started from December this time. Still, on QoQ basis , the margins were more or less flattish, despite of two month of wage hike in Q4 and clearly, sales and marketing is the one part where there was hardly an improvement on Qo Q basis , despite, general trend what we've seen in previous years that you pay large bonuses. Is it fair to assume that that benefit is largely due to lower bonus payment?

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Dinesh Chandra Agarwal: No. So if you will see the customer service cost, the most of the bonuses will go into the customer service , because they come for renewal and upsell. On the sales and marketing, if you see on quarter -on-quarter, this is the new customer acquisition engine. Most of the bonus will be and bonus this particular year also, if I remember correctly, it was higher by 40% from the previous year same quarter. So I don't know which number you are referring to.

Nikhil Choudhary: Sure. Understood. The only point, last one I have is regarding the employe e edition, which was about 200. Just wanted to confirm is, this edition was for the full quarter or this 200 addition was during

the end of quarter? That's from cost perspective ?

Dinesh Chandra Agarwal: I don't have that detail.

Nikhil Choudhary: Sure. Thank you. Good luck for the coming period.

Moderator: Thanks, Nikhil. Next question is from the line of Swapnil from JM Financials. Hi, Swapnil. Please go ahead with your question.

Swapnil Potdukhe : Hey. Thanks for the opportunity. First, I wanted to understand on the breakup of the collection's growth, which is around 16%. So what I understand, obviously, it includes the paying supplier base and then the ARPUs but there is also a third element, which is basically the average tenure, or customers are taking a longer period tenure instead of a one year or a monthly plan. So that also supports collections growth if I'm not wrong. So just wanted to understand. So, if I were to break it down, what would be the collections growth attributable to , because some of the customers would have taken longer tenure plans within that 16%.

Dinesh Chandra Agarwal: Thank you, Swapnil. I don't have that particular number, handy. Not much of a material change , because on the multi -year customer mix, so annual and monthly mix, annual has definitely increased by 4-5% because monthly customers, we have tried to discontinue from Tier 4 towns. But you want to add something?

Prateek Chandra: Yes. Swapnil, just to clarify, I think when you're looking at ARPU , that is essentially the revenue numbers, which is a result of the collections done in the previous quarters , because 80% of the revenues is coming in from the opening balance of deferred revenues of that particular quarter. So when we look at collection for the quarter, the 6 % is, let's say the customer growth and you can say roughly around 10% is an A CPU growth or collection per customer growth . So most of this growth is largely from the gold and platinum customers.

Dinesh Chandra Agarwal: No. But he's asking annual versus multi -year.

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Brijesh Kumar Agrawal : Had there been a change in the mix?

Prateek Chandra: No. The mix had been pretty similar.

Dinesh Chandra Agarwal: It's just that total customers or count of the annual and multi year has grown.

Gold and platinum customers count has grown. Not a material change there? And that's also visible in your deferred revenue schedule. So if you really see deferred revenue schedule, the current and non -current portion haven't changed materially.

Swapnil Potdukhe : Okay. I take your point. But if I were to just understand it a bit more . Typically collections mainly comes from the renewals or people in the gold and platinum tiers because silver, inherently contributes very less to the collections and my sense is like, the 80% of the collections comes from the premium categories versus around 15 % to 20% from silver. So why would a churn , so my question is, why would a churn in silver category impact your collections growth? I mean, if it contributes just 15 % to 20% to your collections, why is your collections growth slowing down then?

Dinesh Chandra Agarwal: Yeah. Very right question , and that should have slowed down only by 1 % or 2%, not by the 4 or 5%. You're right. So that 4 % or

5%, because what happens if there is a continuous low growth in the customer base, our ability to upsell from the silver to gold to platinum also gets limited. So the collection growth, while you are right, it comes from gold and platinum, majorly but it's been four quarters or three full quarters where we have not been able to grow customer base significantly.

Every time we add 5,000, 6,000, 7,000 customers, we also add a pipeline to gold and platinum, which will give you a nine months later or a six months later. The same customer will go to the gold or platinum and give you Rs. 1 lakh there. I explained this earlier also when this has started happening that, if the net customer addition is one quarter here or there, I'm not bothered about long-term growth opportunities. But if the customer addition for 4-5 quarters going to be affected, then it will start to show up in collection first.

Collection last quarter was 17% growth, and the revenue was still growing at 21%. This quarter, if you see collection growth has also come down to 16%, and revenue growth has also come down to 17%. So if you take our business, customer growth, followed by collection growth, followed by deferred revenue growth, and followed by revenue growth. So they all will show up one or two quarter after the thing. So if something goes wrong for a continued long period of time, it's more like a 100 day moving average.

So, if number of customers for 365 days have not been adding up to the expectation, the collection will start to slow down. If the collection will start to slowdown, a deferred revenue would start to slowdown and if deferred revenue would start to slowdown, the IndiaMART InterMESH Limited
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revenue would start to slowdown. So that's what we are seeing, and I am hoping that customer growth would take a U-turn from here on and over the next two, three quarters, it should come back to our 5,000, 6,000 normal customer growth.

Swapnil Potdukhe : Okay. And one more question, with respect to the churn itself. Now you in the opening remarks, you mentioned that, the churn is happening mainly in the first year silver monthly customers? And I'm presuming, they would be onboarded at an average realisation of around 2,500, which was the norm prior to the May hike that we took. So if we are not able to retain these customers who were there at 2.5K per month. And now we have taken a 20% hike in May. What is the confidence level of you have to keep on adding customers at 5,000, 6,000 that you just mentioned?

Because, I would presume the customers who are on a lower realisation, they would be, you can retain them far easier than someone who is on 20% higher realisation. And we are seeing the challenge in the low tier.

Dinesh Chandra Agarwal : One, I think our price was Rs. 3,000 plus tax, just pre-COVID. We brought

it down to Rs. 2,500 during the COVID because we wanted to support the thing. The churn did not go out of hand in the May, until March 2023. And you may be completely right that is this Rs. 500 that is causing this churn to happen? While all our understanding is that it is purely and purely affordability item. It has nothing to do with the conversion item or stickiness item. People who want to try at that point of time, it does matter. So our gross additions should suffer, and they did suffer.

But on a trial basis, if somebody tried it for a month or two or three, either he will get enough value that it will be more than enough for a Rs. 2,500 or Rs. 3,000 even for a Rs. 5,000 customer. It is the entry level which is more problematic. Post Rs. 3,000 to Rs. 6,000 there

are very few customers who want to continue on a monthly basis. They would either move to a trustseal or move to a maximi ser or move to a star supplier, within a year or 18 months of time frame. There are very few customers who stay for second year or a third year on a silver monthly customer.

In the silver annual, yes, you can say that almost 50% of the customers will continue even in the second year as a silver annual , but not in silver monthly.

Swapnil Potdukhe : But then what is the confidence that we would be able to do 5 ,000 to 6000 additions that you just mentioned, next year, given that this issue may persist next year as well?

Dinesh Chandra Agarwal : As I said, I've been trying. I can only say I'm trying. Reducing the price won't help. That much, I can say.

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Swapnil Potdukhe : Okay. Got it. Thanks for the opportunity and all the best.

Moderator: Thanks, Swapnil. Next question is from the line of Samarth Patel from Equi rus Securities. Hi Sama rth, p lease go ahead with your question. Okay. We could not connect with S amarth Patel. We'll take question from Mr. Anirudh Shetty from Solidarity Advisors. Hi, An irudh, p lease go ahead with your question. Ani rudh, please unmute yourself.

Anirudh Shetty: Yes. Hi , am I audible?

Dinesh Chandra Agarwal : Yes, you're audible.

Anirudh Shetty: Thank you for the opportunity. Just a couple of questions from my side. So just one question is, as we aspire to grow collections at 20% plus, is it fair to assume that the unique buyer enquiries also must grow at a similar pace? Because finally, it's the buyer enquiries that feeds our customer addition growth or ARPU increase over time and if that's true then, do you think that the business enquiry growth that we're looking to achieve, which is say 93 million going to a 100 million, would that be sufficient to kind of drive that growth? So just wanted to understand, how are we thinking about long -term business enquiry growth to kind of achieve our aspirational collection growth?

Dinesh Chandra Agarwal : Yeah. So if you see our traffic and active buyers and unique business enquiries over a long period of time , have grown at 20% CAGR growth rate, while our paying suppliers have grown at 15% CAGR . So we still have sufficient enough margin and this is on a CAGR level . To monetize customers better by doing a better matchmaking so I don't think it's the number of buyers. Yes , number of buyers would help. But is that a limiting factor for us, over the next few quarters or few years ?

No, so over a longer period of time, even if my unique business enquiries grow by 15%, I think we should continue to grow by 20% in terms of the collection growth. For now, even if we are growing at 10% because we had excellent jump from FY'22 to FY '23 at 30 odd percent, I think we are fine there. It is not because of the less number of buyers that we have. Yeah. It is because of the kind of buyers that a supplier is looking for or the location in which a supplier is looking for , that is not happening. And mo

st of the time,
we are still finding the supplier's own ability to understand and put enough time and energy on the platform to be able to convert those

leads.

So they say that, you have enough leads, but we could not convert them because the buyer was asking for too much of a discount. We did not do enough follow-up. So those are one of the important IndiaMART InterMESH Limited
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pieces of churn. But yes, more buyers would definitely help and we continue to find ways to serve the buyer better so that we can have more repeat buyer because in terms of the total registered buyers or in terms of the last 12 month active buyers, we are already reaching almost 40 million active buyers.

Looking at the B2B market size, I mean we might be already 40% penetrated in terms of the buyer side base. I just keep assuming that there would be a 100 million B2B buyers in India whom we can attract on a yearly basis. How many of them we can attract on quarterly basis, on monthly basis? That is the more important piece for us. Hope that answers.

Anirudh Shetty: Very helpful. And say if the market is 100 million, we are at 40 million, do you think at some point advertisement could help to attract more buyers and from frequency of transaction perspective, just getting them to do more, transact more in your platform. What are the levers that we have available there?

Dinesh Chandra Agarwal : Yeah. So when we get a little bit handle on churn, I think we will try and address the buyer churn also. First, let us get some comfort on the supplier churn and then will come to the buyer churn.

Anirudh Shetty: So my next question is on the gross profit margin. The last couple of years, gross profit margin seems to have come down. Just want to understand the reasons and going forward, where do you think the gross profit margin could settle?

Dinesh Chandra Agarwal : So pre-COVID, it was 72%. Now we are 73%. I mean FY '21, FY'22, were anyway different years, and then we got back all the investment in place. So I think we are doing fine and we'll continue to probably improve by 1% from here on.

Anirudh Shetty: So we should see an improvement in when you say EBITDA margin can improve by 1%, is that primarily going to come from gross profit margin improvement, or we could see?

Dinesh Chandra Agarwal : I think it'll come more from the bottom, less from the gross profit margin. Gross profit margin might improve by 0.5% or so but sales and marketing and technology and content, I believe we should be able to. I mean, it's a combination of all of them, but not on a quarterly basis, but on a yearly basis when we will draw the trend, we will know but I'm more confident that we should be able to do more than 1% for sure.

Anirudh Shetty: Got it. Thank you for taking my questions. That's it.

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Moderator: Thanks, Anirudh. Next question is from the line of Abhishek Banerjee from ICICI Securities. Hi, Abhishek. Please go ahead with your question. Abhishek, we can't hear you.

Abhisek Banerjee: Hello , can you hear me now?

Dinesh Chandra Agarwal : Yes, Abhishek.

Abhisek Banerjee: Just trying to understand on the manpower cost , right, the net additions have been low for almost the last four quarters. So by now, we would think that manpower should have come off a little bit in terms of additions. So what is your outlook going ahead? And also this quarter, I saw that the outsourced sales cost has actually declined on a sequential basis. So is that indicative of a strategic call to not outsource as much anymore? Because some of the churn was also due to this.

Prateek Chandra: So, Abhishek, Prateek here. So if you recollect in the last quarterly call, we communicated that from a sales outsourcing standpoint, there were two kinds of outsourcing

. One, we had a channel partners arrangement and up to around 40% of these sales were coming in out of that arrangement. So that continues to be as it is. We continue to build on that piece.

The second kind of an outsourcing was, where we have outsourced sales and it was more the temp staffing companies like GI , Spectrum , these types of companies . That part is what we were looking at building the sales team in house and reducing dependence on those kind of temporary sales staff.

So that was a movement that we planned for the teams and that is supposed to be done in two to three quarters time frame. So half of that movement has happened. So that's why you see a reduction in the outsource sales cost to that extent. And that cost would have got added to the manpower cost. Other than that , it has been the normal increments and the headcount increases in the other functions if there is .

Dinesh Chandra Agarwal : And that is why you are not seeing the manpower cost declining because some of the outsource sale cost has shifted to the manpower.

Abhisek Banerjee: Understood. So also, with regards to the additions, right net additions, given that from Q1 FY'24 is when you had the problem of churn so by this time probably, most of the people who were on the verge would have churned out. So that kind of implies that Q1 FY'25, the churn numbers should come down pretty sharply. Is there something that I'm missing in this analysis?

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Prateek Chandra: Sorry , Abhishek . We could not understand, the relation of 1 year that you are drawing.

Abhisek Banerjee: No. So I'm saying , see the people who were churning out were mostly silver monthly and silver yearly customers. So I would imagine that the people who were churning out, I mean the less valuable customers would have churned out within a year's time frame. Because, all their subscriptions would have expired. So from Q1 FY'25, we should not see the same problem .

Prateek Chandra: So, Abhishek, this is, like, let's say the customer acquisition and the churn is like it's a monthly progress. It didn't happens every day. So it will continue to be a cyclical issue. The only thing what we saw in the last year was that, since we started acquiring customers a year before, the proportion of the first year customer to the overall customer base was slightly higher and because of which, since in the

first year customers there was a higher churn. You were seeing that kind of your churn.

So only as a proportion, if that mix improve, that benefit would certainly be visible. However, the churn rate, if I compare it on, like - to-basis on the silver customers, specifically the first-year customers, whether in a monthly or on an annual basis that continues to stay at the elevated levels as we said.

Abhisek Banerjee: No. That I understand. But just now, you also spoke about the first year customers ? So, obviously, if the net additions have been on the lower side in the last one year .

Dinesh Chandra Agarwal: You are right. So if the net additions are lower, the first year, churn should come down, on a yearly basis because the net addition itself is lower . So that should help us by some margin .

Abhisek Banerjee: Great. Also, if I were to try and understand the strategy for monetising the other part of the supplier base, who are not paying anything right now. And I know I mean, this is obviously much easier said than done. But is there something that you're working on? Because, see on one hand, I completely understand the value added offerings that you are giving for your platinum customers. I mean, for people to be moving to the higher end of the spectrum. But at the same time, there is obviously need for a platform to be a place for just converted businesses , I mean, largely offline businesses to just come onli

ne and exist or to create a foothold on the online part. So what is the strategy? Is there any way that some kind of monetisation can be worked out here?

Dinesh Chandra Agarwal: I mean, we tried in the past by way of Ratoon or things like that. I mean, you're saying that is there a value in charging a life time free, or at a very low cost with no ROI , free listing in a directory?
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Abhisek Banerjee: Yeah.

Dinesh Chandra Agarwal: I mean, monetising something, Rs. 1,000 a year, the cost of sales is too high. The cost of sales is too high, but it's a good idea. We will try once again to see if there is something that we could sell for Rs. 1,000 a year.

Abhisek Banerjee: Perfect. And in terms of the overall consolidated performance, I was a little surprised to see that Busy on a yearly basis has not really outperformed on the profitability part. Anything that you would like to call out there, and if there are any corrective actions that are being put in place ?

Dinesh Chandra Agarwal: I don't think we should look at the profitability of Busy. My continuous recommendation to Busy is to have zero EBITDA and invest all the money that they can generate into growth. So I'm not, even looking at Rs. 1 crore quarterly EBITDA, as being something substantial. My only advice is that, don't go into negative, but don't try and chase Rs. 2 crore , Rs. 3 crore EBITDA every quarter. Or Rs. 2 crore , Rs. 3 crore of EBITDA every year .

Brijesh Kumar Agrawal: And the other thing Abhishek there is, if you see, our deferred revenues have grown by 59%. The net billing has grown by 44%. So what you see is that, there is money that has been collected from the customer, which is yet to be recognised. So when you see the accounting EBITDA, accounting EBITDA will be on a lower

recognised revenue whereas all the cost of manpower marketing that we've invested in that is already budgeted in, and that is why you see lower EBITDA there. But when you look at it on a let's say, cash-to-cash basis, the margins still are healthy.

Abhisek Banerjee: Understood. So, also, you very kindly shared a sheet on your Cap ex expenditures and all. There I saw some strategic investments, which were done in this year to the tune of around I think Rs. 25 crores, yes. So, what was this, if you could give us some clarity?

Prateek Chandra: These have been the follow-on investments that we've been making in our investee companies. This is the yearly number of Rs. 25 crores. So, I can give you, in fact, the entity wise breakups maybe later on.

Abhisek Banerjee: Got it. No. That's fine. I was just trying to understand if something fresh you have done or not. Okay. This is very helpful. Thank you so much for your time.

Moderator: Thanks, Abhishek. Next question is from the line of Sarang Sanil from RW Investment Advisors. Hi, Sarang. Please go ahead with your question.
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Sarang Sanil: Hello. Hi. Good evening. Thank you for the opportunity. Firstly, was there any depreciation, amortisation item that has materially impacted this quarter? And should we expect this run rate to continue, because we saw quite a jump this quarter?

Prateek Chandra: Yeah, Sarang. So, in this particular quarter, other than the regular depreciation, there is a one-time impairment charge on our right of use of land that we had. During the quarter, the land, it is there, in Sector 75, Noida and during the quarter, we've received the cancellation notice from the authorities. And while, there is a provision to file an appeal against that particular order, and we have already filed that appeal. That appeal is pending a review in front of the appropriate authorities.

But out of a conservative basis, we have taken that impairment provision. O

nce the outcome of the appeal is more clear, that point of time, we will revisit this provision. So this is to the extent of Rs. 3.5 crores.

Sarang Sanil: Okay. So we can expect about Rs. 6 crore to Rs. 7 crore run rate?

Prateek Chandra: Yeah.

Sarang Sanil: All right. Secondly, though in the previous call you had mentioned that moving outsourced salespeople to permanent payroll of the company does not help us on the cost side. Just wanted to double check that this strategy have not really aided our margin expansion this quarter?

Dinesh Chandra Agarwal: Yeah. The only thing is that, as you bring them in from a temp staffing payroll to a company payroll. While, most of the benefits are same, people do value a large company payroll thing. And hope that results into some percentage point reduction in the attrition or retention, which further helps us improve the productivity that helps us improve the sales and marketing cost.

Sarang Sanil: Sure. So there's no training cost per se when they use to migrate to

permanent payroll ?

Dinesh Chandra Agarwal : I mean, that would be immaterial to make any difference but I'm saying, the attrition has a two edged sword. One, it gives you a cost of hiring, cost of training, and the other it gets you a productivity, dent both. So in case we are able to save, a few percentage points on attrition, by moving people from outsourced to inhouse. That should generally help us save some cost and give some better productivity.

Sarang Sanil: Yeah. So in the medium to long term, it's a lever for margin . Got it. Okay. Thank you so much, and best of luck.
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Moderator: Thanks , Sarang. Next question is from the line of Jasdeep Walia from Clockvine Capital . Hi, Jasdeep. Please go ahead with your question.

Jasdeep Walia: Thanks for taking my question. What is the growth in the number of gold and platinum customers for FY '24 and 4 Q'24?

Dinesh Chandra Agarwal : Gold and Platinum customers, are now at about 49% of the total customer base, which was about 47% at the beginning of the year. At the beginning of the year, we were 203K customers and 47.5 % of that was gold and platinum. Now we are 49% to be precise.

Jasdeep Walia: So what was the number at the beginning of the year , 46.9%?

Dinesh Chandra Agarwal : No. 47.5 %. Now it is 49 %.

Jasdeep Walia: Got it. And what is the growth in revenue of your gold and platinum customers for the year?

Dinesh Chandra Agarwal : I always say that approximate number I have given you, that now it is close to 75%, but it is still not exactly 75%. 73% is the current exact number of the revenue. I won't be able to give you last year's number. But last year, top 10% ARPU if you see, top 10% ARPU in the FY '23 was Rs. 214K. For the FY '24, it is Rs. 247K, which is very similar to platinum ARPU.

Jasdeep Walia: Got it. And is there any change in the churn metrics for gold and platinum customers or they remain .

Dinesh Chandra Agarwal : Nothing on the platinum side. Platinum is about 12% of our customer base or so. Keep varying because of the denominator. On the gold side, about 35% of our customer base that's where, because the numbers have gone quickly high . So there we have seen a big number. So there might be 1% churn movement from 10 %, 11% to 12%, 13%, but that's about it.

Prateek Chandra: And just to clarify, the churn actually is dependent also on the vintage of the customers and the evolution of the customers. So they may like, it's vary because of these factors. However, on a like -to-like basis, there is no change as such in the gold and the platinum customer churns .

Dinesh Chandra Agarwal : They are by and large stable and by and large growing and by and large paying more money.

Jasdeep Walia: Got it. Thank you. That's all I had.

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Moderator: Thanks, Jasdeep . Thank you very much, everyone. It has been a very engaging session. I would now like Dinesh, to give us concluding remarks.

Dinesh Chandra Agarwal : Ladies and gentlemen, thank you very much for joining our year end conference call. We have tried to address your queries, in the time available. But in case, any of your questions were not taken up, please do reach out to our Investor Relations team on investors @indiamart .com, and we will be able to help you from there. Thank you, and have a great day and good wishes for your next financial year. Thank you very much.

Moderator: Thank you, everyone. On behalf of IndiaMART, we now conclude this webinar. Thank you.

Notes:

1. This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings
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Call: Aug 2024

August 5 , 202 4

To,
BSE Limited
(BSE: 542726)

National Stock Exchange of India Limited
(NSE: INDIAMART)

Subject: Transcript of Earnings Conference Call on financial results and developments for the quarter ended June 30 , 202 4

Dear Sir /Ma'am ,

Pursuant to Regulation 30(6) read with Part A of Schedule III of the Listing Regulations, we wish to inform that the Transcript of Earnings Conference Call for Analysts and Investors held on July 30, 202 4, with respect to the financial performance of the Company for quarter ended June 30 , 202 4, is enclosed herewith. The copy of transcript is also available on the Company's website at <https://investor.indiamart.com/FinancialResultsStatements.aspx> .

Kindly take note of the same.

Yours faithfully,
For IndiaMART InterMESH Limited

(Manoj Bhargava)
Company Secretary & Compliance Officer
Membership No: F5164

Encl: As above.

Webinar Transcript

Event: IndiaMART Q 1 FY202 5 Earnings Webinar

Event Date/Time: July 30, 2024 at 17:00 hrs

CORPORATE PARTICIPANTS :

Mr. Dinesh Chandra Agarwal – Chief Executive Officer
Mr. Brijesh Kumar Agrawal – Whole -Time Director
Mr. Jitin Diwan – Chief Financial Officer
Mr. Prateek Chandra – Chief Strategy Officer
Mr. Avijit Vikram – Head Investor Relations

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Avijit Vikram : Good evening, ladies and gentlemen. I'm Avijit Vikram , Head of Investor Relations . On behalf of IndiaMART InterMESH Limited, I welcome you all to the company's Q1 FY25 Earnings Webinar. As a reminder, all participant lines will be in the listen -only mode and

there will be an opportunity for you to ask questions once the presentation concludes.

Joining us today from the management side, we have Mr. Dinesh Agarwal, Chief Executive Officer; Mr. Brijesh Agrawal, Whole - Time Director; Mr. Jitin Diwan, Chief Financial Officer; and Mr. Prateek Chandra, Chief Strategy Officer. Before we begin, I would like to remind you that some of the statements made in today's call may be forward-looking in nature and may involve risks and uncertainties. Kindly refer to Slide 3 of the earnings presentation for the detailed disclaimer.

Now I would like to hand over the call to Mr. Dinesh Agarwal for his opening remarks. Thank you, and over to you sir.

Dinesh Chandra Agarwal : Thank you, Avijit. Good evening everyone and welcome to IndiaMART's Q1 FY'25 earnings webinar. We have circulated our earnings presentation, which is available on our own website as well as the stock exchange website. We are sure that you would have gone through the presentation, and we would be happy to take any questions afterwards.

I'm pleased to report that IndiaMART has delivered a consolidated collection from customers of Rs. 366 crores in Q1 representing year-on-year growth of 14%. Deferred revenue has grown by 23% to Rs. 1,474 crores on consolidated basis. Consolidated revenue from operations has grown by 17% to Rs. 331 crores.

Unique business enquiries grew to Rs. 25 million representing year-on-year growth of 15%. Our total paying suppliers have grown to 216K. As we have been communicating since the last few quarters, we continue to see more than anticipated churn on the customer base in the silver bucket. In addition to this, our new supplier acquisitions were slightly lower this quarter compared to what we have been doing during the last few quarters.

As a result, we have been able to add only 1.5K new paying suppliers on the net basis in this quarter. On the other hand, our Platinum and Gold customers, which constitute approximately 50% of our customer base and 75% of the revenue continue to have low churn and grew very well in terms of both ARPU as well as count.

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We will continue to make investments and undertake measures to enhance customer experience and improve retention as well as drive deeper penetration of the paying customers in the focused cities. On the inorganic investment front, in keeping with the vision of empowering businesses digitally, we are pleased to share that we have got into an agreement to acquire 10% stake in M/S Baldor Technologies Private Limited, which operates IDfy, an integrated identity platform offering products and solutions for KYC, background verification, merchant onboarding, buyer onboarding, risk mitigation and digital privacy.

Further, as communicated in the last earnings concall as well as on the stock exchange, we have onboarded Mr. Jitin Diwan as the new Chief Financial Officer of the company.

Now I will hand over the call to Brijesh for the update on Busy Infotech. Thank you, and over to you, Brijesh.

Brijesh Kumar Agrawal : Hi. Good evening, everyone. Busy has done a net billing of Rs.

23.4 crores in this quarter, representing a Y-o-Y growth of 4%. The revenue from operations have grown by 15% to Rs. 15.5 crores. The deferred revenues have grown by 41% to Rs. 51.5 crores. EBITDA for the quarter is at Rs. 1 crore with margins of 7%. The net profit for the quarter was Rs. 3 crores. The cash from operations was at Rs. 11.8 crores. During this quarter, Busy has sold

9.7 K licenses, closing at total count of 373 K licenses at the end of June 2024.

We are focused on growing our new customer base and increasing the overall growth rate in the coming quarters. With this, I'll hand over the call to Jitin to update about the financial performance.

Jitin Diwan : Thank you. Good evening everyone. I will take you through the financial performance for the quarter ending June 2024.

Consolidated collections from customers were Rs. 366 crores in the quarter, representing year-on-year growth of 14%. IndiaMART standalone collections from customers for the quarter were at Rs. 341 crore registering year-on-year growth of 15%. The standalone revenue from operations stood at Rs. 315 crores registering year-on-year growth of 18%. Our growth in revenue was primarily driven by over 13% improvement in realisation from paying suppliers and the remaining by increase in number of paying suppliers.

Deferred revenues stood at Rs. 1,421 crores, an increase of 22% on year-on-year basis. EBITDA of IndiaMART standalone business stood at Rs. 117 crores, representing a margin of healthy 37%. This margin expansion is due to organic operating leverage, certain cost optimisation initiatives, and saving due to lower customer acquisitions. As our customer growth picks up, the margin IndiaMART InterMESH Limited
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expansion will normalise to gradual operating leverage inherent in the business.

Consolidated net profit for the quarter was Rs. 114 crores. Consolidated cash generated from operations was Rs. 136 crores. Consolidated cash and treasury balance stood at Rs. 2,319 crores as of June 30, 2024. Thank you very much, everyone. We are now ready to take any questions.

Avijit Vikram : Thank you, Jitin. We will now begin the Q&A session. If you wish to ask a question to the panellists, kindly raise your hand and allow camera and microphone access. Alternatively, you may type your question in the chat menu and we will revert on it. Please restrict to two questions so that we may be able to address questions from all the participants. Now we'll wait for a few seconds while the question queue assembles.

Moderator: First question is from the line of Sachin from BofA . Hi, Sachin. Please go ahead with your question.

Sachin Salgaonkar: Hi, thank you for the opportunity, and congrats on a good set of numbers. My two questions. Our first question, wanted to understand a bit more on EBITDA margin. Just wanted to double check that there is no one-offs associated with that and should we consider this as a steady state EBITDA margin going ahead. Of course, as in how the operation leverage comes, you might see a bit of an improvement. So that's question number one. Question number two, wanted to again understand a bit more on net adds. For last few quarters, it's hovering in the 2,000 odd range. When should we see an inflection point coming, where these net adds accelerate going ahead?

Dinesh Chandra Agarwal: Mr. Jitin, you want to take up the EBITDA margin question?

Jitin Diwan : Sure. Thank you, Sachin, for your question. So EBITDA margin is 37% for the current quarter. So, if you see about 2 % to 3% was the operational leverage, which we were supposed to get, because in Q4, there are higher collections and therefore collection related costs will also be there, which has not been in Q1. So that is one. Second, then we, got doing few cost optimization initiatives in the last few quarters, which have been now realized and therefore, there is a saving which is structured.

And then the last bit of it is since, as you know that the customer addition is on the lower side and therefore the cost related to that is also on the lower side. Once it picks up, then the cost will again be there on that side and therefore, you will see lower EBITDA margin to that extent.

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Dinesh Chandra Agarwal: And just to add, April and May are generally the examination time. So most of the joinings that you have seen in the headcount are, June, later half joining as well as some of the joinings have happened in July. So some of these costs will come back, so we expect the margin to taper off a little bit from here, maybe at around 33-34%, and that should be the steady state margin from now on. On the net add side, as I said, the churn in the silver monthly and silver annual buckets continued to be stubborn while we have taken certain steps to avoid churn in the Tier 3, Tier 4 cities .

So we have stopped onboarding customers which were traditionally high churn locations or high churn areas. But the results of that are yet not visible because the main cities are also affected by churn. So I think we continue to make adjustments into our product as well as our strategy to see, what is the change expectation from the market or what is it that we are not able to find correctly.

And the only thing that I can say is that we are continuing to work on that side. I don't want to press the paddle on the gross addition until we have got the handle of the churn. So, let's wait for another two quarters to see if the churn is able to come under control, and we are able to get back to a higher customer addition.

But on the margin side, as we said, if you really see in the last year, year and a half, we have consistently improved on the margin from 26%, 27% to now 34 %, 35% range.

Sachin Salgaonkar: Thank you. Just one quick follow-up out here. Assuming what you said, let's say for next couple of quarters, at least for six months, the net adds remain at these levels. Could we assume EBITDA margins be high to current levels? And then, eventually, as the net adds pick up, the margin should normalize to 33%, 34%. So, ideally and logically, for next few quarters, margin should be in the range of 36% and when your net adds pickup, that should normalize to 33%, 34%. Is that a fair assessment?

Dinesh Chandra Agarwal: No. As I said, from 37%, I think the 3% will immediately come back so around 34%, I am pretty sure that we should be able to deliver over the next two quarters. I cannot comment, when the net adds increase, whether we'll go to 33% or whether we'll be able to maintain 34% by then.

Sachin Salgaonkar: Got it. Thank you.

Moderator: Thanks, Sachin . Next question is from the line of Jasdeep Walia from Clockvine Capital. Hi, Jasdeep. Please go ahead with your question.

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Jasdeep Walia: Thanks for taking my question. So, my question is, do you try to ascertain if the pricing is acceptable to your clients in the sense that the cost that they're incurring on IndiaMART, is it driving value for them? So, as of now, the ARPU, the increase at 1.3%, it's pretty high, and it looks good on the presentation the margins have increased. But, does it make sense to actually reduce pricing and drive net adds? And let's say let the margin remain at 29%, 30% which was the case last year. So, I just want to hear your thoughts, because if the pricing is beyond the means of the customer, you might face even more customer churn in future, which is bad for the long-term health of the business?

Dinesh Chandra Agarwal: If you see the breakup of the ARPU, most of the gain is coming from top 10% of the customers. While most of the churn is coming from bottom 50% of the customers. So bottom 50% of the customers, neither there has been any price increase. I mean, we are at the same price point as we were before COVID. So there has not been any price increase on the silver monthly or silver annual except for the fact that we gave a discount of 20 odd percent during the COVID, which we withdrew after COVID.

Other than that, most of the

ARPU growth has happened in the top 10% of the customers, not in the overall customer base. So, the assumption that the price would help us reduce the churn, seems incorrect there. Also, we have not increased the prices on the top tier of the customer. As you know, we told you that we've been experimenting with the category-based pricing, and we have been developing a framework for city and category-based charging. And that framework is now being adopted by larger number of newer sales. And that is resulting into the higher ARPU.

So, it is only when certain categories, which are a very high value product, there only the price has been increased, which is reflecting in the ARPU. But at the entry level of categories, there has not been an increase in the price. At the churn also, at the gold and platinum level continues to remain at around 1% per month.

Jasdeep Walia: Got it. So, my second question is, what's the growth in gold and platinum subscribers both in terms of number of subscribers and in terms of sales to gold and platinum clients?

Dinesh Chandra Agarwal: So we don't directly sell in gold and platinum. We generally, upsell from silver monthly and silver annual. So, most of this growth is coming from upsell, from silver monthly and silver annual. As I said, we used to be at around 48 odd percent customers from gold and platinum. Now we are at around 50% of the customers from gold and platinum. In the last one year, while the overall customer base has grown by only 15,000, I think the gold and platinum itself has grown by 8 odd thousand.

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Jasdeep Walia: Got it. And what's the growth in sales to gold and platinum customers on a YoY basis for this quarter?

Dinesh Chandra Agarwal: I did not understand that.

Jasdeep Walia: Your revenue, which is coming from gold and platinum customer only, how is it increased on YoY basis for this quarter?

Dinesh Chandra Agarwal: So, as I said, that about gold and platinum customers count about 50% of the customer count and about 75% of the revenue.

Jasdeep Walia: Got it. What was this revenue percentage last year?

Dinesh Chandra Agarwal: Last year it is about 48% and 72%, 73% maybe.

Jasdeep Walia: Okay. Thank you. That's all for my side.

Moderator: Thanks, Jasdeep. Next question is from the line of Kushagra from Old Bridge Capital. Hi, Kushagra. Please go ahead with your question.

Kushagra Bhattar: Thank you for the opportunity. Just two questions. So, on this, what I see is, the concentration at the top is increasing, right? So, the question really is on the category saturation. I mean, are your categories getting saturated, and hence the star suppliers or the gold and platinum guys are gaining the most in those respective categories. Of course, them being able to corner a lot of lead generation, which is happening on your platform. So, the question is, are there challenges on the expansion within the existing categories? So, are your existing categories sort of saturating?

And then sort of attached question is for you to grow from here on, if you have to look at the growth levers for you, what would be the growth levers, and how important would be the expanding of categories in your overall growth drivers? That's my first question.

Dinesh Chandra Agarwal: If you see on the category saturation side, if you see from say three years ago or say five years ago, our top categories used to be 5%, 6% of our total customer base, when we were like 150,000 paying customers. Now at 200,000 odd paying customers, the top categories are still 7%, 8%. So, it's not that the categories have grown only on the top side of the platform. In fact, if you see this particular slide maybe four years ago, I think you will see the percentages have not really changed. And so, there are multiple categories which are available

for us.

Similarly, for the cities also, we have been stronger in New Delhi. We have been stronger in western part of the country, Maharashtra
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and Gujarat. We have been okay in Tamil Nadu, but we have not been so great so far in places like Karnataka, Andhra and Telangana. So, I think there is still a lot more penetration, which is possible across many of those cities.

Third, on the growth lever, as I continue to say, every year, our monetizable categories increase by 10% from the previous year. So, if we had only 20,000 odd monetizable categories pre-COVID, today, we have about 40,000 odd monetizable categories. And similarly, if we had only five big monetizable cities, now we have maybe 10 monetizable cities today. So, I don't think there is an issue

with respect to either the growth lever or a near term saturation.

Having said that, I have still not been able to prove why the silver, churn is not coming under control. While the gold and platinum customers are continuing to be a promoter of the platform and be a very, very strong user of the platform. I mean, last month, we had one of the highest engagement in terms of buyer and sellers both. If you see, all of those numbers are going highest ever. So there's something that has changed post -COVID and a lot of our manpower is also new. So, we are continuing to struggle on that silver churn side. Other than that, there is no other problem.

Kushagra Bhattar: Okay. So to understand this better, what you were explaining for the category expansion and the cities available, let's say, for one of those industries, let's say construction materials, you would be very heavy within , you would be performing very well in Delhi, Maharashtra, Gujarat construction and building raw material, the first one and but Tamil Nadu and some of the southern states may not be as good. So to understand this right, the question really was within the states where you have already marked, where you have already significant presence, and the category is big for you, is there a case where whatever leads are getting generated within that particular category, the top guys, the star suppliers are actually cornering more and more of it, and hence, the pain point is being felt by the silver and the smaller customers. Is this what's happening in your platform or not really?

Dinesh Chandra Agarwal: So, our platform works like this. So , in terms of quantity, yes. But in terms of quality, everybody gets equal opportunity to participate. Our quality of the RFQs, whether you are a star supplier or whether you are a silver monthly customer , the quality of the leads or the timeliness of the leads that you will see , there is no restriction on that.

However, yes, since you are paying Rs. 30,000 versus somebody is paying Rs. 3 lakh, the quantity of the leads you can consume higher. So, there is a n equal opportunity. Within that, yes, you may be competing with star supplier or leading supplier on every buyer.
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However, the younger suppliers also have this agility that the re the owner of the shop or owner of the factory directly deals with the buyer. While the larger suppliers typically depend on some IndiaMART staffers, maybe one or two expert lead managers who work there as a lead management person for IndiaMART. So , I think there are advantage disadvantage to both .

So we are able to retain lesser number of the total customer that we used to onboard and used to retain versus pre -COVID era. And that 10% lesser number that we are able to retain is making all the difference.

Kushagra Bhattar: Understood. Sure. This is helpful. The second question really is on the traffic and the underlying metrics. So, if I look at your traffic now, even on a quarterly as well as on an annual basis h

as been
hovering around the same range of Rs. 25 million , Rs. 26 million quarterly, Rs. 100 million to Rs. 110 million a year. And the conversions, basically, which is visible in those unique business enquiries are also holding on to that same 9, 10 %. So, the question really is, are there sort of le vers for you to attract more traffic or sort of increase that unique business enquiries from here on?

And also, if you can give a sense on the traffic, like, which categories are getting more traffic and how the category mix has changed, in your traffic, despite the overall headline traffic number remaining stagnant for the last many quarters, actually ? Yeah. That's my second question.

Dinesh Chandra Agarwal: So, while you were right that traffic seems to be stagnant, but unique business enquiries, if you see this particular quarter have grown by 15% year -on-year. So, for the last three quarters, they've grown well. Yes , you are right , in the first half of FY'24, they did not grow but now, they are at a healthy run rate of about 100 million unique business enquiries for the year, which is even higher than FY'21-FY'22, when there was so much of shortage of material, and so much of shortage of medicine and other things. So, if you compare pre -COVID, I think we are going to be about 30% higher unique business enquiries.

In terms of traffic, yes , there is a flatness, and we believe that, if that flatness continues, we will try and address that through digital advertising and through digital video advertising. But we have not yet gone there. But if need be, we'll go there.

Kushagra Bhattar: Right. Just one last data questions. If you can give us the gross adds number, in first quarter? That's it. Thank you, and all the best.

Dinesh Chandra Agarwal: We only disclose the net add numbers.

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Kushagra Bhattar: Okay. All right. Thank you.

Avijit Vikram : So next, we will take a question from the chat box. This question is from Abhishek Bandari. So , are we on track to achieve 20,000 paying subscriber additions in FY '25? Do we expect a significant improvement in net addition in H2 FY'25 ?

Dinesh Chandra Agarwal: See, given the last two quarters, last three quarters of 2,000, 2,500, around 1,500, I'm in no position to commit any numbers on the net add as of now. I can only, say let's go quarter -by-quarter and as soon as we hit 5, 000, 6,000 again, then only I can give you any year end number. On the revenue side and on other sides, I think most of our numbers are driven by collection so that you know already, what is going to come.

Moderator: Thank you. Next question is from the line of Vivekanand from Ambit Capital. Hi, Vivek. Please go ahead with your question.

Vivekanand Subbaraman: Thanks for allowing me the opportunity to ask questions. I want to start with the functional P &L that you present where you have a disclosure between the customer service cost and the sales and marketing cost. So, my question here is that, yes, churn is an issue, and you are struggling with your manpower as well as perhaps consumer behavior or supplier behavior.

But why are you cutting on the selling and marketing costs? That is something I want to understand because we saw something similar play out in FY'21 as well. You have curtailed your selling and marketing costs and then suddenly when things opened up, you then had to run to hire people and that is currently still hurting you , right? Because you are saying that many of your sales and marketing staff members are new.

So why curtail this in the first place? Understand that you are

curtailing gross adds. I understand that. But why curtail manpower in this? That's question one. And do you want me to ask the second question, or do you want to respond to that.

Dinesh Chandra Agarwal: No, let me answer first.

So, I think about last three quarters, we have been trying to do is to identify the areas where the cities or the category where we were onboarding customers and losing them at a faster speed. So, what we have tried to do is, cut down on those areas and that is what is being reflected here as a percentage. Also as a percentage of revenue, there is some bit of a natural leverage that is coming because the most of it is coming from customer service cost. So, customer service cost is the manpower of the existing customer servicing, and sales and marketing is the manpower of the new client acquisition side.

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So, we have only curtailed on the gross addition side. And we will as soon as we get the handle on the churn, we will probably reinvest on that. But you are right. We should not go quite, up and down from 17% to 14% like that.

Prateek Chandra : Also, Vivekanand, this selling and marketing, essentially, this is a cost of acquiring a new customer. And roughly around 50% of our sales comes in from the channel partners wherein the cost is completely variable to the acquisitions made in that particular quarter. So, in case if there is a change in the acquisitions, this cost will accordingly move lower or higher for that matter.

Vivekanand Subbaraman: So, your channel partner strategy remains the same. Is that correct? That the approach of adding new suppliers, new paid suppliers, half of them are still coming via channel partners even though you have curtailed gross adds.

Dinesh Chandra Agarwal: Yeah. By and large, yes.

Vivekanand Subbaraman: Okay. And if I may press a little bit on this, the insourcing strategy that you were discussing about, that hasn't had any bearing on this channel partner model at all, is it? Or am I confusing some two different things?

Dinesh Chandra Agarwal: No, no, there are two things. About 50% sales were coming from our own staff, but they were not on IndiaMART role, they were on a third-party temp, staffing role. While there are channel partners, the channel partners have their own. So, what we have done is, stop using a third-party payroll, temp staffing service, to contain the employee attrition a bit.

And in the last two quarters, I think employees' attrition has come down, which should help us increase the efficiency and some of this has also resulted into reduced cost of customer acquisition on a gross basis. However, on a net basis, since the churn is so high, the net customer addition cost still looks very, very high. But those efficiencies have also resulted into improved operating margin.

Vivekanand Subbaraman: Right. Okay. I know Kushagra asked this question. How much can you stretch the ARPU lever? And, if you can help us understand, like we know that the top 1% ARPU is almost 4x of that of the top 10%. Within the top 1% also, is there a very big differential in the ARPU, or are these 2,000 paid suppliers, roughly paying something similar? I'm just trying to understand what would be the highest that a supplier is spending on India MART, is it like Rs. 5 crores, Rs. 2

crores, is it that big, or is it very close?

Dinesh Chandra Agarwal: No, no Rs. 50 lakh s.

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Vivekanand Subbaraman: Okay. Thank you so much, and all the very best.

Moderator: Thanks, Vivekanand. Next question is from the line of Nikhil from Nuwama. Hi, Nikhil. Please go ahead with your question.

Nikhil Choudhary: Thanks for the opportunity. My first question is, again on margin. Just want some clarity here. So, Prateek, what you mentioned that, we generally pay lower to channel partner when they are less supplier addition, but that should not impact your margin on Q-and-Q basis, right given supplier addition remained low since last two, three quarters.

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And second thing again here is, what, Dinesh mentioned that the sales and marketing expense is lower because of less gross addition, and that's why we are not investing. So, are we saying that, given we don't have clarity in terms of what is causing the higher churn, that's why we are controlling the spend on sales and marketing?

As soon as we let's say figure out the challenges in algorithm or some other issue, we'll start pressing the gears again, which will help us in supplier addition and will lead to, again increase in sales and marketing.

Dinesh Chandra Agarwal: To some extent, yes. Because, if I want to go aggressive on the gross acquisition, until I have sufficient visibility on the churn I don't want to. Because we acquire customer who will pay me Rs. 3,000 a month. So, until unless he pays me for a six, nine months period, it will be a loss-making customer to us. So, if we are not sure of retaining the customer, then, why unnecessary acquire it. I mean, not that we are reducing the gross addition, but we are not growing the gross addition.

Nikhil Choudhary: Sure. Just trying to understand it better. Let's say, what you mentioned earlier, that Tier 3, Tier 4 customer, which you acquired earlier and leading to higher churn, then the cut in cost on those areas. Why we're not investing in the area like you mentioned that we are not very well penetrated in Karnataka, right?

Dinesh Chandra Agarwal: We are doing that. That's why I said on the overall gross addition, we have not reduced. I think we are still at 95% of the highest-ever gross addition. Okay? 5% plus minus keeps happening. So, we have cut down from those areas and doubled down into the Metros.

Nikhil Choudhary: Okay. So, last one on margin. Let's say in steady state, where you are adding supplier at 5,000, 6,000 per quarter. Where should be your margin when you will be again spending on sales and marketing? You'll be again spending on servicing, assuming whatever operating leverage you will still have. So, what would be steady state margin in that scenario?

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Dinesh Chandra Agarwal: That's too imaginary to tell because by that time, if the salaries

suddenly change s like what happened in 2022 and then in 20 23, all my prophecies go ba d. During the COVID, I guided you for 35%, but suddenly the salary market changed big time. So, the guidance went bad. So , I think let's just see next 2-3 quarters and then come back there.

Nikhil Choudhary: So, D inesh, basically, what I want to understand is, would we be investing more compared to what we are investing now? And our margin can go down lower than 33%?

Dinesh Chandra Agarwal: If we invest more, 13ur normal operating leverage will also show up , right. B ecause most of the margin is coming from top, gross margin bucket, not from the bottom sales and marketing and G&A and all that.

Nikhil Choudhary: Sure. The second thing is, last quarter, you have guided that, you will achieve 5. 5K supplier in Q2 or Q3. This quarter, you said that, we are not guiding any supplier addition. So , what has changed, between the two quarter?

Dinesh Chandra Agarwal: Yes, I mean, the entire first quarter, churn has been very, very stubborn . So, for the entire quarter, we have been able to do only 1.5K net add. So , I'm still not able to see that by just doing Tier 3, Tier 4, cut here and there. Those were anyway 10% of the overall customer acquisition. So , I think the bigger issue is, how do we handle Delhi, Bombay kind of a bigger geography ch urn. A nd we still don't have much answer on that. So , I think we are going to make big changes on the product side now. If you see the number of times a buyer is being introduced to a supplier. The ratio of total business enquiries delivered to unique business enquiries. That ratio we are slowl

y and slowly again converting. So that ratio we are looking at probably going towards more like four, from six.

Nikhil Choudhary: Understood.

Prateek Chandra : We have 25 million e nquiries and 128 enquiries delivered. Currently, we are at 5 .

Dinesh Chandra Agarwal: Yeah, which used to be at six. Now I'm planning to bring that down to four.

Nikhil Choudhary: Sure. Understood. Just the last one in terms of data. How much is your churn in Silver, Gold, and Platinum category?

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Dinesh Chandra Agarwal: So, Gold and Platinum, less than 1% per month, and Silver monthly is about 6% per month, and Silver annual is about 36% p.a. or 3% to 4% per month.

Nikhil Choudhary: Sure. Churn actually, slightly increase d in Platinum as well because last quarter you mentioned 0.5%.

Dinesh Chandra Agarwal: 0.5% in Platinum, 1% in, Gold.

Nikhil Choudhary: Okay. Understood. Thanks a lot. Good luck for coming period. Thank you.

Avijit Vikram : So, we have another question from the chat box. The question is from Mr. Girish Shetty. Is there any common feedback you are getting from the silver customers who are not renewing?

Dinesh Chandra Agarwal: I think people are saying so, and that is why we are acting on the competition side. People are saying that it is difficult to do the maturity. So, there are buyers but they are not yet converting. The buyers have become very price sensitive, and we are not able to mature. So that is something has led us to introduce one buyer to lesser suppliers. I know earlier we used to do six suppliers now at five, and we are planning to go towards four, maybe.

Moderator: Next question is from the line of Mr. Amit Chandra from HDFC Securities. Hi, Amit. Please go ahead with your question.

Amit Chandra: Thanks for the opportunity. So, my first question is, obviously, we have seen the growth coming from the ARPU. But if I see the ARPUs in the Top 1 % and Top 10 % customers, there the growth has been much higher than the average levels. And, if I see the increase in the customers that has been almost flat or 4% to 5% Y-o-Y. So, most of the growth in ARPU is coming from the existing customers. So, is it fair to assume that, the existing customers are buying more and so if you can explain what kind of value added services they are getting versus others?

And also, in terms of the churn that you mentioned, that is very difficult to judge what is causing the churn. So, if you can throw some light in terms of the selling process, is there some misselling happening from the channel partners? And, in terms of how the acquisition engine and the renewal engine functions. Is it the same, person who is acquiring, he is doing the renewals or there is some separate team for both?

Dinesh Chandra Agarwal: We have separate divisions for new client acquisition, and silver customer servicing and key clients division which serves mostly gold and platinum customers at various places. For Tier 3, Tier 4 we have a centralized team here in Noida as well as in Chennai for Tamil and IndiaMART InterMESH Limited
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Malyalam -speaking areas. For the silver monthly, we have a dedicated customer team again here in Noida and one in Chennai. So, this is how our divisions are structured.

In terms of ARPU growth, so, yes, you are right because most of the changes have happened at the platinum level. It is not the price increase, but it is the price rationalization for categories which are of higher value, and the price rationalization for categories which are of the lower value. Earlier, there was a flat price for everything. So, it has actually become more rationalized pricing for the customer as well as better realization for us.

And as I said, we haven't changed any pricing for silver monthly and silver

annual customers in the last 5-6 years. The only change that we did was during the COVID, where we passed down 20% discount, and we removed that discount in end of FY '22 and that's the strategy also. So that at the bottom of the pyramid, you play the leadership role, whereas the marketplace becomes more richer and richer in terms of data and in terms of verified supplier availability. And, once you have enough number of suppliers and it is able to attract enough number of buyers, then you monetize the suppliers who are competing with each other to go towards gold and platinum for more and more buyers and RFQ and Buyleads.

In terms of number of customers, if we have only moved from 200 K to 215 K in the last five, six quarters, the top 10 % has also increased

only from 20,000 to 21,000. However, from 20,000, if you really see there was 10%, 12% of the churn. That also got filled. So most of the upgrade is happening from silver monthly and silver annual towards gold and platinum. In fact, this year, we have seen a lot more number of gold customers that came because of the 50,000 odd customer that we increased in the FY'23 and mid of FY '24. So that is what is resulting into the continued growth. And if this customer growth stagnates for a longer period of time, as I said earlier also, it can become a problem for any marketplace.

Brijesh Kumar Agrawal: And, Amit, just to add . When you look at the overall ARPU increase in the gold and platinum subscribers . It's also indicative of the fact that the ROI that they derive that justifies, the extra ARPU that they are willing to pay for subscription to IndiaMART. And we have not seen the churn increase despite this increase in the ARPU in the gold and platinum category. So that's a sticky customer base, which continues to pay us more for the ROI that they're already deriving out of the platform s.

Amit Chandra: So, obviously, what we're trying to understand is what value the top 1% and top 10 % are deriving. Obviously, it's the power of the platform wherein they are getting the bulk of the traffic. But in terms of the silver monthly, is it very different in terms of how the platform IndiaMART InterMESH Limited
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functions for a silver monthly versus in terms of RF Q generated or in terms of quality of lead being generated?

Dinesh Chandra Agarwal: The only difference is the quantity, no difference in the quality of the lead. Only difference is you get more enquiry, more visibility, but it does not differentiate between the RFQ quality being distributed either to a silver or to a platinum.

Brijesh Kumar Agrawal: And in fact, most of these customers, which are in gold and platinum were from the silver category itself. These are customers who have been able to build a team, call upon leads, convert customers well, and that is when they have transitioned to a gold or a platinum subscription base. So, therefore the gold , platinum subscribers are coming in from that same base of silver itself. It's just that they've been able to use the platform a lot better than some of the other silver subscribers.

Amit Chandra: Lastly, are we seeing any risk from the ONDC or is ONDC an opportunity for us wherein it can create an additional channel in terms of the MS MEs?

Dinesh Chandra Agarwal: Whenever they become popular enough, to be able to attract a B2B, I think it will be good for us. As of now they are only trying to do very few categories like taxi and food and maybe some grocery a little bit.

Amit Chandra: Are we having any plans to go live on ONDC

Dinesh Chandra Agarwal: Until unless they become popular enough in the B2C category, there is no point being a very early adopter there.

Amit Chandra: Yeah. Okay. Thank you, and all the best .

Moderator: Thanks, Amit. Next question is from the line of Rahul Jain from Dolat Capital. Hi, R

ahul. Please go ahead with your question.

Rahul Jain: Yeah. Hi. Sorry to go into this question, which has been asked so

many times, but in a different way this time. While you're trying to solve this attrition issue or subscriber issue, whatever you want to call it. Have we done any analytics around the age demographics or, let's say a digital behaviour profile of the retained subscriber versus a high attrition, to understand a much more deeper cause of it rather than the numerical part of it?

Dinesh Chandra Agarwal: We are doing a lot more case studies and statistical analysis, within the same category, within the same city some of the customers end up doing better, and some of the customers end up having a lot more to tell about why this platform is not working for them. So, there are contradictory things available. One of the most IndiaMART InterMESH Limited
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common thing that we could see is that it is becoming very, very difficult for us to mature the buyer and that is why we are trying to reduce the competition, manage the competition within the marketplace. So that's one thing that has come out clearly.

Other than that, not hing very common that is emerging. Some of the time is many suppliers are very hyperlocal suppliers. So, I don't want to deal outside of the Noida, greater Noida. While IndiaMART as a platform, historically was a global platform, then became a national platform, then became a regional platform. Even today, it's not a hyperlocal platform. I mean, you can't have like I only deal in the sector 18 and around in Noida. So, sometimes some of those customers who come in, they come with a wrong expectation.

But other than that, mostly it is with respect to either maturity not being there, or we are getting very retail buyers, because IndiaMART had become popular during the COVID even for medicine, even for consumer items, because lot more retail buyers end up coming to IndiaMART. Despite the fact that there is a minimum order quantity written on the platform, the price is so lucrative, because India MART is majorly known for two things. One is variety of products, variety of suppliers, and the number two is the cheapest price, because India MART does offer the cheapest price for anything.

And there is no way to avoid retail buyers coming on to any web platform. The only thing that we can do is not reform their enquiries or not reform their RFQs. Because if we can identify that this buyer is a retail buyer, then do not matchmake him with three, four, five sellers. So, these are the two common feedbacks that we are getting, difficult maturity and retail buyers.

Rahul Jain: Okay. I think that's very helpful. Just one more thing on the ARPU side. We're seeing significant improvement. So, I mean, obvious things are known, but is there anything we are doing specifically to raise the value for the high paying subscriber, that is driving this kind of a growth? And what is the most sustainable growth in ARPU for the FY'25 and '26 if you have that in your mind?

Dinesh Chandra Agarwal: So, on the value front, the effectiveness of relevant matchmaking is increasing. The higher engaged the supplier is, the better we have his behavioural data. So, we are able to push the more right kind of enquiries and RFQs, and that happens even better for a platinum or gold subscriber, because we have a very large number of datapoints, which kind of lead his purchasing and which kind of lead his not purchasing. So that's the value system, because if we have no data about you, we will try to send you buyers only from your locality and for all categories that you have indicated.

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But if we have data about you, then we are able to show you more RFQs, which are of your area of interest and of your categories of interest

rather than the categories that you've indicated initially because your behavior is lot more repetitive. And since gold and platinum use the platform like on a daily basis, they end up leaving a lot of footprint on the platform for us to be able to do a better matchmaking for them, and that helps them get a more relevant lead. So that's a general algorithmic thing that is built into the platform.

Rahul Jain: Yeah. Appreciated the color. I mean, you touched one important element where you said, you can't help out much in terms of retail buyer coming onto the platform. But, definitely, just like you have taken better control on the telesales part of it, maybe the next step over the period of time would be to take care of the customer acquisition, the channel partner thing eventually into the system wherein the understanding of the onboarding process and where is the mismatch happening in terms of expectation versus outcome would be more closely monitored within the guardrails of the organization. I think that may probably help, at least on incremental basis, if not for the existing set.

Dinesh Chandra Agarwal: Yes. Thank you. Good suggestion.

Rahul Jain: That's it from my side. Thank you.

Moderator: Thank you, Rahul. Thank you, ladies and gentlemen. That was the last question for today. I now hand the conference over to Mr. Dinesh Agarwal for closing comments. Over to you, sir.

Dinesh Chandra Agarwal: Thank you very much, ladies and gentlemen, for joining our Q1 FY'25 conference call. We have tried to address your queries in the time available. But if you still have any question, please feel free to connect with our Investor Relations team. Their contact details are available on our website. Thank you very much. Have a great evening, and see you next time.

Moderator: Thank you, everyone. On behalf of IndiaMART, we now conclude this webinar. Thank you for joining us. You may now disconnect your lines.

Notes:

1. This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings
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Call: Oct 2024

October 24, 2024

To,
BSE Limited
(BSE: 542726)

National Stock Exchange of India Limited
(NSE: INDIAMART)

Subject: Transcript of Earnings Conference Call on financial results and developments for the quarter ended September 30, 2024

Dear Sir/Ma'am,

Pursuant to Regulation 30(6) read with Part A of Schedule III of the Listing Regulations, we wish to inform that the Transcript of Earnings Conference Call for Analysts and Investors held on October 19, 2024, with respect to the financial performance of the Company for quarter ended September 30, 2024, is enclosed herewith.

The copy of transcript is also available on the Company's website at <https://investor.indiamart.com/FinancialResultsStatements.aspx>.

Kindly take note of the same.

Yours faithfully,
For IndiaMART InterMESH Limited

(Manoj Bhargava)
Company Secretary & Compliance Officer
Membership No: F5164

Encl: As above.

Webinar Transcript

Event: IndiaMART Q 2 FY202 5 Earnings Webinar

Event Date/Time: October 19 , 2024 at 16:30 hrs

CORPORATE PARTICIPANTS :

Mr. Dinesh Chandra Agarwal – Chief Executive Officer
Mr. Brijesh Kumar Agrawal – Whole -Time Director
Mr. Jitin Diwan – Chief Financial Officer
Mr. Prateek Chandra – Chief Strategy Officer
Mr. Avijit Vikram – Head Investor Relations

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Avijit Vikram: Good evening, ladies and gentlemen. I am Avijit Vikram, Head of Investor Relations. On behalf of IndiaMART Inter MESH Limited, I welcome you all to the Company's Q2 FY 2025 Earnings Webinar. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Joining us today from the management side, we have Mr. Dinesh Agarwal, Chief Executive Officer; Mr. Brijesh Agrawal, Whole-Time Director; Mr. Jitin Diwan, Chief Financial Officer; and Mr. Prateek Chandra, Chief Strategy Officer.

Before we begin, I would like to remind you that some of the statements made in today's call may be forward-looking in nature and may involve risks and uncertainties. Kindly refer to Slide no. 3 of the earnings presentation for the detailed disclaimer.

Now I would like to hand over the call to Mr. Dinesh Agarwal for his opening remarks. Thank you, and over to you.

Dinesh Chandra Agarwal: Thank you, Avijit. Good evening, everyone and welcome to the IndiaMART's Q2FY25 earnings webinar. We have circulated our earnings presentation, which is available on our own website as well as both the Stock Exchange websites. We are sure you would have gone through the presentation, and we would be happy to take any questions afterwards.

IndiaMART has delivered consolidated revenue from operations of around Rs. 348 crores in Q2, representing a year-on-year growth of 18%. Collections from customers have grown by 6% to Rs. 356 crores on a consolidated basis, whereas the deferred revenue grew by 19% to Rs. 1,483 crores on consolidated basis.

Unique business enquiries grew to 28 million, representing year-on-year growth of about 14%. Our total paying suppliers have grown to 2,18,000. We continue to see more than anticipated churn on the customer base in the silver bucket. As a result, we have added 2,400 customers this quarter, which is a slight improvement over the 1,500 odd customers that we added in the last quarter. However, as I said, the churn continues to be elevated and we are working on that.

Our platinum and gold customers, which constitutes about 50% of our customer base and 75% of revenue continues to have a very low churn and continues to be very stable. We continue to take measures to refine the matchmaking and enhance the overall user experience and engagement on the platform.

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Now I

will hand over the call to Brijesh to update about Busy Infotech. Thank you, and over to you Brijesh.

Brijesh Kumar Agrawal: Hi, Good evening everyone. Busy has done a net billing of Rs. 17.1 crores in this quarter. This represents a Y-o-Y growth rate of 17%. The revenue from operations has grown by 19% Y-o-Y to Rs. 15.3 crores. The deferred revenue has grown by 40% to Rs. 53.3 crores. The net profit for the quarter was Rs. 2.5 crores.

During this quarter, we've sold 8,000 new licenses and the closing count of total licenses is about 3,81,000 licenses. This is at the end of September '24. The overall performance has been in line, and we are focused on increasing our growth rate in the coming quarters.

With this I'll hand over the call to Jitin to discuss the financial performance.

Jitin Diwan: Thank you Brijesh. Good evening everyone. I'll take you through the financial performance for the quarter ended September 2024. Consolidated collection from customers was of Rs. 356 crore in the quarter, representing YoY growth of about 6%. IndiaMART standalone collections from customers for the quarter were around Rs. 337 crores, registering YoY growth of 5%. The standalone revenue from operations stood at Rs. 332 crores, registering YoY growth of 18%. Our growth in revenue was primarily driven by around 14% improvement in realisation from paying suppliers and remaining by increase in number of paying suppliers.

Deferred revenue stood at Rs. 1,483 crores, an increase of 19% on YoY basis. EBITDA of IndiaMART standalone business stood at Rs. 120 crores, representing a margin of 36%. As we mentioned in our last call, current expansion in margins is primarily due to saving arising from lower customer acquisitions, certain cost optimisations and operating leverage. As and when there is an increase in customer growth, we anticipate that margin will align with the gradual the operating leverage inherent in the business.

Consolidated net profit for the quarter was about Rs. 135 crores. Consolidated cash generated from operations was about Rs. 103 crores. Consolidated cash and treasury balance stood at Rs. 2,449 crores as on September 30, 2024.

Thank you very much, and now we're ready to take any questions.

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Question -and-Answer Session

Avijit Vikram: We will now begin the Q&A session. If you wish to ask a question to the panellists, kindly raise your hand and allow camera and microphone access. Alternatively, you may type your question in the chat box and we will revert on it. Please restrict to two questions so that we may be able to address questions from all the participants. We'll wait for a couple of seconds, while the question queue assembles.

Moderator: First question is from the line of Vivekanand from Ambit Capital. Hi, Vivekanand. Please go ahead with your question.

Vivekanand Subbaraman: Thanks for the opportunity. My question is on the collections trajectory. I think till last quarter, till 1Q, collections growth was in the range of around 15% to 20%. Now it has dramatically slowed down to only 5% on the standalone business. I understand that you are facing very high churn at silver bucket level and that's been the case for a while now. So why is it that collections got impacted so adversely this quarter, even though it was holding up strongly in prior periods? Was there anything specific this quarter that weighed on collections? And if you can give us some more insights into how to project collections? Or how do you yourself look at collections here on, given that churn appears to be a chronic problem rather than something that you can address? That's question one, very lengthy one. So, I'll ask my second one only after the answer to this question.

Dinesh Chandra Agarwal: Hi, Vivekanand, as I have been telling in the last couple of quarters if the increase in the net customer base continues to be

flattish over a longer period of time, it will start to reflect in the collections as well as in the revenue. However, this particular quarter, even we have been a little surprised negatively on only 5%, 6% collection growth.

We still tend to believe that this is one-off, some of our execution issues, some of our sales execution issues. And we believe that we will probably bounce back, if not towards 15%, 20% at least try to be in the double-digit plus collection growth going forward. But until and unless we fix the churn position structurally, I think we must not anticipate more than 10%, 15% of the collection growth in the times to come.

Vivekanand Subbaraman : Okay. My second question is, again, on collections, but a different one. So, what proportion of your collections are coming from silver monthly, gold and platinum? Is it possible for you to explain that? And is there any color you can give on the growth in the collections bucket across these three tiers? Thank you.

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Page 5 of 19 Dinesh Chandra Agarwal: So, as I said, gold and platinum on the revenue side, they contribute about 50% of the customer base and 75% of the revenue realised. On the collection front, though we internally do track on every segment of the customer what is the collection and what is the average collection per customer per month, but we have not been releasing that data publicly.

But in general, if you see our revenue and collection today, if you take six months moving average, they are mostly in line. So, you can safely assume that even the collection from customers, from gold and platinum, would be in the range of between 70% to 80% from these 50% customers, because the customer set for the collection and for the revenue will remain the same.

Vivekanand Subbaraman : Okay. So, does this mean that the ARPU increase that you are seeing on a collection basis? I know that the ARPU you report in slide 31

Dinesh Chandra Agarwal: That is on revenue basis.

Vivekanand Subbaraman : That is on a revenue basis, right? So, on collection basis, this does seem to suggest that you maxed out potentially increased prices from gold and platinum. Is that a correct inference?

Dinesh Chandra Agarwal: I would not tend to believe that immediately based upon just one single quarter of performance. I think it could be a few clients here and there, and obviously if the overall collection itself is 5%, 6% growth and total number of customers have grown by 4%, you can assume that the average collection per customer has grown only by 2%. But that simply does not mean that this is maxed out and this is the trend. So, I refuse to believe that. And if this is the similar trend for three quarters in a row, then yes, but I think we will try to reverse that next quarter onwards.

Vivekanand Subbaraman : Okay. No, what seems odd to me is that the prior quarters, you had collections growing fast despite your net adds being under pressure. And this quarter, it seems like your collections growth appears to be more impacted by upgrades perhaps getting affected due to persistent churn being elevated.

Dinesh Chandra Agarwal: Asking the same question again and again

Vivekanand Subbaraman : No, no. I mean it is very perplexing to us, because all of us had

a certain view of this business. The earnings multiple that we assign to the business is based on certain trajectory. It has turned out very differently.

Dinesh Chandra Agarwal: Okay.

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Page 6 of 19 Vivekanand Subbaraman : Thank you and all the best.

Moderator: Thanks, Vivekanand. Next question is from the line of Swapnil from JM Financials. Hi, Swapnil, please go ahead with your question.

Swapnil Potdukhe: Hi, thanks for

the opportunity. My question is pertaining to the previous participant question where you mentioned that 5% collections growth could be a one-off and there could be some improvement going ahead. I would want to go back in history and ask you, and because we have limited history since FY '20, right, on a quarterly basis, and this is the slowest growth, since your listing exit of COVID. Have you experienced a similar growth trajectory in the past? And have you been able to reverse that trajectory? And how long did it take for you? If you can give some precedence of similar growth rates in the past, barring maybe 2008 crisis, I mean, when the economy was stable?

Dinesh Chandra Agarwal: We'll come back to you on that. Please go ahead with your next question. I'll come back at the end, because this is a very interesting question, and I definitely want to answer that.

Swapnil Potdukhe: Sure. So, the next question would be on your churn rates. If you can just break it down the way you have been doing of late on a category basis. If you could help us like how that has moved this quarter? Has there been any increase in churn rates, especially in the upper-tier categories?

Dinesh Chandra Agarwal: No. I think we have rather improved. So, Q4 is generally very good on the gross as well as renewal. The Q1, last quarter, which was April, May, June we came down to about 1,600 net customer add. This quarter, it is about 2,400.

One day here and there could make a difference of maybe 200, 300. So, on a very fractional basis, I think we have improved. But that number is not significant enough to talk about until we see permanent two, three quarters in a row improvement on that. So, the churn continues to be stubborn, but maybe a few basis points, it has improved.

Swapnil Potdukhe : Will it be possible for you to give it in absolute percentage terms?

Dinesh Chandra Agarwal: I've been giving you the same numbers. So, on the platinum and gold, we continue to be healthy approximately at 1%; on the silver annual, about 4%; on the silver monthly, about 6% to 7%.

Swapnil Potdukhe: Got it. And the other question is with respect to your traffic growth. Now obviously, different metrics have played differently this quarter. Unique business enquiries appear to be okay. But then if you look at the total business enquiries delivered, they are down 7%.
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Page 7 of 19 Then your overall traffic growth itself is flattish. I mean how should we read this?

Dinesh Chandra Agarwal: So, I've answered this earlier also. So, one is this traffic growth. Over the time, we have realized that the way traffic is being calculated in the era of web components and a lot of web crawling happening and search engines and ChatGPT and others, I think the web traffic to differentiate from the real user traffic, that accuracy number is going down and down. I mean while we try to represent as much as possible the real user number, but the number of bots and the number of scrapers has suddenly increased. That is why the reliance purely on the traffic number or purely on the registered user number is very difficult. That's why, if you remember, about a couple of years ago, we started to report this active buyer in the last 12 months so as to give you more realistic picture, what is the real people who are making enquiries. Similarly, the unique business enquiry. On the business enquiries delivered side, I have always been saying that we continue to make changes. Earlier, we used to share a buyer's detail with almost like six suppliers on an average. While we tried to reduce that towards 5, 5.5, now we believe that since the churn is very stubborn, maybe there is a room for reduction of the competition and reduction of the number of suppliers per buyer and that is why we are moving more towards 4 suppliers per buyer.

So, the number of business enquiries delivered will continue to decline in a shorter period of time. So, these are the four numbers that we give you, to be able to navigate what is right and what is wrong.

Swapnil Potdukhe: But to put it this way, while I get your logic why you're reducing your enquiries to a limited number of suppliers, will not that affect the actual enquiries that a typical supplier would get? I mean on an absolute basis

Dinesh Chandra Agarwal: In the short run it will, but it should improve his conversion. It should improve his effort to ROI. Currently what might be happening, and this is a hypothesis based upon certain people that we have met, they are saying that don't give us 100 enquiries, give us maybe 50, but give us the ones which are more relevant and more converting for me.

Swapnil Potdukhe: Got it. And any chance of your A&P spends going up now that we are facing challenges on collections as well as suppliers, both? Any remedial measures have you thought about that?

Dinesh Chandra Agarwal: Any chance of?

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Page 8 of 19 Swapnil Potdukhe: Increasing your A&P spends. Maybe that could be the one that could help you.

Dinesh Chandra Agarwal: Yeah, we are working on that. As soon as we are ready, we'll come back and let you know.

Swapnil Potdukhe: Got it. If you can just answer my first question, that will be helpful.

Dinesh Chandra Agarwal: It's not handy with me right now. I remember in FY '19, we were actually at about 12%, 15% odd growth rate. On a quarter-on-quarter, I think we have faced this challenge at least third or fourth time in the history. And this is probably one of the longest eight quarters that it has taken us to, because the size has also become bigger. But otherwise, we have always found ways and means. Maybe we'll take one step back to find way back because so many

categories and such a large business and such a great future ahead of us.

If we won't grow, I mean, even Google should not grow, because strategically, we are almost a small replica in our own world for Google. So, from that perspective, I don't think finding the right niche is important, but I think we will recover, and we are quite confident of recovering.

So, in FY '17, our collections over FY '16 was only 13%. And I don't have the real quarter-on-quarter data. But I think if the overall year was 13%, I'm sure there was one quarter, which was single-digit growth percentage. Similarly, sometime around, FY '20 was 10% growth rate, whereas only last 15 days of the FY '20 were pandemic oriented.

While even the quarter-on-quarter, I do remember that third quarter of FY '19 was also similarly single-digit quarter. So, I think we have faced this. And even if I remember the entire FY '12 and FY '13, we were less than and that time, we were still trying to find the product market fit. So, we will recover for sure.

Swapnil Potdukhe: Thanks for giving that detailed answer. Thank you. All the best.

Moderator: Thanks Swapnil. Next question is from the line of Sachin from Bank of America. Hi, Sachin, please go ahead with your question.

Sachin: Thank you management. Two questions. First, I wanted to understand a bit more on margins. Given that perhaps there is no near-term visibility on churn control, the net adds remain low. And on back of operational leverage, cost control, clearly, we're seeing quarter-after-quarter EBITDA margins moving up. So, is it fair to assume that margin should stabilize at 38%, 39% in the foreseeable future till we see all these issues getting resolved?

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Dinesh Chandra Agarwal: Yeah, we have been telling, I think these are more to do with the timing. Jitin, can you highlight?

Jitin Diwan: Thanks, Sachin. So, as you rightl

y mentioned that margins are elevated for the last two quarters. Because of the slowdown in growth, we are not able to add much of net adds and this quarter collection is also on the lower side and that's how it is looking elevated. So, once we go back to adding customers and collection will also pick up, we will be back to our normal margins.

Having said that, sustainable margin, what you said, we believe that it should be in the range of 34%, 35% and not 37%, 38%. So next quarter also, we will have our salary appraisals, which will have impact on margins as well.

Sachin: Okay. But let me flip that question around a bit. I mean during COVID, your margins were as high as 50%, 52%. What stops the margins only at 36%, 38%? Why can't be at 40%, 45% in the near term? And even the normalized margins, I mean, the way cost control is happening, why should it be at 34% and not higher than that?

Dinesh Chandra Agarwal: We always say that one should take the collection to cash flow margin and that would be the long-term trending margin for the revenue to EBITDA. It cannot be different, so collection to cash flow has been trending between 35% to 40%. This particular quarter,

collection to cash flow is hardly 33% or so. So, collection to cash flow is the leading indicator of the margin.

What you see currently here, the revenue coming from the past, while the cost is current, the revenue is at 18%, while the collection is at 5%. Even during the COVID, I had been telling everybody that this is the worst ever quarter, but everybody said margins are doubling. And in COVID, a lot of costs were also cut down, because rent was reduced by half, no transportation, no hiring, so they were like that. But these are not the times where we are going to cut cost to sustain the margin.

So, as I said, we would be happy to report margins at around 33%, plus/minus 1%. But in the interim, while we try to find the growth lever, until and unless we find the healthy growth lever, there is no point of spending money. So that is what I'm saying. If we find the handle on churn, I think we will go whole hog aggressive on the gross addition as well and that will increase our cost a bit then. So, since we are not able to find handle on churn, we are also going slow on the gross.

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Page 10 of 19 Sachin: Thank you. Very clear. And my second question is actually on some of the points you said as answer to this question or to some of the earlier participants. In one of the statements, perhaps you said that until we fix these issues structurally. So just wanted to understand, what needs to be done from a management perspective to fix these issues structurally?

Dinesh Chandra Agarwal: So, one is the execution side, which is the people and process side. The other could be product expectation and product outcome side. What is it that will bring the buyers back again and again? What is it that will improve the word of mouth? What is it that will improve the enquiry to conversion for suppliers? What is it that will improve the fulfilment for buyers? And that is something on which we found the product market fit in FY '18 and then from then on, we have been doing minor, minor tweaks.

There may be possibilities that while doing the minor, minor tweaks, there could be something that we missed probably. And one of the things that we realise is that we have been always working on increasing supplier responsiveness and which is so high today that it may be acting against the buyer's interest or against the supplier's own interest in terms of his getting enquiry, but he's not getting conversion.

And we have heard this by going to multiple suppliers that enquiries are there, but I think it is difficult to mature the enquiries. Buyers are also saying that the suppliers are there, but probably it is difficult to decide

which supplier to settle with, so this is one of the things. And that structural finding is sometimes in front of your eyes, but you just keep struggling to find the right one.

Sachin: That point I understand and thank you. And wish you all the best.

Avijit Vikram: So now we'll take a question from the chat box. The question is from Mr. Dhiren Barvadiya. So how do you see exports-oriented suppliers and buyers for adding growth to business as China Plus One theme comes to fruition? What are our plans to capitalise on these trends?

Dinesh Chandra Agarwal: Thank you very much. So just for the context, IndiaMART was

an export /import business to business marketplace , since 1999 until 2009 . And 80% of our focus used to be exports. Sometime during 2007, '08, '09, we realised that India has become uncompetitive or less competitive in the world market as against China.

And we would probably like to focus on the domestic market. It took us some time between 2009 and 2013, '14 to find the product -market fit for the domestic buyers and sellers. Ever since, we have not been focusing on the export market. Only in 2020, post the COVID
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Page 11 of 19 pandemic hit, we found that still there is nobody else who is serving the export market well. And so , we started with a small initiative called IndiaMART Verified Exporter programme. And that has done well. But do I see a TAM of hundreds of thousands of crores there? I still do not see such a large TAM. I mean if you really compare the growth in the export market, that still has been single -digit CAGR over the last 10 -odd years or 15 -odd years.

So, while there is an opportunity to build maybe Rs. 100 crores, Rs. 200 crores, Rs. 300 crores business and out of that, maybe we are already doing Rs. 50 crores, Rs. 60 crores, Rs. 70 crores of business but will that become a Rs. 500 crores or Rs. 1,500 crores business? That is not something that we see immediately.

So, I hope that answers your question that we now have an export offering ever since late 2020 or early 2021, and it is probably upwards of Rs. 50 crores and below Rs. 100 crores of revenue contribution to our business, but will it grow as rapidly as the domestic business, I'm not too sure.

Moderator: Next question is from the line of Nikhil Choudhary from Nuvama.
Hi, Nikhil, please go ahead with your question.

Nikhil Choudhary : Thanks for the opportunity. Just want to understand the collection number a little better. So , collection growth for us was 5% Y -o-Y this time. And while you are attributing it to lower subscriber addition, even the total subscriber grew 4% Y -o-Y, right?

So, subscriber is not the only reason, which impacted collection. Correct me if I'm wrong because at least what we can sense is that revenue per paying supplier must have gone down as well for collection to be at 5%. So , can you give colour what happened behind the scenes ? And why, let's say, revenue per paying supplier has gone down at such a pace in between the two quarters?

Dinesh Chandra Agarwal : Yeah. If you see the slide 31, so let's understand the difference in collection and revenue. So , if you see the revenue side, revenue is 4% growth in paying supplier and 14% growth in average revenue per supplier. Total revenue is 18% growth. So , there is no calculation difference. On the collection side, 4% growth in customer and only 1% growth in average collection per customer, which is resulting into 5%.

Nikhil Choudhary : Yes. So why there is decline in average collection per customer? Any reason for that?

Dinesh Chandra Agarwal : I mean as I said, we have been growing at about 15 -odd percent in the past, despite the fact that the number of paying suppliers have been growing at 5 -odd percent. In this particular quarter, we believe
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Page 12 of 19 that there could be execution challenges in the pockets. We do not know if this is something that we can say that the average collection per customer will continue to remain muted. We will see if we can recover that back in the current quarter or next quarter. If that is not the case, then we can assume that this is a structural problem.

Nikhil Choudhary: Sure. Second thing, given the churn continue to remain elevated and since last many quarters, you have highlighted some of the initiatives you are taking. Any update, anything which has changed on ground, or we should assume this remains the case even in coming quarter?

Dinesh Chandra Agarwal: So coming quarter, I don't think you will see a significant change. Because the changes that we have done around two, three quarters, four quarters ago, they have not yet resulted into anything significant.

So, I think newer initiatives that we are trying to take on reducing the buyer-seller side competition as well as maybe putting some additional checks on spending our time, money and energy in terms of acquiring the customers, which are the more vintage customers or more evolved set of customers, that will take another two quarters or so to say if there is any significant happening on that. Other than that, I do not have any other information to share with you.

Nikhil Choudhary : Sure. The last one is on unique business enquiry, 1.4% jump. I think first decent jump after many quarters. So, any colour what is leading to the uptick in Q2?

Dinesh Chandra Agarwal: I would say that there has been some effect, if you would have noticed, we have started to collect enquiries also using WhatsApp on our mobile website. So that has given us maybe 1% or 2%. So, the conversion from the traffic to unique buyer, that has improved a little. We used to call the buyers whenever there was a half-intent or a dropped-intent buyer, that process also we have moved towards to WhatsApp and RCS.

That has lower cost and higher ROI. So that has resulted into some of this. But this is too small a number to say because otherwise, if you really see, it used to be in the range of 25 million, 26 million and moved to 28 million. Whether it will remain 27 million or 28 million, but I'm sure at least 1 million per quarter growth has come because of the WhatsApp-led implementation.

Nikhil Choudhary : Sure, understood. That's it from my side. Thank you.

Avijit Vikram: So, we have another question from the chat box. The question is from Mr. Jigar Shah. We are seeing Justdial being very aggressive IndiaMART InterMESH Limited
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Page 13 of 19 in customer acquisition. Also, we see more activity by Trade India, your initial competitor. Is competitive intensity hurting our growth?

Dinesh Chandra Agarwal : On the Justdial side, I think if you really see the number of customers declined during the COVID time and the recovery, I think they declined for a long period of time during both the COVID period, while we kind of remain more or less flatish during the entire COVID period. Only for the first quarter, we declined. So, I think they recovered that post COVID. While at IndiaMART, we moved from 1.5 lakh suppliers to almost 2 lakh suppliers quickly. And in the last five, six quarters, we are now stagnating. I would say they woke up a little late. Whether they will face the similar challenge that time will tell. But we're happy with whatever

we have been doing and wish all the best to Justdial for their own endeavor.

We haven't heard much about Trade India. Trade India remains our distantly respected competition, whether it is Exporters India or Trade India, but no significant change that we have observed from them.

Moderator: Next question is from the line of Kushagra from Old Bridge Capital. Hi, Kushagra, please go ahead with your question.

Kushagra Bhattar: H

i. Just two questions. Sorry to hush on the collections again. I'm just trying to understand your response in a better way. So, given that gold and platinum are 70% to 80% of the collections, so the lower growth in collections actually has to come from lower growth in collections from the same gold and platinum customers, right?

So, I'm trying to understand one of the reasons, which you laid out was more of a one-off and you mentioned some lapses in the sales execution. So maybe if you can give some more light as to what those lapses were and what are you trying to do about it so that they don't happen again. Yes, that's my first question.

Dinesh Chandra Agarwal: So, as I said, in terms of improvement of sales efficiency to improve the collections, on the shorter term, some of those things were, we were not able to fill in the vacancies, some of them are related to even the churn, movement that we are having from silver to gold to platinum. I think the gold side, the lower part of the gold, which we call the Trustseal customer, there, I think we are having certain set of challenges.

I would still say that please wait for next quarter or so to be able to really say that what execution challenges have we been able to fix because this 5% growth rate that is coming, some of that could also be the regional decentralization that we have been working on.
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Page 14 of 19 We now have a regional structure, which is reporting to the central structure with each vertical of acquisition and customer support and the key client division, but none of that should have resulted into such a sharp drop. 5% growth coming from the customer and 10% growth coming from the collection; together they should have been anywhere plus/minus 15%. This 5% is definitely not acceptable, but we would only know if this is one-off because the number of months that we have had is only two months so far.

Kushagra Bhattar: Sure, all right. Second question is on a different note, basically, you generally don't call out this metric, but do you sort of track your revenues or the money you're able to realize per unique business enquiry? Like if we do the rough math, basically, it shows that it has trended up. But given all these challenges, where do you think the money which you're able to realize per unique business enquiry is headed in the future?

Like is there a threat how much you can monetize or how much you can make per unique business enquiry going forward for all the challenges, which you have laid out and which we have been facing in the last seven, eight quarters? Yes, that was my second question.

Dinesh Chandra Agarwal: So, I think on the monetization side, the day we decide that now we have to maximize the monetization for every category, for every location, for every enquiry. Currently, we have been operating largely as a horizontal marketplace with flattish pricing across the

category, across the location, across the quantities.

The only thing that we have implemented in the last year and the half is all the newer sales in the platinum segment is being sold in two-tier pricing with the normal and premium, where the premium has been assigned to certain 2%, 3% of the categories and the top - tier cities. I think there is enough room for a B2B marketplace or for a B2C marketplace once it comes to maximize the revenue per enquiry in different segments.

So, if you really look at 1688 example, between 2005 and '15, their customer base grew from almost 100,000 to close to a million. And between '15 and '25, their ARPUs have grown considerably. But I don't think we at IndiaMART have reached that level of saturation that we need to optimize on every location, every category. I think we are still in a growth phase, and we will continue to do that.

Just like in Google, if you look at the ad words, every cat

egory, you can do a bidding and do a demand -supply based matchmaking, whereas in the beginning on the Amazon, whenever a new category is introduced, is introduced at a flat pricing of 5% or so. But over the time, when the competition heats up, you try to maximize the return per category or sales per category.

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And then on top of that, you make revenue from advertisement. So, I don't think the monetization is per unique business enquiry is a problem. I think the top of the mind recall and the Net Promoter Score of buyer and seller, that is the key metric for us in the midlife of IndiaMART.

Kushagra Bhattar : Got it, got it. Thank you and all the best.

Avijit Vikram: So, we have another question from the chat box. The question is from Mr. Amrith Kakkar. Can you share what is the current thinking on the strategic investments, either in terms of adding as a service or potential sales, specifically for existing integrated services like Livekeeping, can you provide some color on what the plan is?

Dinesh Chandra Agarwal: Prateek, do you want to answer that accounting as a segment?

Prateek Chandra : Yeah, Hi everyone. So, on the strategic investments, as we've stated that our core business proposition that was around the matchmakings and a little bit on the conversation side. And the business software enablement for the different SMEs becomes an integral part for the SME ecosystem. And in order to enhance the value proposition there, we've been trying to explore different, different software and invested in the different software .

Accounting being one wherein we have a very high conviction, and we have taken huge bets on the accounting segment, one investment is Busy and the other investment has been Livekeeping. So, it's been roughly around 2.5 years that since we made these investments. And both of these investments are moving in the right direction.

In the terms of Livekeeping specifically, when we acquired them, it was just a product that was just created. Over the years, we have worked on the scalability of the product. And now, it is being used by more than 10,000 plus customers in total. So, from zero to 10,000 customers is what we've been able to achieve. However, we still think that in the larger scheme of things, it still continues to be small. As and when it kind of continues to grow well and becomes a little

scalable, we would explore a lot more synergistic opportunities with the IndiaMART, which would become visible.

Dinesh Chandra Agarwal : Yes. Currently, for Vyapar, Busy and Livekeeping, all three of them, we are currently using IndiaMART as a channel for sales lead generation. I think it is in the near future that we would start to do a reverse as well whereas Busy customers or Livekeeping customers can generate leads for IndiaMART as well.

On the Vyapar side, we have also integrated on the buyer side, where from within Vyapar, you can submit a buy lead or an RFQ to IndiaMART
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Page 16 of 19 IndiaMART for enquiry. Similarly, from Shopify, we have an app where you can submit an RFQ on IndiaMART. So, this gives a holistic view on Rs. 600 crores, Rs. 700 crores that we have invested in the accounting software side.

On the minority investment side, Prateek can also give you some colour where we are, I think if you read the annual report that was released in the last quarter, that has a good section on that. But Prateek can elaborate strategy on that side.

Prateek Chandra: On the sectors other than the accounting, we still kind of continue to explore. Certainly, if you look at, we've invested in the logistic SaaS that we had the three investments there. Distribution management, Bizom is another one that's been kind of doing well, been progressing well. EasyEcom had been more about the e-commerce universe

of the suppliers who want to do e-commerce, enabling their order management system, their warehouse management systems is what EasyEcom does.

And M1xchange is the other one, which has been doing well on the invoice discounting side. So, these are again, if you see very, very different, different areas that we're trying to explore. As I said they continue to be small. As and when they grow bigger, we would see a much better synergies opportunity with them.

Dinesh Chandra Agarwal : I think four, five of them within last 2.5 years have raised multiple rounds of subsequent capital after raising money from IndiaMART as well. So, they continue to do well on that side as well.

Moderator: Next question is from the line of Anmol Garg from DAM Capital. Hi, Anmol, please go ahead with your question.

Anmol Garg: Hi. So, a couple of things from my end. Firstly, you have talked about that you're not seeing much competition from Justdial or Trade India, Exporters India. So, is there any other channel which is from where we are seeing larger competition for example, B2B e-commerce or Facebook per se?

Dinesh Chandra Agarwal : So, I don't think we have faced any bigger challenge or any bigger competition from any of the smaller Indian players that keep getting funded time-to-time. I'm sure each one of them are trying to solve very unique and very different problem for a specific industry or for a specific geography. And we continue to study them and see what we can learn from them, how we can partner with them. But as of now, we have not seen any particular customer who is mentioning that I left you because of XYZ competition.

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Page 17 of 19 On your other question, whether Meta or Facebook or Instagram or WhatsApp, similarly, whether Amazon or Flipkart or Zepto or Blinkit and thirdly, Google . These three continue to remain the bigger daddy under which we try to find our own niche. So , they are always a competition to anybody and everybody, all these three people. And we continue to find a niche, the kind of problem that they are not willing to or able to solve.

And B2B is one such thing that neither Amazon nor Google and nor Facebook as a company has solved in a longer period of time. And it is not only in India. Even worldwide, if you really see, very little they have been able to gain. So , I think they continue to be a threat and opportunity, whereas looking at their revenues, you can find that if their B2C revenue is so high, how can you do B2B. But if you really look at the other smaller ones, they're all trying to generate some business, but still there is nothing to worry about us as a competition.

Anmol Garg : Sure. Secondly, if I have to break up our paid supplier additions between gross additions and churn in this quarter, then would you say that on quarter -on-quarter basis, you have seen some improvement in gross addition or churn has reduced from that perspective?

Dinesh Chandra Agarwal: So, from the gross side, as I said, almost like seven, eight quarters, we have remained at 90%, 95% of the gross addition and I have not pressed the pedal, specifically, to meet short -term net customer requirement. My thing has been that try to improve the churn first before we go to 120% of our best ever gross addition. So , as I said last time also, we continue to remain at 90%, 95% of our gross addition. Whatever deterioration or improvement that you 're seeing, it is purely because of churn.

Anmol Garg: Right. And as you have indicated that churn is more or less the same as the last couple of quarters, so from that perspective, for now, should we assume that the gross supplier additions would remain in the 2,000 odd range in terms of the additions on quarter -on-quarter basis?

Dinesh Chandra Agarwal : Net supplier addition, yes.

Anmol Garg : Net supplier addition.

Dinesh Chandra Agarwal : Yes. Currently, it doesn't look like we have broken out of that 2,000 to 3,000 range bound figure. If you really look at the last five, six quarters, it has remained range bound between 2,000 to 3,000. I would love to go past 5,000, but we have not been able to. And until and unless we go past 5,000 on a consistent basis, we will not be
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Page 18 of 19 unnecessarily putting a lot of money in acquiring new customers to increase our gross addition.

Anmol Garg: Right. And one last thing from my end. So , if you can talk about ratio of enquiry to conversion for a supplier, then how has it changed over last few quarters? And just wanted to understand here the quality of enquiries that we are having right now.

Dinesh Chandra Agarwal : That varies significantly from customer -to-customer, industry -to-industry, location -to-location. Certain customers with very large order value, like large machines and large projects are happier with 1% or 2% conversion and certain customers, which are able to do

even 20% conversion. So , I think th at varies significantly across different industries and geographies.

I think the NPS that we measure, buyer fulfilment rates that we measure has remained at 40%, 45% of the buyers who respond back to our feedback. That is something as an indicator that it has plateaued over the last two, three years. It used to be 25 -30% odd percent pre -COVID. It moved to 40 odd percent post -COVID and now trending at 45%. But in the last three years, it has not really made further improvement. And also , people's expectation might have changed. So , we can clearly say that the importance of conversion is very subjective to each industry and each particular customer.

Anmol Garg: Sure, understood. Thanks for taking my questions. That's it.

Moderator: Thank you, ladies and gentl emen. That was the last question for today. I now hand the conference over to Mr. Dinesh Agarwal for closing comments. Over to you.

Dinesh Chandra Agarwal : Thank you very much, ladies and gentlemen, for joining our Q2 FY'25 conference call. We have tried to address your queries in the time available. But if you still have any questions, please feel free to contact us with our Investor Relations team, and we w ill try our level best to give you answers of whatever we could not answer today. Thank you. Have a nice weekend and happy Diwali to all of you.

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Moderator: Thank you, everyone. On behalf of IndiaMART, we now conclude this webinar. Thank you for joining us, and you may now disconnect your lines.

Notes:

1. This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings
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Call: Jan 2025

January 24, 2025

To,
BSE Limited
(BSE: 542726)

National Stock Exchange of India Limited
(NSE: INDIAMART)

Subject: Transcript of Earnings Conference Call on financial results and developments for the quarter ended December 31, 2024.

Dear Sir /Ma'am ,

Pursuant to Regulation 30(6) read with Part A of Schedule III of the Listing Regulations, we wish to inform that the Transcript of Earnings Conference Call for Analysts and Investors held on January 21, 2025, with respect to the financial performance of the Company for quarter ended December 31, 2024, is enclosed herewith. The copy of transcript is also available on the Company's website at <https://investor.indiamart.com/FinancialResultsStatements.aspx>.

Kindly take note of the same.

Yours faithfully,
For IndiaMART InterMESH Limited

(Manoj Bhargava)
Whole -Time Director,
Group General Counsel &
Company Secretary
Membership No: F5164

Encl: As above.

Webinar Transcript

Event: IndiaMART Q 3 FY2025 Earnings Webinar

Event Date/Time: January 21, 2025 at 17:00 hrs

CORPORATE PARTICIPANTS :

Mr. Dinesh Chandra Agarwal – Chief Executive Officer
Mr. Brijesh Kumar Agrawal – Whole -Time Director
Mr. Jitin Diwan – Chief Financial Officer
Mr. Prateek Chandra – Chief Strategy Officer
Mr. Avijit Vikram – Head Investor Relations

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Avijit Vikram: Good evening, ladies and gentlemen. I am Avijit Vikram, Head of Investor Relations. On behalf of IndiaMART InterMESH Limited, I welcome you all to the Company's Q3FY25 Earnings Webinar. As a reminder, all participant lines will be in the listen -only mode and

there will be an opportunity for you to ask questions after the presentation concludes.

Joining us today from the management side, we have Mr. Dinesh Agarwal, Chief Executive Officer; Mr. Brijesh Agrawal, Whole - Time Director; Mr. Jitin Diwan, Chief Financial Officer; and Mr. Prateek Chandra, Chief Strategy Officer.

Before we begin, I would like to remind you that some of the statements made in today's conference call may be forward-looking in nature and may involve risks and uncertainties. Kindly refer to Slide no. 3 of the earnings presentation for the detailed disclaimer.

Now I would like to hand over the call to Mr. Dinesh Agarwal for his opening remarks. Thank you, and over to you.

Dinesh Chandra Agarwal: Good evening, everybody and welcome to IndiaMART's Q3FY25 earnings webinar. We have circulated our earnings presentation, which is available on our website as well as on the website of the stock exchanges. We are sure you would have gone through the same and we would be happy to take any questions afterwards.

IndiaMART has delivered consolidated revenue from operations of Rs. 354 crores in Q3, representing a year-on-year growth of 16%. Collections from customers grew about 10% to Rs. 363 crores on a consolidated basis. Deferred revenue grew by 17% to Rs. 1,492 crores on consolidated basis.

Unique business enquiries have grown to Rs. 27 million, representing a year-on-year growth of about 17%. Total number of paying suppliers has declined slightly by Rs. 3.5K to 214 K. This decrease is primarily attributed to the reduction in gross supplier addition during the quarter as we have been increasingly focusing on onboarding higher quality businesses as paying supplier. Additionally, lesser number of working days due to festive season has also contributed to the decline.

The churn rates within the customer base in the silver bucket remain largely consistent with the trends observed in the recent quarters.

Our platinum and gold customers, which constitute approximately 50% of our customer base and 75% of revenue continue to have low churn.

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We are focusing on enhancing quality and simplifying the platform to improve the overall user experience and engagement.

We have further strengthened our leadership by onboarding Mr. Saurabh Deep Singla as the new CHRO

Now I will hand over the call to Brijesh to update about Busy Infotech. Thank you and over to you, Brijesh.

Brijesh Kumar Agrawal: Hi. Good evening, everyone. Busy has done a net billing of Rs. 20.4 crores in the quarter, and this represents a Y-o-Y growth of about 42%. This billing also includes an impact of approximately Rs. 2 crores, which has come in because of a change in the overall payout structure for the channel partners.

The revenue from operations have grown by 30% year-on-year basis

to Rs. 16.3 crores and the deferred revenue has grown by 43% to Rs. 57.3 crores. The EBITDA for the quarter is at Rs. 1.1 crores with margin of 7%. The net profit was Rs. 1.9 crores. The cash flows from operations stood at Rs. 4.9 crores.

During this quarter, we have sold an additional 7 K new licenses, and this takes our total licenses sold to about 388 K at the end of December '24.

With this, I will hand over the call to Jitin to give an update on the financial performance.

Jitin Diwan: Thank you, Brijesh. Good evening, everyone. I will take you through the financial performance for the quarter ending December 2024. Consolidated collection from customers

was Rs. 363 crores in the quarter, representing year -on-year growth of 10%. IndiaMART standalone collections from customers for the quarter were at Rs. 341 crores, registering year -on-year growth of 8%. Standalone revenue from operations stood at Rs. 337 crores, registering year -on-year growth of 16%. Our growth in revenue was primarily driven by improvement in realisation from paying suppliers.

Consolidated deferred revenue stood at Rs. 1,492 crores, increase of about 17% on year -on-year basis. EBITDA of IndiaMART standalone business stood at about Rs. 144 crores, representing a margin of 43%. The margins continue to be elevated on account of savings arising from lower subscriber acquisitions and operating leverage. As and when customer growth increases in future, we anticipate the margins will align with the gradual operating leverage.

Consolidated net profit for the quarter was Rs. 121 crores.
Consolidated cash generated from operations was Rs. 114 crores.
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Consolidated cash and treasury balance stood at Rs. 2,606 crores as of 31st December 2024.

During the quarter, we exited one of our investee companies, Shipway, as it was fully acquired by Unicommerce, listed on stock exchanges.

Thank you very much. We are now ready to take any questions.

Question -and-Answer Session

Avijit Vikram: We will now begin the Q&A session. If you wish to ask a question to the panellists, kindly raise your hand and allow camera and microphone access. Alternatively, you may type your question in the chat box and we will revert on it. Please restrict to two questions so that we may be able to address questions from all the participants. We'll wait for a couple of seconds while the question queue assembles.

Moderator: First question is from the line of Abhishek Bhandari from Nomura. Hi, Abhishek, please go ahead with your question.

Abhishek Bhandari: Yeah, thank you for the opportunity. I just had this question on surprise paying subscriber number, minus 3.7%. Even in the worst of the last few quarters, you were at a positive number of around Rs. 2,000 odd. So, what surprised you negatively? And by when do you think we'll again go back to a positive number, if at all? and sustaining this collection growth rate in double -digit, is it possible

sans the net subscriber addition for you?

Dinesh Chandra Agarwal: Thank you, Abhishek. See, I've been guiding in last two quarters that while we are working on improving the churn and for the purpose of improving the churn we have taken two, three initiatives . One, which you can see is the number of unique enquiries to the number of enquiries delivered , that ratio has come down from 5.5% to now 4%. Secondly, we are trying to improve the relevancy in terms of geographical matchmaking and in terms of the buylead or RFQ quality. So those things that we are doing are taking much longer than our anticipation.

So, in the meantime, what we are doing is not aggressively investing in gross addition rather we are doing segment -by-segment analysis , which are the high churn customers for whom the platform is not working at all We are trying to identify those segments one by one whether it is the Tier 3 or Tier 4 geographies or whether it is some of the industries where it is not working and we are trying to restrict our investment until we are able to get a very positive hang on churn . There's no point trying to get 1 ,000 or 2,000 customer addition per quarter or whether it is 1,000 or 2,000 less.

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If you go to our functional P&L slide, you will see that investment in sales and marketing which used to be typically at about 15% odd or plus/minus that so that it ranges between 12% to 18%, is at the lower side of the range . Now we are at 13% only.

So , we are consciously not investing and going aggressive to increase the supplier base. We know we have supplier base. We are getting certain supplier base and secondly , there may be some seasonal effect of Dussehra , Diwali, Christmas and New Year.

I think let's wait for a quarter or two when I can give you a really good news about the churn and we have all the money and resources to go back and press the pedal on new customer acquisition.

Abhishek Bhandari: And my question on whether you can sustain this double -digit customer collection growth in the fact that addition has gone negative?

Dinesh Chandra Agarwal: Right question, because if we are not doing the gross addition, so even if those customers were staying for let's say three months, six months, nine months they were adding to the collection. So , if the net customer addition is going to be even zero or plus minus then whether the collection will remain in the 5% to 10% range or whether it will remain in the 10% to 15% range, you are right. I think let us not have an expectation of over 10% as of now. If we can surprise you , we will come back, but I would not increase my expectation beyond 10%.

Abhishek Bhandari: Okay. Thank you and all the best.

Moderator: Thank you Abhishek. Next question is from the line of Nikhil Choudhary from Nuvama. Hi, Nikhil, please go ahead with your question.

Nikhil Choudhary: Hello, good evening. Thanks for the opportunity. My question is on collection growth remaining below 10%. Last quarter, we highlighted there were some execution challenges, right? And that basically impacted your collection growth last time, but still collection growth remains below 10%, and you're also guiding less

than 10%. So , I just wanted to get some colour on what's happening?
and is the impact of execution challenges continue to remain?

Dinesh Chandra Agarwal: I mean, last quarter, suddenly, we came down from that 14 % odd to 4% odd or 5 % odd and there were two things , one is that the number of customer addition was not happening so, we were slowly and slowly coming down in our collection growth, coming from 20% to 15%, 16% to 14%, 13%. So , I think we would have been happier if the last quarter was 12 %-odd, but we actually fell down to 4%.

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So, there were some execution challenges. I think there is always an execution challenge, but by and large, I think the team has done a good job with 8%, 9% and mostly, if you see the ARPU growth or the collection per customer growth, the team has been able to do a decently good job. So , I would not say that the collection is now reflecting a bad execution. 1%, 2% plus/minus here and there is possible but because we have not been adding customers so there is a problem with the collection and that is why I'm saying that let us wait for a quarter or two more when we can give you a better colour on the churn.

Nikhil Choudhary: Sure. Second one, just want to understand your thinking behind it. So, we have been trying to do or reduce the churn basically during the last five to six quarters, right? We have made various initiatives including changing the matchmaking , enabling overall easier contact between the seller , plugging WhatsApp, which is now available on your website , in your app. So just want to understand, despite of so much initiative, if we are seeing the elevated churn continue to remain a problem, why don't we fundamentally think that elevated churn is now maybe a base case and we should focus on gross addition rather than cutting our sales and marketing, which is impacting our growth further?

Dinesh Chandra Agarwal: I mean that can only help you in maybe one or two more quarters. But after that again it will come back and bite you. So , there's a concept of CAC to LTV, the customer acquisition cost that we pay and long

-term value that we can derive and while it is highly profitable for us in the second year, third year, fourth year. For the first-year customers if the retention is going to be so low, I think it will become a problem in times to come. So, I think it is better that we correct our main engine right now and be able to do a better job.

Otherwise, we will get into the pure ARPU growth mode for many, many years. I think it will take some time. I am still not pessimistic on the India growth story, our Internet growth story or lead gen story or any of that.

That is what I suggested, I think last to last quarter in one of the question , that let us not question the business model of Google itself because if the Google as a business model is a purely advertising , lead gen business model for SMEs and for our businesses. I think IndiaMART is slightly more refined version of that with a slightly lesser TAM. So , I'm still confident that structurally there is a whole lot of opportunity available in front of us. We are trying to find that blind spot which we can fix doing too many different experiments.

Yes, you are right that it has taken five six quarters, and nothing has resulted so far but I think we have done it time and again in the past
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many years over the last two, three decades. I think we will be able to fix this. If we are not able to fix this two, three, four quarters, I think we can always go back to the ARPU led growth or customer acquisition -led growth at a lower profitability.

Nikhil Choudhary: Sure. Makes sense. The last one, if I can squeeze in, is on your buyer side. So, we have seen a decent improvement in metrics, both on LTM active buyer as well as daily unique business enquiry, right? Any colour, any initiatives you have taken which is resulting that? And just some colour out there.

Dinesh Chandra Agarwal: I think this is function of too many things, whether lesser number of suppliers causing lesser irritation to the buyer because at the end of the day we sell buyer information to the sellers and multiple sellers do call you. So, has that resulted into a significant repeat buyer. You can see a little bit of improvement in repeat buyer coming at about 55%, highest ever kind. But that's just one quarter.

Some improvement is possibly due to the search engine optimisation because the last year, most of the searches were driven from the Google desktop and now Google has become mobile -first indexing. But I would still say that let's wait for another quarter when this can become a sustainable trend because these are the only two quarters of good growth. I would still wait for another quarter to say that this is a sustainable trend. We are running at almost all -time high unique business enquiries per quarter.

Nikhil Choudhary: Yeah, thanks again and good luck for coming period.

Moderator: Thank you, Nikhil. Next question is from the line of Swapnil from JM Financials. Hi, Swapnil. Please go ahead with your question.

Swapnil: Hi, thanks for the opportunity. So, I had two questions. The first one is, we have been seeing these churn -related issues since the time we increased our pricing on the silver category, right, the last year, sometime in May and that is when we have been seeing this kind of high-churn rates, especially in the silver category and that has sustained.

Have we considered going back to previous pricing, trying out something different rather than just saying that this is low margin growth, and it may not get converted into upsells going ahead but just for the time being, just going back to the previous pricing just to bring something new to the table. I'm just coming from that thought process, if you can just?

Dinesh Chandra Agarwal: Yeah, I think it's a valid suggestion now because while the price is same as what we had in 2

019 -'20 just before the COVID and so there was no rationale to even think while the inflation has run up
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so heavily in these many years that Rs. 500 per month would have such an impact. But given that it's been five, six quarters, if another two, three quarters, that doesn't change, we will definitely look at your suggestion, and I think we internally also keep debating on this.

I'm still hopeful that we should be able to find the real reason of it rather than the Rs. 500 reasons because gross addition has slowed

only in the last three, four quarters, not in the first two, three quarters. It was only that one quarter glitch, otherwise the gross addition that I see in my own number internally and if you go back again to the functional P&L, the sales and marketing for the entire year of FY24 it was 18% and then if you look at the quarter-on-quarter that number, it is slowly and slowly come down.

So, we are meaningfully not really investing heavily on going after the market and there are opportunities if we want to acquire customers at Rs. 2,000 but at the end of the day, if I'm not able to retain the customer and upsell that customer, it will slowly and slowly become a deteriorating business. So, give us another two quarters. If not, then we will see.

Swapnil: Okay, the second question is with respect to your categories which are getting impacted in a meaningful way. Now there has been some spending-related slow down on especially government spend not increasing in a meaningful way. Are there any specific categories that are getting impacted and a part of the problem could be this macro challenges rather than just on the churn side.

I am just trying to extrapolate a few things and if that is the thing have you started the thought process from a vertical perspective, right, focusing on certain categories where opportunities can be big even today, despite the kind of penetration could have happened and rather focus on those categories far more than those categories where chances of incremental supply growth could be lower? Have you thought on those lines also?

Dinesh Chandra Agarwal: Yes. So, on the macro side, I continue to say that every quarter or so, there are some of the other macro challenges in some of the other categories or geographies. So, for example, sometimes there is a ban on single-use plastics. I mean plastic is a huge industry, packaging is a huge industry but it evolves into something newer like green products and all that.

Sometimes, I mean there's a construction ban, past two, three months have been bad for Delhi NCR. So I think there are always small, small segments of macro negatives whether it is state-wise or whether it is industry-wise. The good part about IndiaMART or any large horizontal diversified business like IndiaMART is that while IndiaMART InterMESH Limited
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there are always 1% or 2% headwinds, there are some tailwinds also available in some of the other sectors.

Coming to your second question, yes, I think it is very imperative for us that we should start thinking about our business also now as verticals within horizontal and be able to cultivate certain verticals much more speedily or much more profitably. We have done that in the past. I remember apparel and handicraft used to be the first few verticals when we were doing export-related business. When we came to domestic business, I think the engineering goods was one of the very, very important business.

As the advent of e-commerce happened, packaging material became very, very big. Similarly, now pharmaceutical and health care became very, very big. So, I think there are at least top 10 industries where we can choose to go double down on vertical-wise and find growth. We are working on that. As I said, we have started

to invest a lot more on category-specific insights than a couple of years ago and I think we will come back with more solid options on that soon.

Swapnil: Okay. Just to get that point a bit more, have you started hiring a specific vertical focused employees and who can better extract value for you within certain categories? I mean, is that the thought process?

Dinesh Chandra Agarwal: Yes, it is the thought process. We will start to hire a couple of industry -specific people to focus on that vertical. Currently, we have in-house category management people, and we have a large team working on that. But you are right , now we should be looking more at industry insider experts.

Swapnil: Got it. So those are the questions. Thanks a lot for taking.

Moderator: Thank you, Swapnil. Next question is from the line of Anmol Garg from DAM Capital. Hi, Anmol. Please go ahead with your question.

Anmol Garg: Hi, thanks for the opportunity. A couple of things from my end. Firstly, if you can indicate that are we planning to change anything in our customer acquisition strategy and what do you think is not working? Is it the channel partners or the customer acquisitions through our own employee s, if you can share a bit of light on that?

Dinesh Chandra Agarwal: Equally, I think , in the beginning of the last year, we first cut down on our tele -based Tier 4 centres so, I think that was the first thing that we did in January, December last year, I mean, 2023 and January 2024 aAnd then wherever we operate field sales force, I think we start ed to look at the cost of customer acquisition very closely and we found that there were certain geographies as well as the certain places. I can give you an example, if you go to Surat and IndiaMART InterMESH Limited
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you want to buy an IndiaMART subscription, you will not be able to buy it in the monthly mode because it was found that apparel while it is one of the large industry, it has that look and feel and high churn in nature.

Similarly, Jaipur as a handicraft place has very similar nature . So, we have taken individual steps to reduce the investment and where it was getting wasted completely while focusing on categories or focusing on segment of suppliers which are better useful. So, for example, we're trying to find how can we create a specific channel which can work on maybe Rs. 1.5 crore plus turnover company because that is where we see a better retention than less than Rs. 40 Lakhs turnover . Or less than six months or less t han one year of GST registration because a lot of these new businesses who get registered and want to try internet for their own growth, their natural churn is unnecessary high, which end up creating a bad mouth for us also.

But those execution challenges kept apart, I would say if I can fix the basic matchmaking and the basic buyer/supplier thing where buyer starts to increase systematically again and thereby impacting even better retention for our gold and platinum customers then I think the silver will automatically fall in place. So , we tried fixing silver training and onboarding and those things, which are anyway we should be doing and I think Dinesh Gulati and his team is doing a fantastic job on that side.

But there are certain blind spots that must be there in the product that we are not able to find because I'm fully convinced about the overall opportunity size. The overall opportunity is massive. Customers want to give you money and we need to fix the large multi -geography, multi -industry engine. I think we should be able

to fix that . Give us one or two more quarters on that.

Anmol Garg: Right. Just on the continuation of the same, are we also planning somewhere to change the payout structures for our channel partners or for our sales employees who are bringing in more quality -based customers to us where the

churn might be lower for those particular customers?

Dinesh Chandra Agarwal: We keep doing these minor changes on the incentive policies and as I said where we have to promote annual acquisition, we incentivise annual acquisition, wherever we have to promote any particular segment, so we do incentivise . For dis -incentivisation purpose, we have a control in our own hand where we do not assign those leads. So , a lot of these things we can do centrally as well for the purpose of incentivisation, we do, and we continue to tweak them day in day out. So don't worry on that side, we will do enough experiments. I think let us first fix the basic nature of churn and then come back on that again.

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Anmol Garg: Secondly, I wanted to understand if we intend to acquire majority stake in any of the invest ee compan ies. T he basis of this question is just wanted to understand if we are also looking to enter full-fledged into any of the newer businesses which we have acquired or in associate manner?

Dinesh Chandra Agarwal: So, if you look at the accounting as a segment. We started Live keeping with 51% , currently we have 66% and i think as per our agreement we will end up doing 100% acquisition of that. On Vyapar also, we started from 26% and r ight now we are about 29%. Busy we have already taken 100%. So , on the accounting side we are fully committed and in the first three years of Busy we have been able to increase the growth rate as well as retain every customer , nothing has gone wrong on that side. So, I think this side is well sorted.

Now coming to the second side, which has the minority investments into various things, couple of companies, I think we increased our stake . Prateek, can you give more details on that?

Prateek Chandra: Yeah, sure. So , all these investments have been done in the spaces which are strategic for us because our going -in thesis is that we should be able to get some kind of synergies , either in the near term or in the longer term, while making the investments. So , if you see, for example, Bizom, when we started, we started with 10% stake , now we own roughly around 31.3% stake here.

Similarly, in SuperProcure, we started with roughly around 26% , now we have a 35% stake here. EasyEcom is another one, which we started with 26%. We've put in some other cash in the convertible position. So , we'll come to know as to what the sta ke would be. But there are follow -ons that we have done in our investee companies wherever the opportunity has arisen.

So, to answer your question, we are okay increasing our stakes in the investee companies, because these are the strategic spaces. However, whether to take majority, we are very patient investor and we'll wait for the right opportunity to decide as to whether we need to take majority or we don't need to take majority. But as and when the opportunity comes, we will continue backing these companies in the further rounds.

Anmol Garg: Understood. And just one last thing from my end. Are we somewhere planning to enter into the e-commerce, B2B commerce business as well? And are we seeing any kind of competition from that particular set of companies right now?

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Dinesh Chandra Agarwal: We are already into B2B commerce. If you look at Industrybuying and ProcMart. Industrybuying and ProcMart, both of them are purely what in the normal media parlance, B2B commerce is called. ProcMart is more like a wholesale B2B commerce and Industry buying is more like SME or corporate MRO kind of B2B commerce. So, we have invested in both. However, if we look at the profitability of any of them it looks quite elusive as of now. So, while we have been investing on B2B commerce since 2014 from 2014 to 2017, we were invested in Tolexo and then

again in 2021 or so, we invested in Industrybuying and between 2016 and 2020, we invested in ProcMart and ProcMart has done handsomely well.

So, we continue to look for any of these and anything which is good enough and has a better unit economics, we would be looking at. Nothing to say any competition has come back and hurt any of our customers or any of our people. So, I think, in fact, whatever noise was there, was there between 2021 and 2022, is no longer even there. So, none of the competition.

Anmol Garg: Sure. Thank you so much. These were my questions.

Avijit Vikram: So, we have a question from the chat box. The question is from Mr. Yasser Lakdawala. Considering the fact that we generate operating cash flows of Rs. 500 crores plus, and that we have a robust balance sheet, what are your thoughts on buying back stock?

Dinesh Chandra Agarwal: I think this financial year around August, September, we had returned about Rs. 120 crores back to the shareholders and we have also done about Rs. 84 crores of strategic investment in these nine months and if you look at the historical numbers, we have been able to return either money to the shareholders or doing a strategic investment. So as the time will come and as the Board will decide, we try to do it once in a year, not multiple times in a year. So, after the financial year ends, whenever the Board meeting happens before the AGM, we will decide how much to distribute back to the shareholders or how much to invest in this strategic investment. Thank you.

Moderator: Next question is from the line of Amit Chandra from HDFC Securities. Hi, Amit. Please go ahead with your question.

Amit Chandra: Hi, and thanks for the opportunity. So, in terms of the divergent trend we are seeing, in terms of the pressure that we're seeing on the paid suppliers and increasing the ARPU. In very simple terms I am trying to understand. That suggests that the lower end of the pyramid is not able to derive value from the platform, whereas the higher end or the top paying suppliers are able to derive much better value from the platform and the ARPUs increasing is suggesting that and also, IndiaMART InterMESH Limited
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people are moving from lower plan to higher plan. So , what explains this divergence? And is it going to continue in this manner for a while? Obviously, you have explained it in like different form but just from the relevance of the platform for the lower end, is it you need some kind of more innovation there? Or the platform , in terms of offerings has to be reconsidered in terms of what we're offering for the lower end?

Dinesh Chandra Agarwal: Yes. Thank you very much. I think a very important question. So, there are three, four kinds of suppliers that use IndiaMART. One who are very highly native digital savvy kind of customers and they are able to find value because they are investing not only money but they are also investing enough time on the IndiaMART app or on the IndiaMART seller panel. They are digitally more savvy and giving lot of time.

The second kind of customers are those who themselves have not found their own business model or have started a new business or recently trying to scale, because I have seen a lot of our customers come from less than one year GST registration who have recently got their GST number registered.

And the third ones are those who have understood the value initially being digitally savvy and they have invested one or two persons who properly deal with IndiaMART leads and IndiaMART system and are able to do a daily, weekly monitoring of those people. So , these are the people who invest higher.

And the fourth kind of customers are those who are newer, which is a large market, large off-line market looking for an easy digital option . While at IndiaMART, we started as a very smaller simple

system but over the time , I think we have gone more sophisticated or complex for that new genuine customer who is one to five years in business or one to 50 years in business, has good offline business , and trying to go digital, but is not digitally savvy. For him, I think it is difficult, and we have to make it easier and more full proof for him to be able to succeed. I think that is where the bigger opportunity is and if we are able to handle these two separately. Gold and platinum bring you a lot of spillover effect, because they are the ambassadors that in every market, in every mohalla few of those guys make a lot of money through IndiaMART and their word of mouth actually spreads down, which helps us acquire a lot of these newer customers. So , I think the middle fat is that we have to fix, and we are working on that. Let us not assume that we will not be able to fix that.

Amit Chandra: Okay. Lastly, on the collections. Obviously, we had the collections better than what we had last quarter, but considering 4Q is the more important quarter for us in terms of collections . So how is the IndiaMART InterMESH Limited
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progress for 4Q, because if I take at least 10% Y-o-Y growth also for 4Q, then also we are hitting say 9% to 10% growth for the full year. So , the full -year collections growth is still muted because of what happened in the first half. So, the ask rate for that is still high for the fourth quarter. So , what you would like to suggest what is happening till now? And what kind of collections we can see for the fourth quarter?

Dinesh Chandra Agarwal: If you go to the net customer addition slide, I think customer growth has been slower for almost six seven quarters now and that is resulting into slower collection growth . Until unless we are able

to fix that , i don't think we should expect anything miraculous, so whether it remains 8%, 10%, 12%, I would say, any of that is maybe hard work or extra work that we might do but we have to fix the churn and then we have to start acquiring customers so that we can naturally start to grow collection and thereby revenue. So , I would say please wait for another quarter or two.

Amit Chandra: So, let's put it simply. So , collections of Rs. 500 crores or more in fourth quarter requires some fix? Or is it achievable at the current status?

Dinesh Chandra Agarwal: I can't comment on any specific numbers or the futuristic numbers.

Amit Chandra: Okay. Thank you.

Avijit Vikram: So, we have another question from the chat box. The question is from Mr. Manish Gupta. What percentage of business enquiries are delivered to free suppliers. Any thoughts on whether we can charge small amounts to free suppliers who have stayed on the platform or more broadly, are there any other levers of monetisation of supplier base?

Dinesh Chandra Agarwal: So less than 20% of our total enquiries are delivered to the free supplier and that is only in the absence of the paid supplier of that particular category or city, what buyer is looking for is not available. So, if I, as a buyer come to the platform, and I'm looking for a product from a specific geography and if IndiaMART does not have a paying customer, the buyer doesn't care whether IndiaMART as a platform makes money or not, they want to get their search fulfilled . So, from the buyer side, IndiaMART is 100% free just like you go to Google, and you expect Google to give you all the answers whether or not Google makes money from that category or from that geography.

In the same manner, it is for IndiaMART. Now coming to the monetisation of those free suppliers or suppliers in a free manner, if you go and see it on the IndiaMART, there are individual RFQs or buyleads that supplier can purchase, which are available for 299 and IndiaMART InterMESH Limited
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upwards for each individual lead and if I remember correctly that generates about Rs. 4 crores a year coming into collections and not only that, it also generates a good number of hot leads for those suppliers to get converted into regular paying suppliers . Their conversion rates are also much higher than the hot leads of the suppliers who come and add products versus the ones who go and try and purchase an RFQ or purchase a buylead. So , we continue to do that. Any more ideas or any more suggestions, I think we are always open to that but currently, the major problem that we are trying to fix is the fat middle, where we should be holding on to the customer, customer is willing to invest money, it is not a new business so, where all the checkboxes are right checkboxes. The customer is willing, it's only that the customer doesn't have enough time to be able to play fastest finger first. So , I think there we need to fix.

Moderator: Next question is from the line of Rahul Jain from Dolat Capital. Hi, Rahul, please go ahead with your question.

Rahul Jain: Hi. Thanks for the opportunity. I just wanted to understand that what are the initiatives we are undertaking to ensure that our ARPU improvement trend continues to trend faster than the usual pace so

that we could mitigate the medium-term challenges on the subscriber adds and in which ways the subscriber adds during a year one contributes very small portion of the total incremental revenue. So is it possible to mitigate that by ensuring much better outcome from digitally savvy supplier base that we have to get to the aspired growth range.

Dinesh Chandra Agarwal: Ever since about two years ago now, we started selling platinum customer base by way of differential pricing of the category and city. I think we have seen a systematic increase in the ARPUs. Currently, about 4% or 4,000 of these categories command about 50% premium to the regular customers and as and when older customers are coming up for renewal and as the newer customers are being signed up, that is what is driving the ARPU if you see. So, I think systematically for many quarters in the coming months, I think the top 10% ARPU would continue to grow rapidly and that top 10% is now accounting for almost 50% of the revenue, 49% to be precise. So, I think 50% of the revenue has been growing rapidly over the last six, eight quarters and will continue to grow rapidly over the next six, eight quarters.

On the overall side, I think the ARPU is 13%, 14% growth. But the top 10% ARPU has been growing consistently, which is the 50% of the size, I think I'm pretty confident that if we can solve the churn issue and the customer growth issue over the next two, three quarters, I think we will be able to stay clear of any negative growth.

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Brijesh Kumar Agrawal: Last four, five quarters, essentially, the ARPU growth has been in double-digits.

Dinesh Chandra Agarwal: I mean there's also denominator factor but in general, the top 10% of the customer side, that denominator factor is not there and in the overall ARPU, the denominator factor plays a lot larger role because of those 3,000 customers but on the top of the end, top 10% customers are only 21,000 or 22,000 customers so, the denominator factor is not there, the top 10% is sacrosanct.

Rahul Jain: Yeah, Dineshji, just a slight clarification, in the last part of your response. So, you're saying if we continue on this path, we can mitigate the situation of a weak revenue performance and there was another comment which you made earlier that for time being 10% benchmark for collection growth is a good number to look at. So, can you just clarify on these two parts? Thank you.

Dinesh Chandra Agarwal: Yeah, given the customer growth being either 0% or 1% or 2%, I think all of the growth has to come

from ARPU only and on the ARPU side, historically, you see 6% CAGR, recently if you see 14% CAGR, I don't think the 14% is a good enough ask because what you are seeing in the ARPU growth is what collection growth we had in the past because the collections flow into the deferred revenue and then it flows into revenue.

So now if the collection growth is about 8% in this particular quarter and the supplier growth is 1%. So effectively, the ARPU growth, I mean, the average collection per customer growth is only 6%. So, I would say that 5% to 10% collection growth per customer expectation is a reasonable expectation, and rest has to be built up from the customer growth only. Hope that explains?

Rahul Jain: Yeah, right. Only one part, which we missed is that, are we doing

anything new, of course, you said you've been doing a lot of things there but is there anything newer initiative that we have taken, given that digital adoption in general is much better so, are we seeing that behaviour? Or are we trying to do far better keyword monetisation or something like that?

Dinesh Chandra Agarwal: Yeah, I mean one small thing that I can tell, if it is not too complex for the broader audience. See, around 2018, 2019, 2021, 2022, we were assuming that the buyer is not very savvy on digital and the mobile was a new device that the buyers have gotten and our own category -by-category specification definition was also building up and our own understanding that where quantity is important, quantity is not important, which categories and we were more like a very horizontal platform. During the COVID, we learned a few things about categories. Now I think two things have happened.

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One, the buyers or the visitors of the IndiaMART in general are not that novice, they at least know how to operate and how to select options in terms of what is it that they are looking for. So, while we had made a lower intent buying much more easier because earlier, we were saying that let us capture the intent of the buyer and we will be able to do the qualification or the seller will be able to do qualification. I think the over last 90 days or so, I think we have gone back to the drawing board and said, that why not do the multiple intent confirmation on the mobile website itself or the mobile app itself and I was happy enough to see that 90% buyers actually completed those journeys and 90% of those completed accurately, which was not the case two years earlier. So, I think the lead quality that the suppliers would see would also increase significantly over the next quarter or so. So, this is the new thing that we have found a gap or as an opportunity that we have fixed. Hopefully, that should be able to fix this apart from the competition that we have fixed. So, these are the two, three things that we are working on and this is the third thing that we have found in the last 90 days.

Rahul Jain: Sure, that is quite helpful. Thank you so much. That is it from my side.

Moderator: Thank you, Rahul. Thank you, ladies and gentlemen. That was the last question for today. I now hand the conference over to Mr. Dinesh Agarwal for closing comments. Over to you sir.

Dinesh Chandra Agarwal: Thank you, ladies and gentlemen, for joining our Q3FY25 conference call and thanks for being so patient. We have tried to address all your queries in the time available but if you still have any questions, please feel free to connect with our Investors Relations team and they will be more than happy to answer you offline. Thank you very much.

Brijesh Kumar Agrawal: Thanks everyone.

Moderator: Thank you, everyone. On behalf of IndiaMART, we now conclude this webinar. Thank you for joining us. You may now disconnect your lines.

Notes:

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Call: May 2025

May 02, 2025

To,
BSE Limited
(BSE: 542726)

National Stock Exchange of India Limited
(NSE: INDIAMART)

Subject: Transcript of Earnings Conference Call on financial results and developments for the quarter and year ended March 31, 2025

Dear Sir /Ma'am ,

Pursuant to Regulation 30(6) read with Part A of Schedule III of the Listing Regulations, we wish to inform that the Transcript of Earnings Conference Call for Analysts and Investors held on April 29, 2025, with respect to the financial performance of the Company for quarter and year ended March 31, 2025, is enclosed herewith. The copy of transcript is also available on the Company's website at <https://investor.indiamart.com/FinancialResultsStatements.aspx> .

Kindly take note of the same.

Yours faithfully,
For IndiaMART InterMESH Limited

(Vasudha Bagri)
Compliance Officer
Membership No: A28500

Encl: As above.

Webinar

Transcript

Event:

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Q4

FY2025

Earnings

Webinar

Event

Date/Time:

April

29,

2025

at

16:30

hrs

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ARTICIPANTS
:

Mr.

Dinesh

Chandra

Agarwal

—

Chief

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Officer

Mr.

Brijesh

Kumar

Agrawal

—

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Officer

Mr.

Avijit

Vikram

–

Head

Investor

Relations

IndiaMART

InterMESH

Limited

April

29,

2025

Avijit

Vikram:

Good

evening,

ladies

and

gentlemen.

I

am

Avijit

Vikram,

Head
of
Investor
Relations.
On
behalf
of
IndiaMAR T
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Limited,
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welcome
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company's
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only
mode
and
there
will
be
an
opportunity
for
you
to
ask
questions
once
the
presentation
concludes.
Joining
us
today
from
the
management
side;
we
have
Mr.
Dinesh
Agarwal,
Chief
Executive
Officer;

Mr.

Brijesh

Agrawal,

Whole-T ime

Director;

Mr.

Jitin

Diwan,

Chief

Financial

Officer;

and

Mr.

Prateek

Chandra,

Chief

Strategy

Officer.

Before

we

begin,

I

would

like

to

remind

you

that

some

of

the

statements

made

in
today's
call
may
be
forward-looking
in
nature
and
may
involve
risk
and
uncertainties.
Kindly
refer
to
Slide
#3
of
the
earnings
presentation
for
the
detailed
disclaimer .
Now
I
would
like
to
hand

over

the

call

to

Mr.

Dinesh

Agarwal

for

his

opening

remarks.

Thank

you

and

over

to

you,

sir.

Dinesh

Chandra

Agarwal:

Good

evening,

everybody

and

welcome

to

IndiaMAR T's

Quarter

4

and

FY2025

Earnings

Webinar .

We

have

circulated

our

Earnings

Presentation,

which

is

available

on

our

website

as

well

as

the

stock

exchange

websites.

We

would

be

happy

to

take

any

question

afterwards.

Here

are

the

highlights:

IndiaMAR T

has

delivered

a

consolidated

revenue

from

operation

of

Rs.

355

crores

in

quarter

4

and

Rs.

1,388

crores

for

the

full-year ,

representing

a

year-on-year

growth

of

13%

and

16%,

respectively .

Collections

from

the
customers
have
grown
to
Rs.
541
crores
for
the
quarter ,
representing
about
12%
year-on-year
growth
and
Rs.
1,626
crores
in
FY25
representing
year-on-year
growth
of
10%,
on
the
consolidated
basis.
In
quarter

4,
our
unique
business
enquiries
were
27
million,
representing
about
10%
year
on
year
growth.
Total
number
of
paying
suppliers
stood
at
2
lakh
17
thousand.
Net
supplier
addition
in
the
quarter
was

2,139

which

is

slightly

better

than

the

last

quarter .

We

continue

taking

measures

to

reduce

the

elevated

churn

in

the

silver -customer

first-year

bucket

and

onboarding

higher

quality

businesses

as

paying

customers.

We

continue

to
make
changes
in
our
products
and
services
for
the
better
quality
of
leads
with
better
qualification
of
buyers.

Our

Page

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of

19

IndiaMART

InterMESH

Limited

April

29,

2025

platinum

and
gold
subscribers,
which
constitute
about
50%
of
our
customer
base
and
about
75%
of
revenue,
continues
to
have
low
churn
and
robust
ARPU
growth
as
well.
We
remain
dedicated
to
continuously
improving

the
quality
and
optimising
the
user
experience
on
our
website
and
on
our
mobile
platforms
to
maximise
the
value
delivered
by
the
platform.
Now
I
will
hand
over
the
call
to
Brijesh
to

update

about

Busy

Infotech.

Thank

you

and

over

to

you,

Brijesh.

Brijesh

Kumar

Agrawal:

Good

evening,

everyone.

Firstly ,

I

would

like

to

share

with

you

that

Busy

Infotech

has

amalgamated

with

the

two

other
wholly-owned
subsidiaries
of
IndiaMAR T,
Tolexo
Online
Private
Limited
and
Hello
Trade
Private
Limited.
This
amalgamation
is
effective
from
1st
April
2023
and
the
numbers
therefore
for
the
last
two
years
have
been

restated.

On
the
business
front,
Busy
has
done
a
net
billing
of
Rs.
32.8
crores
in
quarter
4
and
Rs.
94.3
crores
in
the
entire
financial
year.
These
numbers
also
include
an

impact
of
approximately
Rs.
7
crores
and
Rs.
10
crores
respectively ,
due
to
the
change
in
the
payout
structure
of
the
partners
that
we
had
shared
last
time.

The
normalised
year-on-year
growth
for

both
of
these,
excluding
the
impact
of
this
change,
is
42%
and
21%,
respectively .

The
revenue
from
operations
stood
at
Rs.
18.4
crores
for
quarter
4
and
Rs.
65.8
crores
for
the

entire
year.
And
if
we
were
to
normalise
the
numbers
and
calculate
the
growth
rates,
it
would
be
an
annual
growth
rate
of
16%
and
18%,
respectively .
Deferred
revenue
stands
at
Rs.
72.3

crores.

Busy

also

generated

cash

flows

of

Rs.

8.8

crores

in

Q4

and

about

Rs.

23

crores

in

the

entire

year

from

operations.

During

this

quarter ,

Busy

also

sold

8

thousand

plus

licenses

taking

the

total

count

of

licenses

sold

at

about

3

lakh

96

thousand.

The

new

licenses

sold

in

the

entire

year

are

approximately

33

thousand.

We

continue

to

enhance

the

product

and

increase

our
growth
rates
in
the
coming
quarters
and
coming
year.
With
this,
I
will
hand
over
the
call
to
Jitin
to
discuss
the
financial
performance.

Page
3
of
19
IndiaMART
InterMESH
Limited

April

29,

2025

Jitin

Diwan:

Good

evening,

everyone.

I

will

take

you

through

the

financial

performance

for

the

quarter

and

fiscal

year

ending

March

2025.

Consolidated

collection

from

customers

was

Rs.

541

crores

in

the

fourth

quarter

and

Rs.

1,626

crores

on

full-year

basis,

representing

Y-on-Y

growth

of

12%

and

10%,

respectively .

Consolidated

deferred

revenue

stood

at

Rs.

1,678

crore,

an

increase

of

17%

on

a

Y-on-Y

basis.

IndiaMAR T

stand-alone

collection

from

customers

for

the

quarter

were

Rs.

506

crores

and

for

full

year

were

Rs.

1,526

crores,

both

registering

Y-o-Y

growth

of

9%.

Standalone

revenue

from

operations

stood

at

Rs.

336

crores

for

the

quarter

and

Rs.

1,320

crores

for

the

year

registering

Y-o-Y

growth

of

12%

and

16%,

respectively .

Our

growth

in

revenue

was

primarily

driven

by

improvement

in
realisation
of
paying
suppliers.
EBITDA
of
IndiaMAR T
standalone
business
stood
at
Rs.
133
crores
for
the
quarter
and
Rs.
513
crores
for
the
full
year,
representing
40%
and
39%
margins,
respectively .
Margins

continue
to
be
elevated
on
account
of
savings
arising
from
lower
customer
acquisition
and
operating
leverage.
Margins
are
anticipated
to
gradually
normalise
in
the
coming
quarters,
as
we
focus
on
measures
to
increase

growth.

Consolidated

Net

profit

for

the

quarter

was

Rs.

181

crore,

which

includes

a

fair

valuation

gain

of

around

Rs.

59

crore

on

account

of

revaluation

of

our

investment

in

M1xchange.

Consolidated

cash

generated
from
operations
was
Rs.
271
crore
in
quarter
4
and
Rs.
623
crore
on
a
full-year
basis.
Consolidated
cash
and
treasury
balance
stood
at
Rs.
2,885
crores
as
on
March
31,
2025.

Also,
Board
of
Directors
have
recommended
a
final
dividend
of
Rs.
30
per
share
for
FY2024-25
and
a
special
dividend
of
Rs.
20
per
share,
aggregating
to
a
total
dividend
of
Rs.
50

per
share,
subject
to
approval
of
shareholders.

Thank
you
very
much
and
now
we
are
ready
to
take
any
questions.

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4
of
19
IndiaMART
InterMESH
Limited

April
29,

2025

Question-and-Answer

Session

Avijit

Vikram:

We

will

now

begin

the

Q&A

session.

If

you

wish

to

ask

a

question

to

the

panellists,

kindly

raise

your

hand

and

allow

camera

and

microphone

access.

Alternatively ,

you

may

type

your

question

in

the

chat

menu

and

we

will

revert

on

it.

Please

restrict

to

two

questions

so

that

we

may

be

able

to

address

questions

from

all

the
participants.

We

will

wait

for

a

couple

of

seconds

while

the

question

queue

assembles.

Moderator:

First

question

is

from

the

line

of

Sachin

from

BofA.

Hi,

Sachin.

Please

go

ahead

with

your

question.

Sachin

Salgaonkar:

Thank

you

for

the

opportunity .

I

have

two

questions.

First

question,

this

is

regarding

your

net

adds.

Clearly

your

net

additions

is

close

to

around

2,000

or

lower

for

last

seven-odd

quarters.

So

wanted

to

understand

some

of

the

steps

taken

by

you

guys

to

reduce

churn.

Any

time

frame

we

should

have

in

mind

where

we

could

start

seeing

an

improvement

in

the

overall

net

adds

and

hence

revenue

for

you

guys?

Second

question,

I

just

wanted

to

understand

the

mix

for

platinum

and

gold

users.

What

we

are

seeing

for

few

quarters

is

clearly

your
churn
being
high
and
as
a
result
of
which
collections
growth
slowing
down,
contribution
from
the
smaller
customers
getting
down.
So
why
is
the
mix
of
platinum
and
gold
not
increasing
in

a
proportion
of
total
revenues?

I
presume
it's
range
bound

in
the
range
of
75%

to
80%
only.

So
wanted
to
understand
should

we
see
this
proportion
increasing

because
the
revenue
from
other

set
of
users
is
going
down?
Dinesh
Chandra
Agarwal:
Let
me
answer
the
second
question
first.
I
think
when
we
started
telling
you
about
this,
I
think
the
first
time
we
told
you

that
what
is
the
gold
and
platinum
total
contribution,
it
was
about
72%
if
I
remember
correctly ,
and
then
it
became
about
74%
and
now
it
is
about
75%
plus.
So
I
think

slowly
and
slowly ,
as
the
number
of
customers
have
not
grown,
the
percentage
of
gold
and
platinum
revenue
contribution
is
actually
inching
up
quarter -on-quarter .
So
there
is
no
issue
on
that
side.
And

whatever

growth

in

collection

that

you

are

seeing,

largely

all

of

that

is

coming

from

gold

and

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April

29,

2025

platinum.

Just

to

repeat,

gold
and
platinum
accounts
for
about
50%
of
our
total
customer
base
and
more
than
75%
of
our
revenue
now.
Now
coming
to
the
seven
quarters
of
reduced
net
customer
addition,
of
about

2,000

plus/minus.

Yes,

I

think

for

about

first

four

quarters,

we

initially

focused

on

service

levels,

what

kind

of

customer

onboard
ing

and

those

areas.

However ,

that

didn't

really

do

any

breakthrough.

So

then
we
started
t
o
look
at
the
product
market
fit
again
at
a
deeper
level
and
we
have
found
certain
changes
to
be
done.
In
the
last
two
quarters,
we
have
done
multiple

changes.

Few

I

have

already

told

you.

One,

where

the

number

of

times

a

buyer

was

being

introduced

to

a

supplier

was

about

6.5

or

so,

now

this

has

come

down

to

3.8

or

so.

The

second

part

is,

earlier

we

used

to

make

a

lot

of

enquiries

even

if

they

were

low

intent

buyers.

I

mean

if

somebody

said

I'm

interested

in

this

product,

but
not
really
filled
the
quantity
or
not
really
filled
the
specification,
then
also
we
used
to
make
that
as
an
enquiry
or
RFQ.
Now
we
are
doing
a
double
check
either
by

WhatsApp

or

by

call

and

then

only

making

that

as

an

RFQ.

By

doing

that,

we

are

getting

a

lot

more,

almost

80%

of

our

RFQs

today

have

the

quantity

and

specification

well

defined
and
filled
by
the
buyer ,
which
has
started
to
show
up
anecdotaly
in
our
gold
and
platinum
customers.
However ,
this
has
resulted
into
lower
number
of
unique
business
enquiries,
but
good
qua
lity

enquiries

which

are

in

demand.

Finally ,

since

most

of

these

good

quality

enquiries

are

being

consumed

by

gold

and

platinum,

I

think

we

continue

to

see

a

good

healthy

improvement

in

renewal

rates

on
the
gold
and
platinum
side
of
the
renewals
and
there
has
not
been
any
decline
further
in
the
last
two,
three
quarters
on
that
side.
So
I
think
we
are
doing
enough

things,
but
have
we
been
able
to
fix
the
churn
at
the
silver
monthly
or
silver
annual,
at
the
first
level?
We
have
not
yet
and
it
will
take
probably
another
few
quarters

before

we

can

go

to

that.

Some

of

the

leading

indicators

that

you

can

see,

if

you

look

at

the

repeat

rate

of

the

buyers

in

this

particular

quarter

has

slowly

inched

up

to

almost

57.5%

or

so.

So

there

are

some

leading

indicators

which

are

there,

that

the

product

has

started

to

improve

well,

but

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19

IndiaMART

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April

29,
2025

first
year
retention
continues
to
be
a
challenge
and
we
are
fully
committed
to
solving
that
out
in
the
times
to
come.
Sachin
Salgaonkar:
Thanks
Dineshji,
very
clear .
Just
one

quick
follow-up
out
here.
How
should
one
think
about
your
margins
in
the
time
frame
where
your
net
adds
remains
at
these
levels?
Because
when
I
look
at
the
margins
for
last
seven

quarters

and

I

do

get,

there

is

a

quarterly

seasonality ,

but

they

are

anywhere

between

29%

all

the

way

to

43%.

So

is

there

a

sort

of

a

range

one

needs

to

be

aware

about

from

a

margin

perspective?

Jitin

Diwan:

Thanks

Sachin,

for

your

question.

So

on

margins,

as

you

rightly

said,

it

continues

to

be

elevated

at

about

40%

range

plus/minus

1%

or

2%

here
and
there.
So
till
the
time
we
are
confident
on
solving
the
churn
and
doubling
down
on
the
gross
adds,
it
will
be
continue
to
look
like
38%,
40%
only.
And
once

we
push
the
pedal
on
gross
adds,
it
will
come
down
to
a
sustainable
margin
of
about
33%
to
35%,
which
we
have
been
guiding
in
the
last
few
quarters.
Moderator:
Thank
you,

Sachin.

We'll

take

next

question

from

Swapnil

from

JM

Financials.

Hi,

Swapnil,

please

go

ahead

with

your

question.

Swapnil

Potdukhe:

So

my

first

question

is

regarding

your

unique

business

enquiries

delivered.

Obviously

they

are
down
8%
to
9%
in
Q-on-Q
and
you
mentioned
that
you're
delivering
the
enquiries
to
less
number
of
suppliers
right
now,
compared
to
what
you
were
doing
earlier ,
right,
6.5
co
ming

down

to

3.8.

But

my

question

is

like

have

you

started

getting

any

feedback

from

the

suppliers

as

to

better

conversions

now,

compared

to

the

previous

or

is

it

still

we

are

yet

to
see
any
meaningful
results
on
this
side?
I
understand
that
as
a
platform,
you
may
not
have
the
complete
data,
but
certainly
you
will
be
discussing
with
your
paying
suppliers
on
this

side.

Dinesh

Chandra

Agarwal:

Yeah,

so

anecdotaly ,

I

think

we

are

getting

good

feedback.

Even

at

the

platform,

there

are

various

feedback

mechanisms

that

give

us

a

leading

indicator

that

customers

are

liking

what

we

are

doing.

They

are

not

liking

the

reduced

number

of

enquiries,

because

they

cannot

imagine

the

competition

has

been

reduced

for

them.

So

for

them,

first

comes

the

quantity .

Whether

the

conversion

has

improved

or

not,

that

particular

piece

while

anecdotaly

very

few

people

are

ready

to

admit

that,

most

people's

behaviour

will

tell

us

when

they

upgrade

and

renew

that

they

are

happier .

Our
leading

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19
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29,
2025

indicators
tell
us
that
whatever
we
have
done
in
the
last
four,
five
months
since
the
October
Board
meeting,

has
resulted
into
something
meaningful
and
we
still
have
few
works
in
progress,
which
we
should
be
able
to
do
over
the
next
couple
of
months.
As
I
had
asked
in
the
month

of
October ,
that
give
us
three,
four
quarters,
because
now
that
we
have
started
to
focus
purely
on
the
product
side,
until
unless
I'm
fixing
that,
I'm
not
going
to
invest
heavy
money

on
the
customer
acquisition
or
any
kind
of
advertising.
Swapnil
Potdukhe:
Understood.
But
my
question,
just
to
extend
that,
will
it
be
possible?
I
understand
right
now
that
may
not
be
the
focus.

But
going
forward
if
there
are
better
conversions
for
the
suppliers,
when
the
competition
is
less
for
them,
will
you
be
able
to
pass
on
significant
pricing
to
them?
I
mean
would
it

be

possible

for

you

to

take

significant

pricing

hikes

at

least

to

those

people

who

might

be

benefiting

from

this?

Dinesh

Chandra

Agarwal:

That's

already

visible.

If

you

see

in

the

financials,

top

10%

ARPU

is

up

17%.

Swapnil

Potdukhe:

Okay .

But

what

about

the

gold

customers?

Dinesh

Chandra

Agarwal:

This

is

almost

like

a

platinum

customer .

On

a

gold

customer ,

whenever

it

comes

up,

we

will

let

you

know .

Even

the

overall

ARPU

is

up

11%.

So

we

are

working

in

that

direction,

but

it's

too

early

for

me

to

admit.

Swapnil

Potdukhe:

Okay .

Understood.

The

second

question

is
on
the
traffic
side.
Now
if
you
see
the
total
traffic
that
you
share,
right,
that
number
continues
to
remain
weak.
I
mean
for
the
full-year
itself,
growth
was
hardly
1%
or

2%.

Now ,

one,

is

like

why

that

the

number

of

hits

that

you

are

getting

on

your

website

or

your

mobile

app

are

lukewarm?

Secondly ,

are

there

any

plans

to

invest

on

the

A&P

side

to

create

more

awareness

about

the

platform

or

some

other

measures

that

would

help

you

increase

the

number

of

hits

on

your

platform?

Dinesh

Chandra

Agarwal:

I

mean

we

have

started

to
do
certain
experiments
on
the
advertising
side,
whether
it
is
online
advertising
or
whether
it
is
affiliate-based
customer
acquisition
or
whether
it
is
some
video
based.
So
I
think
over
the
next

two
quarters
or
so,
you
will
see
some
pilot
projects

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going
on,
on
that
side.
While
we
speak,
I'm
still
doing

some
pilot
projects,
but
they
are
not
significant
enough
for
me
to
tell
you
at
this
point
of
time.
Maybe
next
quarter .
Swapnil
Potdukhe:
But
these
projects
will
not
have
a
meaningful
impact

on

your

margins

per

se

?

Dinesh

Chandra

Agarwal:

They

will.

But

as

of

now,

they

are

not

going

to

have

any

meaningful

impact

on

this

particular

quarter .

If

we

are

going

to

scale

them

significantly ,

then

we

will

come

back

and

tell

you

first

before

doing

that.

Swapnil

Potdukhe:

Understood.

Can

you

just

give

a

breakup

of

how

the

churn

rates

have

been

across

the

different
types
of
supplier
categories
this
quarter?
And
just
to
get
a
sense
as
to
how
they
have
moved
over
the
last
three,
four
quarters?
Dinesh
Chandra
Agarwal:
So
gold
and
platinum
remains

at

around

1%.

That

used

to

be

under

1%,

now

it

is

about

1%

per

month.

Silver

monthly

is

about

6%

to

7%

and

silver

annual

is

about

3%

to

4%.

Swapnil

Potdukhe:

And
just
something
on
the
Busy
side,
because
I
see
that
the
number
of
licenses
sold
seem
to
have
increased
this
quarter
by
a
decent
number .
Earlier
we
used
to
do
around
6,000

to
7,000
licenses
per
quarter .
Now
that
number
has
increased
to
8,000
plus
I
think
there
has
been
some
increase
in
the
realisation
side
also.
So
any
special
efforts
have
you
taken
on

that

side

or

like

something

which

is

working

on

the

Busy

side?

Would

you

like

to

call

out

something

on

that,

sir?

Brijesh

Kumar

Agrawal:

When

you

look

at

the

number

of

licenses

sold,
generally
Q3
in
any
given
year
is
a
weak
quarter
for
this
business
and
Q4
and
Q1
typically
are
the
best
performing
quarter .
And
therefore,
we
started
to
see
an
uptick
in

Q4

in

terms

of

licenses

sold.

So

this

obviously

is

one

factor ,

which

has

resulted

into

an

increase

in

overall

licenses.

Second,

obviously

there

are

efforts

being

placed

on

how

do

we

grow

sales
and
some
of
those
efforts
essentially
have
started
to
produce
results
overall.

On
the
margin
side
or
the
ARPU
going
up,
we've
been
able
to
improve
the
overall
renewal
rates
within
the

business.

Over

the

last

two

years,

there

has

been

a

good

ramp-up

of

percentage

of

customers

renewing

their

subscription,

plus

there

have

been

minor

updates

or

changes

in

the

pricing

and

some

bit

of

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that

has

started

to

come

into

the

overall

ARPU

that

you

get

to

see

here.

Swapnil

Potdukhe:

Just

to

get

a
sense
as
to
how
our
product
will
be
priced
compared
to
the
competition?

Any
sense
on
the
Busy
side
like
what

Tally
or
Marg?

So
what
will
be
the
difference
on
that

side

and

how

much

scope

do

you

think

we

can

see

on

the

realisations?

Brijesh

Kumar

Agrawal:

So

if

we

look

at

very

like-to-like

product

comparisons,

so

the

difference,

and

I'll

benchmark

this

against
Tally
first,
which
is
the
market
leader
here,
so
we
would
be
about
75%
of
the
pricing
that
Tally
typically
offers
and
I'm
just
giving
you
a
ballpark
average,
on
let's
say,

the
highest
selling
product
that
Tally
would
have,
versus
highest
selling
product
that
Busy
has.
So
that
is
how
we
are
priced
on
the
first-time
license
buy,
when
you
do
in
the
first

year.

From

the

second

year

when

you

look

at

the

renewal

prices,

we

would

be

equal

to

or

slightly

higher

in

terms

of

the

annual

recurring

prices,

at

this

point

in

time.

Swapnil

Potdukhe:

So

do

you

see

any

scope

for

improvement

on

the

realisations

on

a

consistent

basis

for

a

few

more

periods,

especially

on

the

renewal

side

if

that

is,

since

you're

already

on

that

path?

Brijesh

Kumar

Agrawal:

We

think

that

there

is

scope

for

us

to

keep

improving

on

both

accounts

of

ARPU

as

well

renewal

percentage.

Avijit

Vikram:

We

have

a

question

from

the

chat

box

now

from

Mr.

Pankul

Sood.

We

have

nearly

Rs.

3,000

crores

of

cash

plus

investments

on

the

book.

Are

we

looking

at

any

acquisitions?

And

if

not,

why

not

to

do

a

buyback

or

a

bigger

dividend?

Dinesh

Chandra

Agarwal:

I

think

we

maintain

a

consistent

position

on

our

capital

allocation

policy .

Out

of

the

Rs.

3,000

crores,

about

Rs.

1,700

crores

is

deferred

revenue
and
customer
advances,
which
are
our
liability
side.
So
that
leaves
us
with
about
Rs.
1,100
odd
crores.
Out
of
the
Rs.
1,100
odd
crores,
we
typically
maintain
safety
cash
of
about

whatever

Rs.

500

-

600

crores.

And

then

comes,

either

we

invest

or

acquire

or

we

return

back.

So

in

the

past

also

if

you

see

over

the

last

four

or

five

year

period,
I
think
we
have
returned
a
fairly
good
amount
of
cash
back
to
the
shareholders.
ear-on-year
that
number
has
changed
based
upon
the
buyback
and
the
dividend.
And
this
year
also,
the

Board

has

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approved

Rs.

20

special

dividend

and

Rs.

30

final

dividend,

altogether

about

Rs.

50

per

share

dividend,

which

amounts

for
about
Rs.
300
plus
crores
of
dividend.
So
I
think
we
are
going
as
per
our
past
performance
and
past
stated
policy ,
as
well
as
the
same
logic,
either
we
invest
or

we

return.

Moderator:

Thank

you.

Next

question

is

from

the

line

of

Nikhil

Choudhary

from

Nuvama.

Hi,

Nikhil,

please

go

ahead

with

your

question.

Nikhil

Choudhary:

Thanks

for

the

opportunity .

First

question

on

supplier

addition.

Dinesh

sir,

we

have

again

moved

to

net

subscriber

being

positive

after

the

last

time

we

have

seen

decline.

Is

it

fair

to

say

that

Q3

was

an

anomaly ,

and

the

subscriber

addition

trend

will

again

go

back

to

1,000

to

3,000

between

those

ranges,

with

ARPU

growth

of,

let's

say,

high

single

digit?

And

do

you

maintain

your

guidance

of

collection

growth

being

less

than

10%,

more

or

less

mid-single

to

high-single

digit?

Dinesh

Chandra

Agarwal:

See,

these

are

uncertain

times.

At

2,000

or

3,000

plus/minus,

I'm

almost

unable

to

really

comment

whether

we'll

be

able

to
maintain
2,000
plus
because
every
quarter
there
are
some
kind
of
seasonalities
and
we
are
doing
a
lot
of
experim
ents
on
whether
to
acquire
this
kind
of
customer ,
not
to
acquire

t
his

kind

of

customer .

And

in

those

experiments,

there

are

possible

mistakes

and

possible

hiccups.

So

until

and

unless

we

really

break

the

5,000

barrier

per

quarter ,

I

don't

think

we

should

be

very
fixated
on
1,000
plus
or
2,000
plus
because
if
you
really
see
for
the
entire
year,
we
have
been
only
able
to
do
2,000
only.
So
I'm
really
not
confident
to
give

you
any
answer
as
of
now.
I
mean
I'll
take
another
few
quarters,
when
I
can
give
you
answer
on
that
side.
On
the
ARPU
side,
I
think
we
are
far
more
confident

and

we

have

been

guiding

that

whatever

collection

growth

or

whatever

revenue

growth

that

we

are

getting

and

we

continue

to

target

around

10%.

There

you

can

say

that

quarter

2

was

an

anomaly

where

we

were

just

4%

-

5%.

But

otherwise

from

the

earlier

14%

-

15%

collection

growth,

I

think

we

have

normalised

to

9%

-

10%;

but

that

will

continue

to

be

our
target,
until
we
fix
the
consistent
customer
growth
and
all
of
that
is
going
to
come
from
the
ARPU
only.

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Nikhil

Choudhary:

Got

it,

sir.

Just

a

follow-up

on

the

point

you

mentioned

that

we

are

now

thinking

on

the

type

of

supplier

to

acquire,

right?

Is

the

behaviour

of

these

suppliers

is

different
from
what
we
were
acquiring
earlier?
While
I
understand
the
churn
won't
be
visible
now.
But
let's
say
in
terms
of
behaviour
on
the
platform,
how
active
they
are,
how
responsive
they

are

or

any

other

internal

metrics

you

are

checking

to

differentiate

between

the

newly

acquired

customer

compared

to

what

you

were

doing,

let's

say,

2-3

quarters

back?

Dinesh

Chandra

Agarwal:

Yes.

I

think

supplier

engagement

on

our

platform

continues

to

be

almost

in

the

best

ever

bracket.

So

there

is

enough

demand

for

good

quality

of

buyers

and

good

number

of

quantity

of

buyers.

How

we

are
able
to
deliver
more
and
more
of
the
same
quality
buyers
because
any
good
quality
enquiry
gets
sold
out
on
our
platform
in
less
than
a
couple
of
minutes
or
within
a

couple

of

hours.

So

I

think

there

is

enough

demand

and

enough

market

for

good

quality

buyers.

I

think

as

soon

as

we

crack

the

repeat

buyer

behaviour ,

I

think

we

should

be

good

to

go

there.

Nikhil

Choudhary:

Got

it,

sir.

Second,

I

just

want

to

understand

the

basic

math

behind

it

and

sustainability

of

the

top

10%

ARPU

growth.

This

top

10%

ARPU

growth

had
been,
if
I'm
not
wrong,
more
than
15%
for
quite
a
time
with
let's
say,
unique
business
enquiry
on
an
average
being
lower
than
the
overall
ARPU
growth.
Do
you
think
this

15%

plus

type

of

ARPU

growth,

at

least

for,

let's

say,

gold

and

platinum

is

sustainable

or

do

you

think

there

will

be

a

ceiling

the

way

we

have

seen

for,

let's

say,

other

category?

Dinesh

Chandra

Agarwal:

I

mean

it's

a

very

future-looking

answer

that

you're

looking

for.

The

past

performance

says

that,

for

the

past

five

quarters

we

have

been

upwards

of

10%

ARPU

growth

for

the

top

10%,

whether

it

will

be

15%

or

16%

I

can't

say.

But

if

you

remember ,

I

gave

you

last

year,

in

the

beginning

of

the

year,

that

we

have

now
successfully
implemented
our
variable
pricing
for
the
platinum
customers,
which
differs
across
the
industries
and
I
think
that
has
resulted
into
this
consistent
ARPU
growth
on
the
platinum
customers.
At
that
point

of
time,
we
did
tell
you
that
this
should
result
into
a
multi-year
10%
plus
kind
of
an
ARPU
growth
per
platinum
customer .
But
whether
that
will
be
15%
plus
or
not,
I

cannot
really
assure
you.
But
for
10%
plus,
I
think
we
are
quite
confident
that
for
the
next
one
year
or
so,
that
should
be
upwards
of
10%
because
we

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implemented
the
differential
pricing
sometimes
around

1
-
1.5
years
back.

Moderator:

Next
question

is
from
the
line

of
Amit
Chandra
from
HDFC
Securities.

Hi,
Amit,
please
go
ahead
with
your
question.

Amit
Chandra:
Thanks
for
the
opportunity .

Sir,
my
first
question
is
on
the
collections
growth
that
has
slowed
down.

Obviously ,
we
have
done
slightly
better

in
this
quarter ,
but
I'm
saying
from
an
overall
year
perspective,
the
collections
have
slowed
down.
So
maybe
you
mentioned
that
obviously
churn
is
one
of
the
reasons
for
the
slow
growth
in

collections.

But

is

it

also

because

of

the

platinum

and

the

gold

customers

are

opting

for

more

single-year

kind

of

renewals

versus

like

multi-year

earlier?

And

also

if

you

can

share

what

percentage

of

your

top-1

%

and

top-10

%

custom
ers

are

going

for

single

year

versus

multiyear

in

this

year

versus

last

year?

Dinesh

Chandra

Agarwal:

In

the

slide

on

standalone

deferred

revenue,

so

that

has

not

changed,

what

gets

recognised

in

12

months

and

what

gets

recognised

after

12

months

remains

consistent

at

63%

-

64%

which

means

there's

no

change

in

the

single-year

versus

multi-year .

Amit

Chandra:

So

saying

that

the

number

of

customers

who

were

opting

for

a

three

year

versus

one

year

remains

same.

There

is

no

change

in

that,

right?

Dinesh

Chandra

Agarwal:

Yes.

As

per

financials

also,

that

is

proven

that

there

is

no

change.

Amit

Chandra:

Okay .

And

so

in

terms

of

the

mismatch

between

the

ARPU

growth

versus

the

collections

growth,

so

obviously

the

ARPU

growth
is
being
fuelled
by
t
he
top-1
%
and
top-10
%
customers.
So
if
there
is
value
like
being
derived
from
the
platform,
then
wh
at's
the
reason
that
it's
not
getting
reflected

in
terms
of
the
collections?
Obviously
churn
is
one
reason,
but
churn
now
seems
to
be
a
permanent
problem.
So
we
have
not
seen
any
progress
on
that
front.
So
can
we
assume

that

this

8%

-

10%

growth

is

the

new

normal?

Dinesh

Chandra

Agarwal:

I

refuse

to

assume

that.

I

will

continue

to

work

my

way

back

to

the

growth

period.

As

I

said,

currently

if

you

see

all

of

that

10%

growth

is

coming

from

ARPU

because

there

is

almost

0%

growth

coming

from

customer

addition.

And

can

we

bring

pure

ARPU-led

growth

to

15%?

Yes.

Can
we
sustain
that
for
a
very
long
period?

No.
If
we
fix
the
product
churn,
can
we
sustain
a
20%
growth
for
a
very
long

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IndiaMART
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period?

Yes,

we

have

seen

that

in

the

past

7-8-9

years.

Last

10

years

we

have

grown

from

50,000

customers

to

225,000

customers

or

so.

So

in

a

media
subscription
or
media
advertising
business,
the
number
of
customers
and
the
ARPU
goes
hand
in
hand.
If
you
really
see
the
top
heavy
media
like
television,
etc
even
they
will
stagnate
if

there
is
not
enough
number
of
customers.

But
if
the
classified
platform,
which
becomes
very,
very
small
like
Craigslist
or
something,
even
there
the
revenue
stagnates.

We
believe
a
very
healthy
mix
of

revenue
and
customer
growth,
I
mean
ARPU
and
customer
growth
is
10%
and
10%.
Whether
you
can
do
15%
plus
10%
or
10%
plus
15%,
but
I
think
10%
and
10%
is
a

great
mix,
that
can
give
you
a
multi-year
growth
or
a
multi-decade
growth.

So
we
will
continue
to
try
and
achieve
that.

It
is
taking
time.

But
every
product
market
fit
with
every

five-year
period,
in
the
current
changing
times
of
technology
and
customer
expectation,
I
think
the
organisation
which
are
able
to
come
back
and
fix
that
timely ,
they
can
do
a
multi-decade
growth.
And

we
believe
that
we
have
done
that
for
the
last
30
years
and
will
continue
to
do
that
over
the
next
30
years.
Amit
Chandra:
Okay .
And
in
terms
of
the
factors
which

are
driving
the
ARPU
growth,
obviously
one
of
the
factors
is
on
providing
more
premium
services,
pricing
hikes
and
obviously
we
have
also
lowered
the
number
of
RFQs
per
supplier
or
we
have

increased
the
quality
of
RFQs.
So
how
this
change
of
strategy
is
actually
being
taken
by
the
customers?
And
is
it
that
we
are
prioritising
more
to
our
higher
paying
suppliers
to
a

larger
extent,
which
is
not
in
line
with
the
strategy
of
improving
our
churn
at
the
lower
end.
So
how
to
maintain
that
balance?

Dinesh
Chandra
Agarwal:
So,
if
you
see,
we

are

a

two-way

marketplace.

One-way

marketplace

is

where

the

buyers

come

and

discover

the

suppliers.

You

are

right

that

always

the

the

customers

who

pay

higher

are

on

the

top.

So

the

traditional

way

of

the

marketplace

is,

the

higher

you

pay,

the

higher

share

of

the

buyer

visibility

you

get.

However ,

there's

the

other

side

of

the

marketplace,

which

is

the

supplier -led

RFQ

consumption

marketplace.

That's
an
equal
opportunity
marketplace,
in
terms
of
the
quality
of
the
enquiry ,
because
the
same
quality
of
the
enquiries
are
available
to
you
as
a

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2025

silver

customer

or

you

as

a

platinum

customer

at

the

same

time.

There

is

no

differentiation

there.

The

only

differentiation

is

in

the

number

of

the

buy

leads

that
you
can
access
as
a
silver
customer
or
as
a
platinum
customer .
So,
half
of
the
marketplace
is
equal
opportunity .
Now
in
fact
some
of
the
silver
customers,
which
are
self-users,
where

the
proprietor
himself
is
using
the
platform,
we
find
that
many
times
he
is
at
a
more
advantageous
situation,
because
he
himself
handles
all
the
enquiries
and
he
has
the
mobile
app
and

he

gets

the

immediate

notification

soe

is

able

to

compete

better

with

some

of

the

larger

suppliers.

However ,

some

of

the

larger

suppliers

actually

have

2-3

dedicated

resources

working

on

IndiaMAR T,

and

sometimes

they

have

auto

refresher

where

somebody

keep

looking

at

their

screen

to

make

sure

that

no

important

buyer

is

missed

from

their

side.

So

from

our

side,

we

don't

differentiate.

It

is

the

supplier's
ability
and
supplier's
trust
into
the
platform
that
he
himself
puts
more
effort
or
more
money ,
to
deal
it
equally
by
himself
or
equally
by
deploying
more
permanent
resources
to
handle
IndiaMAR T

enquiry .

We

don't

differentiate.

We

only

differentiate

based

upon

the

buyer

side

marketplace

or

seller

side

marketplace.

Avijit

Vikram:

We

have

a

question

from

the

chat

box.

The

question

is

from

Mr.

Ankur

Pant.

Have

we

taken

any

pricing

actions

in

quarter

four?

Dinesh

Chandra

Agarwal:

So

on

the

silver

side,

we

haven't

taken

any

action.

In

fact

if

you

really

see

our

silver

pricing

from

2019,
the
only
time
it
went
down
was
during
the
2021
COVID
time,
and
then
it
went
back
to
the
same
price.
On
the
gold
and
platinum,
we
continue
to
take
about
10%

odd

hike

every

year

or

so,

which

is

the

normal

thing

that

we

typically

do

in

the

month

of

January

or

so.

And

the

hikes

that

happen

are

no

longer

applied

on

the

same
day,
because
some
of
the
renewals
have
already
been
sent,
some
of
the
proposals
have
already
been
sent.
So
it
takes
care
of
as
and
when
somebody's
renewal
will
come
and
as

and
when
new
sales
will
happen.
So
these
are
the
slower
injection
of
prices,
price
hikes
that
we
do
about
10%
odd
every
year
that
continues
to
happen.
Moderator:
Thank
you.
Next
question

is
from
the
line
of
Abhishek
Banerjee
from
ICICI
Securities.

Hi,
Abhishek,
please
go
ahead
with
your
question.

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Abhishek
Banerjee:
Hi,

Dinesh.

Thanks

for

the

opportunity .

If

we

look

at

the

traffic

number .

So

from

FY22

onwards

till

now,

we

would

see

a

roughly

1%

CAGR

in

terms

of

traffic

growth?

And

if

you

kind
of
try
to
correlate
that,
when
you
are
paying
suppliers,
numbers
also
kind
of
started
reducing
the
gross
numbers
that
is
from
FY23.
So
is
it
kind
of
time
that
we
start

advertising

a

little

more

to

get

the

traffic

higher

and

probably

that

can

lead

to

some

positive

flywheel

somewhere?

Dinesh

Chandra

Agarwal:

Yeah.

So

we

are

aligned

on

that

side.

The

only

thing

is
that
in
the
first
root-cause
analysis,
we
found
certain
things
to
be
fixed
and
which
we
found
that
they
anyway
needs
to
be
fixed,
which
we
have
tried
to
fix.
As
I

said,
this
particular
quarter ,
we
are
doing
multiple
experiments
and
pilots
on
the
online
advertising
as
well
as
on
the
video
side
of
the
advertising,
on
affiliate
advertising.
And
so
this
particular
quarter ,

I
don't
think
there
is
going
to
be
a
significant
impact
either
on
the
financials
on
the
bottom-line
side
or
on
the
top-line
side.
If
there
are
any
of
those
experiments
found
unit

economics

positive

and

worthy

of

scaling

up,

then

we

will

come

back

to

you

and

tell

you

about

scaling

up.

Abhisek

Banerjee:

Got

it.

So

given

we

are

at

all-time

high

margins,

how

many

basis

points

of

revenues

would

you

be

willing

to

invest

into

advertising?

What

would

be

the

quantum

of

advertising

that

you

could

roughly

look

at?

Dinesh

Chandra

Agarwal:

I

mean

depends.

I

think
last
time,
because
we
are
very
new
to
advertising
again,
I
mean
last
time
we
did
was
in
2016
and
this
is
now
2025,
so
I
think
it's
been
nine
years
since

we

have

advertised.

At

that

time,

we

used

to

spend

about

Rs.

40

odd

crores

on

an

annual

budge
t,about

Rs.

15

crores

into

3

times.

Things

have

changed

dramatically ,

but

I

don't

think

they
would
have
changed
so
dramatically ,
that
we
will
end
up
spending
Rs.
300
odd
crores
or
something.

I
think
that
Rs.
40
odd
crores
would
have
become
maybe
Rs.
80
odd
crores

or

something

like

that.

Beyond

that,

I

don't

have

any

idea,

as

of

now.

So

even

if

you

take

anywhere

between

Rs.

50

crores,

Rs.

60

odd

crores

to

Rs.

90

crores,

Rs.

100

odd

crores;

on

an

annual

basis,

it

should

be

around

500

basis

point

maybe.

Abhisek

Banerjee:

Got

it.

Again

so

when

you

were

last

advertising

say

in

FY16,

it

was

a

very

different

world.

Now

you're

talking

about

performance

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marketing.

Do

we

have

the

kind

of

team

in

place

that

can

really

deliver

on
these
new
digital
platforms?
So
any
thoughts
on
that?
Are
you
investing
there?
Dinesh
Chandra
Agarwal:
That
is
why
I'm
saying,
we
are
doing
pilots.
So
there
are
teams
being
aligned,
new

people
being
hired,
existing
people
being
trained
for
this
new
thing.
We
never
had
teams
for
mobile,
but
we
developed
teams
for
mobile.
We
never
had
teams
for
artificial
intelligence,
but
we
developed

teams
for
artificial
intelligence.

We
never
had
teams
for
accounting,
we
developed
teams
for
accounting.

So
we
develop
and
align
resources
as
and
when
things
are
required.

Abhisek
Banerjee:
Understood.

Now
if
I

just

look

at

last

line

on

this

slide,

which

is

the

employee

count.

So

even

this

year

we

have

grown

employee

count

by

almost

13%.

While

I

understand

some

of

it

will

be

to
support
these
new
initiatives,
but
I'm
sure
the
bulk
of
it
is
still
for
servicing
clients,
right?
Now
given
that
the
number
of
clients
has
not
really
gone
up,
what
is
the

outlook?

Dinesh

Chandra

Agarwal:

Abhishek,

this

is

only

shifting

of

the

outsourced

sales

cost

to

the

on-role

movement,

which

started

last

year

JFM

which

was

to

be

concluded

this

particular

year

in

few

every
quarter .
All
of
it
has
been
concluded
and
I
think
now
we
will
be
returning
back
to
the
like-to-like
members.
If
you
really
add
the
employee
cost
plus
outsourced
sales
cost,
actually

we

have

zero

impact

on

cost,

in

the

last

entire

one

year.

So

while

this

number

looks

like

13%

up,

there

is

a

zero

impact

on

cost.

Manpower

cost

plus

outsourced

sales

cost

put
together
remains
same
as
last
year.
Abhisek
Banerjee:
Understood.
But
what
is
the
outlook
going
ahead?
Do
you
think
we
can
manage
this
at
a
mid-single
digit
kind
of
a
CAGR
for

the
next
one
or
two
years
at
least
till
we
have
requisite
visibility
of
revenue
now?
Dinesh
Chandra
Agarwal:
No,
I
think
because
in
this
one
full-year ,
we
have
had
almost
zero
expense

growth.

Next

year

within

six

months

or

so,

I

think,

expense

will

start

to

increase

and

even

number

of

people

will

start

to

increase

because

as

we

crack

the

product

market

fit,

we

will

go

back

to

gro
wth

mode

and

then

we

will

need

product

people

again.

We

are

so

small

a

company

that

people

thing

cannot

be

filled

all

the

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2025

time.

We

go

in

expansion

and

consolidation

kind

of

a

mode.

In

FY21-

FY22,

if

you

see,

we

suddenly

grew

from

2,700

employees

to

4,700

employees.

So

I

guess

this

is

the

nature

of

our

business.

We

are

such

a

small

com
pany ,

we

can't

manage

yet

the

growth

and

consolidation

together .

So

we

continue

to

focus

on

growth

and
then
consolidate
and
then
focus
on
growth
and
then
consolidate
until
we
become
large
enough
to
do
both
at
the
same
time.
Abhisek
Banerjee:
Understood.
So
when
you
were
guiding
for
35-odd

percent

margins,

you

are

kind

of

building

this

also

in

?

Dinesh

Chandra

Agarwal:

Yes.

That's

why

I

said

the

long-term

sustainable

margins

are

33%

-

35%.

And

since

these

EBITDA

margins

depend

on

revenue

growth

and

collection

growth

and

seasonality

and

that

is

why

when

I

have

to

look

at

the

leading

indicators,

I

look

at

the

collection

and

cash

from

operation

and

margin

of

the
cash
from
operation.

On
cash
from
operation
margin
slide

,
so
if
you
look
at
this
slide,

this
will
give
you
a
much
more
stable
way

of
this
37%

-
38%
margin.

This
is
the
leading
indicator
and
that
will
remain.

Avijit
Vikram:
We
have
a
question
from
the
chat
box.

The
question
is
from
Mr.

Pratik
Kothari.

Have
we
already
taken
major
part
of

the
actions
to
bring
down
churn
and
we
will
wait
and
watch
on
how
does
it
play
out
or
more
is
left
to
be
done
on
that?
Dinesh
Chandra
Agarwal:
I
think
66%

of
what
we
have
found
till
date
to
be
changed
has
been
done
and
about
33%
is
still
work
in
progress.
Having
said
that,
as
we
work
deeper
into
it,
we
find
more

to-do
actions.

So

I
think

by

the

time

we

are

80%

or

so,

I
think

we

will

discover

another

20%

to

do.

So

the

work

is

never

fully

complete.

But

currently

we

feel

that
we
are
somewhere
around
60%
complete.

We
still
have
at
least
some
3-4
months

of
work
when
we
can
say
that
now
we
are
80/20.

Moderator:

Thank
you,
ladies
and
gentlemen.
That

was

the

last

question

for

today .

I

now

hand

the

conference

over

to

Mr.

Dinesh

Agarwal

for

closing

comments.

Over

to

you,

sir.

Dinesh

Chandra

Agarwal:

Thank

you

everybody

for

listening

patiently

to

us.

And

I

really

admire

that

you

guys

are

trying

to

understand

our

business

model

and

complexity

of

our

business

model.

Hopefully ,

we

will

come

back

with

flying

colours

soon.

In

case

you

have

any

queries

or

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of

19

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29,

2025

comments

that

are

left,

you

can

always

reach

out

to

our

Investor

Relations

team.

Thank

you

and

have

a

good

day.

Moderator:

Thank

you,

everyone.

On

behalf

of

IndiaMAR T,

we

now

conclude

this

webinar .

Thank

you

for

joining

us

and

you

may

now

disconnect

your

lines.

Notes:

1.

This

transcript
has
been
edited
for
readability
and
does
not
purport
to
be
a
verbatim
record
of
the
proceedings
2.
No
part
of
this
publication
may
be
reproduced
or
transmitted
in
any
form
or

by

any

means

without

the

prior

written

consent

of

IndiaMAR T

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Call: Aug 2025

July 23, 2025

To,
BSE Limited
(BSE: 542726)

National Stock Exchange of India Limited
(NSE: INDIAMART)

Subject: Transcript of Earnings Conference Call on financial results and developments for the quarter ended June 30, 2025

Dear Sir/Ma'am,

Pursuant to Regulation 30(6) read with Part A of Schedule III of the Listing Regulations, we wish to inform that the Transcript of Earnings Conference Call for Analysts and Investors held on July 18, 2025, with respect to the financial performance of the Company for quarter ended June 30, 2025, is enclosed herewith. The copy of transcript is also available on the Company's website at <https://investor.indiamart.com/FinancialResultsStatements.aspx>.

Kindly take note of the same.

Yours faithfully,
For IndiaMART InterMESH Limited

(Vasudha Bagri)
Compliance Officer
Membership No: A28500

Encl: As above.

Webinar Transcript

Event: IndiaMART Q1 FY2026 Earnings Webinar

Event Date/Time: July 18, 2025 at 17:00 hrs

CORPORATE PARTICIPANTS :

Mr. Dinesh Chandra Agarwal – Chief Executive Officer
Mr. Brijesh Kumar Agrawal – Whole -Time Director
Mr. Jitin Diwan – Chief Financial Officer
Mr. Prateek Chandra – Chief Strategy Officer
Mr. Avijit Vikram – Head Investor Relations

IndiaMART InterMESH Limited
July 18, 2025

Page 2 of 20

Avijit Vikram : Good evening everyone. I am Avijit Vikram, Head of Investor Relations. On behalf of IndiaMART InterMESH Limited, I welcome you all to the company's Q1 FY26 Earnings Webinar. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity to ask questions after the presentation

concludes.

Joining us today from the management side, we have Mr. Dinesh Agarwal - Chief Executive Officer; Mr. Brijesh Agrawal - Whole Time Director; Mr. Jitin Diwan - Chief Financial Officer; and Mr. Prateek Chandra - Chief Strategy Officer.

Before we begin, I would like to remind you that some of the statements made in today's conference call may be forward-looking in nature and may involve risks and uncertainties. Kindly refer to Slide #3 of the earnings presentation for the detailed disclaimer.

Now I would like to hand over the call to Mr. Dinesh Agarwal for his opening remarks. Thank you, and over to you, sir.

Dinesh Chandra Agarwal: Good evening everyone, and welcome to IndiaMART's Q1 FY26 Earnings Webinar. We have circulated our Earnings Presentation, which is available on our own website as well as the stock exchange websites. We are sure you would have gone through the same. And we would be happy to take any questions afterwards.

IndiaMART has delivered a consolidated revenue from operations of Rs. 372 crores in the quarter 1, representing a year-on-year growth of about 12%. Collections from the customers have grown to Rs. 430 crores, representing about 17% year-on-year growth. And deferred revenue grew to Rs. 1,735 crores, representing a year-on-year growth of about 17-18%.

In quarter 1, unique business enquiries were 29 million for the stand alone business of IndiaMART, representing a year-on-year growth of about 17%. Total number of paying suppliers stood at 2 lakh 18 thousand. Net paying subscribers addition in the quarter 1 was about 1,500. Our platinum and gold customers, which constitute approximately 50% of our customer base and about 75% of our revenue continue to have very good upsell and retention rates.

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We are committed to improving the platform through product enhancements, better interface, better customer service and onboarding quality suppliers. We are also leveraging generative AI and machine learning to address key issues and use cases to enhance our offerings and make it easier to do business on IndiaMART.

Our focus remains on consistently raising quality standards and optimizing the user experience to maximize the value delivered by our platform.

Now I will hand over the call to Brijesh to update about Busy Infotech. Thank you, and over to you, Brijesh.

Brijesh Kumar Agrawal: Good evening everyone. Busy has done a net billing of Rs. 53 crores in Q1. As we had shared in the previous calls, we had implemented a change in the payout structure for our partners, and this was done in Q3 of FY 25. The impact because of this billing change that you see in this quarter is about Rs. 15 crores. And therefore, the normalized year-on-year growth will be 64% in the net billing.

The revenue from operations stood at about Rs. 25 crores, and the deferred revenue is at Rs. 101 crores at the end of Q1. And again, the normalised rate of growth year-on-year basis is 29% and 61%, respectively. The cash flow from operations in Q1 is Rs. 21 crores. During this quarter, we also sold 12 thousand new licenses, taking the total count of licenses sold to about 4 lakh 9 thousand.

Looking ahead, we continue to focus on enhancing the product, enhancing the user experience and increasing our growth rates.

With this, I will hand over the call to Jitin to discuss the financial performance.

Jitin Diwan: Good evening everyone. I'll take you through the financial

performance for the quarter ending June 2025. Reported consolidated collection from customers was Rs. 430 crores, representing a Y-on-Y growth of 17%. Excluding the reclassification impact of Busy, which we talked about, the normalised growth stands at 13%.

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Consolidated deferred revenue stood at Rs. 1,735 crores, an increase of 18% on a Y-on-Y basis. On a normalised basis, Y-on-Y growth stood at 16%.

IndiaMART stand alone collection from customers for the quarter was Rs. 374 crores, registering Y-on-Y growth of 10%. Stand-alone revenue from operations stood at Rs. 346 crores, registering a Y-on-Y growth of 10%. Our growth in revenue was primarily driven by improvement in realisation from paying suppliers.

EBITDA of IndiaMART stand alone business stood at Rs. 135 crores, representing margin of 39%. Consolidated net profit for the quarter was Rs. 154 crores, and consolidated cash generated from operations was Rs. 161 crores. Consolidated cash and treasury balance stood at Rs. 2,762 crores as on June 30, 2025.

Thank you very much. Now we are ready to take questions. Over to you, Avijit.

Avijit Vikram: We will now begin the Q&A session. If you wish to ask a question to the panellists, kindly raise your hand and allow camera and microphone access. Alternatively, you may type your questions on the chat menu, and we will revert on it. Please restrict to two questions so that we may be able to address questions from all the participants. We will wait for a couple of seconds, while the question queue assembles.

Moderator: First question is from the line of Sachin from BofA. Hi, Sachin, please unmute yourself and go ahead with your question.

Sachin Salgaonkar: I have two questions. First question, it would be great to get a bit more clarity in terms of online advertisement, how IndiaMART is looking at it, what is the budget? How much of that is actually spent? And what is the time frame you guys are looking? And more frankly, the output of that, should we see net adds, for example, accelerating as we come out of this spending on online advertisement?

And second question is on Gen AI, what you guys mentioned. Clearly, we're seeing companies globally who are adopting Gen AI seeing some benefits, either in terms of the revenue growth or in terms of cost control. Anything you could talk from a medium term
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or a near -term perspective for IndiaMART, how they could benefit by adopting Gen AI?

Dinesh Chandra Agarwal: As informed in the last quarterly conference call, we had started doing some experimentation with performance marketing and some experimentation on affiliate marketing on YouTube and Meta also. These are early days. I think in this entire quarter, we have spent close to Rs. 5 - 6 crores as against Rs. 1 odd crore that we spent in the JFM quarter. And the early results are encouraging. However, a lot of optimisation needs to be done in order to derive full benefit, as well as go at scale.

So currently, we are keeping this budget around Rs. 6 to 10 crores per quarter so that we can do a better optimisation and utilise that. If you see the early impacts of that, we used to grow unique business enquiry at 10 -11-12 odd percent in the previous quarters. That has shown some jump to about 16 - 17%. So that 5 - 6% additional growth in the unique business enquiries this particular quarter is showing up in the additional buyers that we could gather.

Having said that, it is too early to make any larger impact on the overall net add or net retention. Once we do consistent advertising over the 3 quarters or so, then I can come back and tell you that, okay, if it is working or not working.

On the second question on the AI side, in the last 6 -7 years,

I think we have been using AI, the traditional machine learning AI to do a lot of automation and cost optimisation. If you remember, last year, I had informed in the JFM quarter that we have started to use WhatsApp chatbot for our buyer side lead confirmation as against the call centre earlier. And that had two different benefits : One, a lot of buyers were not expecting calls from IndiaMART for their lead confirmation. Secondly, at the time of call, the buyers were probably not ready to pick up the call. So that chatbot has been scaled. And I think that led to almost \$1 million savings in the last year alone.

Apart from that, we have been using it in the product categorisation and in the buy lead recommendation system, photo search, voice search, a lot of restricted content detection. I've been telling about Indic language and misspell searches. So you can try many of these traditional AI/ML things that we have been using.

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Now with this agentic AI system, hopefully, we will get a lot more audit capability and a lot more classification capability that we were trying to build in-house now because these models are trained

on world knowledge and they can be given context, which is a lot of data which is very, very proprietary to IndiaMART, for example, the buyer seller calls, the customer calls to us, these have a lot of proprietary information which is not usually available to even these AI models, to be able to train it on. We have a lot of data that is only and only available to IndiaMART. And we could use some of that data to probably do further automation.

On the B2B side, I am yet to see revenue opportunities using AI. I think with a lot more young people coming in, whether it is at our Board-level or whether you are seeing some of the people joining at next generation level at IndiaMART, I'm sure they will definitely find revenue opportunities over the time. But as of now, I think cost opportunities and automation opportunities and as well as better effectiveness and better customer experience opportunities are definitely coming and they have been happening since 2018-19 itself.

Sachin Salgaonkar: Any way you could quantify the benefits at the cost side that would be in the medium term?

Dinesh Chandra Agarwal: Yeah, so as I said, a lot of benefit that we have accrued, about Rs. 4 - 5 crores every year kind of a benefit that has accrued to us in the last 4 - 5 years. So you can see our margins improving from 25% odd in 2018 to almost like 35% now, despite the fact that there has been a run-up in the salaries very heavily in 2021 - 22 time frame.

Going forward also, I think it will accrue slowly and slowly, but I think we are not really worried at the cost side of it. For us, revenue growth and the experience is quite important. And we will continue to invest more and more in the experimentation. So if you are trying to get any hang on the bottom line, I think let's go with our traditional guidance, 30 - 35% margin guidance. Let us not build upon that.

Sachin Salgaonkar: Got it and a quick follow-up. Clearly, the focus is to spend on advertisement for a couple of quarters. The question out here is, what if we don't see the intended benefit? Is there an intention to continue to spend on the advertisement? Or are there any other
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measures where the company intends to take, to further accelerate the net adds from these levels?

Dinesh Chandra Agarwal: I mean, a lot of guys have been suggesting for last many, many quarters that we should start spending on the advertising. And I have been saying that first, we will correct the product market fit that we find and I myself personally went to almost 50+ customers and noted down things. Most of our team members went to so many customers

to find out small, small things. And we have corrected the quality of leads, the intent recognition of the buyers, the localization of search. So many of the blind spots that we found, we have corrected them over the time. And that gave us some confidence that we can now spend on advertising.

Since we haven't spent on advertising for the last 10-odd years, I don't think we have a DNA in the company, ready-made, which is optimized for large-scale, diversified industry and diversified location-based advertising, which we are trying to optimize on that.

If it will not yield benefit, we will close that down. But I'm saying at Rs. 10 crores per quarter here and there, I think another 3 – 4 quarters of experimentation is required.

Moderator: Thank you. Next question is from the line of Anirudh from Solidarity Advisors. Hi Anirudh, please unmute yourself and go ahead with your question.

Anirudh Shetty : Thanks for the opportunity. Just to clarify, so I see that step -up in your sales and marketing from 14% to 16%. So is this primarily the ad -related spends that we just spoke about? Or are there any other investments that we are making? And in terms of the progress that we're seeing in terms of our silver customers, I think the last time you spoke, you felt that you were somewhere around 60% kind of solved the problem, per se. Any progress from there since we last spoke?

Jitin Diwan : Hi, Anirudh. On the first question, the increase from Rs. 47 crores to Rs. 55 crores is majorly the performance marketing which we have been doing, which Dinesh just talked about. So about Rs. 6 crores of performance marketing, we spent against Rs. 1.5 crores, so increment in about Rs. 5 - 6 crores of performance marketing. So that is why you are seeing the increase in this line item. The gross ads, majorly the acquisition, it remains the same, what we have been doing in the last few quarters.
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Anirudh Shetty: Okay. And in terms of just qualitatively , how much of the issues that say, silver customers was facing, say, 3 months back, have you made any progress there, maybe some qualitative input?

Dinesh Chandra Agarwal: Let me clarify. It is not a single thing that silver customer was facing , the silver customer face s multiple problems such as he is not able to get a grasp of the platform or he doesn't have a person to follow up or the price they are asking for is too difficult or the enquiry that they are looking for is very local . So what we tried to correct are the general problems that were being highlighted by silver, gold and platinum, all of them together.

And we found that many of them highlighted towards the incompleteness of the lead quality. Many of them had highlighted the weaker intent on the lead quality. And I think we have addressed some of those things. And many of them had highlighted why am I seeing non -local business enquiry, whether it is buyer or seller. So we have corrected those things.

And I think it is too early because if we started to correct them about 9 months ago or 11 months ago, the benefits of that started to accrue about 4 - 5 months ago. And we continue to make minor adjustments here and there on that. Expecting a clearly step function jump on any renewal or retention would probably be too early to expect. Because if it was a sales and service problem, I think that can clearly give you a result in 2 - 3 quarters. But if it is a product and perception thing, then I think it may take a little longer than expected. And that is what we are trying to do.

The good part is that the noise in the market , when you go to many many customers, if there were 5 different complaints, they have reduced generally. And they are now very customer -specific complaints that we are seeing. The 3 - 4 common complaints that

people were generally asking f

or, I think we have reduced. One common complaint that has increased is that now the enquiries are so good. I am unable to find one. How can I get many more of that? So let's see how do we solve for that.

Anirudh Shetty : Got it. No, that's heartening to see, sir. And just one final question is in terms of our pricing power with our gold, platinum customers, just if I look at the ARPU for the top 10% customer as a proxy, are we seeing a bit of pushbacks over there? Or the price hikes that
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you've taken in the past, we think we can kind of maintain that going forward as well?

Dinesh Chandra Agarwal: I think we have always guided that if we were growing on the customer base also , then typically anywhere up to 10% of the growth comes from ARPU and anywhere up to 10% growth comes from the customers. Currently, since there is no customer growth, then ARPU is doing all the heavy lifting and also, it is getting the benefit of the denominator not growing. So , both these things are resulting in double -digits ARPU growth. Otherwise, it should have been anywhere between 5% to 9%.

Moderator: Thank you. Next question is from the line of Prashant from Pictet Asset Manager. Hi, Prashant, please unmute yourself and go ahead with your question.

Prashant Kothari : A few questions here. One is, if you can tell us what has been the churn now? Or how does it kind of compare to the past?

Dinesh Chandra Agarwal: So there is no change in the churn , churn remains elevated for silver monthly and silver annual customers, and churn remains well under control for gold and platinum customers. On the silver side, as I said, on the annual side 4%, on the monthly side 7%, and gold and platinum remains at about 1% plus/minus on the monthly side.

Prashant Kothari : But why the churn is not coming down, if you are making such good changes on the product side?

Dinesh Chandra Agarwal: I mean, I'm only saying , probably let's wait for 2 quarters and see , because there are two kinds of customers in our business. One is the monthly customers. Monthly customers have their own expectation because they have put in only Rs. 3,000 . So while they have an intent to do Internet marketing, they have much lesser intent than those who are paying Rs. 30,000.

The second part is the y themselves have affordability issue. So in the monthly customer base, typically, most of the customers are less than Rs. 40 lakhs turnover. Third, since they have committed lesser money, they have also committed lesser resources to do the digital marketing, handling of the digital marketing versus somebody who is paying Rs. 30,000. And so only the newer , last three months customers who have paid Rs. 30,000 are probably
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experiencing this new way of doing things. Their renewals will come up sometimes starting from February or March next year.

So that's why maybe they are not experiencing that. While in the monthly system, we have yet not got much benefit, maybe another quarter, we should get some green shoots on the monthly side or at least on the gold and platinum side.

Prashant Kothari : Okay , Understood. And in this enquiry growth that you're seeing now, like are there any important categories where you're seeing this increased traction?

Dinesh Chandra Agarwal: So, we divide our 100 thousand categories into 4 different segments based upon our internal brackets. One are the categories where the seller demand or the seller traction is higher. And if we divide them into top quartile, second quartile, third quartile and bottom quartile. Most of the advertising effort that we do or most of the improvement that we keep doing is for the second quartile or first quartile only.

We try and let the bottom quartile build up on its own. Once they reach to the

third quartile or so from bottom, then we start working on them. So , most of the work that we do is to reduce the bottom quartile and to increase the top quartile.

Prashant Kothari: Okay , Interesting. And when I look at your ratio of total enquiries to the unique enquiries, that has come down to 3.3x, which is way lower than what we've ever seen. And our expectation was that when this ratio becomes like less than four, that is when you will probably look to step up on the addition of new paid sellers as well. Is that kind of going to start now? Or you think you still need time to go forward in that direction ?

Dinesh Chandra Agarwal: One, our expectation is that when it goes down to 4 or 3, that's when probably is a good time to say that, okay, competition side for a seller to compete against many other sellers is better. But however, these numbers are across all the four quartiles. I'm not going to give you the numbers of each of those quartiles. But for each of those quartiles, the numbers are still very, very different.

For the bottom quartile, it could be 2, and for the top quartile, it could be 6. So we are still where most of the business is happening, we are still introducing six. And that is still good from IndiaMART InterMESH Limited
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9 or 10 that we were doing earlier. And we believe that as soon as this start to show up in the churn or retention and that's when we will press the pedal on the sales and marketing.

Prashant Kothari : Okay. Because the only concern would be whether the buyers are now maybe getting less satisfied if their enquiries are not reaching appropriate number of sellers.

Dinesh Chandra Agarwal: At present , repeat buyers are highest ever. So repeat percentage is the highest. Our internal NPS is also highest. If you see 58% repeat buyer, this is the highest since the COVID shortage time. When the COVID shortage was there, everybody was just coming every day and checking if there is a mask available or if there is a sanitizer available or if there is oxygen available.

Ever since then, 58% is the highest repeat buyer. And it is also seen in the Play Store rating, if you see it's also gone to highest ever at 4.8. And you can read all the positive comments and as well as critical comments, these are publicly available on the Google Play Store. Most of our users are Android users, they are not iPhone users. So, you'll find a lot of comments, positive and negative, on Android, while you will find very little traction on the iPhone. Our internal metrics are also showing that buyers are also equally better satisfied. However, when will that start to result into very, very frequent repeat, that we don't know. So, we are doing multiple things like advertising, like correcting the buyer experience.

See seller experience was the easiest low-hanging fruit, because we could go and talk to our paying customers, which were in thousands or 200 thousand, and quickly gather what are the top 2-3 KPIs that they are looking at. While the buyers are a lot more varied and a lot more experiential, somebody is a retail buyer, somebody is a SME buyer, somebody is a large buyer. And each one of them have a very different person as to what IndiaMART can help me with. Somebody thinks of it as, can IndiaMART become my sourcing agent? Somebody thinks of it that, why can't IndiaMART deliver me one single product in the same manner as Amazon and Flipkart does?

So I think the buyer side problem is a lot more difficult. And in the past 30 years, we have been mostly solving for price and variety per buyers. On the experience side, I think there is a lot more work
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that can be done on the buyer side, which we are continuously working to see what will click for a very large platform like this, which is very similar to what

Google does or what Meta does.

Prashant Kothari: Interesting and just one last question, when we look at the associates, the losses from associates has been continuously going up over the years. And even in this quarter also it's higher. Would this cash burn kind of continue? How should we think about that and where it is mostly kind of going?

Jitin Diwan: So, Prashant, losses have not increased this time. So, there was one investment which we had made in Fleetx, by virtue of which now it has become the associate, and therefore little loss from Fleetx also have started getting added into these metrics. And therefore, you're looking at a Rs. 2 crore, has been added. Otherwise, the losses have remained more or less same, what it was in the last quarter.

Dinesh Chandra Agarwal: So, it was 17% of the Fleetx, now it has become 22%.

Jitin Diwan: Correct.

Dinesh Chandra Agarwal: So Fleetx got classified from a strategic investment to now associate.

Prateek Chandra: So, actually Prashant, the Fleetx loss till last quarter was not there in the share of loss from associates because it was being recorded as an FVTPL investment. So, since it has become associate with 20% plus, now we are recording their share of losses also, which is

resulting in this increase.

Prashant Kothari: Okay. I understood on the last quarter, but in general , the longer - term trend has been of increasing associate losses. How do you think about that?

Dinesh Chandra Agarwal: I mean, longer term is like , so Vyapar was one, then Fleetx is another one , then Bizom is another one. So every time we end up investing in a company , which is going to become profitable over the next 3 to 5 years ' time frame, their loss also keeps coming back. Also, in Vyapar, we have increased our shareholding from 26% to now 29 % odd.

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Similarly, in Bizom, we increased our shareholding over the last 2 - 3 years from 22 % odd to now, 31 % odd. So that is why you are seeing a little bit of increase in the losses from associates.

Prateek Chandra : And also, Prashant, when we invested in these companies, they were at slightly early stage . Now as they are also achieving scale , overall on each company basis you would see still companies moving towards the line of profitability. But ye ah, the aggregate number , will be a function of how many investments and how many new investments that we would have done for every quarter.

Avijit Vikram: So now we have a question from the chat box. The question is from Mr. Aditya Padhi. Your unique business enquiries divided by paying supplier metric has been showing improvement. Is this a relevant metric to look at?

Dinesh Chandra Agarwal: Yes, that's a very relevant metric. That's a very relevant metric because that is the number of unique buyers available between all of these paying suppliers. And that is why we started measuring from a business enquiries delivered per seller , because the seller himself sees only the business enquiries delivered to him, while we can see how many unique buyers that we are distributing. So , this number is slowly and slowly improving, which is a good thing. Highest of that number was in FY 21-22, when there were COVID shortages.

And then as the markets opened up, a lot of that went back to doing business offline way. However, with the product and service improvement, I think slowly and slowly, we have seen some uptick in that. Also, with the advertising, now I think 29 million is the highest ever that we have touched.

Moderator: Next question is from the line of Nikhil from Nuvama. Hi, Nikhil , please unmute yourself and go ahead with your question.

Nikhil Choudhary : Thanks for the opportunity. First question on the churn part, what you highlighted, 7% churn, especially for a monthly subscriber. So while I

understand your thesis, especially on annual subscriber given those are the ones who are experiencing these changes for the first time and maybe using the platform much more frequently, but why this logic do not apply to monthly subscriber? I mean, we have been investing for some time now. I mean, you highlighted Rs. 1 crore in JFM and then Rs. 6 crore in AMJ . So shouldn't the IndiaMART InterMESH Limited
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improving unique business enquiries or unique ratio or improving some internal KPI , should ideally reflect in lower churn, especially for monthly?

Dinesh Chandra Agarwal: Yes, it should, but it is taking time, maybe another quarter or so. Otherwise, probably we need to find more such levers.

Nikhil Choudhary : Got it. But basically, just to confirm, we haven't seen improvement, let's say, from Jan to June.

Dinesh Chandra Agarwal: Over 40 - 50 thousand customers that we have in the monthly and you are right, at least 10 thousand of them or 20 thousand of them came in the last six months. They should be seeing some positive , so there should be some early churn advantages, but we are not yet seeing any of that .

Nikhil Choudhary : Got it. Next one on the collection side, the consolidated collection grew to 17%. You also highlighted that adjusted for Busy billing, it is 13%. So just want to understand from collection to revenue growth perspective, is 17% collection growth makes more sense while projecting revenue growth or 13%, going forward?

Jitin Diwan : So Nikhil, 17% is a reported number. And as Brijesh explained that there was a change in payout structure and therefore, the normalised number looks like 13%. But for the projection of revenue, it would be 17% reported only because that will convert to the revenue from deferred revenue perspective.

Nikhil Choudhary : Got it. Then the next question for Brijesh, how the suppliers or users of Busy are reacting to this change in policy? Have you seen any change there? And also, you have previously talked about that for the margin in Busy, the intent is to keep it low. But clearly, we have seen a significant improvement during the last three quarters. So is it going to be the new run rate going forward?

Brijesh Kumar Agrawal: So, when we did the change in the billing, we started making this change from Q3 of last year. So , the implementation has been done over two quarters. And therefore, the acceptance levels of our partners to whom we've been doing this billing and to our customers, that has been absolutely in line. We haven't seen anything negative essentially coming in from any side. And therefore, we know that when this entire financial year gets IndiaMART InterMESH Limited
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completed, we would see normalisation of the reporting numbers also.

On the increase in the margin side of it, if you look at , when we are saying margins will be under pressure, it is because when we start to accelerate the overall number of customer acquisition at a much faster pace than the growth that we get in the renewals and upgrades from the customers. And currently, what we are doing is , there is an exercise on customer win back, which is being done. Because of which, we continue to see strong revenues coming in even because of renewals and upgrades.

In the long run, however, we do foresee that customer acquisition will start to see higher investments. And that is the time, when the margins may not continue to be as high. And our priority will remain on increasing the overall customer base, adding more new customers, so that we continue to see higher growth.

Dinesh Chandra Agarwal: As well as APRU.

Nikhil Choudhary : Got it. The next one on the marketing spend, especially digital marketing spend. Are we taking some internal targets for this investment? I know you guys have just started and are doing i

t for the first time. But what kind of return you are expecting or target you have? Is it more on unique business enquiry? Is it more linked to churn? Some color there, in terms of linking those investments with some targets internally.

Dinesh Chandra Agarwal: Leading indicators are, first one is the traffic. Second one is the unique business enquiry. And the third one is the business enquiries delivered, how many times the RFQ gets consumed. So, these are the leading indicators, because they are immediately there. Because you are advertising, somebody is clicking and coming back to your platform. If he's coming to your platform, every click is the traffic, every conversion is a unique business enquiry, and every transaction after that in the RFQ level is the business enquiry delivered. So those are the leading indicators.

At the end of the day, the lagging indicators are churn and ARPU. And maybe reduced COCA. So, the leading indicators we are trying to get, we believe that in the last three months, and it is a lot more complicated than to pure simple e-commerce advertising. We have to advertise every product in every geography, separately, IndiaMART InterMESH Limited
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because we are not the sellers, and we don't switch these sellers from behind the scene. We are directly connecting buyers and sellers with each other. So, it's a lot more programmatic effort across hundreds of cities and across thousands and thousands of categories and across millions of products.

We believe that the top line of that to be optimized, is going to itself take a couple of months. And that is why the internal budget has been taken at, I mean, Rs. 2 - 3 crores every month and probably Rs. 9 - 10 crores every quarter. The good part is that the early indicators are correct. Whether they will result into the lagging indicator of churn and revenue and lower CAC, that is to be seen. And I mean, for that, you need to go past, for a size of this kind of a business, at least Rs. 100 - 200 crores to be spent, to see any greater impact in the market on the brand visibility or on the retention or on the ARPU.

Nikhil Choudhary : Thanks. Just last one on margin. How should we think about margin going ahead? Is the investment is going to pick up? And what would be normalized margin?

Dinesh Chandra Agarwal: As I said for this particular year, I mean you can safely assume, until unless we come back and announce, you can safely assume Rs. 5 - 10 crore per quarter kind of investment. It is not going to go heavily above the Rs. 10 crore mark per quarter.

Jitin Diwan : So, you were asking on the margin, I was just saying that Rs. 10

crores in the quarter translate to about 3%. So our margin at this point of time, EBITDA is hovering around 38 - 39%. As we have said that when we believe that the retention problem now has been solved, all the product things have now started converting into the renewals of seller, we will also push the pedal on the gross adds, so you should assume 32 - 33% of the margin as the sustainable margin.

Moderator: Thank you. Next question is from the line of Anmol Garg from DAM Capital. Anmol, please unmute yourself and go ahead with your question.

Anmol Garg : So couple of things from my end. Firstly, any plans for going into transaction-based structure? So, do you believe that the classified plus model that we are operating, the size of that is kind of limited
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to 200 - 250 thousand paid suppliers? And to maybe grow further, we have to kind of switch to a transaction-based model where we provide logistics and complete end-to-end transactions, at least in a few of the cases?

Dinesh Chandra Agarwal: See, it's not that we are completely averse to that. We have tried doing that between 2014 and 2017, so for

4 years and to launch at 2014, I think we started working in late 2012 -13. So 4 -5 years, we did in the name of Tolexo transactional platform for B2B industrial products and B2B product. It didn't succeed at that point of time, probably our DNA, probably the market readiness and probably the ability to pay.

Then also we did not stay behind once Monotaro, who is the industry leader in Japan and which was the joint venture of Grainger and Sumitomo Corporation in Japan, and Grainger is the big daddy of B2B transactional business. So, when they acquired a similar business called Industry buying, then we again invested another Rs. 100 + crores in that business. And we continue to work with them to see if that succeeds. Hopefully, that answers your question. So, we are not averse, but are we going to change the IndiaMART into a transactional model suddenly? I don't think so.

Anmol Garg : Understood. Just one more thing that I wanted to understand is, see, our unique business enquiries have increased because of the ad expenses that we have done in this quarter. However, what confidence do we have that this will result in an increase in the paid suppliers? I mean, particularly when the main issue remains the churn and the ad expenses, my guess is that will only help in the gross additions, which anyways remains healthy for us. So do you believe in effectiveness of this?

Dinesh Chandra Agarwal: We are only doing buyer-side advertising, and buyer-side advertising helps us only and only reduce churn and increase ARPU. It doesn't help increase gross addition.

Anmol Garg : Sure. So according to you, how many quarters would it take as a best guesstimate that this will start resulting in positive results on the churn side?

Dinesh Chandra Agarwal: I mean, I have taken an internal target that at least 9 months of work is required, 3 months has only happened. At least 6 to 9

months more work should be done. Then only this should be
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measured at the churn level. On the leading indicator side, I think it is already giving us unique buyer enquiries.

Avijit Vikram : We have a question from the chat box. The question is from Mr. Rehan Saiyyed . With Rs. 2,762 crores cash on books and 19% Y - o-Y growth in reserves, do we have any immediate or medium - term capital deployment plans , whether for platform upgrades, acquisitions or return to shareholders?

Jitin Diwan: So from shareholder return perspective, we have just returned in the last quarter itself, Rs. 300 crores of dividend, that's what we have done. So , on the overall capital allocation perspective, how we think as a management is that we keep the safety cash, which is the advance which we have received from the customers . And then we see that if we need to invest in any business, and of course, we go to the Board and take the approval for that, and it should be in sync with what we are doing, whether it should be in the internet business, it should be something related to B2B and it should be related to the MSME.

So as and when we get the right opportunity, we go to the Board for the approval, we do that. As like whenever it comes, the right time comes, we'll report that as well. And distribution to shareholder I have already talked about , that we have given the dividends. Hope that answer s your question.

Moderator: Thank you. Next question is from the line of Abhisek Banerjee from ICICI Securities. Hi Abhisek, please unmute yourself and go ahead with your question.

Abhisek Banerjee: So my question would be with regards to , what is the proportion of business enquiries delivered to the different classes of sellers on your platform, that is, your top-10% paying customers, the remaining paying customers and the suppliers who do not pay? If you could give a proportion of that, that would be really helpful.

An

d also wanted to understand, what is happening with regards to adding new categories that you have spoken of in the past? Are you being really able to create more categories which can potentially bring in more paying suppliers in the medium term? If you could speak on these parts.

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Dinesh Chandra Agarwal: So on the enquiry side, between 80 - 85% of the enquiries go to the paying set of customers. And anywhere between 13 - 14% to 17 - 18% enquiries are typically delivered or goes to free suppliers. Now within that gold and platinum, I don't have the number in this manner in terms of the percentage though on an average, approximately 70 -odd enquiries go to silver , we can come back with the percentage of enquiries that are delivered to silver, gold and p latinum.

Coming on to the second part, expanding on the category side. So , our top -10% customers used to contribute about 40% of the revenue about 5 years ago and then our revenue itself was much lower. Today, our top -10% of the customer contribute about 50% of the revenue. And if you remember, from 5 years ago, we used to say that our platinum customer base and top-10% are same , we no longer say that. So , platinum customer count has exceeded far more than top -10%.

So, the number of categories has also expanded. If I remember, most of our new business used to happen into top 20 - 25% of the categories earlier. Today, almost in 40 - 50% of the categories, we have a good amount of business happening. So , if you see the number of total paying suppliers, if you compare this one with a 5-year-old screenshot or a 6-year-old screenshot, the first time we put it in 2020 or so , then you can very well see that this 2 - 3% numbers at that particular time and that 2 - 3% number at this particular time, so a lot more categories have become a high - moving category. And that's a very core KPI that we measure internally and our category team measures internally and works to bring a similar bottom -of-pyramid kind of a category moving them upwards towards that.

Abhisek Banerjee: Understood. So , have you ever tried to evaluate the feasibility of charging something like platform fees across the board, as in I mean with UPI, it is even possible to charge something to the guys who are not paying anything .

Dinesh Chandra Agarwal: There are not many examples of classified websites charging on a consumer side or on a buyer side fee . However, there are recent experimentation by Twitter or by Instagram to buy a blue tick by consumer. So , we keep contemplating every now and then, what could be equivalent to Amazon Prime in a classified business, but not yet. I think that's a long moon shot.
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Moderator: Ladies and gentlemen, that was the last question for today. I now hand over the conference to Mr. Dinesh Agarwal for his closing comments. Over to you, sir.

Dinesh Chandra Agarwal: Thank you ladies and gentlemen, for joining our Q1 FY26 conference call. We have tried to address your queries in the time available. And we have also given a detailed information in our presentation. Detailed financials are also uploaded on our website as well as the stock exchange website. If you still have any questions, please feel free to connect with our Investor Relations team. Their e-mail ID is available on the website. And thank you very much. Have a nice weekend.

Moderator: On behalf of IndiaMART, we thank you for joining us today. We now conclude this webinar. You may disconnect the lines.

Notes:

1. This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings
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Call: Oct 2025

October 21, 2025

To,
BSE Limited
(BSE: 542726)

National Stock Exchange of India Limited
(NSE: INDIAMART)

Subject: Transcript of Earnings Conference Call on financial results and developments for the quarter and half year ended September 30, 2025

Dear Sir/Ma'am,

Pursuant to Regulation 30(6) read with Part A of Schedule III of the Listing Regulations, we wish to inform that the Transcript of Earnings Conference Call for Analysts and Investors held on October 17, 2025, with respect to the financial performance of the Company for quarter and half year ended September 30, 2025, is enclosed herewith. The copy of transcript is also available on the Company's website at <https://investor.indiamart.com/FinancialResultsStatements.aspx>.

Kindly take note of the same.

Yours faithfully,
For IndiaMART InterMESH Limited

(Vasudha Bagri)
Compliance Officer
Membership No: A28500

Encl: As above.

Webinar Transcript

Event: IndiaMART Q2 FY2026 Earnings Webinar

Event Date/Time: October 17, 2025 at 17:00 hrs

CORPORATE PARTICIPANTS :

Mr. Dinesh Chandra Agarwal - Chief Executive Officer
Mr. Brijesh Kumar Agrawal - Whole -Time Director
Mr. Jitin Diwan - Chief Financial Officer
Mr. Prateek Chandra - Chief Strategy Officer
Mr. Avijit Vikram - Head Investor Relations

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Avijit Vikram : Good evening, ladies and gentlemen. I am A vijit V ikram, Head of Investor Relations. On behalf of IndiaMART InterMESH Limited, I welcome you all to the company's Q2 FY26 Earnings Webinar. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Joining us today from the management side, we have Mr. Dinesh Agarwal - Chief Executive Officer; Mr. Brijesh Agrawal – Whole Time Director; Mr. Jitin Diwan - Chief Financial Officer; and Mr. Prateek Chandra - Chief Strategy Officer.

Before we begin, I would like to remind you that some of the statements made in today's conference call may be forward-looking in nature and may involve risks and uncertainties. Kindly refer to Slide #3 of the earnings presentation for the detailed disclaimer.

Now I would like to hand over the call to Mr. Dinesh Agarwal for his opening remarks. Thank you, and over to you, sir.

Dinesh Chandra Agarwal: Good evening, everyone, and welcome to IndiaMART's Q2 FY26 Earnings call. We have circulated our Earnings Presentation, which is available on our website as well as the stock exchange's website. We are sure you would have gone through the presentation and would be happy to take any questions afterwards.

IndiaMART has delivered a consolidated revenue from operations of Rs. 391 crores in quarter 2, representing year-on-year growth of 12%. Collections from customers have grown to Rs. 406 crores, representing year-on-year growth of 14%.

Deferred revenue grew to Rs. 1,750 crores, representing year-on-year growth of 18%.

In the second quarter, our unique business inquiries were 31 million, representing year-on-year growth of 12%. The total number of paying suppliers stood at 2 lakh 22 thousand. Net additions for the quarter were around 2,800. This is excluding a one-time benefit of around 1,200 net additions during the quarter due to simplification of the onboarding process for new silver paying subscribers. The net paying supplier addition in the Q2 was actually 3,951 but the normalized would be considered at 2,800.

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Our platinum and gold customers, which constitutes approximately 50% of our customer base and more than 75% of revenue continue to have very good upsell and retention rates.

We continue to focus on improving the platform by creating a better user experience for both the buyers and suppliers, improving how users engage and converse, delivering better customer servicing and building a trusted platform. We are implementing a growing range of AI use cases, which is strengthening our platform and product offering.

Our focus remains on raising the bar on quality and servicing our customers better, which will create long-term value for our stockholders.

Now I will hand over the call to Brijesh to update about Busy Infotech. Thank you, and over to you, Brijesh.

Brijesh Kumar Agrawal: Good evening. Busy has done a billing of about Rs. 38 crores in Q2. The normalized year-on-year growth rate, which excludes the

impact of change in the payout structure for partners , is at 57%. The Revenue from operations for Q2 is around Rs. 29 crores and the deferred revenue stands at about Rs. 111 crores. Now this represents a year -on-year growth of 46% and 63%, respectively , on a normalised basis.

The cash flow from operations for Q2 was Rs. 11 crores. During this quarter, we sold 12 thousand new licenses, taking the total count of licenses sold to 4 lakh 21 thousand .

Moving forward we are committed to enhance the overall product experience and continue to build the growth momentum in the business.

With this, I would hand over the call to Jitin to take it further from here

e.

Jitin Diwan: Good evening, everyone. I'll take you through the financial performance for the quarter ending September 2025.

Consolidated collection from customer was Rs. 406 crores in the quarter, representing year -on-year growth of 14%. IndiaMART's standalone collection from customers for the quarter was Rs. 365 crores, registering year -on-year growth of 8%.

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Consolidated deferred revenue stood at Rs. 1,750 crores, an increase of 18% on year -on-year basis.

Consolidated revenue from operations was Rs. 391 crores, registering year-on-year growth of 12% and consolidated EBITDA was Rs. 130 crores, representing margin of 33%.

In Q2, we recorded a decline in other income from Rs. 92 crores in the previous quarter to Rs. 10 crores in this quarter, primarily due to the mark -to-market losses on our treasury portfolio owing to significant increase in bond yields during the quarter.

Consolidated net profit for the quarter was Rs. 83 crores and consolidated cash generated from operations was Rs. 114 crores. Cash and treasury balance stood at Rs. 2,874 crores as on September 30, 2025.

Thank you very much. And now we are ready to take questions.

Question -and-Answer Session

Avijit Vikram: We will now begin the Q&A session. If you wish to ask a question to the panellists, kindly raise your hand and allow camera and microphone access. Alternatively, you may type your questions on the chat menu, and we will revert on it.

Please restrict to two questions so that we may be able to address questions from all the participants. We will wait for a few seconds, while the question queue assembles.

Moderator: First question is from the line of Anmol Garg from DAM Capital. Please unmute yourself and go ahead with your question.

Anmol Garg: Firstly, just wanted to understand when you say that 1,200 addition is because of a simplification of onboarding process. What does this mean exactly?

Dinesh Chandra Agarwal: What used to happen earlier was, our sales team will go and acquire the customer, means collect the advanced payment or get the NACH registration done. And then we would ask them to wait for two reasons: one, wait for their payment clearance. The IndiaMART InterMESH Limited
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second, wait for their GST verification, that they are legitimate GST verified supplier or not.

And also, we took that opportunity to improve their catalogue or the mini website on the internet, which we call MDC - mini dynamic catalogues. Now given the technology we are able to verify the GST of any supplier on the go. In fact, many of the suppliers are pre-verified on GST. And we said that most of our payments are also online, 80% of the payments are now online.

So, I think we initially did a pilot in Delhi NCR for a couple of months and after no problems, we now immediately activate the customer to be live. So earlier, what was taking 3-5-7 days process, has now become zero. With that change, earlier we used to have work in progress or orders in progress, order book of 1,200 odd customers, which will get rolled over.

Now with this immediate activation that order book was immediately filled. So, there is no rollover order book that is going to the next quarter. That is the additional one-time gain that we have found. So that is what is looking like 4,000 customer additions.

However, as you know that many of those orders actually bounced in the payment and failed in the GST or failed to complete process. So, I think that will result into an immediate first month or second month churn. So earlier, those customers were not counted and they were refunded automatically, or their money was not received.

Now, they will be counted as a customer, but they will be also counted in the churn. So that's why there's a one-time benefit of

about 1,200 customers. But the overall addition at net level will remain the same. I hope that answers.

Anmol Garg: Yeah. Very clear, sir. Also, I wanted to understand, going ahead, how should we think about the paid supplier addition from an overall perspective, are we seeing any reduction in the churn process in the last three months? And any steps that we have taken with respect to the same?

Dinesh Chandra Agarwal: Steps taken I have already told and I will tell you again, one, we have reduced the competition or reduced the number of sellers being introduced per buyer. So that it is good for buyer and supplier both, as I told, over the last 5-7 years, the supplier responsiveness has become far better. And so earlier, when we

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were introducing 6-7 suppliers to one buyer, they were likely to get 3 responses.

Now the supplier responsiveness has gone as high as 70 -80%. So , it may be enough to introduce only 4-5 suppliers , so also it increases the competition for the supplier s, because the suppliers were complaining largely that earlier I used to get maturity. Now I'm having difficulty in getting maturity.

The second thing that we did was the quality of inquiry , earlier when we were asking buyers , we were not asking buyers to fill a lot of details, with category -based management, our ability to know what to ask and our confidence has gone up that we can ask 2-3 questions to the buyer. That helps in two things : One, the intent of buyer s is very, very clear because he has filled at least two, three things apart from his phone number and OTP , he has also filled quantity and he has also filled some specification. Secondly, it also helps the supplier very much , that when they see the RFQ , earlier if they were seeing 50 -60% of the RFQ having quantity or having specification. Now they are seeing 80 -90% of the RF Qs having quantity and having specification. And that helps the suppliers choose the correct kind of RFQ s and correct kind of inquiry.

The third one was locali sation and earlier, we were giving mostly all India based searches. Now , we are giving more city preferred locali sed searches. As you would have seen on Google and every place else, the results are locali sed for you , the same process we have started to do for India MART also.

And all this has resulted in a better NPS from the supplier side on the leading indicators, leading indicators means now they are happier with the quality of inquiries , they are happier with the locational relevancy, and we have seen an improved query relevancy feedback.

However, it has not yet resulted into any significant movement in the churn and silver customers continue to have a n elevated churn , monthly customers having about 7%, annual silver customers about 4% and gold and platinum continues to be healthy at about 1 %.

So, I'm not able to give you any guidance on the paid customer addition even going forward.

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Anmol Garg: And one last thing, just wanted to understand how has our performance marketing spend moved during the quarter?

Dinesh Chandra Agarwal: That has done well, if you really see the unique business inquiry count, the unique business inquir ies have grown from immediate past quarter 29 mn to 31 mn. And if I see year-on-year, that has grown by 12 -13%. Now half of that is actually coming from the

organic and half of this is coming from performance marketing.

So, performance marketing currently is being done in the top 10,000 odd categories. We are still trying to optimise because in certain categories, we are not able to get any share. In certain categories, we are getting too much. So, we are trying to optimise, but I think the initial results are very good. And now I think t

he

framework has been settled. We will continue to, as I said, our initial budget is about Rs. 8 -10 crores per quarter, and we'll continue to spend on that side.

Anmol Garg: Sure. So should we assume that 8-10 crore per quarter is something which is continuing in this quarter as well.

Dinesh Chandra Agarwal: Yeah, so the current quarter was about Rs. 6 crore. And last quarter was also about Rs. 6 crores. But this quarter, slightly the results are better because our optimisations have gone better.

Moderator: Next question is from the line of Kunal from Banyan Tree Advisors. Please unmute yourself and go ahead with your question.

Kunal Thanvi : So I have two questions. One was on the collection growth and the deferred revenue growth. If you look at the collection growth it is closer to 7 -8% and deferred revenue growth is closer to 15 - 18%. How does one read into these numbers? How do we interpret the difference between collection growth and deferred revenue growth?

Dinesh Chandra Agarwal: There is a table in the stand alone detailed financials. There's a proper reconciliation table in the standalone financials, not in the investor presentation. You can see there what was the opening deferred revenue, what is the collection and how much the revenue recognised and how much is the closing deferred revenue and what is the current and non-current of that. So that is there in the standalone financials.

Kunal Thanvi : Sure. One other question was when we look at lower traffic growth on the platform right? It was 3% this quarter. Last quarter, IndiaMART InterMESH Limited
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it was closer to 7%. How do one read into this number? And what are the steps that we have taken to improve this traffic growth? Because ultimately, if you were to think about, a traffic growth would be the lead indicator in terms of our growth coming on that, right?

Dinesh Chandra Agarwal: So I was about to touch this next quarter. I'm going to drop this KPI altogether, because this KPI has become very unreliable in the days of web crawling, scraping, agent ic and all of this. It has become really hard even for Google Analytics to differentiate between the user traffic and differentiate between a bot traffic or scraping traffic or crawling traffic.

So earlier, it was quite almost a near monopoly of Google. And so it was very easy to identify which are the crawlers, Google crawlers and which are the Yahoo crawlers or which are the Bing crawlers. And we will typically ban the Russian and Chinese crawler s, Yandex and others.

But now everybody, including Meta, including ChatGPT, including Grok, including Alibaba Qwen and DeepSeek. They're all crawling the entire Internet very, very heavily. The second part is now every time you turn on think mode on the ChatGPT it goes and brings 100 pages and gives you some 20 lines answer. Those 100 pages are again very hard to differentiate because there is no established system of identifying which particular place that query is coming from, whether it is coming from a Perplexity through ChatGPT, I mean, which model, which front end and now with the browser agentic, the Dia Browser and the Comet Browser and other of this.

Actually, the crawling will happen directly from the customers end and customers IT will come. So it is very hard to now say that this traffic is user traffic and this traffic is machine traffic. So we will probably have to drop this KPI from the top and look at only the business enquiries received or converted or calls. And we'll find some alternate better KPI where I can differentiate between the human traffic and machine traffic.

Kunal Thanvi: One last question, if I can ask is, see we have been improved a lot of things in last 4-5 quarters. And when we look at the conversion numbers in terms of unique enquiries versus delivered, there is

reasonable improvement there. But when we look at the supplier churn on the silver level, it continues to be elevated, like how do you as a management team, think about this?

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Is it also linked to the overall economy going through a tough period? What are the attributes apart from India MART, if you like, what are the things that we should think when you've been trying so hard on these improving the user experience, making it more relevant to them. Still the problematic silver suppliers continues to be under stress?

Dinesh Chandra Agarwal: So, I would say we are too small to be even affected by economical downturn. We may get some positive tailwinds when the economy is doing very, very well. But we are too small to be even affected by economy, until unless something like a very bad event happens like COVID or demonetisation or something like that. But otherwise, these kind of typical economic slowdowns or 1-2% GDP slow down or up. That should not be a matter at a 2% or 3% penetration.

Now coming to the working hard. I think we keep working hard and one fine day we find something smart. You never know when is that, that is what is we are trying to find all of us together. And we have to wait for that moment to come. There was a definite tailwind, which was the mobile Internet, which has started around 2013-2014, got a very good shot in the arm at around 2016 when Jio came in. And also in 2020, when the lockdown happened.

Effectively, there was a big tailwind. Now there are almost 900 million internet users in India, and there's not much left on that side. So, whatever was the natural tailwind of that every internet company, that is kind of tapering. Whatever new tailwind will come is because of the agentic or because of the AI-based things, because now we have got a distribution which is far more wider.

Earlier WhatsApp was a communication channel, but now WhatsApp could be a discovery channel. Earlier ChatGPT was a chat channel or Wikipedia kind of information channel, now it could be a discovery channel. So, there may be more new channels that will come in. So, I think the natural growth on the buyer side will come in either from the m or there is something that we need to fix within our ecosystem, and we continue to work hard to find that one particular lever.

Avijit Vikram : We have a question from the chat menu. The question is from Mr. Manjeet Buaria. So, you have consistently explained why you believe this is a large addressable market from paying supplier standpoint, and growth here will come back to healthy levels when the current issues are fixed. What factors or data points will make you change your mind on this hypothesis and say that the IndiaMART InterMESH Limited
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TAM is not large enough to grow net paying suppliers, at least in high-single digits. Any implications of that changed view on our marketing cost?

Dinesh Chandra Agarwal: You are saying that if this Rs. 1.5 crore s GST suppliers come down to 75 lakh, I will reduce my final supplier that I should be targeting. But as long as there are 15 million, 20 million good SMEs and as long as they are growing at 10% nominal growth, I don't think that a 5% or 10% kind of a penetration should be an unrealistic number. So, I don't know what will change in my mind that this will not increase.

Moderator : Next question is from the line of Nikhil Choudhary from Nuvama. Please unmute yourself and go ahead with your question.

Nikhil Choudhary: Sir, first question on subscriber addition. The 2.8 K addition, while being close to our range, but still higher since last two years. So just wanted to understand was it normal change we see quarterly? Or did we saw some change in, let's say, gross addition or some decline in churn?

Dinesh

h Chandra Agarwal: Not much. I think it is that Rs. 2,500 plus/minus a couple of hundred here and there. Certain working days, certain non-working days in the quarter. That's about it, nothing else.

Nikhil Choudhary: Got it. Second one, on the churn side, especially on monthly churn side. Any reason we are not seeing any reduction in churn? And second, along with this question, I think we have noticed you have increased the price of silver subscriber plan. So, any logic behind why to increase silver pricing at a time when the churn is so high?

Dinesh Chandra Agarwal: So the same question was asked to us into 2022 or 2023 also. Till 2019, the silver pricing was Rs. 3,000 per month and Rs. 30,000 per year. Today, we are in 2025 that's like six years ago. In six years, even at whatever price rise that you factor in, even if inflation is factored in, it's a very modest increase. While these customers are the building blocks for us, these are the bottom of the pyramid customers which end up becoming gold and platinum tomorrow.

But trying to acquire them at a cheaper rate and a more cheaper rate could be a race to the bottom because for a lot of these customers you have to ask which kind of customer you want to

acquire ? What size of customer you want to acquire ?
So, it's not value at this price or value at that price. It's either there is value or there is no value. So, our thought is that simple
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10% kind of a price rise every second year should be applicable . I mean that's part of the inflation, I guess.

Nikhil Choudhary: Got it. Just one clarity on the marketing investment part. Last quarter, we highlighted we want to increase the investment from Rs. 6 crores to Rs. 10 crores, but we maintained it to Rs. 6 crores. So, any logic here? And also was there some ESOP announcement? And can you quantify it?

Dinesh Chandra Agarwal: So marketing was, I always told that it is about Rs. 10 crores per quarter. It was actually done at Rs. 6 crores last quarter , but I said that my budget is about to up Rs. 6 -10 crores per quarter. On the ESOP front, Jitin can give you the details. Our last ESOP was expiring sometime January I guess. So, we came up with a new ESOP grant .

Jitin Diwan: So in the beginning of the year, as Dinesh mentioned, because the last policy was expiring, we have renewed our ESOP policy, and we have given the grants for about Rs. 90 crores. And the expense for that, that's how has started coming in Q1 and Q2.

Moderator : Next question is from the line of Shubham Jhawar of Dexter Capital . Please unmute yourself and go ahead with your question.

Shubham Jhawar : My first question was our ARPU of top 1% has now increased from Rs. 6 lakhs in FY 21 to nearly Rs. 11 lakhs now, right? So , I wanted to understand this growth is fairly very nice over the years. How much of it is due to volume increase of RFQs and what percentage would be due to the price hikes that we have taken over the years?

Dinesh Chandra Agarwal: So top 1% is mostly price hike , because it has nothing to do with volume . In FY2021, we had 14 7,000 customers. So top 1% would account for about 1,500 customers. Now that we have 2 20,000 customers. So now top 1% is about 2,200 customers. So one is , 50% growth is coming from that.

But the ARPU growth, as you said, mostly from the price hike from the differential pricing that we have, and from the product that is you can target multiple cities and you can target multiple keywords. So , people have taken multiple keyboards and multiple cities. And some of it came from the medium enterprises and large enterprises also.

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Shubham Jhawar : Got it . And sir, what is your sense on our ability to further increase this because over the years, it has increased quite decently.

Dinesh Chandra Agarwal: Yeah, I guess on the enterprise side, it can increase quite a bit because of their ability to target and their ability to serve larger markets, especially in the high-value segments. If you go to our enterprise sections on different quarterly presentation, you will find different, different industries being focused here.

And these kind of customers have the marketing budgets running into crores as well as the ability to serve a larger customer base because of their dealer distribution network or because of their distribution ability. So, I guess there is a lot more possible. Probably we are yet to learn how to do that better from the product market fit side also and from the sales and servicing point of view also.

So you can see different, if you go to this section on IndiaMART and About-us, you will find multiple such industries where there are large customers. And then comes the medium size of the customers because now as per MSME definition, the medium size of the customer is Rs. 100 crores to Rs. 500 crores.

Shubham Jhavar : Got it. And my second question was our marketing and selling cost is Rs. 60 crores this quarter. How do we see that going forward? Like what percentage are you expecting it to increase?

Jitin Diwan : So, it should remain same as a percentage of revenue. As we have said that we have done the performance marketing of Rs. 6 crores, and there's a budget of Rs. 10 crores. So, we'll see that how we optimize it and that may increase. So that may have a change of another 1%. Otherwise, it should remain the same.

Shubham Jhavar : So basically around 16% to 18% of revenues is what our selling and marketing costs would be, right?

Jitin Diwan: Yeah, correct.

Dinesh Chandra Agarwal: Also if you see, before COVID it was 19%, during COVID let's forget about it and then when we started building up again, it went as high as 20%. That was FY2023 because we suddenly hired so many people. But then typically, hovered at 19% pre-COVID and 17-18% otherwise. Last year, we were trying to see how to work on the churn numbers before adding the gross. But as per this
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average and as per the normal increase, I think 17%, 18% is fair to assume.

Avijit Vikram : So we have a question from the chat menu, the question is from Mr. Aman Thadani. Net ads have remained in the 1,000 to 2,000 range for several quarters as we intentionally slowed gross additions to fix churn. Understood and aligned here. Question is, given that the silver funnel is weak and there is 1% natural churn per month in platinum and gold, at what point will the customer count in platinum and gold start shrinking?

Dinesh Chandra Agarwal: At 1% churn because typically, there is a natural flow coming from silver and gold to the platinum side. So, I don't see that shrinking. But yes, when the silver customer growth remains muted, platinum would be the last to start shrinking.

Moderator: Next question is from the line of Rahul Jain from Dolat Capital. Please unmute yourself and go ahead with your question.

Rahul Jain : I was trying to understand is that with all this long , enduring process that we have gone through in terms of optimi sing various aspects of the business to ensure the subscriber addition aspect of it and meanwhile, scaling up on the ARPU on the existing base.

So, with this learning, your thought process in terms of what is the right scalability in terms of the subscriber and your thought process is what is the ideal ARPU in this business? Has that changed in the last three years, the thought process that this is a far less volume game, but more an ARPU game? Or you think the opportunity remains the same?

Dinesh Chandra Agarwal: For both side, if you go to the customer pyramid slide, you will see that both the aspects

of the business, while the silver base, whether it is monthly or annual, they bring bulk of the customer and they bring the pipeline to the gold and platinum.

But if see you the platinum customer base, which is just the top 10-15%, that accounts for 50-60%. And I am giving you gold plus platinum data that gold plus platinum put together is 50% of the customer base accounting for 75% of the revenue. So effectively, the rest 75% of the customer base is actually counting for the low ARPU base. So, it is not either -or game. You have to work on both sides, one for the leadership, the other for the monetisation and profitability.

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Rahul Jain : Right. And with this thing, what looks like a best -case three -year scenario for us from a going forward perspective from, I know you don't go for a guidance at this point, but maybe a longer period goal, which you could set because you would assume a lot of this thing would get rectified over the next few quarters?

Dinesh Chandra Agarwal: Yeah. I mean we'll continue to work as soon as we have better grip on the situation, we'll start giving guidance. But then, currently, on best effort basis we continue to deliver what is delivered.

Rahul Jain : And what should be the sustainable ARPU potential on the current base?

Dinesh Chandra Agarwal: I can talk about the historical ARPU. So, historically, ARPU has grown from 32,000 in FY 2017 to pre -COVID about 42,000 immediately post COVID , in as early as FY 2024 was 53,000 and now running at 60-65,000. So , I guess ARPU has grown at 7 -8% CAGR over the last many, many years. And we think that kind of an ARPU growth should typically be possible , 6-8% of the ARPU growth should be typically possible.

Rahul Jain : Right, so 6% to 8% when you talk about the long average, it is period when you have good net addition also, which is actually dilutive to your ARPU.

Dinesh Chandra Agarwal: But there have been periods, for example, FY 2021 and FY 2022, the entire two years, we didn't have any net addition. And similarly, FY 2024-25, we didn't have much of net addition. So , this is a very long -term, which includes all kinds of cycles.

Moderator : Next question is from the line of Saurabh Savla of Multi -Act.
Please unmute yourself and go ahead with the question.

Saurabh Savla : So I had a bookkeeping question with respect to our general and admin expense in the functional P&L that has sequentially increased by around Rs. 20 odd crores from Rs. 25 crores to Rs. 44 crores. So , is there any one -off in that, and what kind of sustainable number would be for this expense?

Jitin Diwan: So thanks for your question. So , you're right , there is a one -off of fair valuation loss which we have taken on one of our investment this time for about Rs. 16 crores. That is why that is looking swelled . Other than that, there is no reason to believe that should increase from the normal number which we have been reporting.

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Saurabh Savla: Okay. So , in the reported financials, it would be part of your other income, right?

Jitin Diwan: Not other income, it will be under expenses on here above EBITDA.

Saurabh Savla: And also other income has declined sequentially Q -o-Q in the reported results. So , what is the reason for that?

Jitin Diwan: So just before that, while that G&A number includes one -off in the stand -alone , in the consolidated numbers, if you see there will not be an impact of that because on a monthly and quarterly basis, we take the share in loss and profit for all our investments.

Coming to your point of other income, as I explained in the beginning, so in this quarter, there is a mark -to-market losses on our treasury portfolio because the bond yields had increased. That is why you're s

eeing dip in the Other income. But the way to look at this is, usually on a little longer basis, if you see on a yearly basis on a half yearly basis, that should stay in the range of the yield of like 6.5 -7.5% of actual treasury income what we do.

Avijit Vikram : We have a question from the chat menu. The question is from Amrith Kacker . Busy has added 12,000 licenses in each of the last two quarters versus 8,000 per quarter previously. How should we think about the longer -term growth in licenses as our investments begin to pay off?

Brijesh Kumar Agrawal : So in terms of the licenses being sold, as I have mentioned earlier, the improvement on the new activations has been consistently happening. We expect that this momentum should continue. However, we should factor in that in the accounting software business, Q4 and Q1 generally would see a higher demand for accounting software , because at that time, people find it convenient to change their accounting software, whereas Q2, Q3 generally tend to be a little subdued. So therefore, even going forward, we think that we would be in line with the kind of growth we've been seeing over the last couple of years in terms of new activation that is how I would try to put it here.

Moderator: Next question is from the line of Nikhil Choudhary of Nuvama .
Please unmute yourself and go ahead with your question.

Nikhil Choudhary: Just want clarity on a couple of questions. First on the price increase of Rs. 4,000, especially for silver monthly . Did we saw IndiaMART InterMESH Limited
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some slowdown in silver subscriber addition after the price increase? Or was it at normal level?

Dinesh Chandra Agarwal: Of course, ye ah, because once we announced the price, we announced ahead of the time. So , we got some of the sales which were the proposals were already sent . We got some of the sales at previous price and probably this particular price could have some impact on the gross additions in the next one or two quarters. But I don't see that to be a major change beyond one or two quarters. So, there would be a slight dip, but I would say that it is worth the increase in price.

Nikhil Choudhary: Got it. Second, just want some clarity on your comment that we saw some improvement on ROI of the marketing spend compared to last quarter. Can you quantify what were the improvements we saw in this quarter versus last quarter?

Dinesh Chandra Agarwal: So, if you see the unique business enquiries , on the similar spend in the last quarter, we got 29 million enquiries. On the similar spend, we got 31 million unique business enquiries in this quarter .

Nikhil Choudhary: Okay. But it could be organic as well, right?

Dinesh Chandra Agarwal: Yes. That's why I'm saying you can assume 50% organic and 50% driven by the advertising effort.

Moderator: Next question is from the line of Shivam Gupta of DT Fund . Please unmute yourself and go ahead with your question.

Shivam Gupta: Good evening. Just had a couple of questions. So first one was that when we're attacking a churn problem. And in a way, if I zone out, it's more like we are trying different interventions and experiments to see what works. From your perspective, isn't AI a big, and the way AI is coming through, isn't that a big lever for you to actually accelerate the number of experiments and the velocity of them to actually shrink the time from henceforth to solve this problem? Just your view on this .

Dinesh Chandra Agarwal: I think two, three things that comes immediately and as early as last month, we had a complete AI full day meet with the Board. So, there are three things that we have found apart from what I have been talking and what you can see in my annual reports that other AI initiatives that I 've been talking.

One, clearly emerging in the call automation or AI -based voice bots.

ts. They have become as good as humans in terms of sounding natural and understanding the other parties' voice . With the AI, with the tooling, with the context engineering , I think they can surpass humans in less than one year in terms of their ability to
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natural and understanding the other parties' voice . With the AI, with the tooling, with the context engineering , I think they can surpass humans in less than one year in terms of their ability to

handle complex queries and their ability to answer complex query and also fix the problems.

So, I think we are working very quickly, as we speak, our AI bots could be handling as high as 1 lakh calls per day by the beginning of the 1st of January. So, they are already doing almost 10,000, 20,000 calls per day.

The second part is, this whole voice part has two things. One is the voice bot where they can talk. The second is the call analytics. And there is a huge amount of calling between the customer and between us that happens and between the buyer and supplier that happens and between the buyer and us that happens. So, all that entire triangle, almost like 3 crore calls per month happens. And that's a black box because you can always say that we can do audit, you can listen to the calls, but it's almost impossible to listen to millions of the calls and make the sense out of it. So, I think we are working on that direction to improve that, so that's on the call side.

Now coming to the cataloguing improvement, categorisation improvement and categorisation expertise, a lot of these call analytics will come handy and pdf analysis will come handy to improve these items where it can dramatically improve the cataloguing and discovery and those kind of things, the things that we have built harder over many, many years. So, I think that has become easier. That also lowers the entry barrier for others. But at the same time, it gives a lot more advantage to a player like us. So, you are right, these three things should help. And many more will emerge in times to come. I hope that answers your question.

Shivam Gupta: That was helpful. And the second question was that you did mention about the pollution from the bots in the incoming traffic. Related to that is that does that also pose a worry from a perspective of data being scraped and poached and, in a way, kind of dilute the moat that the platform has?

Dinesh Chandra Agarwal: Yeah. So, there are 2-3-4 kinds of data. Some data is just the name address, some of the data is phone number and e-mail and some of the data is the catalogue. That's one part of this, which is the data-data. So, phone and e-mail we don't provide anywhere on the web. So hard to scrap. But yes, from other sources, one can always get something.
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The second part of the network effect or the barrier to entry is the insight that we have on which supplier likes what. Despite the fact that he has displayed a lot more products, but what he likes to deal in with which categories he deals most and which categories which cities he deals most, what kind of quantities and what kind of price points he deals most. That information is nowhere scrapable or available to any bot or any AI agent.

The third part is the paying customer service that we have built, which has brought the buyer and supplier both creating a network effect where there are 30 million unique business enquiries every quarter, that's about 10 million business enquiries every month. And also similarly, there are about 200,000 paying customers. So these are the three moats. Out of that, the only first one, I mean, that was always scrapable anyway. The scrapping has become

easier, but it was always scrapable.

Shivam Gupta: Got it. And my last question would be that, from my understanding, there is a lot of value in the platform when it comes to somebody searching for a long tail of goods or products that they use in their own supply chains. But over the y

ears, have

you seen the platform becoming a larger part of the user supply chains? And maybe if this answer you can give from a gold guy to a platinum guy that if you have any queues that IndiaMART sourced leads are becoming a larger part of their bill purchase or their supply chain operations.

Dinesh Chandra Agarwal: Shivam, can you please elaborate?

Shivam Gupta: So what I was trying to say is, let's say, there is a supplier, let's say, a platinum supplier who's consuming certain RFQs and he's, let's say, sourcing 10% of his incoming supply from IndiaMART. And over the years, as his ARPUs continues to pay you more, and there will be a natural growth in his business, which is allowing him to pay this. But also, is there a natural increase of wallet share in the fact that he's sourcing more of his supply chains from the IndiaMART's platform? Maybe I know you don't have exact data on this, but any heuristics if you have or any color you could share? It's a relevance question that effectively I'm trying to ask for the gold and platinum tiers.

Dinesh Chandra Agarwal: So typically, we found that people who are responsible for doing the sourcing versus the people who are responsible for doing the marketing or lead gen for the customers, even in very, very small businesses are very, very different set of people. The people who
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work like a tele sales person or even a field sales person, there is a sales manager and then the factory manager or there is a procurement manager. And these are almost like two very different personalities, however, the owner does deal with both of the guys, but these are two different ones. So, it is hard for me to even decipher between the same company's purchase person also. It is far easier for me to identify a purchase manager from an Indian Oil or from Reliance Industries or from Tata Motors because their e-mail ID clearly reveals that he is from Tata Motors.

But from a small company, it is difficult, but I've taken your suggestion and we'll work on it.

Moderator: This was the last question for today. I would now like to hand over the call to Mr. Dinesh Agarwal for his concluding remarks. Over to you sir.

Dinesh Chandra Agarwal: Thank you very much, ladies and gentlemen, for joining our Q2FY26 conference call. We have tried to address your queries in the time available. But if you still have any questions, please feel free to contact with our Investor Relations team, and they'll be happy to arrange for any answers.

Thank you very much. Good evening, and have a very, very happy and safe Diwali.

Moderator: On behalf of IndiaMART, we thank everyone for joining us on

this webinar. You may now disconnect your lines. Thank you.

Notes:

1. This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings
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Call: Jan 2026

January 23, 2026

To,
BSE Limited
(BSE: 542726)

National Stock Exchange of India Limited
(NSE: INDIAMART)

Subject: Transcript of Earnings Conference Call on financial results and developments
for the quarter ended December 31, 2025

Dear Sir /Ma'am ,

Pursuant to Regulation 30(6) read with Part A of Schedule III of the Listing Regulations, we wish to inform that the Transcript of Earnings Conference Call for Analysts and Investors held on January 20, 2026, with respect to the financial performance of the Company for quarter ended December 31, 2025, is enclosed herewith.

The copy of transcript is also available on the Company's website at
<https://investor.indiamart.com/FinancialResultsStatements.aspx> .

Kindly take note of the same.

Yours faithfully,
For IndiaMART InterMESH Limited

(Vasudha Bagri)
Compliance Officer
Membership No: A28500

Encl: As above.

Webinar Transcript

Event: IndiaMART Q3 FY2026 Earnings Webinar

Event Date/Time: January 20, 2026 at 17:00 hrs

CORPORATE PARTICIPANTS :

Mr. Dinesh Chandra Agarwal - Chief Executive Officer
Mr. Brijesh Kumar Agrawal - Whole -Time Director
Mr. Jitin Diwan - Chief Financial Officer
Mr. Prateek Chandra - Chief Strategy Officer
Mr. Avijit Vikram - Head Investor Relations

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Avijit Vikram : Good evening, ladies and gentlemen. I am Avijit Vikram, Head of Investor Relations. On behalf of IndiaMART InterMESH Limited, I welcome you all to the company's Q3 FY26 Earnings Webinar. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity to ask

questions after the presentation concludes.

Joining us today from the management, we have Mr. Dinesh Agarwal - Chief Executive Officer, Mr. Brijesh Agrawal – Whole Time Director, Mr. Jitin Diwan - Chief Financial Officer, and Mr. Prateek Chandra - Chief Strategy Officer.

Before we begin, I would like to remind you that some of the statements made in today's call may be forward-looking in nature and may involve risks and uncertainties. Kindly refer to Slide #3 of the earnings presentation for the detailed disclosure.

Now I would like to hand over the call to Mr. Dinesh Agarwal for his opening remarks. Thank you, and over to you, sir.

Dinesh Chandra Agarwal: Good evening everyone and welcome to IndiaMART's Q3 FY2026 Earnings Webinar. We have circulated our earnings presentation, which is available on our website as well as the stock exchange website. We are sure you would have gone through the same. And we would be happy to take any questions afterwards.

IndiaMART has delivered a consolidated revenue from operations of Rs. 402 crores in the quarter 3, representing a year-on-year growth of 13%. Collections from customers grew to Rs. 426 crores, representing year-on-year growth of 17%.

Deferred revenue grew to Rs. 1,775 crores representing year-on-year growth of 19%. In quarter 3, unique business inquiries reached 28 million, growing 4% year-on-year, along with continued improvement in the quality of inquiries.

Total number of paying suppliers declined by 1 thousand to 2 lakh 21 thousand. This decrease can primarily be attributed to moderation in gross addition due to price increase we implemented in the silver subscription tier during the last quarter. Additionally, lesser number of working days due to festival season has also contributed to the decline.

Our Platinum and Gold customers, which constitute approximately 50% of our customer base, and more than 75% of the revenue continue to have good upsell and retention rate.

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Our company has always been an early adopter of new technologies. Nearly a decade ago, we introduced behavioral data-based matchmaking, which was powered by AI and machine learning.

Today, we are accelerating that journey further. We are rapidly adopting AI-enabled technologies to enhance the quality of our product and platform, improve user experience and engagement for buyers and suppliers and reinforcing element of trust across the marketplace.

We remain committed to elevating quality standards and improving the user experience, to maximize the value offered by our platform.

Now I will hand over the call to Brijesh for update on Busy Infotech. Thank you, and over to you, Brijesh.

Brijesh Kumar Agrawal: Good evening, everyone. At Busy, we've done a billing of Rs.

33 crores in Q3. The normalised year-on-year growth rate after removing the impact of the change in the payout structure for partners is at 28%. The revenue from operations was Rs. 32 crores, and the deferred revenue was at Rs. 112 crores at the end of Q3. This represents a growth rate of 50% and 56% on a normalised basis.

The cash flow from operations was Rs. 6 crores for the quarter. During the quarter, Busy sold about 10 thousand new licenses, taking the total number of licenses sold to about 4 lakh 31 thousand.

As we have been sharing in the past calls, we continue to invest behind enhancing the overall product experience and growing the sales channels that we have,

so that we can build the foundation for sustained high-growth business at Busy for years to come. Now with this, I'll hand it over to Jitin to discuss the financial comments.

Jitin Diwan: Good evening, everyone. I'll take you through the financial performance for the quarter ending December 2025.

Consolidated Collection from customers was Rs. 426 crores in the quarter, representing Y-o-Y growth of 17%. IndiaMART's stand-alone Collection from customers for the quarter was Rs. 390 crores, registering Y-o-Y growth of 14%.

Consolidated Deferred revenue stood at Rs. 1,775 crores, an increase of 19% on a Y-o-Y basis.

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Consolidated revenue from operations was Rs. 402 crores, registering Y-o-Y growth of 13% and consolidated EBITDA was Rs. 134 crores, representing margin of 33%.

In Q3, Consolidated Other Income for the quarter stood at Rs. 135 crores. This includes onetime fair valuation gain of about Rs. 82 crores on account of revaluation of our strategic investment, Baldor Technologies.

Consolidated Net profit for the quarter was Rs. 188 crores. Consolidated Cash generated from operations was Rs. 129 crores. Our Treasury balance stood at Rs. 3,051 crores as of December 31, 2025.

Thank you very much. Now we are ready to take any questions.

Question-and-Answer Session

Avijit Vikram: We will now begin the Q&A session. If you wish to ask a question to the panellists, kindly raise your hand and allow camera and microphone access. Alternatively, you may type your questions on the Chatbox and we will revert on it. Please restrict to two questions so that we may be able to address questions from all the participants. We will wait for a few seconds, until the question queue assembles.

Moderator: First question is from the line of Anmol Garg, from DAM Capital. Please unmute yourself and go ahead with your question.

Anmol Garg: Thanks for the opportunity. A couple of things. Firstly, I

wanted to understand that it's been now a few quarters since our paid supplier numbers have remained kind of subdued. So from that perspective, how do you see it going ahead in terms of , do you think that somewhere the market is saturated for us? Or do you feel that we might have to kind of make changes to our business model in terms of introducing transaction -based aspects to our business model? Or do we kind of prefer to work on the classified + model going ahead as well?

Dinesh Chandra Agarwal: So let me just answer one by one. Do we feel market is saturated? No. Market has kind of unlimited demand for enough number of quality leads that can be converted by sellers. So there is a number of sellers willing to pay if they get leads, which can be converted by them. Second, to attract more buyers, do we want to prefer moving to a fulfilment model? No. We would like to remain a software and tech -oriented company , with enablement embedded wherever it can, whether it is trust -related embedding, whether IndiaMART InterMESH Limited
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it is any kind of credit -related embedding , any kind of payment facilitation. But we ourselves do not intend to do any sourcing , or delivery , or return because the categories are enormous, and it is not feasible to go that way.

So, we are continuing to tune -in product market fit for buyers so that we can generate as many buyers as possible . As soon as that happens, I think we should be able to now get better supplier traction . Earlier , about 1.5 years back, I think there were problems with the quality of the inquiries also and there were problems with the competition also . I had addressed this in earlier quarterly calls, that now the competition side, the localised inquiry side, the quality of the inquiry, the intent of the inquiry, all of that is solved. Most of the suppliers are happy with

the quality of the inquiries that they are getting. Now if we can double the inquiries, I am sure we can double the customer count from here.

Anmol Garg : Understood. Secondly, I wanted to understand that there is a slight reduction in our advertisement , SG&A spend in the quarter. So when would we move to Rs. 10 crores kind of quarterly spend in terms of the digital marketing spend?

Dinesh Chandra Agarwal: Yes, we continue to do that. The little bit of a spend that you'll see, a reduction from Rs. 6 crores to Rs. 5.5 crores or so. That is because there was Diwali, Dussehra and we didn't want to run the ads on the holidays, there's no point running ads on the holidays, 25th was a holiday. So that's about it. And secondly, as we are running the ads, we are getting confident how to optimise for the cost. As far as the scaling goes, I think we are trying to find more and more keywords that can be targeted at the CPC , rates that we are willing to pay. So we are continuing to see that. Hopefully, this quarter, we should be seeing a little bit of uptick, but I can't comment when do we plan to spend 100% of that Rs. 10 crore s budgeted every quarter.

Anmol Garg : Understood. And lastly, if I look at on a Y -o-Y basis, our total number of buyers have increased almost by 9 -10%, while the unique business inquiries still remain kind of range bound. So whatever the spend that we are making on the advertisement side of things, it looks like that it's attracting more buyers, but the suppliers and the unique business inquiries for these suppliers kind of remains a range bound. So, do you think that

maybe there would be a change in strategy in terms of the advertisement spend, which will cater towards more supplier additions?

Dinesh Chandra Agarwal: No, these particular advertisements are mostly related to very transactional buyer requirement . So supplier advertising is IndiaMART InterMESH Limited
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mostly on the social media. So , YouTube, Instagram, Facebook, LinkedIn, you will find more supplier -oriented advertising. You will find more buyer oriented advertising where buyers are actually searching for products such as on Google. So both the channels are different for buyer advertising and supplier advertising. And in terms of registered buyers and unique business inquiries, there are seasonal factors, I think plus/minus 2 -3% keeps on happening. I think I would be happy to keep focusing on the unique business inquiries.

Anmol Garg : Sure. Understood. And just a bookkeeping one. Is there any impact of new labor code on our business?

Jitin Diwan : Yes. So we have impact of new labor code. We have taken an impact of about Rs. 8.5 crores in P&L. And after that, the net profit and EBITDA number which has come , is there.

Anmol Garg : So is this a onetime impact or is something...

Jitin Diwan : That is right. This is a one -time impact. As mandated by IC AI, there was a onetime impact which was supposed to be taken in books. So we have created a liability and an expense of Rs. 8.5 crores, which is a one -time impact.

Moderator : Next question is from the line of Prashant Kothari, from Pictet Asset Management. Please unmute yourself and go ahead with your question.

Prashant Kothari: I wanted to understand about the unique inquiries. They are growing at a very healthy rate in the last two quarters, like 17%, 12% and suddenly, it has dropped to 4% growth Y -o-Y. Is there any kind of one -off factors there? Or are we losing momentum despite our digital advertising initiatives?

Dinesh Chandra Agarwal: I would call it mostly seasonal factors.

Prashant Kothari: And can you explain what happened? Like what has changed seasonally out there?

Dinesh Chandra Agarwal: What changed seasonally in terms of quarter 3 last year versus quarter 3 this year?

Prashant Kothari: Yes, please.

Di

Dinesh Chandra Agarwal: Generally, speaking holidays here and there, sometimes just having one additional working day or two additional working days also happen. And from Q2 to Q3, it is always lower, if you see historically also. But even if you compare Q3 to Q3, you are right that it was growing at 14%, 15%, but now it has come IndiaMART InterMESH Limited
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down to 7%. Because in those holiday days, we didn't even advertise. So earlier in the Q1 and Q2, we advertise all the 90

days. In this particular quarter, we advertised only for 75 - 80 days. That's why you see the advertising expense also lower by Rs. 50 lakhs or so.

Prashant Kothari: Okay. Okay, sir. And how the churn levels are now?

Dinesh Chandra Agarwal: The churn levels continue to be same. There is not much change that we see. So if you remember, we started doing these changes in the product side, especially supplier side product changes that we started doing some time around November, December, January, February, March. So I'm expecting that any annual display of the churn would be available sometime around April, May, June, not before that.

Prashant Kothari: Okay. And just I noticed that you stopped reporting the total traffic data. Was it just an omission or is th is planned ?

Dinesh Chandra Agarwal: I guess I mentioned it last time also because currently, the bot traffic is coming from everywhere. Whether it is ChatGPT bot. And there are hundreds of LLM bots now, search engine bots, new browser bots, agentic bots. So in the traffic , when trying to identify the actual human traffic versus bot traffic, it was years of Google being monopoly, that systems have become stable enough to identify what is a bot traffic and what is not.

Nowadays, there is so many new crawlers are coming like this Parallel Web, Exa, those kind of things. So I guess this traffic is moving very radically and that's why and I told you last time also that we should be removing it, so we removed it.

Prashant Kothari: Okay. And one last question, when do you think you will feel confident to accelerate on the addition of new paid suppliers?

Dinesh Chandra Agarwal: I am not able to comment on that. I think I will continue to focus on providing better quality and better quantity. As soon as it starts to trend 2-3 quarters in one single direction, then you will see. However, if you see this particular quarter, we have reversed from a sub -10% collection growth over the last 4-5 quarters to about 13 -14%. So I think there's some positive that I can see, but has that resulted dramatically into any kind of churn parameters? And until the churn parameters become better, I'm not in a position to even invest dramatically on the gross addition.

Moderator : Next question is from the line of Anirudh Shetty, from Solidarity Investments. Please unmute yourself and go ahead with your question.

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Anirudh Shetty : Thank you for the opportunity. So just a few questions. I would like you to comment on the ARPU growth company level and for the top 10% customers just over the last three quarters or so, it seems that the pace of growth has seen a bit of a slowdown in Q1 FY 2026, it was 9% growth, 7% last quarter. It's come down to 6%, similar trend for top 10% of customers. And you mentioned you will have taken a price hike. So if you can just share more colo ur on what's happening over there?

Dinesh Chandra Agarwal: I have always guided to 6 -8% on the ARPU and top 10% ARPU at 9 -11%, and that is how it is going. Yes, there could be certain periods , when the customer count was not growing at all then the ARPU growth was higher. So ARPU growth is now coming in line to the long -term trend of 6 -8%. I don't think

anything different was told.

Anirudh Shetty: Got it. And our collection growth has been quite strong.

It's been 14%, well ahead of what we are getting in terms of revenue. So is there something, what has been the delta over here in terms of what explains why collection growth has been faster than, say, ARPUs and our revenue growth overall? So this is like a good normalised growth rate to expect?

Dinesh Chandra Agarwal: Yeah. So if you see the revenue side of it, you will be able to multiply the customer growth and ARPU growth. But on the collection, collection is a leading indicator where collections grew first and then they will go to deferred revenue and then they will go through the revenue. So that's how they will reconcile. We actually internally maintained two metrics. One is average collection per customer and average revenue per customer. So we are able to understand what is the collection growth.

Anirudh Shetty: Got it. And just one final question. The net ad ds, so essentially, just to understand it more clearly, you mentioned that the churn levels have not changed vis -a-vis the past. So essentially, the gross ad ds in this quarter, will you be able to quantify what would that be?

Dinesh Chandra Agarwal: As I said at e nd of last quarter, last quarter means end of September. In the month of September, we had taken a price increase. October, November, December was the first full quarter where the price increase was effective. Even in January, February, March, we are probably recovering. So I think gross additions should be coming to natural numbers sometime around April, May, June. So one more quarter of maybe plus/minus 0 customer addition you can expect.

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Moderator : Next question is from the line of Nikhil Ch oudhary from Nuvama. Please unmute yourself and go ahead with your question.

Nikhil Choudhary: Thanks for the opportunity. First question on gross addition side. Sir, you mentioned in your remark on one earlier question, that there are enough supplier to target, right? If we have so much large supplier base which we can target, then why gross addition will get impacted despite of price hike? We should be able to get higher gross addition if you want to, right?

Dinesh Chandra Agarwal: Yeah. We will be able to get , it's just that every time you change some Rs. 500, Rs. 1,000 price, the sale s team takes a little time to adjust to it. There's no problem theoretically.

Nikhil Choudhary: Got it. Second thing on this stand alone collection growth. So you see stand alone collection growth increased to 14% compared to 8 -10%, what we have been seeing since last few quarters. How sustainable this mid -teen growth is? And what led to this acceleration from last quarter?

Dinesh Chandra Agarwal: So as I said, to some extent, I think the better gold and platinum monetisation led to some better average collection per customer. So maybe half a percent recovery on the renewal rate and better collection. However, at least, let it repeat for 1 or 2 quarters, and then we can say that this is a trend. Otherwise, for a one-off 14%, I think let's not become very

happy about it. But I think we are cautious. We are targeting even JFM quarter to be similar, but let's see.

Nikhil Choudhary: Got it. Your comment about this higher renewal area, does that mean that we saw lower churn in gold and platinum this time compared to previous quarter?

Dinesh Chandra Agarwal: So as I said, it is too little to quantify.

Nikhil Choudhary: Got it. Just last one from my side. You made a comment that we might see lower churn from April, May, June, what gives you confidence? Is there some behaviour you are noticing in annual supplier, maybe they are more active on the platform, they are consuming more lead? And second, are you seeing some, let's say change in churn, especially for silver monthly? Is there some activity there?

Dinesh Chandra Agarwal: So monthly is still not recovering, because I think there are two separate behaviour that we found. Why somebody takes monthly and why somebody takes annual. So one, obviously, somebody takes a monthly because of the affordability reason
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that he himself has a cash flow problem and wants to pay monthly.

And the second is he wants to try the platform and he has not made up his mind that, okay, Internet, I want to jump in. However, somebody who comes in with annual subscription of Rs. 32,000, one, he doesn't have that kind of a cash flow problem. And secondly, he has made up his mind that he wants to try definitely an annual.

So in the annual, the churn rates are always a few percentage points lower than the monthly. So we are hoping that the annual retentions would improve a little bit. But in the monthly, we have not seen any respite. If we have seen, I would have given you indicator that okay monthly is improving, so will annual improve.

Avijit Vikram : So we have a question from the chat menu. The question is from Mr. Devan g Patel . At the margin, some of the buyer traffic is moving from Google search to AI search. Given our predominant reliance on Google search for traffic, how do we see this as a longer -term threat to our business model and what are the measures have we taken to tackle it?

Dinesh Chandra Agarwal: Two, three things. One, every time a newer technology and more pervasive and more useful technology comes, it overall improves the TAM, it means if earlier, X number of people were only using Google, now the total number of people that will use either Google or Gemini or ChatGPT would be higher than X. So it actually expands the TAM anyway.

Now many different publisher companies are facing a stagnation in growth of traffic coming from places like Google. More so where there is a lot more research required, I have heard stories around where there is more research required, people do go to AI search. However, where there is a transactional unique content discovery, people continue to go to the search.

Having said that, if you go to a Google Gemini or if you go to a

Grok, IndiaMART features well even in those searches. However, currently, those are not giving directly blue links, but they are giving like a reference within the answer, they are giving a reference that this answer has come from here. So we are getting links, but this is a general problem. I think we need to rely more on our repeat traffic. And that's what we are working towards. Currently, our repeat traffics are running almost all -time high at 58 -59%, repeat inquiries.

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Moderator: Next question is from the line of Swapnil from JM Financial.
Please unmute yourself and go ahead with your question.

Swapnil Potdukhe : I have two or three questions. The first one is , can you just quantify the increase in silver category pricing that you have been mentioning? What was it early or and what is the latest pricing that you're offering to the suppliers?

Dinesh Chandra Agarwal: Earlier, it was Rs. 3,000 plus tax on a monthly basis. And Rs. 28,500 plus tax on an annual basis. Now it is Rs. 4,000 plus tax on a monthly basis. And currently is Rs. 35,000, but currently, we are giving some discount of Rs. 3,000. So it is Rs. 35,000 minus discount running of Rs. 3,000 , so its Rs. 32,000 plus tax on an annual basis.

Swapnil Potdukhe : Got it. My follow -up question to that is like given the quantum of increase is quite steep. Do you have to think it was the right time to take this price hike especially at a time when we have not been able to get the proper control over churn rates?

Dinesh Chandra Agarwal: I mean we, as a company, have taken this decision after enough discussion and enough pros and cons. So we obviously think that it was the right time

after many, many years. And we also discussed that whether we should go from Rs. 3,000 to Rs. 3,500 and then Rs. 4,000. But given the size of the sales team and the amount of time it takes to absorb and we did a lot of survey in the market. Most people said it didn't matter to them whether it was Rs. 3,000 or Rs. 4,000. People said what matters is either it works or it didn't work.

So I think, yes, you are right, some fence sitters might actually churn out because of that. But in general, those fence sitters anyway will churn out one month later. So it was well discussed and debated step taken by us. So I mean, I'm not sure whether it is right or wrong. I mean it's a very subjective decision to say whether it is right or wrong.

Swapnil Potdukhe : I mean, can you help us understand how the churn rates would have moved from previous quarter to this quarter because this was the first quarter of full price hikes and especially for the silver category? So was there a slight increase?

Dinesh Chandra Agarwal: It doesn't apply to renewals. Renewals continue to happen at previous prices , only the next time renewal will come, they will come at the newer prices. So if somebody had taken a Rs. 2,500 monthly subscription and continues to run. He is still running at Rs. 2,500 a month. So either somebody breaks a subscription in between, then comes back that's when the new prices apply or

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if somebody is on the annual subscription, where next year subscription will come, that's when his new prices will apply.

Swapnil Potdukhe : So will it be fair to say that the full impact of the price hikes , right or wrong, we will get to know maybe six to nine months later, that is when we will be in actual position to understand whether it worked or ?

Dinesh Chandra Agarwal: Yes.

Swapnil Potdukhe : Okay. Now coming to , I mean you have said in the past that one of the challenges in increasing the suppliers was the quality of business inquiries that these suppliers used to get and some of them were not happy that led to some incremental churn. But do you think the way our sales teams approach the suppliers there could be some improvements needed on that side also. I mean I've done some analysis on that side. I mean the way our pitch would be to the suppliers and require change?

Dinesh Chandra Agarwal: Obviously, there is also some improvement possibilities, when it comes to sales, yes, better qualification, better presentation, better convincing help. When it comes to servicing and churn , more enablement, better CRM, better training also helps. And we continue to work on both sides, as I admitted five quarters ago, that until 4-5 quarters, we were actually thinking that it is purely and purely sales and service execution problem. However, I myself went to the customer meetings and now I have met almost 100 customers myself. There were small and small things that customers were worried about they were getting irritated about.

And we found few errors also. There were few blind spots in our product because something which was working, working for a long period of time, we tightened. So I think it has helped us. And now when I go and see and when we see the leading indicators, I think our engagement levels have improved, the buylead sold ratio has improved , the irrelevancy feedback has improved. So many of those have improved.

Nowadays, more complaint is how do I get more inquiries? I'm unable to cash this buylead . So that gives me some confidence that there was some problems. But yes, sales and service can be definitely improved and AI is now helping us put the CRM context. And so we are trying to find if we can use help of some Copilot on the servicing side, where the AI can suggest the action of a meeting or action of the call. So I think those are the things that will help us improve the

sales , apart from training and training. How do I enable a normal sales person because having said that, we will do training, it's still a high
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attrition role, field sales and servicing, telesales and servicing is a high attrition role across the industry.

Swapnil Potdukhe : But my question actually was slightly on the side, like have you considered any changes on the top management side, people leading the sales vertical , from that side, I mean is that a solution to the problem?

Dinesh Chandra Agarwal: No, I don't think so. I mean if you look at our leadership team, for the last 15 years, they have done a great job and even in this particular quarter, I think . So I think we have a very good team, and I would encourage any of you to meet our leadership team

at different places, regional teams. And there is some performance level rotation, job rotation and churn that continues to happen even at that level. So we do take action in certain particular locations or when certain particular verticals are not performing well. But if you are suggesting that a lot of churn at the top level in the business, I don't think that is the problem.

Moderator : Next question is from the line of Amit Chandra from HDFC Securities. Please unmute yourself and go ahead with your question.

Amit Chandra : Most of questions have been answered. But just to get a clarity. You mentioned about the addition thing has been stable, but despite of that, we have seen the increase in the collections, which was pretty strong. So is it that the existing customers are opting for more like multiyear packages and expanding their existing packages to move from the regional to more wider packages? So that is also leading to kind of collections growth despite the additions being muted? So this is one.

And then also in terms of the ARPU, is it now th at company is getting tuned to more like milking the existing customers or enhancing the value for the existing customers only? Or how to see the overall strategy here?

Dinesh Chandra Agarwal: Yes. So as I said in the earlier answer also, the 13 -14% collection growth is obviously the number of customers multiplied by the average collection for customer. Now within that, it's everything small, small that works together at certain places, it is a higher upsell. In certain places, it is the higher multiyear renewal. At certain places, the renewal itself has improved in the gold and platinum.

Now coming to your second question, whether we are tuned to higher ARPU , these two go hand -in-hand. If you want to target a 20% plus growth rate ideally speaking, the company should
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target 10% coming from customer addition and 10% coming from ARPU addition. I mean it could go from 5 -15%, but I'm saying anywhere between , if you want to get all of the growth coming from ARPUs, it might get difficult. If you want our all of the growth coming from customer addition, it might be difficult.

The second part is that each segment plays a different role at IndiaMART. The Silver customer brings the buyer side leadership because it gives you the availability of everything and anything on IndiaMART. So that's how you can say 'kaam yahi banta hai ' or any product is available or cheapest prices available. While the ARPU growth at the Platinum side, which drives the ARPU growth, that brings all the profitability. So if you just leave one lever, either you will lose on the top line or your lose on the bottom line. So we have to balance in the long run, both of them . We can't leave it on one side.

Amit Chandra : And in some of the calls, you mentioned that change in attrition in the Silver monthly or annual bucket might lead to increase in the collections. So is it fair to assume that, say, like if the attrition level comes

to normali sed level maybe in the next one or two quarters, maybe we can see 5 -6% more increase in terms of the collections growth from the current 14% to maybe 17 -

18%, which we were seeing two years back when the attrition was normalised? So is the maths still similar?

And the second question is that obviously, you mentioned about the sales thing that we have been trying to do and in terms of training. So apart from the sales, another very important aspect is the technology because from that, we have obviously, it is getting upgraded. But do you think that the platform needs a very severe upgrade in terms of way the things are handled in terms of business inquiries or in terms of the interaction it is having with the buyers and the sellers that upgrade?

Dinesh Chandra Agarwal: There's a huge opportunity today in terms of upgrading the platform in many ways, whether it is user interface, whether it is user experience, whether it is multi-model, whether it is multilingual, whether it is instead of search, a chatbot. Also, I think earlier it was trust indicators which are mostly direct. Now with AI, you can have a lot of indirect ways of creating internal trust score, preventing any kind of suspicious activity. So I guess, content moderation, every aspect today, given the technology has taken and technology has enabled it very, very nicely in the last year, especially.

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It has come within reach of everybody I mean, just take an example of voice AI. Today, almost 80% of our buyer interaction, which used to happen on a normal call have already been gone to AI bot, Voice bot. And they are performing better in terms of quality and better in terms of productivity. So I guess whether it is platform, whether it is content, whether it is user experience everywhere, world over, every technology platform, every UI platform, will require significant upgrade. And we are cognizant of that fact, and we have always been ahead, and a very good user of the technology. We started Internet portal in 1995, so that will give you some glimpse of future that we can see.

Amit Chandra : No, no, sir, that has been really a great journey. But why I'm asking is this because I know for several years, we have seen like user interface typically being the same, right? We have not seen a very major upgrade. So where we are in terms of the upgrade journey, if you can give some idea. And also in terms of the internal technology team, how the internal technology functions and things ?

Dinesh Chandra Agarwal: So there are two things. One is the look and feel that you see. Maybe look and feel is a little dated, and I take that feedback. I mean if you really look at the Microsoft Excel in 1992 and today, they are the same, but with the greater functionality. So there is nothing much that has changed on Google or Microsoft Excel in last 20 -30 years. It is the substance that gets changed.

Having said that, feedback taken, we will upgrade and uplift the design and feel. However, the technology slide is in front of you. You can see there is a lot of changes currently going on, and we are very proud of our own technology platform. You just see the site speed that we open and the complexity of the things that we do, we are very proud of that and we do benchmarking with our technology. Our technology platform is equivalent or faster, similar to Amazon.com.

Our security levels are 96%, which is even one point higher

than Amazon. So I think we continuously benchmark ourselves with Google and Amazon of the world.

Moderator : Next question is from the line of Shubham Sehgal from Securities Investment Management. Please unmute yourself and go ahead with your question.

Shubham Sehgal: My first question is , could you share the typical progression of the paid suppliers from Silver to Gold or Platinum

in tiers? And

additionally, I just want to understand how has this trend changed in the recent one or two years compared to the past

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years. So due to the churn, how this trend has changed. And if you could just share a typical progression on an annual basis, how many suppliers we expect from the silver category to get upgraded?

Dinesh Chandra Agarwal: So, historically, 15 -20% customers from silver move to gold. From gold, another 15% customer typically move to platinum , its 10%, I think. So nowadays ever since the renewals have dropped, most of the upsell has dropped. So 80% of drop will come from the upsell because if the renewal was higher because most of the upsell happens at the time of renewal, when the people come up for renewal, that's when the upsell happen.

Since the renewal itself has dropped by 10 -15%, I think the upsell itself is currently trending at 8 -9%. So from 17 -18% upsell, which used to trend anywhere between 15 -20%, that is now trending at 5 -10%, depending upon the different industries and different buckets.

Shubham Sehgal: Got it. My next question was, in the previous calls, you had mentioned that there is still a significant headroom for ARPU expansion among the enterprise customers that we have, given their large marketing budgets. So could you help me quantify this potential? And what is the estimated ARPU ceiling for this segment, the enterprise segment over the next two, three years? And currently, what would be the percentage of IndiaMART's current revenue or paying supplier base which would be made of these enterprise customers?

Dinesh Chandra Agarwal: So we have about 100 to 200-odd customers in the Enterprise segment. And depending upon when I'm saying 100 to 200 means those who are Platinum and Enterprise both , because there might be certain enterprise customers who have been using our gold service or using our silver service. Now from there, if you see in the top 1% of the customer, you will see 2,200 customers currently are paying Rs. 11 lakh s per annum. So that's top 2,200 customers.

And within that, if you see the Pareto, at the highest level, we have customers who end up paying even upwards of Rs. 50 lakhs. So this is the average of top 2,200, Rs. 11 lakh. So if you see the median and above, you will see that it is ranging from Rs. 5 lakh s to Rs. 50 lakh , or so.

Shubham Sehgal: So just a follow -up on this regarding the ARPU growth. So you mentioned that the normal growth that we expect is around 6 - 8%. But in the past few quarters, when we were getting accelerated ARPU growth, you had mentioned that it is due to IndiaMART InterMESH Limited

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the new category and differential pricing that we have involved in our system. So I just wanted to know like either that category pricing difference, has it just normalised in the system, that's where now the ARPU growth will normalise as well? Or could we again see accelerated periods of ARPU growth?

Dinesh Chandra Agarwal: ARPU is driven by revenue and revenue is coming from deferred revenue, which typically reflects a three quarter ago collection trend. So if you want to see the current quarter ARPU, if three quarters ago, my collection was 9% , so ARPU was out of that, it was 3% was customer growth, 6% is ARPU growth, that ARPU growth we are seeing today. Either you see customer and collection and average collection but average collection per user is not a standard metrics in the market. Otherwise, if you see the ARPU, it will always be a 15 months moving average ARPU.

Shubham Sehgal: Thanks for the clarity. Just last question. So on our platform, we do have different tags for different industries like our tag known as industry leader or leading supplier, and that's for the specific categories or the searches. So is there like a cap on the

number of these tags that we have, the industry leader and leading supplier? And if there is a cap, does this help in retaining the customers because if they might go off with the tag or like remove the tag , that tag would be handed over to someone else. So is there a cap? And does it help in retaining any industry?

Dinesh Chandra Agarwal: It comes at both , if I have a limited number of tags, then I limit my TAM because there is a limit to what a single person can give. But if I have unlimited, so initially, when we launched the industry leader program, I think we had three maximum . But over the time, the demand in the market was that I can't pay you Rs. 30 lakh s for being an industry leader, but there are three people who are willing to pay or five people who are willing to pay. So I think we have only one product, which is the category leader or something, which is not visible there as a tag but other than that, all the products are available with the demand supply kind of thing.

Avijit Vikram : So we have one last question from the chat menu, which we can take , probably. This is related to accounting products. This question is from Mr. Vaibhav Jain. In our accounting products, can you throw some light on how the products are different from each of them or how they complement each other as part of the stack? And what is the value addition in comparison to competition like Tally, Zoho books, etc?

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Brijesh Kumar Agrawal: So if we look at the three major companies within the accounting portfolio that we have. One is Busy, second is Vyapar and third is Live keeping. Each of these companies essentially have a very different target segments. So Busy, for example, starts to do very well in the small and medium -sized businesses segment. These are businesses typically who will have a requirement of managing inventory apart from doing basic sales. So we want to do GST filing.

When we come to Vyapar, Vyapar essentially like to focus

more on the micro size d businesses. These are businesses where billings is essentially the most primary requirement. And these are businesses, which are smaller in size, they want to go ahead and work upon , billing through mobile app more than just rely upon a desktop -based software.

When we look at Live keeping, Livekeeping exclusively focuses on existing customers of Tally, who would want to have a browser -based and app -based access to the data and work upon that. So Tally does not offer you those opportunities currently, and therefore, Live keeping become extremely useful to about 2 million of subscribers of Tally who essentially would want to access data on browser, on using a mobile app online.

So each of these companies are targeting different sets of customers altogether. And as a whole, therefore, we see that we will be able to have a significant play in the overall accounting Industry segment altogether.

Moderator : This was the last question for the day. I would now like to hand over the call to Dinesh Agarwal, for his concluding remarks.
Over to you, sir.

Dinesh Chandra Agarwal: Thank you, ladies and gentlemen, for joining our quarter three FY 2026 conference call. We have tried to address your queries in the time available. But if you still have any questions, please feel free to contact our Investor Relation s team. Thank you, and good evening. Good night.

Moderator : On behalf of IndiaM ART, we thank everyone for joining us on this webinar. You may now disconnect your lines. Thank you.

Notes:

1. This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings
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Call: May 2026

May 06, 2026

To,
BSE Limited
(BSE: 542726)

National Stock Exchange of India Limited
(NSE: INDIAMART)

Subject: Transcript of Earnings Conference Call on financial results and developments for the quarter and financial year ended March 31, 2026

Dear Sir/Ma'am,

Pursuant to Regulation 30 read with Part A of Schedule III of the Listing Regulations, we wish to inform that the Transcript of Earnings Conference Call for Analysts and Investors held on Thursday, April 30, 2026, with respect to the financial performance of the Company for quarter and financial year ended March 31, 2026, is enclosed herewith.

The copy of transcript is also available on the Company's website at <https://investor.indiamart.com/FinancialResultsStatements.aspx>.

Kindly take note of the same.

Yours faithfully,
For IndiaMART InterMESH Limited

(Vasudha Bagri)
Compliance Officer
Membership No: A28500

Encl: As above.

Webinar Transcript

Event: IndiaMART Q4 FY2026 Earnings Webinar

Event Date/Time: April 30, 2026 at 17:00 hrs

CORPORATE PARTICIPANTS :

Mr. Dinesh Chandra Agarwal - Chief Executive Officer
Mr. Brijesh Kumar Agrawal - Whole -Time Director
Mr. Jitin Diwan - Chief Financial Officer
Mr. Prateek Chandra - Chief Strategy Officer
Mr. Avijit Vikram - Head Investor Relations

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Avijit Vikram: Good evening, ladies and gentlemen. I am Avijit Vikram, Head of Investor Relations. On behalf of IndiaMART InterMESH Limited, I welcome you all to the company's Q4 and FY26 Earnings Webinar. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Joining us today from the management side, we have Mr. Dinesh

Agarwal - Chief Executive Officer, Mr. Brijesh Agrawal - Whole - Time Director, Mr. Jitin Diwan - Chief Financial Officer and Mr. Prateek Chandra - Chief Strategy Officer.

Before we begin, I would like to remind you that some of the statements made in today's call may be forward -looking in nature and may involve risks and uncertainties. Kindly refer to Slide #3 of the earnings presentation for the detailed disclosure.

Now I would like to hand over the call to Mr. Dinesh Agarwal for his opening remarks. Thank you, and over to you.

Dinesh Chandra Agarwal: Good evening, everyone, and welcome to IndiaMART's Q4 and FY26 Earnings Webinar. We have circulated our Earnings Presentation, which is available on our website as well as stock exchange websites. We are sure you would have gone through the presentation, and we would be happy to take any questions afterwards.

IndiaMART has delivered Consolidated Revenue from operations of Rs. 404 crores in the quarter 4 and Rs. 1,569 crores in the full - year, representing year -on-year growth of about 14% and 13%, respectively.

Consolidated Collections from customers grew to Rs. 595 crores in quarter 4 and Rs. 1,857 crores in the FY26, representing an year - on-year growth of 10% and 14% respectively. Consolidated deferred revenue grew to Rs. 1,965 crores representing year -on-year growth of 17%.

In quarter 4, unique business enquiries were about 27 million. In FY26, total number of paying suppliers increased by 3,200 to 2 lakh 20 thousand, while the quarter 4 saw a little decline of 1,200. This decrease can primarily be attributed to moderation in gross addition, due to price increase we implemented in the Silver subscription tier at the end of the second quarter.

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Our Platinum and Gold customers, which constitute approximately 50% of our customer base and more than 75% of revenue, continue to have good upsell and retention rate.

On the platform side, we continue to take initiatives to improve the quality of enquiries. By capturing relevant and more product specification, we are now delivering enquiries which are having higher intent and relevance to sellers.

In addition to the seller side verification, we are now starting to do more buyer side verification as well, so as to increase the overall trust in the platform.

We also continue moving forward on our AI journey by embedding AI capabilities across our platforms. By combining three decades of our proprietary data with next -generation intelligence, we are making the discovery process much more precise and seamless for both buyers and sellers.

Currently, AI is driving multiple parts of our ecosystem, and it is helping us improve the product quality and reinforcing a deeply trusted marketplace. We remain committed to ensuring that our platform remains a reliable growth partner for businesses in a digital first world.

Now I will hand over the call to Brijesh to update about Busy Infotech. Thank you, and over to you, Brijesh.

Brijesh Kumar Agrawal: Good evening, everyone. In Q4, Busy has done a billing of Rs. 45 crores, whereas in FY26, in total, we did Rs. 170 crores of billing. The normalised rate of growth that we have had year-on-year which excludes the impact of the change in the payout structure that we have introduced is 24% and 43%, respectively.

The Revenues from operation in Q4

were Rs. 34 crores, whereas for full year, this was at Rs. 119 crores and the normalised growth rates of 53% and 44%, respectively. The Deferred revenue was at Rs. 124 crores and this represents a normalised growth of 44% year-on-year.

Cashflow from operations in Q4 was Rs. 10 crores, whereas for the entire year, this was at about Rs. 49 crores for us. During the quarter, we also sold 11 thousand new licenses, and this takes the total count of licenses sold to 4 lakh 42 thousand. The new licenses sold during the entire year are close to about 45 thousand.

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We continue to invest in improving the overall experience of the product. We are also now working upon adding AI-led features in the Busy product itself. And all of this should help us grow our sales further. This should lay the foundation for a sustained high growth at Busy for years to come.

Now with this, I'll request Jitin to take over and discuss the financial performance of the business.

Jitin Diwan: Good evening, everyone. I'll take you through the financial performance for the quarter and year ending March 2026.

Consolidated Collection from customers was Rs. 595 crores in the quarter and Rs. 1,857 crores on a full-year basis. This represents year-on-year growth of 10% and 14%, respectively.

IndiaMART standalone Collection from customers for the quarter was Rs. 546 crores and Rs. 1,674 crores on full-year basis, registering year-on-year growth of 8% and 10%, respectively.

Consolidated Deferred revenue stood at Rs. 1,965 crores, an increase of 17% on year-on-year basis.

Consolidated Revenue from operations was Rs. 404 crores for the quarter and Rs. 1,569 crores for the full-year basis, registering year-on-year growth of 14% and 13%. Consolidated EBITDA was Rs. 133 crores for the quarter and Rs. 530 crores for the full-year, representing margin of 33% and 34%, respectively.

In quarter 4, Consolidated Other income for the quarter stood at negative Rs. 34 crores. This was primarily driven by mark-to-market losses on our treasury portfolio resulting from a significant increase in bond yields during the quarter. We view this as notional losses, which would reverse on a long-term basis. Other income stood at Rs. 204 crores for the full-year basis.

Consequently, Consolidated Net profit for the quarter was Rs. 50 crores and Rs. 475 crores for FY26.

Consolidated Cash generation from operations was Rs. 290 crores for the quarter and Rs. 694 crores for FY26. Consolidated Cash and treasury balance stood at Rs. 3,280 crores as on March 31, 2026.

And finally, Board of Directors have recommended a total dividend

of Rs. 60, which includes final dividend of Rs. 30 and a special
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dividend of another Rs. 30, this is subject to approval of
shareholders.

Thank you very much, and now we are ready to take any questions.

Question -and-Answer Session

Avijit Vikram: We will now begin the Q&A session. If you wish to ask a question to the panellists, kindly raise your hand and allow camera and microphone access. Alternatively, you may type your question in the Chat box and we will revert on it. Please restrict to two questions so that we may be able to address questions from all the participants. We will wait for a few seconds, while the question queue assembles.

Moderator: First question is from the line of Vivekanand from Ambit Capital. Please unmute yourself and go ahead with your question.

Vivekanand Subbaraman: Thank you very much for the opportunity. Two questions: so the first one is on the gross adds. Thanks for the opening comments that you mentioned about the moderation in gross adds. So Dinesh, if you can just update us on the process changes that you were initiating in improving the quality of gross adds, where do you sta

nd in the journey? And by when can we expect the business to go back to say, a net add trajectory of maybe 5 -6% at least on an annual basis? That is question one.

And secondly, if you can give us an update on the churn metrics across the various tiers in the platform and where they stand now versus last year on an annual basis, that would be great. Thank you.

Dinesh Chandra Agarwal: So let me handle the churn rate first. As I have been repeating quarter -on-quarter, Gold and Platinum continue to do healthy business with the monthly churn rates in the Platinum segment being much lesser than 1% and in the Gold segment anywhere 1% to 1.5 %. So on overall basis, about approximately 1% per month. While on the Silver annual, they are about 4% and the Silver monthly, they are about 7%. There is not much of a change that is there in each one of them.

Now coming to the gross add - quality and quantity, we continue to put levers where we can apply better quality of suppliers by way of GST verification, by way of turnover qualification, by way of any kind of a third -party signals that we can get. But in t erms of the quantity, as I said, there is certain decrease in the gross adds
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because of the pricing pressure. It took longer than what we expected, especially in March when the war also broke out. Otherwise, generally, February and March typically do a better job, which could not happen. So hopefully, this is going to continue a little longer with the pain in the market.

In terms of net adds, I think until and unless the churn improves, no amount of gross adds can actually do that. So we'll continue to have no guidance on the net adds until we have multiple quarters of continual success.

Vivekanand Subbaraman: Thanks for the explanation. Just one follow -up. How much of the

current quarter's muted gross addition would you attribute to the war that broke out in the end of February? And how much would you attribute to, let's say, the price increase that you took in the middle of the year?

Dinesh Chandra Agarwal: So in terms of about 1,200 -odd customers decrease. I think if there was no war, we could have been probably 2,000 customers positive. So that gives you the entire quarter, maybe 3,000. And out of that, I would say 1,000 - 1,500 could be because of the war, 1,000 - 1,500 could have been because of the price.

Moderator: Participants are requested to raise hand if they wanted to ask question to management. Next question is from the line of Anmol Garg from DAM Capital. Please unmute yourself and go ahead with your question.

Anmol Garg: Thanks for the opportunity. A couple of things that I wanted to understand. Firstly, have you thought about any value -added services that we want to provide through our platform for which we can charge higher prices and in turn could increase ARPU through that aspect?

Dinesh Chandra Agarwal: So, while we don't necessarily report value -add services as part of the financials or otherwise, when we say Platinum customers, all of it in value added only. And Platinum customers typically, the top 10% customers that you see doing 50% of the revenue, they are all value -added services, whether search targeting, whether location targeting, these are not typical subscription businesses. However, they are sold in the similar manner as yearly subscription and multi -year subscription, sometimes even quarterly and six -monthly subscription.

Now coming to the other kind of value -added services, which are not related to the access to market. So for example, Lead Manager IndiaMART InterMESH Limited

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professional version or where you have a WhatsApp kind of an integration. So that contributes to some value -added revenue. There are a few other planned items on the Lead Management side, but they are not significant yet that

that can be reported as a separate line item.

So export, again, as we started sometime around 2020, become a separate business altogether with almost Rs. 50 - 60 crores of collections. It was always there even when we were purely domestic at maybe Rs. 20 - 25 crores, but now it has become Rs. 60 - 70 crores of business. And you can look at our export -oriented website at export.indiamart.com. So that's there. We continue to maintain certain value -added experiments, which are towards logistics and credit facilitation, but those still remain very, very pilot and experimental and not yet have resulted into anything substantial. Hopefully, that answers your question.

Anmol Garg: Thanks for that. And secondly, just from a holistic point of view, I wanted to understand the market sizing right now. So according to you, how many in India would be currently GST registered MSMEs and currently both non -paid and paid included, how many total MSMEs would be there on our platform as an overall basis?

Dinesh Chandra Agarwal: So in total, 1.6 crore GST registered businesses. Typically, about 5% churn in GST registered businesses at the GST registration, cancellation, suspension that you would see. You can verify this data from the seven years of GST and six years of GST kind of a publication that happens on the official GST website. They also

publish data by way of turnover Approximately 50% of them are at a lower turnover, less than Rs. 40 lakhs turnover, and rest of them are higher. About 85% of them are proprietorship, rest of them are company and partnership in equal numbers. Out of them, at our IndiaMART level, when we look at the seller side of it, almost 50 lakh businesses with GST identified are registered with their own OTP, of the own email on IndiaMART.

Out of that, about half of them or little over half of them have now been verified with the GST where they are the true owners of that GST number, not only with the matchmaking number. Out of that, we now have 2 lakh 20 thousand customers which are live on line.

In our lifetime, I think we would have brushed shoulders with more than 5 lakh customers in the past 4 -5 years or so.

Anmol Garg: So, in accordance to that, we have almost 40%. If I consider 16 million total GST registered MSMEs, we have almost you said 50 IndiaMART InterMESH Limited
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lakh MSMEs which are there on the platform, be that paid or non - paid. So almost 30% - 35% - 40% of the total MSMEs is what we have covered. Do you think that right now with this number, we have largely penetrated the market on overall basis?

Dinesh Chandra Agarwal: On the free basis, I would say out of the serviceable, obtainable, or what we can say as TOM, instead of TAM, SAM, and SOM. I guess we would have gotten to 50% kind of a number. So any incremental benefit coming from there is not really adding up. So on the variety of products that are available, on the variety of suppliers that are available on IndiaMART, I think from the buyer's perspective, they fulfil almost 80% of the needs which are required by the buyer, whether any particular unique product or unique location.

So almost 80% of the products and location, you will be able to find in IndiaMART. So from that perspective, yes, there is a limited headroom on increasing more supply in order to get a better experience.

However, now there are multiple levers that open up in terms of increasing the trust, in terms of increasing the discoverability, in terms of better digitisation and accurate digitisation of those products. So there are many levers where supply itself can be improved multiple times. However, just by doing multiple numbers of the sellers, I don't think it is going to add incrementally very high value to the customers.

Anmol Garg: So, if the volume growth from a SAM perspective is now limited, the other part to grow is through reali

sation and through value added services. But from that perspective as well, we haven't seen much happening over there. So from going ahead perspective, should we expect that the platform growth would largely come from increase in the prices that we see given that as Silver monthly customers or Silver annual customers churn persist, in that case, eventually the upgradation towards gold and platinum will also somewhere slow down.

So how do you think that the growth going ahead in the business would be from that perspective?

Dinesh Chandra Agarwal: You can see, out of our total growth number, when we were at upwards of 20%, half of that came from ARPU growth and half of that came from customer growth over a longer period of time. Currently, since the customer growth is hardly 1 - 2%, so most of

the growth is coming from ARPU which is growing at 8 - 9%. I think until we fix the supplier growth, either directly acquiring IndiaMART InterMESH Limited

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customers through Silver and retaining them and upgrading them to gold and platinum or directly acquiring gold and platinum, I would say that there is enough headroom. So for example, 1688.com in China typically has about a million paying suppliers. However, they stopped growing total supplier, but they continue to grow their revenue at their revenue at 25% year-on-year with the ARPU side of it. We have only recently in the last 2 - 3 years, started monetising the category on a differential basis and location on a differential basis.

There's a lot of optimisation that can be done over the period, by way of better demand supply duration and making sure that between us and supplier and the buyer, there is a better distribution of margins for each one of them. We continue to think that it is too early to completely focus on the ARPU side. However, given the organisation size, I think now that we have matured enough organisation, with matured enough brand and cash balance, I think why should we not be looking at multiple ways of monetising, whether it is through credit or whether it is through value added services.

So you are right, but currently, let us stay with what you are thinking in terms of ARPU and paying supplier, as the main growth operator remains the similar rate as you can see. So we'll continue to aim for a double-digit growth in the near term. As we continue to do multiple experiments on the value-added services as well as on the credit facilitation. Until something becomes meaningful enough, the reality is that 10% ARPU and 10% dependent on paying supplier growth is there.

Anmol Garg: And lastly, just wanted to understand that have you seen any impact in traffic on the platform coming from, Google or Direct on the platform because of new chat-based AI platforms which might be used for discovery related aspects.

Dinesh Chandra Agarwal: I don't know if there are significant impact started to happen on our kind of website today. So in terms of our traffic, there is so much of bot traffic, and there's so much of real traffic, and there's so much of agentic traffic. So we stopped reporting on the traffic side of it, but when we look at the unique business enquiries and all these, they are typically not yet declining anytime soon. So I can't say that there's an impact on B2B kind of enquiry have reached to the ChatGPTs. I think ChatGPTs are still limited to more consumer facing entertainment, infotainment, but I don't think they are yet very, very good at the B2B kind of queries.

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Moderator: Next question is from the line of Nikhil Choudhary from Nuvama. Please unmute yourself and go ahead with your question.

Nikhil Choudhary: Thanks for the opportunity. My first question is on unique business enquiries. This quarter, it declined 1%. Last quarter, also, there was a decline, and I think

management gave a commentary that due to low working days, and more holidays, there were less spent and that led to decline last quarter.

But more important point is, that last two quarter, it's been 27 - 28 million. And even last year, for most of the quarter in FY25 out of

3, out of 4 quarter, it was 27 - 28 million. So despite of us investing so much on performance marketing, why this number is not inching up?

Dinesh Chandra Agarwal: Thank you very much. This is a very good question. So if you really see the quarter 2, quarter 2 is typically a softer quarter on unique business enquiry. But now given the quarter 4, why it is slower? So few experiments that we are doing in the last 3 - 4 months is all these while we have been trying to improve the trust of the platform by putting more verification on the seller side.

We started with mobile verification, email verification, GST matchmaking, and now GST verification, bank account verification, and things like that. However, the platform is still totally free for buyers to come and visit, and also you can put in any phone number and start interacting with the platform.

Now as part of our overall trusted ecosystem process, first thing was that we started to put about 2 years ago, we started to put multiple questions when you are asking for enquiries and if you did not submit those question, you still have to skip, skip, skip so that we know that at least you have put in 3 times skip or 3 times those questions. So that increase the intent of the buyer that whether he wanted to actually put in the enquiry for that particular product or he was just looking around. Now we are going ahead and also saying that you can maybe make 1 or 2 enquiry without verifying yourself.

But if you're trying to make multiple enquiries, please verify your phone number through an OTP, please verify your email ID, please verify yourself. So we are starting to do more buyer verification also, and that is leading to probably 1% of drop in the conversion from traffic to this. So this is going to be a little bit of a challenge in the medium term.

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Nikhil Choudhary: Got it. But, again, like you highlighted, just 1% drop in conversion. Even then, it means the overall increase is very limited. That was the point. And second, if possible, you can quantify the mix, how many of these queries you have acquired to performance marketing, if possible, and rest of which are organic?

Dinesh Chandra Agarwal: I don't think I would be able to give you that number because performance marketing is very new, and we continue to do a lot of experiment because which categories we want to put more budget, which categories we want to put less budget, so we continue to do a lot of experimentation on that side. Until we reach a Rs. 10 crores per quarter continuous number, I won't be able to give you how much traffic is coming through organic search, how much traffic is coming through direct, how much traffic is coming through affiliate, and how much traffic is coming through AdWord or Facebook. So there are now multiple channels through which the traffic comes, and I can't provide you a split on each one of them.

Nikhil Choudhary: Got it. The last one on gross addition side. I think two quarters back you mentioned that when we increased our prices in August, September, that generally it takes 2 quarters for gross addition to normalise. So are we seeing that to happen, especially in the month of April? If not, when can we expect that?

Dinesh Chandra Agarwal: As I said, I've already answered that question in the previous response. So I think it is taking much longer given the geopolitical as well as the pricing, because SMEs are really going through a lot of pain right now. And this price increase and our sales process and

the Silver churn, elevated Silver churn is not help

ing, but we are
not going back on pricing.

Moderator: Next question is from the line of Ritvik Agarwal from 3P Investments. Please unmute yourself and go ahead with your question.

Ritvik Agarwal: Thank you for the opportunity, so I just have one question. You implemented some price hike in Q2 - Q3. Just wanted to understand why are we not seeing an uptick in ARPU, not just on the whole level, but also on the Silver membership subscribers. The ARPU has been pretty much flat. Any reason, any stress there?

Dinesh Chandra Agarwal: We are seeing uptick in ARPU because here you are seeing a mixed ARPU of everybody together. So you will see ARPU uptick in times to come because it is only applied to new subscribers signing up, not an entire base over a period of time. So every price hike takes 1,2,3 years. So any price hike that we would have taken 1
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year ago in Trustseal or 2 year ago in the Star supplier or 2 year ago in the Silver, is still in the rolling out phase. So both the ARPUs are growing consistently whether it is the top 10% ARPU, and if you see the ACPU, average collection per user, that will give you some better understanding because ARPU is the revenue per user and revenue itself is a 18 -month moving average. So that is why you are not seeing immediate uptick.

Ritvik Agarwal: Understood. One more question. Assuming that we have all the pressures gone, where do you see the number of suppliers, the paid suppliers number can rise ARPU? Any directional sense, any way we can grow? How are you seeing it internally basically?

Dinesh Chandra Agarwal: I think I've answered that question, 1688 does about 1 million sellers, Justdial does about 0.5 million sellers, we do about 0.25 million sellers. We still feel that there is at least 2x more opportunity from here on. And we need to find a better, further improved product market fit for higher frequency of repeat buyers so that we are able to retain the sellers at the Silver level.

Moderator: Next question is from the line of Abhisek Banerjee from ICICI Securities. Please unmute yourself and go ahead with your question.

Abhisek Banerjee: Thanks for taking the question. So this is the first time that we are seeing that registered buyers and your active buyers, there is a divergence. Registered buyers is up 9% Y -on-Y and active buyers is actually down 3% Y -on-Y. Is there any analysis that you have done to understand why this happening. Is there a question on relevance coming down.

And the second one is about the virtuous loop when you do net adds and your buyers also kind of pick up. Now given we are seeing negative trends in both is that something that worries you of falling into a vicious cycle.

Dinesh Chandra Agarwal: I could only make out the registered buyer versus active buyers. So registered buyers, there are a lot of agentic traffic nowadays coming and we continue to deploy armours and other ways so that, and that is why we started doing more OTP verification so that people writing simple agents to do multiple phone numbers, to simply scrape the website or simply send one enquiry or read the data. So that is why registered users is also becoming difficult. I could not make out what you have said in the second question.

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Abhisek Banerjee: I was talking about the virtuous loop that we used to talk about when our net additions were going up steadily and active buyers is also going up. Now that both are in a decline. Is there a worry of falling into a vicious loop?

Dinesh Chandra Agarwal: Yes, there is definitely a worry of falling into the vicious loop because that virtuous cycle where the suppliers were increasing and buyers were increasing. Suppliers, we were increasing and buyers were increasing because the total Internet size was increasing.

Now

if it has to increase, the buyers have to come more frequently and supply side has to become more trustable and more better. So I think that's where we have hit a little bit of a saturation point, but we are trying our best to find out what will I keep bringing the buyers with a better frequency and what will keep the sellers with a better retention. So I think, this is a typical S curve that you find, it's the growth-consolidation.

And in every growth side of it, you will find that this virtuous cycle keeps on increasing and improving better and better and better. But every time you hit the plateau side of the S curve, you need to further scratch the surface to find even better product market. So if I can go back in time, earlier we were purely, purely supplier name and phone number and e-mail ID listing. And then we became a product listing, then we became a product with price listing, then we became product with price and specification listing, and then we became product with price and specification and photos and videos and reviews listing.

So I think every time we improve the supply side better and similarly, the verified supplier base and then the GST supplier base, I think we need to find one such more lever for us to go to the second, I mean, enhanced layer of the S curve and that is where we are.

Abhisek Banerjee: Understood. And just one last question which is on cash distribution. We are obviously a cash-based company and we generate quite a decent amount of cash. Are you actually thinking about changing the payout ratio or doing some sort of larger dividend or something on those lines?

Jitin Diwan: So Abhishek, thanks for the question. So we have been pretty consistent in distributing the capital back, if you see in the last three, four years, we have distributed about 40% to 60% of the cash which we have generated. As per the approval from the Board this time also, we have gone in the similar trend and had a dividend of about Rs. 60 per share. We have taken your suggestion. We'll IndiaMART InterMESH Limited

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probably discuss with the Board again and come back the next year. This year, it is Rs. 60 dividend.

Avijit Vikram: So now we will take a question from the chat box. From a strategic point of view, what all measures have been taken to improve stickiness of suppliers? Secondly, we understand you are facing issues in Silver segment. However, just wanted to know if this segment churn has always been this high. Has bundled selling of accounting softwares helped enhance the stickiness? The question is from Mr. Suraj Fatehchandani.

Dinesh Chandra Agarwal: Very good question on the supplier churn. So supplier churn on the

Silver side has not been this high. On a monthly basis, it was in the best ever terms, the Silver annual churn went as low as 2% - 2.5% side. So I think we are on an annual basis, around 10% to 15% down on the retention numbers. And same is on that monthly side. Monthly side used to be 5% to 6%. Now we are running at 7%, about 2% per month we have deteriorated. And if you take the month -on-month decreasing value, I think 15% lesser retention, and this is pre -COVID versus post -COVID. On the Platinum and Gold side, I think we have been very similar churn ratio of about 1% per month, and that hasn't changed.

Second question was the bundling of the accounting software. So we are not yet bundling the accounting software. Accounting as a segment now has about 2 lakh 25 thousand net paying customers currently. However, we have sold 4 lakh licenses. Out of that, there are multiple people who were sold before the 2021 time, where we didn't have the direct connect with the customer and also the software was being sold as a one -time perpetual license software. And that segment, now that we are 2 lakh 25 thousand, Busy is also 2 lakh 25 thousand. In times to come, we will

start to see what kind of synergetic bundling can we do between Busy and this. But this has not yet been done. Thank you.

Moderator: Next question is from the line of Swapnil from JM Financial. Please unmute yourself and go ahead with your question.

Swapnil Potdukhe: I have just one question. This is pertaining to your employee expenses. Typically, 4Q is the quarter where employee expenses go up meaningfully on a quarter -to-quarter basis. But this time around, there has been a decent decline. Any particular reason for that? And a related question to that is with the number of employees, I think there has been some rationalisation on the employees also.

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The second question was like the number of employees that you have reported, 6,200 something. It was 6,300 in the previous quarter. Is this some kind of a rationalisation exercise? And is it linked to the employee expenses going down also in a way? Any particular reason for that? And what are the thought process on the number of employees going up or going ahead?

Jitin Diwan: Let me answer the first question. So if you remember, last quarter, there was a labour code impact, which we had taken. It was about Rs. 8.5 crores if I remember, which we had taken last quarter, and that's how it is looking like the expense has reduced. So that is not the case. On the employee count, it has reached to 6,200 as we speak. There is no rationalisation as such. There are like campus hiring, etc., which we do on a periodic basis just to scale up our servicing and sales team, but no rationalisation by design as such, which we are trying to do. I hope that answers your question.

Swapnil Potdukhe: Just the continuation of that, like do you plan to add a more number of people or do you want to wait and watch for the collections growth to come pick up first.

Jitin Diwan: On the basis of servicing and sales team, what is required, we usually hire that. We are already at the level what we require. So we don't see any like gap which needs to be bridged at this point of time.

Swapnil Potdukhe: So will it be fair to say that you should get some kind of operating leverage if you're not adding people on the margin side, at least?

Jitin Diwan: No, it is variable. As per the business grows, expenses also grow, especially for the employee side.

Avijit Vikram: So, now we'll take a question from the chat box. What are the updates we can provide on the trends with some of our key investee companies in terms of growth, competition, funding scenarios, etc. The question is from Mr. Krushi Parekh .

Prateek Chandra: Thanks Krushi for the question. As you know that we started investing sometime in 2020 onwards. So in the last 5 -6 years, as we have invested almost Rs. 750 -odd crores across 13 different investments primarily in the area of business software, logistics and the fintech opportunities that we kind of came across.

So out of 13 investments that we made so far, almost six companies have crossed more than Rs. 100 crores in the turnover. So they've been kind of doing very well and been kind of growing at a very IndiaMART InterMESH Limited

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reasonable rate that we foresee. So that's like, let's say 50% of the investments we have done.

And the other investments are also kind of doing good, or there, but these six companies, particularly we hope that probably the next 2 - 3 years may go down the more IPO path also. So, that investment what we have done is kind of playing out well in line with our own thinking that what we had at the time of making these investments.

In the terms of specific metrics for all those 12, 13 companies you would be coming out with the annual report, which may have some kind of revenues and the disclosures that you would find. So probably I would suggest maybe once you go through it

, that you

may find some metrics working around those companies.

Moderator: Next question is from the line of Pranaya Jain from Banyan Tree. Please unmute yourself and go ahead with your question.

Pranaya Jain: So, I have three questions. Number one is you mentioned about 1688, can we also assume that, we'll see ARPU led growth in the medium term on a consistent basis? That's question number one. Question number two is, can you talk a little more about some of the value -added services that you are providing? What are our methods of monetising them?

Do we have any plans of getting into fulfilment as well? And the last question is on buybacks. So, what are your thoughts on buybacks given the change in taxation policies?

Dinesh Chandra Agarwal: So first on the 1688. As I said, 1688 has a million customers and ARPU of about \$2,000 now. So that makes it about \$2 billion in revenue. And it has started to become mostly ARPU led growth. Even today, they have ARPU and customer both, but I think they started doing that when they reached, when they crossed more than 750 thousand paying sellers. And I believe that given that India versus China, manufacturing versus not manufacturing, services versus product, we also aim to become at least half a million customer in times to come. So I believe that it is too early to be purely and purely dependent on our ARPU led growth.

So, we will continue to look for customer led growth as well as ARPU led growth in the medium term. And over the time, when we are closer to 500 thousand customers, maybe 400 thousand, that's when we will start to look at mostly ARPU led growth. But

currently, we are stuck in a position in the last 2-3 years that it looks like that we are mostly doing ARPU led growth.

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That coming to the second part of the VAS. So if you compare the 1688 or Alibaba.com, what portion of the subscription and VAS revenue they report? And I mean, what they report as subscription and what they report as VAS versus what we report as subscription and VAS is slightly different.

If you look at it, all the platinum customers' revenue that they report, barring the basic subscription they have, they report it as a VAS. So all the search and premium listing and the keyword listing and the location targeting, they report it as VAS. When we look at them because there's not much of a detailed version available, it's only the 2011 version when they were listed as a B2B company that was available. So, I guess you should see our top 10% customers revenue as typically the VAS revenue which could be compared with the Alibaba.com. Having said that, over the last 15 years or so, Alibaba has matured into multiple revenue items, whether it is fulfilment, whether it is lending, whether it is software enablement, whether it is payments.

So they have built the entire stack over a period of time, and fulfilment is just one of them. So we believe that fulfilment through signing or fulfilment through partnering with people like maybe Porter, Shiprocket and the likes while trying to build other items like payment, we don't need much here in India because Indian payment infrastructure is very, very good and we have done multiple attempts in the past when it was not good.

On the other value added side, I think we are continuously working towards the software value added, which is accounting, lead management, AI based seller initiative for lead qualification and things like that. So we'll continue to work on that. On the buyback versus dividend, I don't think there's much different now.

Jitin Diwan: So we had evaluated this in detail, and that's how we came to the conclusion for the basis of the amount of dividend to be declared, amount of money to be reallocated to shareholders. We decided dividend is the right way. So next year, we'll re-evaluate it, and we

'll come back.

Moderator: Next question is from the line of Shreya Chatterjee from Ageless Capital. Please unmute yourself and go ahead with your question.

Shreya Chatterjee: Thank you for taking my question. I'd like to understand what other metrics that you provide in your presentation, do you actually track to understand that the RFPs that are provided out by the buyer is

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actually closed by the sellers? So are there any close metrics that you track that, okay, it will be closed with 80% or 90% fulfilment rate? So anything on that?

Dinesh Chandra Agarwal: So there is no definite metric that we have because, we are mostly advertising and referral platform. We are not a transaction and fulfilment platform. So we are intermediary rather than being a marketplace. Now coming to the anecdotal and survey-based thing, we send out a survey to all the buyers whose email ID is available with us, and almost 60-70% of the buyers will have email ID also available.

So in those cases, we send out email after 3 days and after 7 days, asking them whether their RFQ was fulfilled or if it was fulfilled, whether it was fulfilled through IndiaMART sellers, it was fulfilled from outside or if they postponed their requirement. That almost 2% of the buyers actually respond to those thing and given that our 9 million unique monthly buyers out of that 6 million of this typically have email ID, when we send out to them, about 1.2 lakh we end up getting feedback.

And that 1.2 lakh feedback every month that we get, we get to see anywhere between 40% to 45% fulfilment confirmed by the buyer. However, these are survey figures.

Shreya Chatterjee: Got it. And secondly, on your product listing side, the number of active products has gone up. So are you trying to like focus on certain particular categories with this increased product listings? And on my first question, you say that you track it on a lag basis, like after you send out the mails, then you get to know what was the fulfilment rate. But do you want to incorporate some measures so that this can also help you to close more leads and that would actually get the buyers more interested?

Dinesh Chandra Agarwal: So earlier we were looking at the payment as one mode towards that. Now we try to do it, in a manner where we can fulfil across the categories because if we apply anything which is category specific fulfilment, that would be too restricted. I think we continue to love to be a horizontal platform where items from apparel to machinery to raw material. I mean, if you go to one of those slides which says end-to-end fulfilment.

So we continue to find levers so that we can actually do transaction by transaction tracking, but we haven't found much success on that side. Maybe some kind of a financial way or maybe some kind of incentivisation, buyer incentivisation and that has been difficult in IndiaMART InterMESH Limited

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any classified business or any intermediary business. So we continue to read multiple business models across the world, where there could be some innovation, where you would be able to find, you would be able to track if the transaction loop closed or not.

On the category side, if you see our paying customer distribution in the presentation. Our paying customer distribution in the presentation, you will find that industrial plant and machinery, construction, electrical equipment, these are some of the top industries that we focus on. And mostly in the plant and machinery and industrial equipment and electrical equipment. If you typically take these four, these four account for almost 30% of the total paying suppliers and then there is a long tail of it.

And we are now trying to work on a three-tier architecture of the differential pricing where there is a standard pricing which is applicable

to almost 95% of the categories, 5% of the categories are the premium ones, and top 1,000 categories are the super-premium ones. So that's where we get even better insight on category ARPU, buyer demand, seller demand, location wise demand and that's where we try to increase category focus even better. But given that we are a horizontal across thousands and thousands of categories, it is difficult to scale and manage it. Even if we are able to manage a few category experts, as soon as you expand it to couple of dozen category managers, it becomes difficult to manage.

Hopefully, with the AI coming in, I think a lot of horizontal part

can be taken care of , and maybe then we can invest only on the vertical part of the business where we would be able to focus mainly on few categories to be able to disproportionately generate better business from them.

You can see, for example, metal, especially, steel is one of the very large categories on IndiaMART. You will see simple plant and machineries like chapati making machine or chappal making machine or donut making machine. Those are very tier -3 kind of a buyer, is a very good use case for IndiaMART, lathe machines like that. Similarly, you will find industrial shed or industrial flooring, colour coated roofing sheets, puff panels. So there is a lot of variety of products that you can go into details. And some of them you can see on the screen on the end -to-end supply chain also.

Moderator: This will be the last question for the day. I will now hand over the call to Dinesh Agarwal for his concluding remarks. Over to you.

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Dinesh Chandra Agarwal: Thank you, ladies and gentlemen, for joining our quarter four and FY26 Conference call. We have tried to address your queries in the time available. But if you still have questions, please free to contact our Investor Relations team. Thank you and Good evening and Good night.

Moderator: On behalf of IndiaMART, we thank everyone for joining us on this webinar. You may now disconnect your lines. Thank you.

Notes:

1. This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings
2. No part of this publication may be reproduced or transmitted in any form or by any means without the prior written consent of IndiaMART InterMESH Limited

Call: Jul 2026

July 25, 2026

To,
BSE Limited
(BSE: 542726)

National Stock Exchange of India Limited
(NSE: INDIAMART)

Subject: Transcript of Earnings Conference Call on financial results and developments for the quarter ended June 30, 2026

Dear Sir/Ma'am,

Pursuant to Regulation 30 read with Part A of Schedule III of the Listing Regulations, we wish to inform that the Transcript of Earnings Conference Call for Analysts and Investors held on Tuesday, July 21, 2026, with respect to the financial results and developments of the Company for quarter ended June 30, 2026, is enclosed herewith.

The copy of transcript is also available on the Company's website at <https://investor.indiamart.com/FinancialResultsStatements.aspx>.

Kindly take note of the same.

Yours faithfully,
For IndiaMART InterMESH Limited

(Vasudha Bagri)
Compliance Officer
Membership No: A28500

Encl: As above.

Webinar Transcript

Event: IndiaMART Q1 FY2027 Earnings Webinar

Event Date/Time: July 21, 2026 at 17:00 hrs

CORPORATE PARTICIPANTS :

Mr. Dinesh Chandra Agarwal - Chief Executive Officer
Mr. Brijesh Kumar Agrawal - Whole -Time Director
Mr. Jitin Diwan - Chief Financial Officer
Mr. Prateek Chandra - Chief Strategy Officer
Mr. Avijit Vikram - Head Investor Relations

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Avijit Vikram : Good evening, ladies and gentlemen. I am Avijit Vikram, Head of Investor Relations. On behalf of IndiaMART InterMESH Limited, I welcome you all to the company's Quarter One FY '27 Earnings Webinar. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to

ask questions after the presentation concludes.

Joining us today from the management side, we have Mr. Dinesh Agarwal - Chief Executive Officer, Mr. Brijesh Agrawal - Whole - Time Director, Mr. Jitin Diwan - Chief Financial Officer and Mr. Prateek Chandra - Chief Strategy Officer.

Before we begin, I would like to remind you that some of the statements made in today's conference call may be forward-looking in nature and may involve risks and uncertainties. Kindly refer to Slide #3 of the earnings presentation for the detailed disclaimer.

Now I would like to hand over the call to Mr. Dinesh Agarwal for his opening remarks. Thank you, and over to you, sir.

Dinesh Chandra Agarwal: Good evening everyone and welcome to IndiaMART's Q1 FY27 Earnings webinar. We have circulated our Earnings Presentation, which is available on our website as well as the stock exchange website. We are sure you would have gone through the same. And we would be happy to take any questions afterwards.

IndiaMART has delivered a consolidated Revenue from operations of Rs. 414 crore s in Quarter 1, representing a year -on-year growth of about 11%. Consolidated Collection from customers grew to Rs. 463 crore s, representing year -on-year growth of 8% in the first quarter. Consolidated deferred revenue grew to Rs. 2,014 crore s, representing year -on-year growth of 16%.

In quarter one, unique business enquiries were 26 million. Our total paying supplier base was 2 lakh18 thousand at the end of the quarter 1, reflecting net decline of 1,850 suppliers during the quarter. This decrease can primarily be attributed to moderation in the gross addition as well as elevated churn at the Silver subscription tier.

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Our Platinum and Gold subscribers, which contribute approximately 50% of our customer bas e and more than 75% of the revenue, continue to have a good upsell and retention rate.

At the platform level, we are embedding elements of trust and safety into the foundation of the marketplace. Our already existing strong seller verification through a multi -layer KYC process, TrustSEAL verification, along with the transparent supplier ratings and reviews, is now supported by seller verification feature that helps the buyers to verify sellers before making any payments.

Further, to enhance buyer confiden ce, we have introduced a Buyer Payment Protection Program for eligible purchases with TrustSEAL verified suppliers.

We continue accelerating our AI evolution, incorporating intelligent capabilities into our platforms. We have streamlined the discovery process by introducing standardi sed cataloguing , intelligent matchmaking, and content moderation. We are also operating one of the largest agentic call handling system in the country that autonomously handles over 1 lakh calls p er day.

All these initiatives work together to create a seamless and

efficient experience for both buyers and sellers.

Our focus remains on enabling businesses to unlock sustainable growth through technology that evolves with their needs.

Now I will hand over the call to Brijesh to update about BUSY Infotech. Thank you, and over to you, Brijesh.

Brijesh Kumar Agrawal : Good evening, everyone. BUSY did a billing of about Rs. 59 crores in Q1 and this represents a year-on-year growth of 10%. Revenue from operations were at Rs. 36 crores, which is about 47% growth. The Deferred revenues were about Rs. 146 crores for the qua

ter and this shows a growth of 44% on year-on-year basis. The Cash from operations were at about Rs. 16 crores.

During Q1, we sold approximately 12 thousand new licenses, and with this the total number of new licenses sold count has gone to 4 lakh 54 thousand .

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As I've been sharing earlier, we have been investing behind improving the product, the overall user experience. In this regard, we have also gone ahead and launched a new version of BUSY called BUSY Magic, which has a completely revamped UI /UX.

We think that these investments that we are making will create a foundation for the next phase of growth for BUSY. And with this, I will hand over the call to Jitin to discuss the financials.

Jitin Diwan : Good evening, everyone. I'll take you through the financial performance for the quarter ended June 2026. Consolidated Collection from customers was Rs. 463 crores in the quarter, representing year-on-year growth of 8%. IndiaMART standalone Collection from customer for the quarter was Rs. 402 crores, registering year-on-year growth of 8%. Consolidated Deferred revenue stood at Rs. 2,014 crores, an increase of 16% on year-on-year basis.

Consolidated Revenue from operations was Rs. 414 crores for the quarter, registering year-on-year growth of 11%. Consolidated EBITDA was Rs. 146 crores for the quarter, representing margin of 35%. Margins continued to be elevated on account of savings arising from lower customer acquisition and operating leverage.

In Q1, consolidated Other income for the quarter stood at Rs. 107 crores. The increase was primarily due to mark-to-market gains on our treasury portfolio.

Consolidated Net profit for the year was Rs. 172 crores, and consolidated Cash generated from operations was Rs. 163 crores for the quarter. Consolidated Cash and treasury balance overall stood at Rs. 3,553 crores as on June 30, 2026.

Board of Directors has approved the creation of new subsidiary, IndiaMART Finance Limited. This entity will serve MSMEs for their short-term credit requirement.

Thank you very much. Now we are ready to take any questions.

Question -and-Answer Session

Avijit Vikram : We will now begin the Q&A session. If you wish to ask questions to the panelists, kindly raise your hand and allow camera and microphone access. Alternatively, you may type the question in the chat menu, and we will revert on it. Please restrict to two questions so that we may be able to address questions from all the participants. We will wait for a few seconds while the question queue assembles. First question is from the line of Kunal Thanvi. Please unmute yourself and go ahead with your question.

Kunal Thanvi : I had two questions. One was on this finance subsidiary that we have created. Can you help us understand what is the objective of this, and what kind of business we are going to conduct in this subsidiary? Are we going to lend our own balance sheet, or it would be a partnership with someone else? If you can help us understand that.

Second is, is there any plan in terms of monetising buyers at some stage? A related question to that was, we have been seeing number of buyers on our platform going down. If you can help us understand reason for the same, and how should we read into this?

Dinesh Chandra Agarwal: Let me first answer the wholly owned subsidiary approval, IndiaMART Finance Limited. Our objective is to facilitate transaction financing in order to help improve the marketplace effectiveness. In that process, we have been saying that credit facilitation during the commerce, especially in the B2B commerce, remains one of the key areas where the commerce happens.

And we have been doing various smaller experiments here and there in order to do a better customer experience and do a slightly better partnership. I think we have created a company called IndiaMART Finance Limited, which will work with partnership lenders to create small products and solutions for short-term transaction financing. We do not have any plans to lend out of our own balance sheet any large amount. So it is mainly to do the partnerships and short-term financing.

Now, coming to the buyer monetisation. Buyers are currently being monetised by way of seller enquiry or seller RFQ. We have been thinking about launching a paid buyer program, which gives IndiaMART InterMESH Limited
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certain value-added services. If you go to the IndiaMART website, currently, there is some experiment going on in paid buyer program. As and when something better comes, we will let you know.

The second piece on the buyer monetisation is the buyer audience monetisation. We have various insights onto category affinity of

the buyer or the turnover affinity of the buyer and all that. And we are able to experiment that with the other audience monetization platform to be able to monetize on the third-party advertising platform through our retargeting mechanism. So those are some of the buyer monetization programs that we are having. We are not directly involved in buyer transaction-based monetization.

In terms of buyer enquiry, I think they are typically flattish and plus minus 1% here and there. By and large, they're typically been flattish at unique business enquiries of 26-27 million.

Moderator : Next question is from the line of Abhishek Banerjee. Please unmute yourself and go ahead with the question.

Abhishek Banerjee: Couple of questions from my side. On this lending platform, right, what kind of financing will this be? Will it be invoice discounting or will it be just working capital finance? Also, Dinesh mentioned something about how you have been running some experiments on it. If you could give us some more colour on that, as in what are the learnings, et c., what is exciting for you. That would be really helpful. Also wanted to understand, this quarter, the growth in collections in BUSY has been slightly lower than the trend growth rates. Any particular reason for that? If you could, maybe just share these two things.

Dinesh Chandra Agarwal: Until now, we have only mostly experimented with trying to give any lending leads that came to us to the various financial institutions, to see if they can mature those leads for further financing them, either as a buyer or as a seller. However, in today's scenario of the digital world, I think turnaround time, et c., has become quite fast as against if you are doing the lead transfer. So in lead transfer mechanism, one of the learning is that today's acceptable turnaround times are minutes and hours rather than days of the yesterday world.

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And that is why we needed a particular LSP subsidiary. We said that, Okay, we will do. In terms of products, I think mostly, as I said, they will be around helping buyer and seller to strengthen the marketplace for the short-term transaction financing. I do not understand whether it will be the invoice discounting or reverse invoice discounting, but somewhere near that. I hope that gives some clarity. As and when we will do more experiments, we will keep coming back to you every quarter.

Brijesh Kumar Agrawal : On BUSY, so if you were to look at the Q1 of last year, we actually had about Rs. 10 crore s coming in because of one-time winbacks that we had introduced in that particular quarter. In fact, the growth in Q1 of FY 26, that growth rate was also significantly higher than the normal. And therefore, if we were to remove that one-time Rs. 10 crore s growth advantage that we got in that

quarter, we would still be growing on a normalized basis at about 30 odd percent. So that's the reason why you see 10% growth in billing. But in terms of deferred revenues, in terms of the revenues recognized, the growth seems on a more normalized level of 30% to 40%.

Abhishek Banerjee: Understood. Just one last thing again. On the number of buyers on the platform. Is there any way that you have been considering in kind of boosting that up? We have been talking about making

more marketing expenses, but that hasn't really fructified in increasing buyer count, or your lead business enquiries for that matter. And do you kind of correlate this in any way with improving quality of enquiries or quality of buyers on the platform? If you could give some colour on that that would be helpful.

Dinesh Chandra Agarwal: So we did cut down on some of the non-quality buyers that I have highlighted some 4-5 quarters earlier. But you are right that in the last 3 quarters or so, as we are spending Rs. 7 - 8 crore per quarter on the advertising, that primarily has shifted the buyer base from whatever organic decline that we had. We have shifted the buyer base to the more higher ARPU buyers. I mean, the categories where we are able to monetise. Because we do not advertise across the category or across the geography. We advertise specifically in those top 10% categories where exactly we know how to monetise that buyer better. So while on an overall number, you are seeing that the overall number of buyers are stagnating, IndiaMART InterMESH Limited
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but we are filling only those buyers where we have a very strong monetisation from the seller side.

So if I look at internal metrics where I look at the more monetizable buyer versus the less monetizable buyer, I think we are happy with the monetizable buyer growth. On the overall decline of the buyer, because currently we are experimenting more with Google, and since our primary source of new buyer acquisition was Google, so there is some kind of a cannibalisation. As we expand our advertising to Facebook or Meta, Instagram or YouTube, I think we will be able to get additional set of buyers currently, because the problem was that in the Google, there are a lot of blocks of non-links were coming. Non-links means the popular products, Q&A, sponsored link, those kind of things were coming.

So I think despite the fact that we are first or second organic result, but on a mobile device, you are probably not visible in the first fold itself. So current endeavour was to experiment and remain at the top of the screen. So that's where we are. I think as we scale up, you will see increase in the unique business enquiries.

Moderator: Next question is from the line of Pratik Kothari. Please unmute yourself and go ahead with your question.

Pratik Kothari: Good evening. One question. Last quarter or past, we have spoken about now shifting our focus more towards quality of buyers or the trust that the platform can provide. If we just talk about how is that endeavour going?

Dinesh Chandra Agarwal: I think I highlighted already in my opening. Maybe you missed, I'll just repeat that. So earlier on the trust piece, we used to have a verified seller. On the verified seller, buyer was only required to do a phone number-based identification. Now we are slowly moving to 100% OTP verification for the buyers also, because I also highlighted the benefit of moving that there, because currently there is too much of AI-based agent parsing going on.

And if I move that without behind the login, I am able to save some of my unnecessary parsing that is happening. Secondly, we are now deploying from phone number and GST to further

identity verification of the buyer. And there are APIs and there are IndiaMART InterMESH Limited
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self-declared buyer things. Third, currently there are many times when IndiaMART introduces a buyer to a multiple supplier. While buyer has selected only initial one or two suppliers on the platform, the other one or two got introduced to him, because of IndiaMART. Then buyer wants to see the detailed profile of the seller. So we have launched know your seller or seller verification page where they can put any particular number or a GST number or an email ID, and it will display the seller trust profile.

Another thing that we are trying now is the payment protection program. So that currently when you are receiving a QR code or a NEFT /RTGS instruction on the WhatsApp, because the seller's employee might have sent it to you or somebody might have sent it to you. You want to re-verify that into the verified account. So for every seller who is a IndiaMART TrustSEAL seller or IndiaMART paid seller, we are also verifying their bank accounts now, so that while making the payment, you can actually do the verified transfer only.

Apart from all of this, we are also offering now for all the TrustSEAL buyers, I mean, the buyers of all the TrustSEAL sellers with the payment assurance of up to Rs. 5 lakh. So these are some of the things that we are improving to improve the trusted ecosystem on IndiaMART.

Pratik Kothari: Second one, I mean, so currently we're not adding gross paid suppliers because, I mean, we intend to kind of solve for this leaky bucket, if that's the word I'm using. When do we kind of accept maybe that this is structurally how the profile has changed and this higher churn stays, and then we now start focusing on adding gross customers? I mean, we might have to just add more gross customers because the leakage might be higher or the churn might be higher or do we think this is a solvable problem for now?

Dinesh Chandra Agarwal: I mean, I can't really answer that for sure because we are trying various methods and various ways. You never know which one helps fix the real leakage. Because earlier the complaint was that the quality of enquiry or the quality of conversion was not good enough, and we fixed that, actually. We fixed that, and we came back to you, and we showed that. And even when we do seller surveys, sellers are very happy with the quality of enquiry and all that. Now there is a shortage of enquiry. This is something that we IndiaMART InterMESH Limited
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have started to face recently only, because the quality of enquiry is too good. Now there are shortage of buy leads or shortage of enquiry. Now for the shortage of enquiry, we are trying to work on the repeat buyer framework or new buyer acquisition framework.

On the other hand also, Google is also a little bit under pressure from ChatGPT and others. So effectively, we are trying to manage two, three things. As we do multiple experiments, we will come to know which one helps us either increase the buyer big time or

buyer repeat big time. In the meantime, I think, as I said, our gold and platinum seller bucket, which is about 50% of the customers, they are very happy, and they continue to upgrade while we continue to see the areas where we are leaving the money on the table. So there are a lot of areas where category-based pricing is required, and we touched a little bit on your three tier pricing system for the category.

Within the platinum, how to charge according to the return on investment based upon the value of the product or based upon the number of buyers in every product. Having said that, we can keep trying. When does it start to result into a net growth? That, only time can tell.

Pratik Kothari: My actual question was, net growth is a function of gross minus churn, right? So while we are solving for the churn, we have let go of gross say over the last two, three years until we solve for the churn.

My question was, do we at some point accept that while we have tried different things, the churn, maybe this is a structural way this churn stays, and then we just add more gross, which solves for the net addition also?

Dinesh Chandra Agarwal: That will happen only for 2-3 quarters. I mean, if I go and acquire larger, and you might have seen that happening with many other subscription players. So, I mean, I can go one more round, more Tier 2, more Tier 3, or more weekly, monthly kind of a payment system, but that will come back again with that. Once we get the product-market fit right, we will know internally that, okay, the customers are renewing. Because if the customers are not renewing, acquiring same customer with double the intensity will make the CAC go higher and the LTV go lower. The CAC LTV will never work on that piece.

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So we have to be cognizant of the fact that there's no point acquiring a very low-end customer. So we have to fix that before pressing pedal on the growth.

Moderator: Next question is from the line of Vivek anand. Please unmute yourself and go ahead with the question.

Vivek anand: Thanks for the opportunity. Two questions. So, number one is, for curbing churn, you decided to change the, let's say, model of customer acquisition, focusing on certain areas, you increased prices, you also introduced more checks and balances at an early stage. Now I'm just trying to understand this better. In terms of the initiatives that you're taking to curb churn and improve the quality of the new gross adds, what else are you doing which could perhaps yield better results in the next 6 to 12 months? That is my first question.

The second one is, now that there is a considerable amount of traffic that is moving to the LLMs and not to search engines, how do you ensure that the LLMs are also looking at the results that are there on the platform in the same light as perhaps Google does with SEO? Are there any initiatives that you have taken that help LLMs surface your platform's results on top so that whenever anyone asks questions on the LLMs regarding any product that where IndiaMART has very good quality suppliers, the LLM surfaces your link instead of just giving an answer?

Dinesh Chandra Agarwal: On the initiatives, one initiative is that have a better quality of supplier. The second initiative is do a better curation and cataloguing and digitisation and category mapping and better specifications on the marketplace. Number third initiative was that have only better quality of buyers. Better quality means better quality of the enquiry fill rate, so that enquiry have quantities and specification and things built up. Fourth initiative is which we are trying through the financial service also to build the credit into transaction so that if there is conversion not happening because of the transaction, because many of the B2B transactions do require credit to happen. And credit also brings some transaction visibility and some certainty to the deliveries perspective. So these are some of the things that we are trying other than basic sales process modification.

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Now coming to the bigger question, which everybody in the world is asking, whether these LLMs will become the search engine or these LLMs will eat the search engine and the internet will become private. And also that question is difficult, because one thing is for sure that LLMs would try to answer as much of the things at their own rather than transferring the control back, because nowadays there is hardly anything which is hidden from the copyright, I mean, protected by the copyright, because you could read the entire content and answer it in your own words. Now it is a two-way sword, because if I stop completely my

content from the LLM, then I risk the complete omission from that LLM, which gives me a few links here and there. And if I expose the entire data, they will probably read everything and give you very little in return.

And if you go and read about this on Internet, there's a huge debate that is going on in the past 6 months or so, whereas Google was more of a give and take economy, where you gave the content, Google gave you back the links. They consume all the information that is available, and they try to retain a lot of traffic with themselves, and which to some extent works well with the users as well. So it has to be seen, because if that is the case, then entire Internet business models will have to be reversed. It will have to go back more private.

So, I can't comment on that, what would be the final destination of this particular debate. My hope is that over the time, there's a hybrid of a Google or a Gemini that will emerge over a period of time.

Vivek anand: That's very interesting. Thanks, Dinesh, for sharing this. Are there any regulatory guardrails in India that will prevent this from happening, where let's say, we then are at the mercy of these walled gardens, as you call it, the LLMs? Are there any guardrails which will perhaps come in play later on, or are there any discussions with the government where something like this could be introduced?

Dinesh Chandra Agarwal: It may not be right for me to answer that. That would be personally my opinion. I would suggest that you read about this topic on the net or ask the LLM themselves.

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Moderator : Next question is from the line of Samarth Patel. Please unmute yourself and go ahead with the question.

Samarth Patel: Thanks for providing me the opportunity. I had a couple of questions. First one is, last quarter you mentioned that silver monthly churn was about 7%. Any update on silver churn number as of now? And also you had talked about initiatives which we were taking in terms of GST verification, bank account verification, and some sort of a turnover -based qualification. Any of these initiatives has improved the retention metric?

Apart from that, is there churn which is spreading over to the older cohorts and not contained to, let's say, first 12 -month cohort? So any cohort -wise flavor in terms of silver churn that you can provide would be really helpful.

Dinesh Chandra Agarwal: So, two parts to the answer. One is, have we started doing more segmented verification and targeting? Yes. Will it result into any churn quickly or churn containment quickly? No, because it will take some amount of time. We are not completely closing a particular segment and moving to 100% because we have to migrate slowly and slowly. Whatever will happen will probably be visible after a year or so.

From that 7% silver monthly, I think nothing has changed, and that's why we are continuing to be negative or flattish total number of customers. Yes, the interesting part is the first 12 months is the biggest issue. Even in the silver tier, we see the renewal and retention rate improve double from the second year onwards. Most of the churn or retention problem is limited to the first-year onboarding itself. Thank you for highlighting that and asking that question. What else?

Samarth Patel: Question on GST verification?

Dinesh Chandra Agarwal: GST and bank account, I just told you. With GST verification, we were already doing. We are slowly and slowly moving towards a GST verification, where IndiaMART becomes 100% GST -verified marketplace. Bank account verification is the new thing that we have started. I am sure in times to come, we will try to become a higher portion of the bank account verification as well. Now that we have almost 99% email ID, 99% phone verified, 99% GST verified, at least in the paid customer base.

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In the free customer base, 100% is email and phone verified, but GST verified is about 50 -odd%. So we are moving towards 80%, 90% on that direction. Bank account verified, we will start today, and I am sure in the next year or so, we will cross 50% plus on the bank account. And in the two years ' timeframe, we will cross 80% verification on that. The bigger question is how do we start to do buyer verification?

Because on the buyer side, we used to only ask phone number.

And now I think it is important that business buyer verification. Currently, out of the 40 -odd million total active buyers that we have, about 10 million only have the GST or verified business buyer. Can I increase that number to a substantial number? I think that side is still pending.

Samarth Patel: Understood, sir. That was really helpful. Just pressing upon the buyer side now. The unique business enquiry sort of declined 11%, and as you mentioned, active buyers were also down by 5%. Now, if I remember correctly, you mentioned in the last quarter that we already started doing this buyer side OTP verification for filtering the bot traffic, et c. So the decline that we are seeing, how much of that is because of the verification, and how much of that is the traffic migration, any quantification that you can provide ?

Dinesh Chandra Agarwal: Very difficult. Out of the 26 million unique business enquiries, 26-27 million, very difficult to really judge. There is definitely about 4 -5% decline has happened because of the OTP verification, et c. But rest of that , whether it is to do with our own change or whether it is to do with traffic migrating to LLM, or whether it is to do with the war and U.S. tension, I can't really tell.

Avijit Vikram : We can probably take a question from the chat box. Anirud h Shetty has posted questions on the chat box. First question is, why introduce buyer monetization now when at present buyer enquiries growth is weak? Wanted to understand timing. Is it possible to track buyer leads coming from LLM searches? The third is, given our large cash balance, any plans to increase the stake in existing companies or take new positions?

Dinesh Chandra Agarwal: We are not introducing paid buyer program as if there's anything going to be restricted on the free tier. Paid buyer program would probably have some additional features, maybe procurement tool
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or anything. One, there's no monetization which is restricting the existing buyers to access IndiaMART. Buyer access to IndiaMART remains completely free. But even then, there are buyers who are willing to pay for value-added services. So it is the voluntary buyer program, just like you see in the many other programs.

The second part that you asked is the LLM-related traffic attribution. It is early days. I think different analytics software and different webmaster tools have started to build some sense. Google alone has started to build some sense. I think it will take about a year or so until the winner-takes-all happens or the 2-3 big winners happen. It is difficult for the analytics tools or traffic analytics tools or webmaster tools to be able to classify which traffic is what. That's exactly what I said about a year ago when we stopped reporting traffic, because there's agent traffic, there's bot traffic, there's LLM traffic, and it is difficult for people to recognize. I think it will take some time.

Regarding the cash balance, we continue to do follow-on investments. I think Prateek can tell which are the last few couple of follow-on investments that we have done. We continue to evaluate any new interesting opportunities. In case they will come, we will definitely look at them. Last follow-on investment

S
on the timeline, I think, Prateek, you can highlight.

Prateek Chandra : So out of the total investments that we have done, we have had follow-on investments in Bizom, in Fleetx, in SuperProcure, in Aerchain . So they are, let's say, the couple of companies wherein we had made the follow-on investments. These investments are essentially more driven by the working capital or growth needs of these investee companies.

So as and when any kind of an opportunity emerges, then at that point of time, we evaluate them and basis the merit, we take the decision whether to participate in that follow-on round or not in the follow-on round. As and when some follow-on happens, we will be kind of intimating it to the exchanges then.

Dinesh Chandra Agarwal: Some of the interesting ones, I think Fleetx, we started at 16 - 17%. Now we are already at 22%. Bizom, we started at 10% and now we are at 32%. Similarly, SuperProcure also. So I think many companies we have . And I ast new company was IDfy where we IndiaMART InterMESH Limited
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started. That was about one and a half years ago. M1xchange , I think has done pretty well. But M1xchange , there has not been any follow-on.

Brijesh Kumar Agrawal : No. We have a limit of 10%.

Prateek Chandra : We have a limit of 10%. We made it back to 10%.

Moderator: Next question is from the line of Aman Thadani. Please unmute yourself and go ahead with your question.

Aman Thadani: Thanks for the opportunity. I have a few questions pertaining to BUSY. The first is, over the last three years, we have seen a very good revenue growth, approximately 28% compounded and now that is ex of accounting change. That growth is despite a 10% growth in license year-on-year, which sort of implies a very good revenue per license expansion. Just wanting to under stand that what has led to this meaningful growth in revenue per license, and standing today, sort of what trajectory or sustainable trajectory can we look at for the license growth and ARPU growth in B USY over the next five years?

Brijesh Kumar Agrawal : So w hen we look at the overall breakup of the growth, which is that 28% CAGR growth that you see, one obviously is led by the sales of these licenses. Second is increase in the prices of the products. Third is improvement in the overall ratio of customers which are renewing year-on-year. And f ourth component, what portion of these customers are taking on add-on products like the mobile app available inside of BUSY. So w hen you look at this growth, it is a function of these four things. And our sense is that over the next couple of years, we will continue to maintain or improve the overall CAGR growth that we've had. That is what is visible.

When you look at a five-year duration, I can say what is it that we would want to do more than what is it that we can go back and predict from today. We would want this business to become at least a 35 -40% CAGR business year-on-year. That would be work in progress. But o ver the next couple of years, I think we can definitely expect us to be closer to anything between, let's say 27 - 30% CAGR growth rate , that we've seen over the last four years.

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Aman Thadani: Got it. The license have grown at 10% a year over the last 3-4 years, but the revenue has really expanded. So going ahead, is there still meaningful scope to expand revenue per license? And should we assume that the license would stay at 10% growth over the next 3-4 years? Is that the right way to think about it?

Brijesh Kumar Agrawal: So we are trying to accelerate the growth in the sales of these newer licenses, and we are actually migrating from more like licensing to a subscription. That journey has already started for us. So ideally, we would want to see a higher growth rate of about 15-20% in the

licenses in the immediate year or two. When it comes to, whether there is a headroom for better realization from the existing customers, if you look at the value that a BUSY customer derives out of a current subscription versus the price that they go back and pay currently, there is substantial value which is still left on the table. And I think, while this is a slower process for customers to accept higher payments, but it is going to happen, because the value that customers are getting is substantially or disproportionately higher than what they really pay for.

What is also going to happen is that each of these customers would want to use their softwares on different platforms. So currently, let's say, BUSY is available on desktop, and then it is available on mobile app. But with the growing requirement for customers to use it on the cloud, while they are elsewhere using a browser also. So there's a third platform, which is what we are preparing a product that will address that. So one single product which will be accessible on desktop, cloud, as well as on mobile phone. That should also allow us to have a better ARPU coming in from these customers.

So again, as I said, it's a combination of price increases as well as the overall, let's say, value-added services that these customers start to subscribe for. So these two things put together will give us the ammunition to continue to have better ARPU realizations from these customers. And that is something which will happen over the next 3 to 5 years continuously. It's not just a very short term exercise.

Aman Thadani: My second question is on the investment piece. Since we have a very good track record in making strategic investments. So just wanted to understand from you that, is there a rough target maybe IndiaMART InterMESH Limited
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in rupees crores on maybe how much we would want to invest in, let's say, taking a meaningful stake in existing investments or maybe making new investments over the next three years?

Dinesh Chandra Agarwal: Most of these investments were done in 2021 and 2022 time frame. Not that we have not done any new investment. We have done a couple, but that was our first wave of understanding. Because if we go to our strategy slide, we said that we set out in 2020 around the IPO time, just after the IPO time, that now we have crossed the IPO as a journey. So how is the next couple of years looking like? So from discovery, we said that, okay,

accounting and invoicing was one area that we wanted to focus on inventory management. So on that side, I think we have made significant progress there. We did four investments in the accounting side. We started with Vyapar. We were already evaluating M&A of another accounting software. So we went to and acquired BUSY completely for Rs. 500 Cr.

We also saw that while Vyapar and BUSY are very different kind of a company, and Vyapar is a very different kind of a company. We also found Real books, which is specifically doing business on the cloud side. But Tally remains the market leader with more than 60 -70% market share. And we found that there is a good tool on top of Tally which can do a cloud and mobile version of the Tally. So we acquired a company called Livekeeping.

Overall, to some extent even the EasyEcom is also having a accounting transaction thing. So about 4 to 5 companies we started investing, incubating, and today you see each one of these have done well like Vyapar has done well. Our thesis has turned out to be right.

When we looked at distribution management system and some of the enterprise software. Then if I look at the SuperProcure plus Fleetx, that as a combination has turned out very well. Even Bizom has turned out very well. Airchain is now opening up. So there are certain set of companies that is now giving us some confidence that, okay, we

will double down on some.

But over the time, there are not too many companies where you can go and invest them. Because we don't want to become a venture investing firm which is investing in hundreds of companies. We want to invest in companies where we have IndiaMART InterMESH Limited
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conviction and where we feel that either we can help them or they can help IndiaMART. It is not only the mere capital allocation basic strategy. So as and when we find something very, very good, we will do. But as of now, we don't want to become too many strategic investments there.

Moderator : Next question is from the line of Shivam Gupta. Please unmute yourself and go ahead with your question.

Shivam Gupta: Good evening. I have a couple of questions. First up, since we have this behaviour on the platform where traffic metrics and buyer and enquiry metrics are maybe having some headwinds for proper interpretation. Would it be, would we not like introduce a metric which is more around the quality with which the buyers are experiencing it to just give a better understanding?

For example, if let's say, of the number of queries that are coming in, how many are actually getting fulfilled or something like that, so that we can get a proper picture of the relevance and engagement holding up. Because otherwise, these declining numbers are getting these questions, which I think is just a question cum suggestion. That was my first one. I don't know if you want to respond to that.

Dinesh Chandra Agarwal: One number that we typically give is the repeat rate. So if you see 90-day repeat, that number is 58 -59% as of now. And over the years, that number has moved from 50 -51% to 58 -59%. So that is

one number.

Because of the fulfilment feedback, as we ourselves keep saying, that the fulfilment feedback itself is a survey number. And the survey number is not something that we can legally audit and be very upfront about it. I can tell you survey numbers time-to-time. We get about 2% buyers to respond back to us on the survey, whether they ended up buying through IndiaMART. Almost 40% of them, 40-45% of them say that, okay, we ended up procuring through IndiaMART. But is that number something legally can be held? Because it's just a purely a survey number. So that's why we do not report it as a quarterly thing. But I think I have told this number on the con call multiple times.

Shivam Gupta: Helpful. Maybe, moving to my second question, which was around the general conversation around AI and LLMs and IndiaMART InterMESH Limited
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everything. Just two-part to that. Heartening to see that like you're running the largest AI-driven call centre and all. Maybe if you can give a few examples. Since the time that you started the whole program around AI, and when the tech started being used, what are the big windfall gains that the platform has realized? A couple of them as an example would help. And obviously, in the context of getting obtaining this churn problem would be helpful.

And the two-part to that is, the second part to that is, well fully, I think I acknowledge the double-edge sword framing of the LLMs. But just a question that even in the era of Google's and Meta's and these walled gardens, the Web 2.0 ones, the individual high quality data stores still held immense value, and they held that value for as many decades as we know. Why would that same paradigm be unlikely in an LLM case? And the simple question there is that if left to themselves, they can hallucinate still.

And even with, let's say hypothetically, our entire data store is available to them, they may still hallucinate on top of that. And coming to a real business enquiry kind of a customer putting, let's say, real money behind those kind of results, would we not again go back to a state where

here maybe it will be much more helpful for them to be querying high quality data stores, like let's say in IndiaMART in this case, through some kind of an MCP rather than trying to just strip off all the data and respond on their own. Thank you.

Dinesh Chandra Agarwal: So Shivam, on the second part of your question, I can't officially answer that from this stage, whether data should be, what can happen, what might happen, what should happen.

On the first part of the question, where do we feel the windfall gains from the AI can come? So one, obviously, we have seen after many, many years, the voice generation has crossed the ability of almost getting your work done. You can almost feel like you're talking to a human. It won't feel robotic. I mean if you just come to proving it, whether it is robotic or not, you can. But your work would be done. So that's where I think and we had one use case, which was very transactional, highly repeatable, and very high value for money, which was the buyer call centre.

We used to get or do almost 80 thousand calls a day through our manual call centre used to handle. And we quickly upgraded that

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to the AI voice call centre. Initially, it did gain us in the price, because initially we were talking less. But now that we found the voice to be so good, that we started to do buyer verification, buyer intent understanding. So we may or may not gain much on the cost side, but I think in terms of the buyer experience and in terms of the domain knowledge, we are able to do a good job there.

And today, I think we are one of the top companies which are using that. Another thing is in the content aggregation and audit. I think content aggregation and audit, I mean, AI can do 10x better job and 10x faster than whatever human BPO or any parser or anything could have done. So now with today's AI, in the audit and content aggregation, I think we are able to do a lot of work. But it is only the beginning of the value creation, because most of the value would accrue towards the end of next year or something like that.

The third part is security and/or trust building, because currently it is a user declared ID-based trust. But I think there is a social trust that we can do because of the content aggregation. So I think in that area again, there could be multiple gains that can come. So these are some of the low-hanging, high value fruit.

Otherwise, when you look at the more reasoned-out examples, like for example, handling complex CRM ticket solution or handling complex procurement solutions. So I think those are the more complex solution. I think it will take years for people to build around that and build the use cases, because the technology has taken a complete leap or an orbital change over the last two, three years. Whether it is voice, whether it is text, or whether it is video, all of it has taken an orbital change.

Moderator : This was the last question for the day. I will now hand over the call to Dinesh Agarwal for his concluding remarks. Over to you.

Dinesh Chandra Agarwal: Thank you, ladies and gentlemen, for joining our Q1 FY 27 conference call. We have tried to address your queries in the time available. If you still have any questions, please feel free to connect with our Investor Relations team. Thank you, and go od evening. Thank you.

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Moderator : On behalf of IndiaMART, we thank everyone for joining us on this webinar. You may now disconnect your lines. Thank you.

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